KSB

Solutions. For Life.



Annual Report 2025

KSB Profile

KSB is a leading supplier of pumps, valves and related service. Its reliable, high-efficiency products are used in applications wherever fluids need to be transported or shut off, covering everything from building services, industry, petrochemicals and chemicals as well as water transport to waste water treatment, energy generation and mining. Founded in 1871 in Frankenthal, Germany, the company has a presence on all continents with its own sales and marketing organisations and manufacturing facilities. Wherever our customers are in the world, more than 190 service centres and around 3,500 service specialists are close at hand to provide spare parts, inspection, servicing, maintenance and repair services under the KSB SupremeServ brand. Our success is based on continuous innovation that is the fruit of the company's research and development activities.



General Industry



Building Services



Petrochemicals / Chemicals



Water



Energy



Mining



Valves



KSB SupremeServ



Digital Annual Report

Online Annual Report:
ksb.com/online-report
PDF version for download:
ksb.com/annualreport

2025 in Figures

↗ Compared with 2024

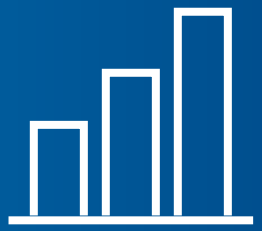
Order intake



€ 3,203 million

↗ + € 89.1 m | + 2.9 %

Sales revenue



€ 3,035 million

↗ + € 69.5 m | + 2.3 %

EBIT



€ 252.1 million

↗ + € 7.9 m | + 3.2 %

Employees



16,838 at 31 December 2025

Five-year Financial Summary

Business Development and Earnings

		2025	2024	2023	2022	2021
Order intake	€ m	3,203.1	3,114.0	2,959.5	2,862.1	2,411.7
Sales revenue	€ m	3,034.7	2,965.2	2,819.0	2,573.4	2,343.6
Orders on hand	€ m	1,730.3	1,650.1	1,548.1	1,497.8	1,366.2
Earnings before finance income / expense, income tax, depreciation and amortisation (EBITDA)	€ m	348.4	341.6	312.0	259.5	222.1
Earnings before finance income / expense and income tax (EBIT)	€ m	252.1	244.2	223.9	169.1	141.2
Earnings before income tax (EBT)	€ m	241.1	231.2	209.0	160.7	139.9
Earnings after income tax (EAT)	€ m	166.4	146.8	176.6	127.3	110.3
Free cash flow (cash flows from operating activities + cash flows from investing activities)	€ m	61.0	114.9	176.8	-86.9	87.5

Balance Sheet

		2025	2024	2023	2022	2021
Balance sheet total	€ m	2,883.3	2,867.9	2,669.8	2,478.9	2,314.4
Investments	€ m	181.6	170.3	135.6	121.6	103.6
Depreciation and amortisation	€ m	96.4	97.4	88.1	90.4	80.9
Net financial position	€ m	315.4	371.0	324.9	225.6	365.6
Equity (incl. non-controlling interests)	€ m	1,391.2	1,335.4	1,216.9	1,125.6	869.1
Equity ratio (incl. non-controlling interests)	%	48.3	46.6	45.6	45.4	37.6

Profitability

		2025	2024	2023	2022	2021
EBT margin (sales revenue in relation to EBT)	%	7.9	7.8	7.4	6.2	6.0
EBIT margin (sales revenue in relation to EBIT)	%	8.3	8.2	7.9	6.6	6.0

Employees

		2025	2024	2023	2022	2021
Number of employees at 31 Dec.		16,838	16,407	16,038	15,693	15,412

Shares

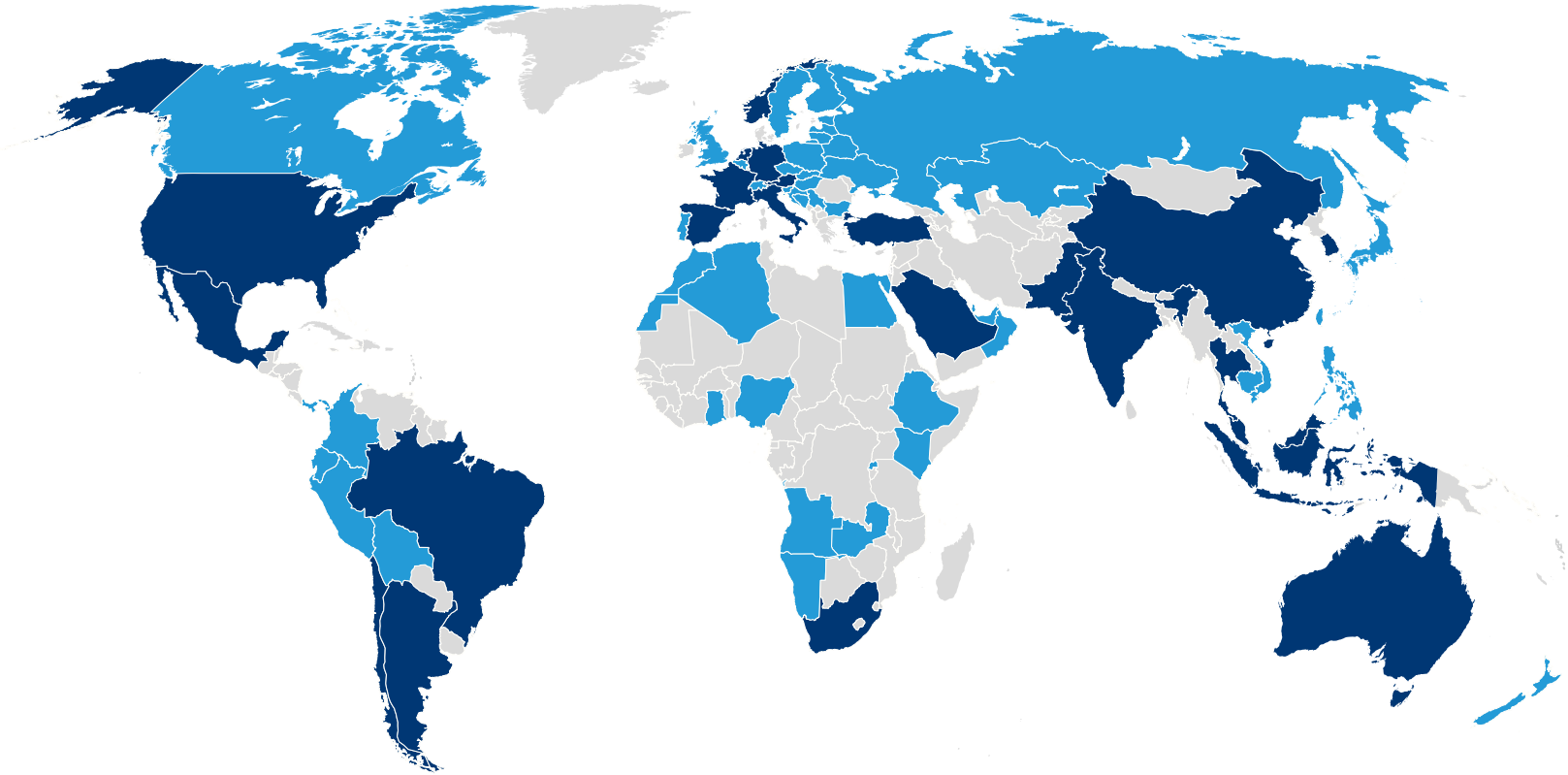
		2025	2024	2023	2022	2021
Market capitalisation at 31 Dec.	€ m	1,684.0	1,095.1	1,092.9	644.3	727.8
Earnings per ordinary share (EPS)	€	80.31	67.29	86.83	59.05	53.34
Earnings per preference share (EPS)	€	80.57	67.55	87.09	59.31	53.60
Dividend per ordinary no-par-value share	€	26.50*	26.50	26.00	19.50	12.00
Dividend per preference no-par-value share	€	26.76*	26.76	26.26	19.76	12.26

* Dividend to be proposed to the Annual General Meeting for the 2025 financial year.

Further information is provided in the Notes to the consolidated financial statements.

Global Presence

Backed up by production and assembly sites around the world, as well as a tight-knit sales and service network, KSB staff are always close at hand.



- KSB production, assembly, sales and service sites
- KSB sales and service sites

Americas

- Argentina
- Bolivia
- Brazil
- Canada
- Chile
- Colombia
- Ecuador
- Mexico
- Panama
- Peru
- USA

Europe

- Austria
- Belarus
- Belgium
- Bosnia-Herzegovina
- Bulgaria
- Croatia
- Czech Republic
- Estonia
- Finland
- France
- Germany
- Hungary
- Italy
- Latvia
- Lithuania
- Luxembourg
- Netherlands
- Norway
- Poland
- Portugal
- Russia
- Serbia
- Slovakia
- Slovenia
- Spain
- Sweden
- Switzerland
- Ukraine
- United Kingdom

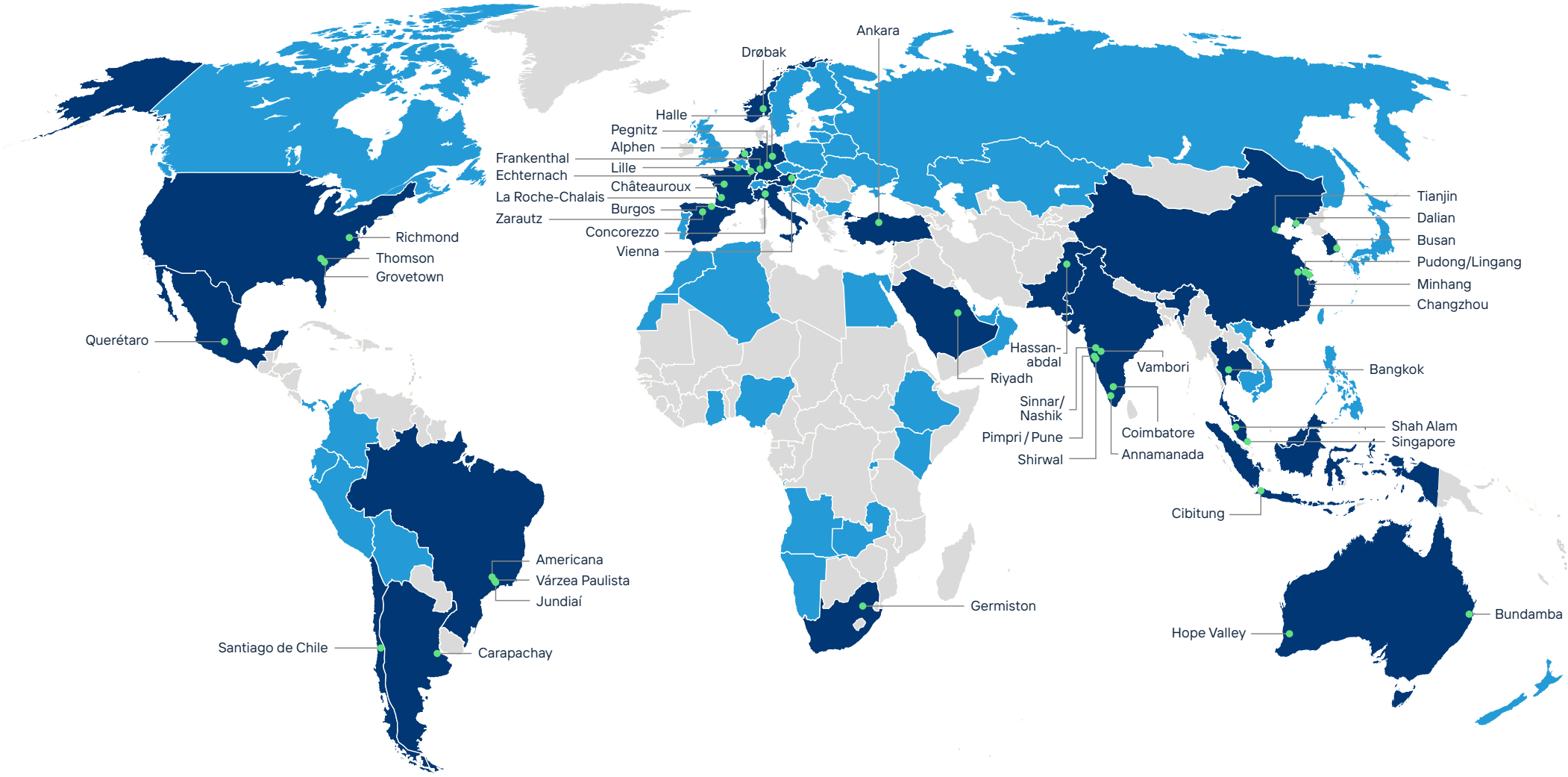
Middle East / Africa

- Algeria
- Angola
- Egypt
- Ethiopia
- Ghana
- Kenya
- Morocco
- Namibia
- Nigeria
- Oman
- Qatar
- Rwanda
- Saudi Arabia
- South Africa
- Turkey
- United Arab Emirates
- Zambia

Asia / Pacific

- Australia
- Cambodia
- China
- India
- Indonesia
- Japan
- Kazakhstan
- Malaysia
- New Zealand
- Pakistan
- Philippines
- Singapore
- South Korea
- Taiwan
- Thailand
- Vietnam

Global Presence



- KSB production / assembly sites
- KSB production, assembly, sales and service sites
- KSB sales / service sites

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Management



The photograph was taken at the International Management Meeting held in Vienna in autumn 2025. Global managers discussed and agreed the orchestration of the next steps of the Mission TEN30 strategy.

Dr. Matthias Schmitz
Managing Director of
KSB Management SE (CFO)

Ralf Kannefass
Managing Director of
KSB Management SE (CSO)

Dr. Stephan Bross
Managing Director of
KSB Management SE (CTO)

Dr. Stephan Timmermann
Managing Director of
KSB Management SE (CEO)

Dear Shareholders and Business Partners,



Dr. Stephan Timmermann

In the 2025 financial year, global political tensions and global trade barriers continued to shape the general conditions for our company. Nevertheless, we seized the opportunities that resulted from our global presence and diverse product portfolio and turned them into successful customer projects. It fills us with great pride that we were able to further improve KSB's performance and make 2025 another record financial year in the company's history.

Global situation

The outcome of the presidential elections in the USA marked the start of unprecedented upheavals in international trade relations. The unpredictable timing of customs tariffs and rate volatility led to great uncertainty and investment reticence. This was accompanied by the depreciation of the US dollar, which had a negative impact not only on trading decisions, but also on the earnings of companies reported in euros.

The atrocities of the wars in Ukraine and the Middle East shocked us profoundly. In 2025, the struggle for peace led to ruptures in long-established alliances. Geopolitical power shifts and an uncertain Europe posed major challenges for global corporations.

In response to these developments, KSB leveraged its strengths and pulled together even closer as a team.

Global positioning

One hundred years ago, KSB founded its first subsidiary abroad in Italy. This milestone was followed by the establishment of many more companies – a process of internationalisation that provided a strong foundation for the Group's success today. In 2021, the new organisational structure introduced through Climb 21 ensured that a market-oriented approach is firmly anchored in our corporate structure. Since then, three Segments – including the Pump Segment, which covers six Markets – have been working closely together with nine Regions in a matrix organisation across national borders, enabling us to be close to our customers while continuously developing new business areas.

KSB's global presence comprises a close-knit network of sales, production and service. Today, 37 production plants located worldwide ensure short delivery times.

In times of growing trade barriers, a regional focus and local value creation are real strengths. The first section of this Annual Report is therefore dedicated to these aspects.

Sales and after-sales

Customer centricity as a driver of growth was and is an important part of our corporate focus. We intend to further expand sales of our pumps and valves by implementing a range of measures, focusing on the standard business as well as the important OEM business. This is because original equipment manufacturers who integrate pumps into their own systems and then sell them on have special requirements.

In many countries, distributors are an important sales channel for standard products. Expanding our distributor network is therefore a high priority, as is an attractive product range to support their sales activities.

Once a pump is in operation, KSB SupremeServ offers an extensive portfolio of services, for example system maintenance and monitoring. Quality-assured original spare parts from KSB are used for these services. This key business area for customer satisfaction remains an important strategic lever, which we also focused on systematically in 2025.

The aim is for KSB SupremeServ to grow further by expanding its activities in all Market Areas and Regions. This will be supported by faster order processing times and spare parts manufacturing as well as through the continuous professional development of all service experts in our ten KSB SupremeServ academies.

Software transformation

One of the largest projects in the company's recent history is the global software migration to SAP S/4HANA, with which we are also harmonising and standardising our core processes. Over the course of the financial year, around 1,000 employees were involved in preparing for the global roll-out, which is scheduled to take place at the beginning of 2027.

Capital Market Day

In September, KSB welcomed around 40 investors and analysts to the second Capital Market Day in Frankenthal. Valuable insights were provided by international managers from the Market Areas, Regions and KSB SupremeServ. Investor confidence was also reflected in the share price. In the financial year, it broke through the EUR 1,000 barrier for the first time. This is another achievement that we can look back on with pride.

Investments

KSB once again increased its investment volume to stabilise the growth it has generated in recent years and create further value for shareholders. At around 180 million euros, the 2025 investment budget was one of the highest in the company's history.

Outlook

In view of the global political upheavals, we expect the general conditions to remain difficult in the new financial year, for example due to armed conflicts, trade barriers, economic downturns and negative currency translation effects.

Our success story over the last few years shows that KSB is resiliently positioned thanks to its business focus areas, product portfolio and organisational structure. Declines in certain areas can be compensated with growth in others. We will continue to consistently pursue our strategy of achieving a double-digit return on sales by 2030. In this way, we will once again generate substantial value for our shareholders, employees and business partners in the 2026 financial year.



Dr. Stephan Timmermann, CEO

Report of the Supervisory Board



Dr. Bernd Flohr (Chairman of the Supervisory Board)

KSB successfully continued its growth path of previous years in the 2025 financial year ("reporting year"), with order intake, sales revenue and earnings once again reaching record figures. Sales revenue also exceeded the 3 billion euro threshold for the first time in 2025 – a milestone already surpassed by order intake in 2024. Given the economic conditions, this is a very pleasing achievement. In many customer industries, development was subdued in 2025 and there was a lack of growth impetus. This was particularly the case with the stagnating German economy. The export business, which is traditionally strong in the German mechanical engineering industry, is increasingly suffering from trade disruptions and geopolitical upheavals. In addition, the economy has weakened, including outside KSB's core European market, for example in the major markets of China and the USA. The fact that KSB was nevertheless able to increase its order intake, sales revenue and earnings is once again proof of the company's high level of resilience, which is largely due to its broad geographical positioning and wide range of customer industries, compensating for weak business development in individual regions or branches of industry. The consistent implementation of the Mission TEN30 strategy adopted in 2023, which defines growth measures for the Pumps, Valves and KSB SupremeServ Segments in all markets relevant for KSB, also played a major role in this success. In addition, strategic projects to improve internal processes will support the company's operative development in the long term. Management is working with great commitment to further strengthen the future viability and competitiveness of the company in an increasingly challenging environment. The Supervisory Board will continue to liaise closely with Management to this end in future.

Throughout the reporting year, the Supervisory Board performed its duties as set out by law, the Articles of Association and the Rules of Procedure with utmost diligence as required. It advised the general partner, KSB Management SE, acting through its Managing Directors, on corporate management issues and monitored its work. The Managing Directors informed the Supervisory Board about current developments, including but not limited to the company's business, financial and staffing situation, planned investments, corporate planning and strategy via written and oral reports prepared regularly and on an ad hoc basis in a comprehensive and timely manner.

The Supervisory Board discussed business transactions of significance to the company in depth on the basis of reports submitted by the Managing Directors. Any departures in business developments from the plans and targets were questioned and commented on in detail by the Managing Directors. The Supervisory Board also dealt with risk situations, risk management and compliance. Beyond the intensive work in plenary sessions and in the committees, the Chairman of the Supervisory Board in particular and other members of the Supervisory Board were in constant contact with the Managing Directors between scheduled meetings. There was an

ongoing exchange of information with the Administrative Board of KSB Management SE, including but not limited to its Chairman, on current business developments and on material transactions, as well as on questions of strategy and planning. The Chairman of the Administrative Board also participated regularly in the Supervisory Board meetings, while the Chairman of the Supervisory Board and his deputy were guests of the Administrative Board on selected issues. The Supervisory Board also convened regularly in the absence of the Management.

The company continued to support the members of the Supervisory Board in their training measures during the reporting year, providing them with regular information about the rights, obligations and practice of the Supervisory Board. As part of the onboarding process, new members of the Supervisory Board are quickly familiarised with relevant company topics through initial discussions with committee members and managers responsible for functional areas.

Main Focus of Work in the Supervisory Board Plenary Sessions

In the 2025 financial year, the Supervisory Board held five regular meetings and one extraordinary meeting. The regular meetings were all held in person, with four of the meetings being attended via video conference by one of the Supervisory Board members. Six Supervisory Board members took part in the extraordinary meeting, which was convened at short notice, via video conference.

Key subjects of all regular Supervisory Board meetings were the performance of the company and the KSB Group, primarily with regard to their business and financial situation, measures for securing future business development, major investment projects and risk management topics.

Regular consultations with the Managing Directors on the business development included the analysis of developments in the Pumps, Valves and KSB SupremeServ Segments as well as in the individual Markets and Regions. Suitable measures to improve results of operations were discussed, as were the growth initiatives presented by the Managing Directors.

The Managing Directors also provided regular information on the development of ongoing major investments in our production facilities at various sites. Due to its significant importance for the Frankenthal location and beyond, the new building for the manufacturing of ETA pumps was on the agenda at every regular meeting. The planning for the manufacturing strategy and the general planning for the first construction phase have largely been completed. The groundbreaking ceremony is scheduled for the second quarter of 2026. Another major investment regularly discussed by the Supervisory Board is the building work at the Lille plant in France. After the energy efficiency measures and structural work had largely been completed, the official full re-opening took place in October 2025 – at the same time as the market launch of the new AmarexPro pump generation which is manufactured there. In North America, the expansion of the plant in Richmond is at an advanced stage The new production and assembly areas as well as the additional warehouse capacity will contribute to the progressive increase of KSB's market share in the large US pump and valve market. The Supervisory Board also received regular reports on the progress of the work.

Another important topic on the agenda at almost all meetings was the transition to SAP S/4HANA. In addition to current information on project progress, the Managing Directors provided information on the implementation concept which was adjusted in 2025 and now foresees the simultaneous roll-out of essential functionalities in all companies concerned. They also reported regularly on its timeline, costs and challenges.

The following key topics were discussed at the individual Supervisory Board meetings:

In February 2025, the Supervisory Board held an extraordinary meeting to discuss the 2025 budget, medium-term planning and investment planning, taking into account the provisional figures for the 2024 annual financial statements. The Supervisory Board received detailed reports on the corresponding goals, notably on order intake, sales revenue and earnings. Particular emphasis was placed on discussing the investment budget; this is largely earmarked for the extension of production capacities in strategically important markets and the modernisation of locations.

The meeting in March 2025 particularly addressed the audit and approval of the annual financial statements for the 2024 financial year, including the combined management report and the combined separate non-financial report for the company and the KSB Group in accordance with Sections 315b, 315c in conjunction with Sections 289c to 289e HGB [*Handelsgesetzbuch* – German Commercial Code]; the auditors also explained the key audit areas and results. The Chairman of the Audit Committee gave a detailed account of the audit carried out on accounting processes for the period. The Supervisory Board agreed to the proposal on the appropriation of the net retained earnings presented by the general partner for the 2024 financial year. It also approved the remuneration report pursuant to Section 162 AktG [*Aktiengesetz* – German Public Companies Act] for the 2024 financial year. At this meeting, the Supervisory Board also discussed business development at KSB's largest French plant in La Roche-Chalais. A report on the use and potential of AI as well as the related training of employees was also on the agenda. The Managing Directors showed examples of how AI is used in internal processes, customer interfaces and in the area of knowledge management.

In May, the Supervisory Board extensively discussed the service company KSB Tech Pvt. Ltd. in India, which was founded around 20 years ago and initially focused on engineering services but now also offers IT and SAP support as well as technical support for KSB SupremeServ. This highly successful company is established as a service provider within the Group and is the preferred partner for many companies, particularly in Europe, India and China. At this meeting, the Supervisory Board also received a report on developments in Global Procurement, which handles an annual volume of well over one billion euros. The objectives of further consolidating procurement requirements across plants and national borders as well as more intensive, early involvement of Procurement in project costing and development processes were also outlined.

At the meeting in July, the Supervisory Board discussed business development in the Region Europe United, in which KSB groups together 32 European countries beyond the core countries in the Regions Central Europe and Western Europe. In addition to a production plant, the Region also has sales and service companies. The largest companies are based in Italy, Finland and Sweden. Another key topic at this meeting was the development of the General Industry Market. In addition to order intake by Region, which grew particularly strongly in China in 2025, the trends in individual industries and the potential of new applications were discussed. The agenda also included a status report on the measures for implementing the Mission TEN30 strategy; the growth plan and targets were all confirmed.

The Supervisory Board convened at the Bremen location in September. The plant there mainly produces spare parts and is regarded as an innovation leader for special solutions, for example for tubular casing pumps. An important prerequisite for this is the high level of experience and expertise of the workforce, particularly in the core areas of machining. A key focus of the meeting was on analysing the energy market business. Due to the changes in energy generation, the fossil-fuelled power plant business is increasingly shifting towards the supply of replacement parts for existing fossil-fuelled power plants, the construction of highly efficient new power plants in Asia and gas-fired power plants in the USA. In the nuclear sector, the focus is increasingly on small and medium-sized Generation 3+ reactors. At this meeting, the Supervisory Board furthermore discussed the business development of the subsidiary KSB KAGEMA GmbH, which builds and maintains pump sets and control cabinets for fire protection systems.

At the December meeting, the Supervisory Board discussed the 2026 budget planning in detail as well as the medium-term planning for subsequent years and the investment planning. The targets for order intake, sales revenue and earnings were extensively discussed, as was the planned investment volume. Another key topic was the development of KSB SupremeServ. The spare parts and service business this encompasses is an important pillar of KSB's earning capacity and is to be successively developed further. Measures include the further expansion of the global service network in order to be even closer to customers and react flexibly and swiftly to market requirements. Developments in the companies located in the Region Middle East / Africa were also discussed. In this market, business developed positively at an above-average rate, boosted by the economic momentum of individual countries. By far the largest order volume in the Region comes from the water market, where business is growing more strongly than in other markets. At this meeting, the Supervisory Board also discussed the results of the self-evaluation conducted in 2025. The focus of the evaluation was on the quality of the supply of information to the Supervisory Board, particularly by Management, and internal opinion-forming and decision-making. The results confirmed efficient cooperation based on mutual trust and did not indicate any fundamental need for improvement.

Main Focus of Work in the Committees

In order to enable it to fulfil its duties efficiently, the Supervisory Board again worked with four committees during the reporting year. These prepared the Supervisory Board's resolutions and the special topics to be discussed in the plenary sessions. In addition, they made their own decisions within the scope of their authorities. This allocation has proved worthwhile in practice. The Chairs of the committees regularly and comprehensively reported in the plenary sessions on the content and results of the work carried out in the committees.

Supervisory Board Committees

and their Chairs, as well as number of meetings in the reporting year

Corporate Development Committee
Chair: Klaus Kühborth
No. of meetings: 5

Personnel Committee
Chair: Dr. Bernd Flohr
No. of meetings: 2

Nomination Committee
Members:
Dr. Bernd Flohr, Klaus Kühborth
No. of meetings: 2

Audit Committee
Chair: Klaus Burchards
(Until 05/2025)
Matthias Bikowski (From 05/2025)
No. of meetings: 5

Attendance at meetings

	Supervisory Board	Nomination Committee	Corporate Development Committee	Personnel Committee	Audit Committee
Dr. Bernd Flohr	6 / 6	2 / 2		2 / 2	5 / 5
Claudia Augustin	5 / 6			2 / 2	
Matthias Bikowski (from May 2025)	3 / 6				3 / 5
Klaus Burchards (until May 2025)	3 / 6				2 / 5
Arturo Esquinca	6 / 6		5 / 5		
René Klotz	6 / 6				
Klaus Kühborth	6 / 6	2 / 2	5 / 5		
Birgit Mohme	5 / 6			1 / 2	
Thomas Pabst	6 / 6		5 / 5		
Prof. Dr. Corinna Salander	6 / 6		5 / 5		
Harald Schöberl	6 / 6		5 / 5		5 / 5
Gabriele Sommer	5 / 6			2 / 2	
Stefan Winnerlein	6 / 6		5 / 5		

The **Audit Committee** held five in-person meetings in the reporting year. It discussed the 2024 annual and consolidated financial statements and the relevant audit reports submitted by the auditors. The combined separate non-financial report and remuneration report pursuant to Section 162 AktG were also discussed in detail. The committee meetings were generally attended by individual Managing Directors and the managers of the relevant specialist departments, as well as, on multiple occasions, the auditors. The Audit Committee, in particular its Chairman, regularly exchanged ideas with the auditors in preparatory meetings, without participation of the Managing Directors. The committee prepared the independent examination by the Supervisory Board of the financial statements, the combined management reports and the proposal on profit appropriation. In addition, the Audit Committee recommended that the Supervisory Board propose to the Annual General Meeting that KPMG AG Wirtschaftsprüfungsgesellschaft, based in Berlin with an office in Stuttgart, be appointed as auditors for the 2025 financial year. The proposal takes into account the required external rotation of the auditors from the 2025 financial year and corresponds to the result of the selection process previously conducted with the involvement of the Audit Committee. The committee also defined the key audit areas for 2025 together with the auditors. It obtained the declaration of independence by the auditors and monitored the auditors' independence and performance of non-audit services. The committee also reviewed the quality of the annual financial statements on the basis of previously defined criteria.

In addition, the committee focused on reviewing accounting, monitoring the accounting process, the effectiveness of the internal control system, the risk management system and the internal audit system, as well as the auditing of the annual financial statements and compliance. In this context, it also debated the half-year financial report with the Managing Directors. In several meetings, it dealt with the preparation of sustainability reporting in accordance with the EU Corporate Sustainability Reporting Directive (CSRD (EU) 2022/2464 of 14 December 2022 as amended by Directive (EU) 2025/794). The committee discussed the main points of the report with the individuals responsible as per the double materiality principle as well as the collection of the necessary key indicators. It also focused regularly on the Internal Audits reports. The committee furthermore discussed the development of the Group's tax rate and other tax-related issues. The organisation and key tasks of the Treasury department were also discussed. Further topics dealt with by the committee included the development of cost structures at the Group's parent company KSB SE & Co. KGaA and the analysis of its interest in the Indian subsidiary KSB Limited. In connection with the SAP S/4HANA transformation project, the Audit Committee considered the costs incurred and the possibilities of allocating them within the Group according to origin.

The **Personnel Committee** convened twice in the reporting year, with one meeting held in person and the other as a video conference. The committee focuses on subjects and challenges relating to Human Resources activities within the Group. It also decides in particular on the conducting of transactions for which the Supervisory Board has been appointed to represent the company pursuant to Section 112 AktG, as well as on matters relating to the remuneration of the Supervisory Board members. In the reporting year, the committee was involved at an early stage in the Administrative Board's decision-making process regarding the renewed extension of the term of office of the Managing Directors Ralf Kannefass, Dr. Matthias Schmitz and Dr. Stephan Timmermann. It approved the extensions made in December. The committee furthermore received reports on possible ways to optimise management structures and costs at KSB SE & Co. KGaA. It also discussed the possible refurbishment of the KSB Klingbachhof holiday retreat.

The **Corporate Development Committee** deals with strategic issues, particularly in the fields of technology and production. It also advises on the planning process and on parameters for drawing up the budget. The committee convened five times in the reporting year. At two meetings, one or two committee members attended via video conference. Guests and speakers also sometimes attended via video conference. One of the topics discussed was the newly introduced investment tool Agimendo, which is used to record and track investment projects across the Group. Another topic on the committee's agenda was KSB's localisation strategy, which defines the criteria according to which products are localised within the KSB

manufacturing network. The committee also received a report on the progress made in digitalisation. Digital applications in the factories (so-called use cases) which will help speed up processes and reduce costs were explained. Progress in the development of digital products and services was also explained in detail. A further topic was sector coupling as part of the energy transition and the structural change in the heating network market.

The **Nomination Committee** recommends to the Supervisory Board suitable candidates for election as Supervisory Board members, whom the Supervisory Board then proposes to the Annual General Meeting. In looking for and evaluating suitable candidates with the requisite expertise and experience of the industry, long-term succession planning is a key factor. The committee held two in-person meetings in the reporting year.

Corporate Governance and Statement of Compliance

The Supervisory Board continuously monitored developments in corporate governance standards throughout the reporting year. The general partner, acting through its Managing Directors, and the Supervisory Board reported on the Company's corporate governance as part of the Corporate Governance Statement pursuant to Sections 289f (2 and 3) and 315d HGB. On 10 December 2025 they issued a joint updated statement of compliance in accordance with Section 161 AktG and made it permanently available to shareholders on the company's web site. The company complies with the German Corporate Governance Code's recommendations subject to a few justified exceptions. In the reporting period, no conflicts of interest arose involving members of the Supervisory Board that would have been subject to disclosure in the report of the Supervisory Board.

Audit of the 2025 Annual and Consolidated Financial Statements

The Supervisory Board examined the annual financial statements of KSB SE & Co. KGaA for the year ended 31 December 2025, which were prepared in accordance with the provisions of the *Handelsgesetzbuch* (HGB), as well as the consolidated financial statements and the combined management report for both financial statements for the year ended 31 December 2025, which were prepared in accordance with the International Financial Reporting Standards (IFRSs), and the proposal by the general partner on the appropriation of net retained earnings. The Supervisory Board also examined the 2025 Group Sustainability Statement.

KPMG AG, Wirtschaftsprüfungsgesellschaft, based in Berlin with an office in Stuttgart, audited the annual financial statements of KSB SE & Co. KGaA for the year ended 31 December 2025, as well as the consolidated financial statements and the combined management report for the company and the Group for the year ended 31 December 2025, and issued an unqualified opinion. The key audit areas agreed with the Audit Committee for the annual and consolidated financial statements for the reporting year included the recognition of sales revenue over time and the impairment testing of interests in affiliates. Further key audit areas covered the recognition of sales revenue in the period in which it is earned and the impairment testing of goodwill and non-current assets. A limited assurance engagement was performed on the information in the Group Sustainability Statement. The auditors reported on their findings both orally and in writing.

The accounting documentation, the proposal by the general partner on the appropriation of the net retained earnings, the Group Sustainability Statement and the audit reports submitted by the auditors were provided in good time to all members of the Supervisory Board. They were discussed in detail by the Audit Committee on 4 and on 12 March 2026, as well as in the Supervisory Board plenary session on 24 March 2026, and explained in depth by the Managing Directors of the general partner. The auditors attended the meetings of both bodies, reported on the findings of the audit and were available to provide additional information.

The Supervisory Board concurs with the auditors' findings. Following the final result of the examination by the Audit Committee and its own review, the Supervisory Board raised no objections to the annual financial statements, consolidated financial statements, combined management report and Group Sustainability Statement. In accordance with the recommendation of the Audit Committee, the Supervisory Board approves the financial statements prepared by the general partner. The proposal of the general partner on the appropriation of the net retained earnings of KSB SE & Co. KGaA, and in particular the distribution of a dividend to EUR 26.50 per ordinary no-par-value share and EUR 26.76 per preference no-par-value share, is deemed to be appropriate by the Supervisory Board in accordance with its own review; it concurs with it.

Changes to the Supervisory Board

With effect from the close of the Annual General Meeting on 8 May 2025, Klaus Burchards stepped down from the Supervisory Board after serving for the regular term. The Annual General Meeting elected Matthias Bikowski as a new member of the Supervisory Board. Prior to this, Stefan Winnerlein, First Delegate and Treasurer as well as Managing Director of IG Metall Ostoberfranken, joined the Supervisory Board as Volker Seidel's successor on 1 January 2025.

The Supervisory Board would like to thank the departing members of the Supervisory Board for their many years of dedicated work on the Supervisory Board and their contribution to the success of the company.

The composition of the committees changed on 8 May 2025 with the election of Matthias Bikowski as a member and Chair of the Audit Committee. Prior to this, Birgit Mohme moved to the Personnel Committee and René Klotz to the Audit Committee due to the change regarding the employee representatives at the beginning of the year. Since then, Harald Schöberl and Stefan Winnerlein have been members of the Corporate Development Committee.

The Supervisory Board would like to thank the Managing Directors and the Administrative Board of the general partner, as well as the employees and employee representatives of all Group companies for their constructive and committed work during the past financial year.

Frankenthal, 24 March 2026

The Supervisory Board

A Look Back at 2025

Q1

For the tallest tower in Africa

Pressure booster systems from Alphen in the Netherlands and sprinkler pump sets from Zarautz in Spain are supplied by KSB for the construction of the tallest tower in Africa, the Tour F, in Abidjan, Ivory Coast. With a height of 400 metres, 72 floors and a symmetrical geometry reminiscent of an African mask, it is an impressive structure.





KSB at ISH

In Beijing and Frankfurt, KSB presents its innovative solutions and products for building services at ISH, the world's leading trade fair for heating, ventilation and air-conditioning. The KSB trade fair stand showcases Ki-Pump Sentinel, an advanced maintenance solution, and the KSB System Efficiency Service, which offers solutions to improve the energy efficiency of industrial pump systems and reduce their carbon footprint.

Read more



Clean water for Basra

KSB supplies 120 pumps to help provide almost four million people in the southern Iraqi port city of Basra and the surrounding area with clean drinking water. Poor water quality has been causing health crises for the population for the last 30 years. The KSB pumps will be used to refurbish waterworks and expand the supply network.

Q2



Technical excellence proven

At the KSB foundry in Vambori, India, metallurgical experts and engineers develop a pump casing made from white cast iron for mining pumps. White cast iron is a preferred material in mining due to its exceptional wear resistance. The massive and intricate casting posed significant process-related challenges, but the team rose to the occasion to achieve this feat of engineering!



Regional ties

KSB takes on the role of main sponsor for the 50th anniversary of the traditional Strohhutfest (Straw Hat Festival) in Frankenthal, having sponsored the largest street festival in the Palatinate for many years. As a special highlight, the popular festival race is held under a new name. Organised as the KSB-Strohhutfestlauf, it is a testimony to the company's regional ties and the good partnership with the city of Frankenthal that has existed for decades.

Investment in heat pump partnership



By acquiring an interest of almost 20 percent in ecop, an Austrian developer of industrial heat pumps, KSB is expanding its energy business and securing access to the growing market for large heat pumps for thermal outputs of between 500 kilowatts and 10 megawatts. For KSB, this partnership is a strategic step towards the decarbonised generation and storage of thermal energy.

Read more

For Africa's largest pumped storage power plant

KSB South Africa secures a major order to supply replacement pumps with motors for the Ingula pumped storage power station in the east of the country. The pumped storage power plant is the largest in Africa and plays a key role in stabilising the South African power grid at peak load times. It has an output of more than 1,300 megawatts and an energy storage capacity of 21,000 megawatt hours.



100 years of KSB Italy

KSB Italia S.p.A. celebrates its centenary with more than 100 guests and around 500 employees and family members at the Concorezzo plant near Milan and two further events at the service locations in Sardinia and Taranto. Società Italiana Pompe Klein, as the company was originally called, was KSB's first subsidiary outside Germany. Today, KSB Italia is a central pillar in the Italian market for pumps and valves.



Q3

Highly versatile

KSB launches AmaCan P – a new generation of submersible motor pumps with axial propellers. The product is designed to transport large volumes of municipal and industrial water as well as waste water from stormwater, drainage and irrigation pumping stations. Thanks to the materials used, the pump can also be used for water pollution and flood control as well as in aquaculture applications run with seawater.



Read more

Celebration for three anniversaries

KSB Belgium celebrates three anniversaries at once with a party for employees, their families, business partners and customers: 100 years of KSB in Belgium, 50 years of the Wavre location and 25 years of KSB Service in Belgium. The event is held in particular as a sign of appreciation to employees for their commitment.

Top rank for KSB vocational training!

KSB's vocational training programme once again secures a top-ranking position. The Institute of Research and Data Aggregation conducts an annual meta-analysis deemed to be the most comprehensive study on employer and training quality. According to the study, KSB is again among the exclusive circle of the "Top 1 %" of German training companies across all industries and nationwide in 2025.



Pumping station with a big impact

A further corporate responsibility initiative from KSB provides 150 households in the Kenyan settlement of Ndula near Nairobi with access to clean water. As part of the Ndula Clean Water Project, KSB Kenya donates a pumping station to improve the quality of life of local people.



Promoting sport and inclusion



KSB sponsors the Special Olympics in Halle, Germany, and provides four employees to help out during the event. More than 550 athletes with intellectual and multiple disabilities compete for medals and personal success in ten sports disciplines with great passion and impressive performances. This sponsorship also demonstrates KSB's social commitment to giving something back to society as a successful company.



KSB Training at the Federal President's Citizens' Festival

Four representatives of KSB's vocational training department take up the invitation to attend Federal President Frank-Walter Steinmeier's Citizens' Festival in the garden of Bellevue Palace. In the pavilion of the Palatinate Metal and Electrical Industry Association, the four KSB representatives answer questions from festival visitors and present the future-oriented and multi-award-winning vocational training programme with a focus on digitalisation and additive manufacturing.

Q4

KSB Australia on course for growth

KSB Australia Pty Ltd responds to the rising demand in waste water applications by expanding its location in Bundamba, Queensland. The new buildings offer greater warehouse capacity for water and waste water products, which will shorten delivery times and increase the reliability of supply for customers. The expansion of the site in Western Australia is also already being planned.



Read more

20 years of KSB Valves China

At the Changzhou factory, employees, representatives of the city and KSB Management celebrate the 20th anniversary of KSB Valves China. The "Local for Local" strategy of the valves plant aims to fully leverage the benefits of localisation and make the plant a key strategic location that will lead the global transformation of valve technology and its market development.





Visit from the Minister President

Alexander Schweitzer, Minister President of Rhineland-Palatinate, visits the Frankenthal location to find out about vocational training, professional development and digitalisation activities. A tour of the training workshop shows that in addition to teaching technical skills, social behaviour plays an important role in vocational training. The KSB SupremeServ Academy and the activities of the Global Learning Center are also focal points of the visit.

German Vice-Chancellor at KSB South Africa

During the G20 summit in Johannesburg, South Africa, Vice-Chancellor Lars Klingbeil visits the local KSB plant. The visit is part of a comprehensive initiative to get to know German industrial companies in South Africa and to find out how they can operate successfully on the African continent. The local managing director highlights KSB's global presence and expertise and underlines its role as a leading company in the region.

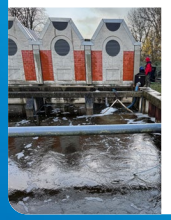


Top performers

Once again, two trainees are honoured by the Chamber of Industry and Commerce for the Palatinate for achieving the best grades in the Chamber's examinations. A digitalisation management assistant and a cutting machine operator completed their training with the highest possible grades. Their performance is further proof that KSB's outstanding vocational training, which has already won multiple awards, is bearing fruit for young people and for the continued success of KSB.

For sustainable pump technology

By developing a fish-friendly pump for use in low-lift pumping stations, KSB makes an important contribution to sustainable water management. After more than five years in development, the KSB product is ready for the market. The team effort from Bremen, Frankenthal and Pegnitz is KSB's response to growing demand for replacement pumps with fish-friendly hydraulic systems for use in low-lift pumping stations.



Insights for Africa



As part of the G20 summit in South Africa, German Chancellor Friedrich Merz meets leading representatives of German industry in the region, including KSB. The round table initiated by the Association of German Chambers of Industry and Commerce provides the opportunity to discuss economic cooperation and strategic priorities of German companies on the African continent.



Global network, local presence

All over the world, around 17,000 people at KSB are committed to providing “Solutions. For Life”. Whether they work in Production, Sales or Service, KSB employees are united by a global team spirit and a real passion for making a positive difference together.



United

What counts is teamwork.

Lisa Miriani, Italy



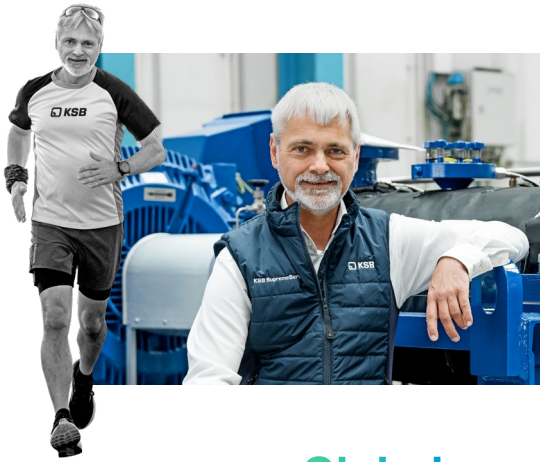
Proud

Energy from the first metre to the finish line!

Courtney Kirby, USA

The company's success is the result of a strong, global corporate culture. KSB invests in modern workplaces, continuous professional development and international knowledge exchange, creating an environment for collaboration and innovation that transcends national borders. This approach is supported by managers with an entrepreneurial spirit who think and act in a market-oriented and regionally responsible manner, enabling global synergies and local strength.

KSB regularly measures employee engagement in order to continuously develop its corporate culture. In the most recent global survey in 2024, the company achieved a new record with an engagement score of 77 percent and a participation rate of 91 percent.



Strong

Moving forward together, step by step.

Jochen Kastner, Germany

People make the difference

Global

New country, new project – at KSB I am a global traveller.

Ahmed Afeen, Pakistan



KSB strives to be an attractive employer. The company's employees relish the opportunity to collaborate and develop solutions for customers' challenges. They see KSB as a strong and reliable employer that offers them global opportunities. People are proud to be part of KSB.

Meet the people at KSB:

#WeAreKSB

Production

Global champion and domestic manufacturer

KSB is a global company with an extensive worldwide production network. In many countries, the company is regarded as a domestic producer and employer. The locations presented here are examples of KSB's high-performance production network. Etanorm is symbolic of the company's globally networked production – KSB manufactures this pump type series to identical designs at eight plants on three continents.



18
countries are home to KSB production locations.

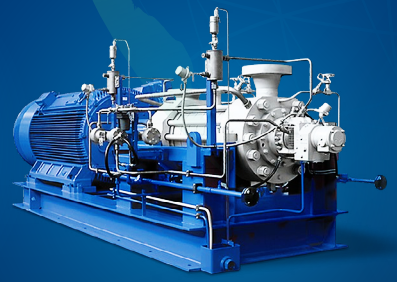
37
production locations worldwide

At home everywhere – KSB worldwide

Today, KSB products are in operation in almost every corner of the world. And the company can be proud that it is thanks to decades of expansion that KSB products are installed in customers' plants all around the globe. Since customers expect the fastest possible delivery of pumps, valves and spare parts, KSB has established a network of production locations close to its most important markets.



KSB produces the efficient pumps of the Omega type series at locations in Brazil, Germany, China, South Africa, India and Saudi Arabia.



Power station pumps of the HG type series are produced in Germany, China and India.



KSB manufactures Etanorm pumps in Germany, China, Turkey, India, Indonesia, Pakistan, Saudi Arabia and South Africa.



With an inside diameter of up to four metres, Mammouth butterfly valves are one of the largest series-produced valves in the world. They are manufactured in Spain and China.

KSB pumps and valves are manufactured on different continents, but always in the same high quality.



Assembly of an Omega pump at the Várzea Paulista site



Várzea Paulista plant, Brazil

The Várzea Paulista plant in Brazil is one of the Group's largest production facilities outside Europe and is a key part of the Global Manufacturing Network. It primarily manufactures centrifugal pumps, valves and complete systems for water management, industry, and the chemicals and petrochemicals sector. The location is also an important export hub for markets in North and South America.

Global presence and strength

KSB stands for top-quality pumps and valves all over the world, supported by a highly efficient Global Manufacturing Network. This network guarantees proximity to the markets, fast supply chains and the highest level of manufacturing expertise, delivering solutions that create trust worldwide.

Strategic locations in growth markets

In Brazil, the economic engine of Latin America, KSB supports key industries such as oil and gas, chemicals, mining and water management. The plant in Várzea Paulista produces the Omega type series, among others, and supplies products not only for the Brazilian market, but also for Germany, the USA, Mexico and Australia.

In South Africa, the industrial centre of Africa, KSB produces over 6,000 Etanorm pumps a year at its plant near Johannesburg and functions as a strategic hub for the entire continent.

9

type series are produced to identical designs by KSB at 14 plants on 4 continents.



Shirwal plant, India

One of KSB's most modern production facilities for high-performance and nuclear pumps is the Shirwal plant in India. Providing key technologies for energy and infrastructure projects, it strengthens the country's industrial base. The plant covers over 50 percent of its own energy requirements with a solar energy system and in the buildings daylight and evaporative cooling are used. Thanks to these measures, its carbon emissions are significantly reduced.



The final assembly line for HG pumps at KSB's Shirwal plant



Germiston plant, South Africa

KSB operates an important plant on the African continent in Germiston, near Johannesburg. Around 320 employees manufacture pumps for the water supply, industry and mining sectors. The location is part of KSB South Africa's nationwide network, which maintains modern production facilities with comprehensive service, spare parts supply and after-sales services.



Germiston: A KSB employee mounts an Etanorm pump on a baseplate.



Butterfly valves from Changzhou are prepared for transport to construction sites.



Changzhou plant, China

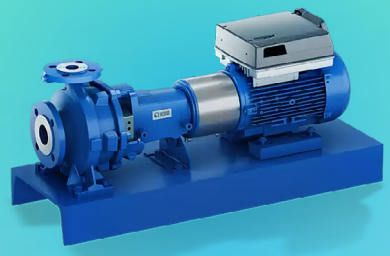
The Changzhou plant plays a key role in KSB's global valve business, serving as a base for the localisation of products and services. Since 2011, employees at the plant have been producing a wide range of valve designs for different applications and operating conditions.

Competence centres for Asia

As the world's second largest economy, China is a central pillar in KSB's Global Manufacturing Network with five production locations. The Changzhou plant operates as a competence centre for valves, producing products such as the Mammouth type series, which is available with inside diameters of up to four metres.

In India, one of the most dynamic economies in Asia, KSB is setting the benchmark with seven ultra-modern plants. The Shirwal plant near Pune manufactures high-performance pumps such as the HG type series for power station applications and strengthens the supply chain for the Indian market as well as exports to Asia.

A global icon



Iconic: The world's most successful standardised water pump. The Etanorm type series is manufactured to the same quality standards at all plants worldwide and is symbolic of KSB's global network.

1935

KSB launches the Eta type series.

>2.7 million

units sold to date.



"We work very closely together with the Leading Application Center and the local companies. By collaborating in a spirit of mutual trust, we are able to serve global customers efficiently and in line with their needs."

David Lauer, Global Sales Nuclear Energy, Germany

Sales

Strong network ensures KSB is close to customers

The sales network is a key part of KSB's growth strategy, supporting the company's aim of being present wherever its customers are. Sales staff in the Regions work closely with experts in the central Market Areas and production locations, ensuring that KSB's products and services are available everywhere – quickly, reliably and close to the customer.

27 %

of KSB's workforce – around 4,500 people – work in Sales worldwide.

In 2025, Sales not only reacted to changes, but actively shaped them. In an environment characterised by geopolitical tensions and increasing efficiency requirements, the sales teams demonstrated great dynamism, customer focus and innovative strength. The result: a strengthened market position, new energy in important segments and a clear course for the future.

Even closer to the customer – and to the right solutions

Thanks to extended consulting and training programmes, sales teams can understand technical challenges more quickly and develop suitable solutions at an early stage. Close collaboration with Engineering and Service has proven to be a real success factor, resulting in more precise quotations, shorter project lead times and more efficient implementation of complex systems.





Success knows no borders – international collaboration in Sales connects markets, people and opportunities.

"KSB's Sales team is clearly on the right track: customer-oriented, with excellent teamwork and strong commitment across all departments."

Marta Barto, Sales KSB ITUR Spain

"German technology is trusted around the world. Efficient solutions for the water, energy and industrial sectors, supported by strong research and development, are key."

Akash Katakdhond, Deputy Head of Technical Sales Support Building Services, KSB Limited, India

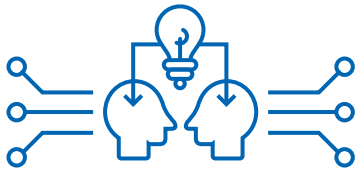
>100

is the number of companies with which KSB is represented worldwide – a large proportion of which are Sales companies.

Energy-efficient, robust and digitally networked pump and valve solutions were particularly in demand. KSB stood out from the competition with its extensive portfolio, detailed application knowledge and the ability to reliably support even the most challenging projects.

International collaboration in Sales

As part of an international exchange programme, Akash Katakdhond from India spent three months in the Building Services Market Area. He spent most of the time working in the Leading Application Center (LAC) in Pegnitz, where he had the opportunity to learn about the working methods, processes and production locations first hand. In Frankenthal



The Leading Application Centers (LAC) consolidate KSB's application-specific know-how as global competence centres. Experts coordinate international projects and offer technical support for quotations, engineering services and customised solutions for complex applications worldwide.

and Alphen in the Netherlands, he was also able to gain a comprehensive picture of the production and sales structures. This direct collaboration has contributed significantly to a deeper mutual understanding and created the basis for closer cooperation in the long term.

"Jennifer provided me with excellent support. Since returning to India, I still continue to receive valuable input for the future. The challenge is to adapt European standards to the requirements of the Indian market and match customers' expectations with advanced technology offerings," reports Katakdhond.

Challenges overcome

Felix Gnade from the LAC Petrochemicals / Chemicals is particularly proud about a recent project: At Moeve in the La Rábida energy park in Huelva, Spain, "green" kerosene is produced from edible fats and oils. The challenges were the short delivery time and the order-specific adaptation of products and processes to the customer's requirements. Thanks to the efforts of everyone involved, KSB delivered in every respect.



"Ensuring satisfied customers means plants operating at full capacity and satisfied employees."

Felix Gnade, LAC Petrochemicals / Chemicals, Germany

"Success knows no borders – international collaboration in Sales connects markets, people and opportunities."

Jennifer Hösch, LAC Building Services, Germany





Six spare parts warehouses supply original spare parts from KSB within the shortest possible time.

3,500
service specialists

190
service centres

6
spare parts warehouses

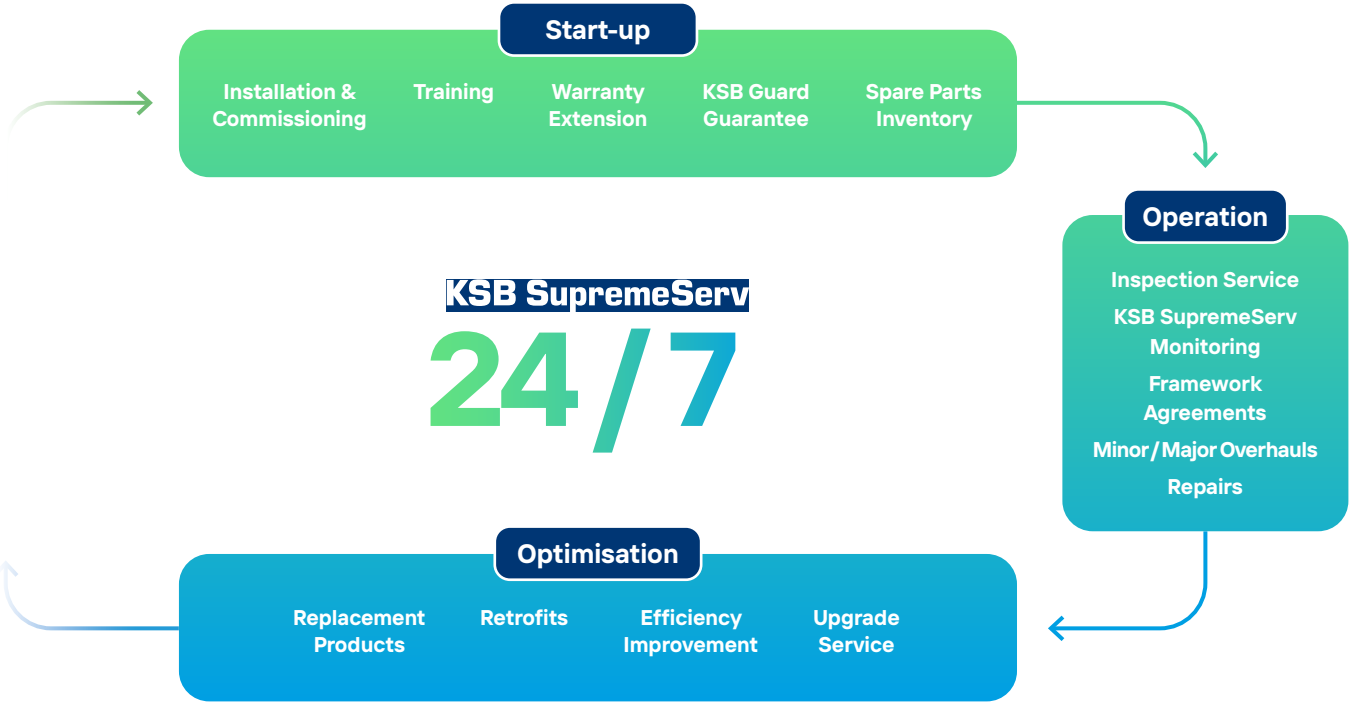
Service

On site worldwide, quickly and reliably

KSB SupremeServ combines global presence and local proximity. From classic maintenance to digital monitoring services or comprehensive optimisation and modernisation concepts, KSB offers its customers worldwide services based on extensive experience and expert knowledge. Combined with intelligent digital solutions and a global logistics network, customers benefit from a unique service portfolio.



Service without borders



The sub-brands of KSB SupremeServ

KSB SupremeServ Academy

Around the globe, a total of 23 KSB SupremeServ Academy locations offer uniform standards with top training quality with the aim of developing and expanding service expertise. Target group: KSB employees, customers, service partners. Examples: Training courses on operation, maintenance and repair.

KSB SupremeServ Monitoring & Optimisation

KSB experts monitor and analyse pump data from customers. This can be done on a project or permanent basis to optimise operating reliability and energy consumption while also reducing the carbon emissions of the machines. Target group: Plant operators, energy managers. Examples: KSB SupremeServ monitoring service, KSB optimisation services, KSB Sonolyzer.

KSB SupremeServ ReEngineering

Original parts, assemblies and products can be optimised and manufactured quickly and precisely, regardless of make and even if documentation is missing. Target group: Plant operators. Examples: Reverse engineering, retrofit solutions, upgrades.

KSB SupremeServ Parts On Demand

KSB uses innovative additive manufacturing processes and rapid casting (sand printing) to produce the required components quickly and precisely. Target group: Plant operators. Examples: Individual solutions using made-to-order additive manufacturing.

KSB SupremeServ Spare Parts Logistics

Services related to the fast provision of KSB spare parts, in particular via the spare parts warehouses located around the world. Target group: Plant operators, end customers, service partners. Examples: Standard spare parts from the KSB spare parts warehouses.

KSB SupremeServ Rescue

Reliable solutions for renting or purchasing products worldwide provide help in the event of flooding. Target group: Private households, commercial users, plant operators, flood control agencies. Examples: KSB Flood Fighter L, AmaDrainer, Etaprime.

Learning with passion



4



23







KSB investments

KSB further expanded its investments in the 2025 financial year, setting the course for continued growth and long-term value creation.

Investments by Region



Americas	Europe	Middle East / Africa	Asia / Pacific
#2	#1	#4	#3

Key investment areas

- Maximising productivity
- Capacity expansion
- Sustainability
- Digitalisation

€ 181 million

invested in total by KSB in 2025.

Location-specific projects

€ 25 million

is being invested by the Pegnitz location in capacity expansion, energy efficiency and innovative technologies by 2026.

> € 70 million

is being invested by KSB in the production of ETA pumps at its headquarters in Frankenthal. This future-oriented project will see the creation of a state-of-the-art competence centre that will strengthen the competitiveness of the German location.

€ 25 million

is being invested by KSB in Richmond, North America. The construction of a large warehouse and the expansion of the service workshop are part of the growth strategy in the USA.

€ 15 million

is being invested by KSB Shanghai in state-of-the-art factory for chemical pumps to expand the company's technical capabilities and expertise.

2

Combined Management Report

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2.1

Basic Principles, Business Performance and Outlook

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Basic Principles, Business Performance and Outlook

Group Business Model

This management report combines the management reports for KSB SE & Co. KGaA, Frankenthal / Pfalz, Germany, and the KSB Group (Combined Management Report).

The KSB Group's (hereinafter "KSB" or "Group") mission is to supply customers around the world with top-quality pumps and valves as well as related systems. It also offers a broad service and spare parts portfolio to users of these products.

KSB SE & Co. KGaA, as the parent, directly or indirectly holds the shares in the companies belonging to the Group. Along with the parent, 10 domestic and 79 foreign companies are fully consolidated; 7 other companies are accounted for under the equity method. KSB is currently represented in more than 50 countries with its own subsidiaries.

As well as KSB SE & Co. KGaA itself, the companies in the KSB Group with the highest sales revenue are

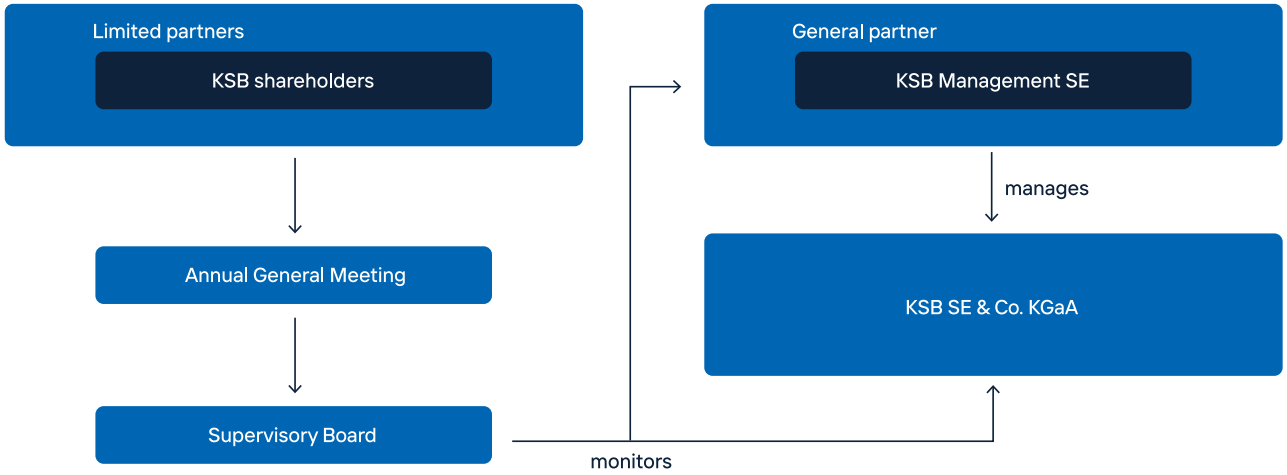
- KSB Limited, Pimpri (Pune), India
- KSB S.A.S., Gennevilliers (Paris), France
- KSB Shanghai Pump Co., Ltd., Shanghai, China
- KSB GIW, Inc., Grovetown / Georgia, USA
- KSB BRASIL LTDA., Várzea Paulista, Brazil
- KSB Service GmbH, Frankenthal, Germany
- KSB Italia S.p.A., Milan, Italy

The basic business model has not changed during the reporting year. External economic and political changes, however, have had a partial effect on business. These are – where relevant and material to KSB – described in the following sections.

Organisation, Management and Control

KSB SE & Co. KGaA was formed from KSB Aktiengesellschaft by entry in the *Handelsregister* [German Commercial Register] on 17 January 2018. The Kommanditgesellschaft auf Aktien (KGaA) [partnership limited by shares] is a common legal form in Germany for companies with a family- and foundation-dominated ownership structure. The general partner is KSB Management SE, a European public limited company. The shares in this company are wholly owned by Klein, Schanzlin & Becker GmbH, Frankenthal / Pfalz. Klein, Schanzlin & Becker GmbH is jointly managed by its two shareholders, the non-profit KSB Stiftung [KSB Foundation], Stuttgart, and the non-profit Kühborth-Stiftung GmbH [Kühborth Foundation], Stuttgart. KSB SE & Co. KGaA and with it the KSB Group are managed via KSB Management SE, The company's bodies are the Managing Directors, the Administrative Board and the Annual General Meeting.

Bodies / Structure



Management of KSB SE & Co. KGaA is the responsibility of KSB Management SE, the individually liable general partner.
The responsibilities of the bodies are governed by law and the Articles of Association. This is the basis for efficient corporate governance, which contributes to sustainable corporate development.

All organisational units in the KSB Group act with the aim of ensuring sustainable, profitable growth to secure both KSB's financial independence and its medium- and long-term future. KSB is monitored by a Supervisory Board consisting of twelve members. The Annual General Meeting of shareholders appoints six members of the Supervisory Board, with the remaining six being delegated by the employees under the terms of the *Mitbestimmungsgesetz* [German Co-determination Act].

The basic structure of the Group is summarised in the following diagram.

→ **Bodies / Structure**

Together, the Managing Directors of KSB Management SE – as the chief operating decision-makers – guide the Group using a three-dimensional matrix organisation. The primary focus of their management is on the Pumps, Valves and KSB SupremeServ Segments, which lie in the Managing Directors' operative purview.

The Pumps Segment comprises new business with single-stage and multistage pumps, submersible pumps and the associated control and drive systems. These pumps are sold in the Energy and Mining sales markets, as well as in the Water, Building Services, Petrochemicals / Chemicals and General Industry sales markets, which are referred to as Standard Markets.

The Valves Segment combines the Group's business activities with regard to new business in butterfly valves, globe valves, gate valves, control valves, diaphragm valves and ball valves. as well as associated actuators and control systems. The basic applications for these products are identical to those for pumps.

The KSB SupremeServ Segment on the one hand comprises the spare parts business for pumps and valves. On the other hand, KSB's service activities are allocated to this Segment. These include the installation, commissioning, inspection, servicing, maintenance, reverse engineering and repair of pumps, related systems and valves, as well as modular service concepts and system analyses for complete plants.

Managing the Group using this structure is aimed in particular at strategically strengthening the Segments and leveraging market potential, especially in the spare parts business. In addition, KSB is using its organisational and segment structure to focus on market-specific and customer-specific applications in the solutions it offers.

The second dimension overseen by the Managing Directors involves the Group's Market Areas. In contrast to the Segments, this dimension includes spare parts in the pumps business along with new business. The pumps business is divided into the following Market Areas: Energy, Mining, Water, Building Services, Petrochemicals / Chemicals and General Industry. To monitor the second dimension, the Managing Directors have appointed Market Area Heads.

The third dimension involves the regional information available to the Managing Directors. The Regions served by the Group are led by Regional Heads.

Both the Market Area Heads and the Regional Heads are all assigned to a particular Managing Director.

In addition to the segment information, this management report contains supplementary quantitative explanations on the Group's performance at the reporting regions level.

Markets and Locations

In the KSB Group, sales revenue is generated mainly from goods and services relating to centrifugal pumps. These pumps, as well as valves, are sold to engineering contractors, OEMs and end users or, in some cases, distributed via dealers. The same applies to control and monitoring systems, and to package units with pumps and valves.

The largest and best developed sales market for these products is Europe, where KSB operates its main manufacturing facilities in Germany and France. The main plant of the present KSB SE & Co. KGaA in Frankenthal is its largest in Europe, ahead of the production sites in Pegnitz (Bavaria) and Halle (Saxony-Anhalt) in Germany, and La Roche-Chalais in France.

The second-largest market for KSB products is the Region Asia / Pacific, followed by the Region Americas and the Region Middle East / Africa. Outside Europe, KSB's biggest production sites are in Brazil, China, India and the USA.

KSB manufactures and assembles products and components in more than 20 countries; they are sold through the Group's own companies or agencies in over 100 countries. With their products, the Group companies serve customers in industry including the chemical and petrochemical industries, in the energy sector, in construction / building services, in water and waste water management, and in mining. In 2025, the most important Markets were Water, General Industry and Energy.

As the largest company in the KSB Group, KSB SE & Co. KGaA serves all the Group's Regions and Markets.

In order to be able to offer KSB products at favourable prices, the Group's purchasing requirements are combined and affordable suppliers sourced around the world who meet the relevant quality standards. The KSB Group is able to maintain its market position as one of the leading pump and valve manufacturers through excellent and long-term relationships with customers and suppliers. Well trained and motivated employees as well as the high quality of products have also helped cement this reputation.

Control System

Based upon a matrix organisation, the key financial performance indicators are determined as follows:

Management decisions for the Group as a whole and for the Pumps, Valves and KSB SupremeServ reporting segments ("Segments") are made on the basis of the following key indicators: order intake, sales revenue and EBIT. EBIT is defined as earnings before finance income / expense and income tax.

Management decisions for KSB SE & Co. KGaA are made on the basis of the same control metrics as for the Group.

No non-financial performance indicators are consulted for controlling the Group.

Basis of Preparation of the Combined Management Report

Unless any specific information is provided in this report to describe changes, KSB uses the following terms:

A change of ± 0.0 – 0.9 % is typically described as "stable", "at the prior-year level" or "at the previous year's level". A change of ± 1.0 – 4.9 % is generally described as "slight" or "moderate", and a change of ± 5.0 – 10.0 % as "significant", "tangible" or "noticeable". Changes of more than ± 10 % are described as "sharp" or "strong".

Amounts in this report are generally presented in millions of euros (€ millions) using standard commercial rounding rules. Due to rounding, there may be minor differences in the totals and percentages presented in this report.

Research and Development

At industrial companies, research and development is often associated with the creation of ground-breaking new products. Just as significant, however, are the ongoing advancement of existing products (which sometimes spans several years) and their systematic integration into established production and sales processes. These activities are essential in achieving potential efficiency gains, ensuring competitiveness and paving the way for sustainable digital innovations. In this section, KSB presents the most important research and development projects that were carried out in the 2025 financial year.

Digital Transformation: From the Cloud to Mechanical Seals

In one project, KSB is developing a platform that securely connects pumps and other devices (such as sensors or control components) to the cloud. This connection makes it possible to exchange data, monitor devices and carry out software updates remotely. To ensure that this works for many different products, work is proceeding on a uniform, scalable basis with a standardised wireless protocol and a central gateway. Each device is given a digital descriptor that serves as a basis for a digital twin. The communication is protected by modern mechanisms that are designed to ensure operational and data security. Devices can identify themselves in the cloud, transmit data and receive software updates.

Since October 2023, an interdisciplinary team at KSB has been developing an innovative solution for monitoring mechanical seals that are necessary to ensure tight sealing at the pump shaft. The goal is to devise a digital product with value-adding functions and a feasible business model. The digital product KSB Guard Mechanical Seals includes both hardware and software that are combined to form a functional package. In 2025, the focus was on preparations for the product's market launch. Of particular interest is that KSB Guard Mechanical Seals is the first product destined for KSB's future digital product and service platform, which is where all the Group's digital products will be available to KSB customers.

New Technologies for the Energy Transition

In the reporting year, KSB was involved in two forward-thinking research projects that are making key contributions to the energy transition. The first project is a cooperation with the German Aerospace Center (DLR) and the Karlsruhe Institute of Technology (KIT). It is focused on developing innovative high-temperature heat storage. The project is researching how molten salt and metal affect materials with an eye towards developing pumps and valves that can operate reliably and safely in high-temperature systems. The aim is to verify the performance of these systems in an experimental setting. The project has been under way since 2021 and is scheduled to end in early 2027.

The second project is being carried out in cooperation with TU Dresden. Here, the focus is on materials that can be used for molten chloride salts, which are crucial to Generation-IV reactors. Corrosion mechanisms and the suitability of materials for hydraulic systems are being analysed. In this way, KSB is helping to increase the safety of components for molten salt reactors while also securing expertise in reactor safety research. This project began in 2024 and is expected to continue until 2027.

72.6

Research and development costs in € millions

In May 2025, KSB entered into a close cooperation with ECOP Technologies GmbH to develop an innovative rotation heat pump. Rotation results in a gravitational field that, in the presence of a noble gas, generates an extreme difference in pressure. The resulting compression heat is transferred away via a heat exchanger on the pump's outer diameter, while the gas near the hub is heated again by the heat source. KSB has contributed its expertise in extensive simulations, electric motor technology, design engineering and production. This has included the manufacture of the first rotors, material testing, 3D printing, machining, balancing and pressure testing. The final assembly and leak testing are also to be handled by KSB.

Technological Advancements in Pump Technology

Pumps designed for transporting waste water are a central element of the KSB portfolio. With AmaRex Pro, KSB is blazing a trail to intelligent, energy-efficient submersible motor pumps for waste water purposes. The series combines a motor with an innovative technology for identifying and automatically eliminating clogs early on, resulting in autonomous deragging of the pump. These cleaning routines help avoid clogging and the formation of stringy masses. This makes it possible to reduce the operating costs and energy consumption of pumps, which results in a significantly lower total cost of ownership. Along with these core functions, the AmaRex Pro offers digital features that facilitate the pump's ongoing operation. Developing this series posed

a challenge that KSB's design engineers met by producing their own patentable solutions. The AmaRex Pro has been available without ATEX (ATmosphères EXplosibles) certification since September 2024 and with ATEX certification since June 2025, which means it can also be used in potentially explosive atmospheres.

Transporting clean fresh water in an efficient manner is another of KSB's standard applications. The Omega Generation 2 project is aimed at optimising the design and hydraulic features of the current Omega pump sizes in order to reduce their weight and cost and ensure their competitiveness. Smaller, lighter machines involve lower investment and production costs, while optimised hydraulic systems make it possible to achieve high levels of efficiency. Key milestones were reached in the reporting year, including patent applications and innovative design solutions such as integrated mechanical seals and six improved monitoring systems.

A multi-year research and development project has culminated in a new generation of heating circulator pumps that has added a premium series to the portfolio and taken KSB to a higher technological level. The aim is to continue increasing energy efficiency and significantly expand the pump's performance range while reducing production costs. The new series boasts an improved efficiency index, a greater power range (up to 1,800 watts) and convenient, app-based commissioning. Additional control modes, new user functions and extensive connectivity options make it easy to integrate the pump into modern building control systems. In the reporting year, pumps rated at up to 400 watts were released for sale.

The EtaSeco ICP project is seeking to develop a new generation of modular canned motor pumps for applications in wind power, rail transport and other areas of industry. The redesign will provide a competitive platform that reduces manufacturing costs, meets the relevant regulatory specifications and integrates improved hydraulic systems. For customers, this means greater flexibility in use, a useful life that can span decades and very long maintenance intervals. In 2025, KSB built initial prototypes and validated them on its internal test beds. Various motor and hydraulic tests were also successfully carried out.

Greater Efficiency through Networking and Intelligence

Progress was also made in several strategically important projects in the Valves Segment in 2025. A major endeavour involves integrating the valve portfolio into the KSBase configurator. The goal is to achieve system-supported processing of these products in manufacturing and sales in order to enable even non-technical employees to create quotations more quickly and accurately. This in turn is meant to increase sales and make order processing more efficient. In production, this will result in shorter lead times, a reduction in manual activities and improved cost efficiency.

Another valve project relates to the development of an intelligent control valve for building services (BOA-Systronic ePIC). It is designed to control and optimise heating and cooling systems and fulfil requirements of the EU Energy Performance of Buildings Directive. Integrating all the necessary measurement and control functions in an all-in-one valve and making it compatible with common interfaces presented a number of technical challenges. The release for sale took place in the autumn of 2025, and further complementary products are planned.

Research and Development in Figures

The total costs of research and development at the Group amounted to € 72.6 million in the reporting year. This equates to 2.4 % of sales revenue. Of these total costs of research and development, € 68.0 million is recognised in the income statement and € 4.6 million has been capitalised under intangible assets. KSB SE & Co. KGaA invested € 52.0 million in research and development in the reporting year. This equates to about 5.7 % of sales revenue. Of the total costs of research and development at KSB SE & Co. KGaA (€ 52.0 million), € 47.5 million is recognised in the income statement and € 4.5 million has been capitalised under intangible assets. Across the Group, 506 staff were employed in research and development on average over the year. At KSB SE & Co. KGaA, 336 staff worked in research and development in the reporting year. Patents are essential to protect intellectual property rights and maintain an edge over competitors. KSB filed for patents on 40 inventions in the 2025 financial year. 86 patents which had been filed for in previous years were granted to the Group in 2025.

Economic Review

Macroeconomic Environment and Sector View

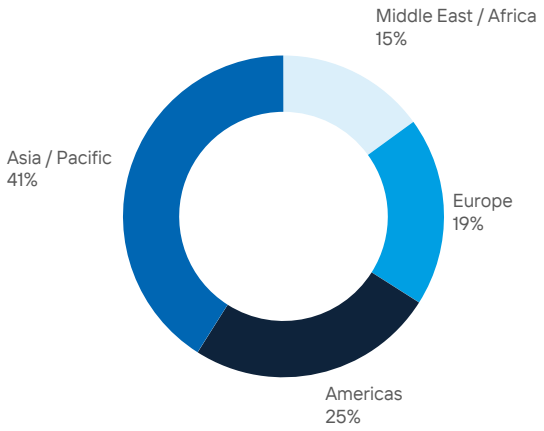
The forecast for global economic growth was adjusted several times over the course of the year due to the complexity and instability of the current situation and uncertainty with regard to the impact of announced political measures. During the year, however, the world's economy on the whole proved resilient to the developments in trade policy. As a result, the current estimate of the International Monetary Fund (IMF) – whose figures are used for planning purposes – is 3.3 %, which remains at the level of its estimate at the beginning of the year. The pace of expansion thus remains consistently low and below the historical level prior to the COVID-19 pandemic, which averaged 3.7 %.

Global inflation fell to 4.1 %, with the US inflation rate above the target value, the EU inflation rate stabilised at the level of the target value and muted inflationary developments in parts of the rest of the world.

The IMF lowered its economic growth estimate for the group of economically advanced countries to 1.7 % in 2025. At the beginning of the year the forecast was still at 1.9 %. Economic growth in emerging markets amounted to 4.4 %, slightly above the forecast given at the start of the year.

In the euro zone, economic growth amounted to 1.4 %, which was stronger than expected at the beginning of the year. Defence investments and intangible assets performed better than expected, and pharmaceutical exports from Ireland to the USA rose sharply in the first half of the year ahead of the expected increase in tariffs, which had a positive effect on the growth of overall GDP in the EU.

World market of centrifugal pumps and valves



Source: KSB estimate (December 2025)

With an economic growth rate of 2.9 %, Spain once again significantly outperformed the growth rate of the rest of the euro zone. The main driving force in 2025 was the positive trend in private consumption, along with investments that surpassed foreign trade (particularly tourism), which had been the primary engine of growth in previous years. As expected at the start of the year, France's economic performance improved by 0.8 %. In Italy, economic growth increased by 0.5 %, somewhat below what was forecast at the beginning of the year. Following two years of decline, Germany's economic growth was stagnant at a rate of 0.2 % in 2025. The positive effects of increased public spending was partially offset by the negative impact of trade tensions around the world. The United Kingdom recorded growth of 1.4 %. This was slightly below expectations at the start of the year.

In the USA, the economic growth rate was 2.1 %, significantly lower than the 2.7 % expected when the year began. This can mainly be attributed to considerable political uncertainty, higher barriers to trade and lower employment growth.

China's economy grew by 5.0 %, exceeding the 4.6 % forecast at the beginning of the year. The main factors contributing to this growth were a very high level of exports and the stimulus provided to domestic consumer spending through the extension and expansion of trade-in programmes for a wide range of products, which was intended as a means of bolstering weak domestic demand.

In India, the economic growth rate was 7.3 % – significantly above expectations at the beginning of the year (6.5 %) due to a strong growth momentum in the second half of 2025. The economies of the five economically most important countries in South East Asia – Indonesia, Malaysia, the Philippines, Thailand and Vietnam – grew by 4.2 % overall, lower than the 4.6 % expected at the start of the year.

South America's economy developed in a positive direction. In Brazil, the economy grew by 2.5 %, just below the start-of-year expectations.

Economic developments in the countries in the Region Middle East / Africa were positive, largely corresponding to the expectations at the beginning of the year. For Saudi Arabia, the IMF has reported much higher growth (4.3 %) than was forecast at the start of the year (3.3 %). This stems mainly from the more rapid reversal of cuts in oil production.

The South African economy grew by 1.3 %, below the 1.5 % expected at the beginning of the year.

Growth in All Sales Markets

In general industry, which covers a series of cyclical sectors in the manufacturing industry, production and investment rose in the past year. The production of capital goods increased as well. The production rates in the pharmaceutical industry were significantly higher than in the previous year due in particular to pull-forward effects in Europe. Following the previous year's weak development, the automotive industry grew slightly in 2025.

The water and waste water sector recorded stable growth in terms of production value. It has largely adapted to the increased operating costs that have been caused in part by higher energy and personnel expenses. Investments in municipal water and waste water management have been driven, among other factors, by the implementation of regulatory requirements and efforts to modernise infrastructure.

The global demand for energy rose again in 2025. As in the previous year, heat waves in many regions were a driver of this development. Despite lower demand in the industrial sector, China recorded the highest growth rate, followed by India. In the USA, the demand for electricity increased due to the rapid expansion of data centres. The addition of new capacity to generate renewable energy accelerated considerably once again, with the share of renewables in electricity production surpassing the share of coal for the first time in the first half of the year. Electricity production from coal decreased slightly. Production from natural gas, in contrast, increased worldwide due to the ongoing transition from oil to gas in the Middle East and the continuing growth in gas-powered electricity production in Asia. Electricity production based on nuclear energy also rose further, along with corresponding investments around the world. New nuclear power plants were brought online in China and India. In addition, China reported the most construction starts of nuclear power plants in 2025.

Global oil production was higher than in the previous year, having risen somewhat more than expected at the beginning of the year. Global gas production was also above the prior-year level. Production in the USA and China increased, but fell in Europe and Russia. Europe imported substantially more liquefied petroleum gas due to the decline in gas supplied by Russia. The global utilisation of refinery capacity rose slightly, driven primarily by higher capacity utilisation in the non-OECD countries.

The chemical industry recorded an increase in production. China proved to be a major driver of growth in this regard again, as the strong expansion in chemical capacity in recent years continued to result in large increases in production. Buoyed by domestic demand, chemical production also rose in the USA. Europe, meanwhile, recorded a decline in production due to a lack of demand from industry.

The construction industry grew only slightly compared with the previous year. Both residential and non-residential construction recorded low-level growth, with regional differences. China, the USA and Germany witnessed a decline in both areas.

Mining continued to be supported by strong demand for metals that are required for producing green technologies. There was another increase in the demand for metals required for electromobility, renewable energy generation and grid expansion, and for the production of storage technologies. This relates in particular to copper, aluminium, nickel and lithium. The growth in demand was partially reflected in an increase in the extraction of these metals. The global trade in iron increased despite declining steel production and demand. The extraction of oil sands was higher than in the previous year.

Moderate Growth in Mechanical Engineering

The demand for mechanical engineering products evolved differently across regions in 2025. According to the German Mechanical Engineering Industry Association (VDMA), global sales revenue in the mechanical engineering sector rose by 1 % overall in real terms in 2025. While sales revenues in India, China and Brazil increased significantly year on year, they stagnated in the USA. In the euro zone, sales revenue once again declined overall.

Sales revenue in the German mechanical engineering sector fell by 5 % in real terms. According to preliminary calculations of the German Federal Statistical Office, production had decreased by 2.8 % in real terms by October. Capacity utilisation was down slightly on the previous year.

In the liquid pumps sector, VDMA recorded real sales revenue growth of 2.6 % among German pump manufacturers compared with the prior-year period. Sales revenue from industrial valves rose by 4.4 %, while sales revenue from building services valves fell by 3.8 % in Germany.

Business Development and Results of Operations

In the 2025 financial year, the economic environment was characterised by a global reluctance to invest, a noticeable downturn in business activity in key sales regions and negative currency effects. In spite of these challenges, the KSB Group succeeded in improving its operational performance and advancing its strategic development as planned. The key indicators it has achieved attest to the sustainability of its corporate development and the effective implementation of the measures defined in the Mission TEN30 strategy in a demanding economic environment.

Overall, there was a moderate increase in order intake, sales revenue and EBIT compared with the previous year. The reasons for these developments are explained in the Segment and Region reporting.

Segment Reporting

KSB's Segments evolved in varying ways in the reporting year. The Pumps Segment recorded growth of all three key indicators. In the Valves Segment, order intake and sales revenue both rose slightly, while EBIT was below the previous year. The KSB SupremeServ Segment witnessed a slight decline in order intake, sales revenue at the prior-year level and lower EBIT. All the key indicators reported were impacted by negative currency translation effects in the reporting year.

Order Intake

The volume of incoming orders rose slightly by € 89.1 million (2.9 %) to € 3,203.1 million (€ 3,287.4 million when adjusted for currency translation) in the financial year.

Pumps

Order intake in the Pumps Segment amounted to € 1,759.6 million, compared with € 1,658.6 million in the previous year (€ 1,808.9 million when adjusted for currency translation). This represents a tangible increase in order intake in this Segment. The Standard Markets accounted for € 1,416.1 million (previous year: € 1,335.9 million) of the total order intake in the Pumps Segment.

KSB's Water business made the largest contribution, generating € 556.5 million (previous year: € 494.5 million). This represents a strong increase of 12.5 %. The cause of this was an expansion of the Group's business in major orders in the reporting year, with an increase in both the number and overall volume of large projects serving as key driver of order intake. The Petrochemicals / Chemicals business also improved significantly in the reporting year, increasing by € 11.8 million (6.4 %) to € 196.9 million. This improvement was attributable in particular to positive developments in major projects and progress made thanks to the implementation of strategic measures. Further drivers included growth areas such as sustainable technologies and offshore business. The other Standard Markets exhibited stable to slightly positive trends compared with the previous year. In the Energy market, order intake achieved tangible growth of 7.4 %, rising to € 249.1 million (previous year: € 231.9 million). This increase was mainly attributable to gas power plant projects and a positive trend in business with high-efficiency coal power plants, especially in China. The Mining market contributed to the positive development in order intake with a moderate increase of 4.0 %, to € 94.4 million (previous year: € 90.7 million).

Valves

Order intake in the Valves Segment amounted to € 413.0 million, compared with € 407.4 million in the previous year (€ 423.2 million when adjusted for currency translation). The Energy business witnessed a positive development, particularly in nuclear projects. The Water business was similarly successful, achieving growth with the help of a number of new major projects. Meanwhile, the previous year's positive trend in the Petrochemicals / Chemicals business did not continue due to a lack of major projects and the challenging situation in the chemicals industry.

KSB SupremeServ

Order intake in the KSB SupremeServ Segment – which covers all service and spare parts activities – reached € 1,030.5 million and was thus slightly lower than in the previous year (€ 1,048.1 million). Without currency translation effects, a stable development (€ 1,055.2 million) would have been achieved. The decline in order intake was primarily due to weaker growth in the business with spare parts for pumps. In particular, demand was lower in Mining and Energy. In the Mining

Segment reporting

	Order intake		Sales revenue		EBIT	
€ millions	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Pumps Segment	1,759.6	1,658.6	1,617.9	1,550.5	71.3	40.5
Valves Segment	413.0	407.4	403.9	398.8	-3.6	-0.8
KSB SupremeServ Segment	1,030.5	1,048.1	1,012.9	1,015.8	184.5	204.5
Total	**3,203.1**	**3,114.0**	**3,034.7**	**2,965.2**	**252.1**	**244.2**

business, an extended interruption in production at a major mine was one of the developments that hindered growth. In the Energy business, a number of major project orders compensated for the decline to an extent, but did not offset it entirely. Meanwhile, KSB achieved significant growth in the Water market, but also witnessed regressions in the General Industry and Petrochemicals / Chemicals Markets. Its business in services saw a positive development, achieving moderate growth.

Sales Revenue

The Group's consolidated sales revenue, which lags behind order intake, grew slightly by € 69.5 million (2.3 %) to € 3,034.7 million (€ 3,112.1 million when adjusted for currency translation).

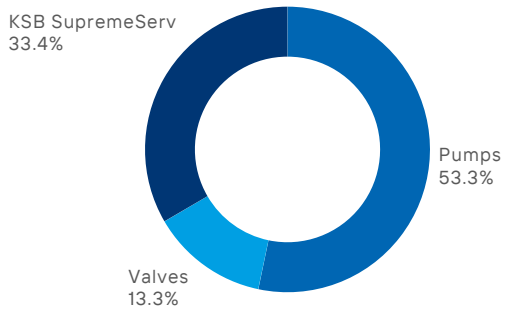
Pumps

Sales revenue in the Pumps Segment totalled € 1,617.9 million (previous year: € 1,550.5 million), representing a moderate increase. Adjusted for currency translation, this would have been a tangible rise to € 1,661.1 million. The Standard Markets, which grew significantly, accounted for € 1,321.1 million (previous year: € 1,250.7 million).

3.0

Consolidated sales revenue in € billions

Sales revenue by segment



The key driver of this development was the Water business, where sales revenue rose sharply. This increase was due to the robust irrigation segment with solar pump systems, as well as a mix of extensive water transport and waste water projects, which were supplemented by several major orders. In the Building Services Market, moderate growth was achieved due in large part to KSB's successful project business in the first half of the year. The other Standard Markets lagged slightly behind the previous year. The Energy Market grew at a level similar to the previous year, while the Mining Market recorded a slight decline attributable in particular to negative currency translation effects.

Valves

In the Valves Segment, sales revenue was € 403.9 million, up from € 398.8 million in the previous year. Adjusted for currency translation, the Segment would have generated € 413.9 in sales revenue. As in the previous year, the increase is attributable to the development of the project business, while development in KSB's standard business was stable.

KSB SupremeServ

Sales revenue in the KSB SupremeServ Segment was € 1,012.9 million following € 1,015.8 million in the previous year; adjusted for currency translation, a slight increase to € 1,037.1 million would have been achieved. Sales revenue was maintained at the prior-year level despite a slight decline in order intake. This was supported in particular by the fulfilment of a large number of orders. The service business witnessed a positive development, continuing the trend noticeable in order intake. The business in spare parts for pumps decreased, however. This decline is largely attributable to negative currency translation effects and a temporary dip in the sale of spare parts in the Mining business. The business in spare parts for valves held steady at the level of the previous year.

Earnings before finance income / expense and income tax (EBIT)

The KSB Group achieved earnings before finance income / expense and income tax (EBIT) of € 252.1 million (previous year: € 244.2 million). This moderate increase was due in large part to the higher sales revenue achieved in the Pumps Segment. Additional effects were contributed by larger insurance compensation payments and research subsidies. The Valves and KSB SupremeServ Segments saw a decrease in EBIT year on year. EBIT was burdened by external consulting costs of € 26.6 million (previous year: € 15.4 million) related to the migration from the SAP R/3 to the SAP S/4HANA system.

252.1

Consolidated earnings (EBIT) in € millions

Pumps
EBIT in the Pumps Segment amounted to € 71.3 million (previous year: € 40.5 million), Sales revenue growth in the Standard Markets, particularly in Water, contributed the most to this strong increase in EBIT. In addition, external consulting costs of € 14.5 million (previous year: € 8.4 million) for the implementation of the SAP S/4HANA system had a negative impact on EBIT in the Pumps Segment. The EBIT margin achieved was 4.4 % (previous year: 2.6 %).

Valves
EBIT in the Valves Segment was € -3.6 million (previous year: € -0.8 million), € 2.8 million lower than in the previous year. The greater volume of sales revenue achieved was not enough to compensate for the rise in administrative and selling costs. The administrative costs include the external consulting expenses for the implementation of SAP S/4HANA, which reduced EBIT by € 3.4 million (previous year: € 2.0 million). The EBIT margin achieved was –0.9 % (previous year: –0.2 %).

KSB SupremeServ
In the KSB SupremeServ Segment, the Group recorded a decline in EBIT of € 20.0 million, arriving at € 184.5 million (previous year: € 204.5 million). This equates to an EBIT margin of 18.2 % (previous year: 20.1 %). This development in earnings is primarily attributable to the fact that sales revenue was stable, while administrative and selling expenses increased. Strong negative currency translation effects also had an impact. The administrative costs include the external consulting expenses for the implementation of SAP S/4HANA, which amounted to € 8.7 million (previous year: € 5.0 million).

Regional Reporting

The Group's Regions evolved in varying ways in the reporting year. The Region Europe remained the absolute leader in terms of order intake and sales revenue. The strongest percentage growth in order intake and sales revenue was achieved in the Region Middle East / Africa. With the exception of the Region Europe, nearly all Regions were impacted by negative currency translation effects in the reporting period.

Europe
The Region Europe continues to represent the most important Region for the KSB Group, having made the largest contribution in the reporting period with order intake amounting to € 1,513.2 million (previous year: € 1,473.5 million) and sales revenue of € 1,498.1 million (previous year: € 1,455.4 million). Compared with the previous year, the Region saw slight growth in both order intake and sales revenue.

Asia / Pacific
In absolute terms, the Region Asia / Pacific was the Group's second-strongest Region, contributing order intake amounting to € 856.6 million (previous year: € 857.0 million) and sales revenue of € 788.9 million (previous year: € 781.6 million). Order intake and sales revenue remained at the level of the previous year. That said, the Region was subject to significant negative currency translation effects in the reporting period. Adjusted for these effects, it would have achieved a significant increase in both key indicators.

Americas
In absolute terms, the Region Americas was the Group's third-largest Region in the reporting period. It witnessed significant growth in order intake, reaching € 649.3 million (previous year: € 611.4 million), while sales revenue increased moderately to € 574.0 million (previous year: € 566.7 million). This Region was also exposed to considerable negative currency translation effects in the reporting period. Adjusted for these effects, it would have achieved a significant increase in order intake and a strong rise in sales revenue.

Middle East / Africa
The Region Middle East / Africa is, as in previous years, the Group's smallest Region in absolute terms. In percentage terms, however, it achieved the most growth. Order intake amounted to € 184.0 million (previous year: € 172.1 million) and sales revenue to € 173.7 million (previous year: € 161.4 million), representing significant increases on the previous year. This Region was also exposed to negative currency translation effects.

Income Statement

€ millions	2025	2024	Percentage change
Sales revenue	**3,034.7**	**2,965.2**	**2.3**
Changes in inventories	16.6	8.6	94.2
Work performed and capitalised	4.8	2.2	120.9
Total output of operations	**3,056.1**	**2,975.9**	**2.7**
Other income	33.1	26.2	26.5
Cost of materials	-1,199.6	-1,178.6	1.8
Staff costs	-1,063.7	-1,014.1	4.9
Depreciation and amortisation	-96.4	-97.4	1.1
Other expenses	-477.6	-467.8	2.1
Earnings before finance income / expense and income tax (EBIT)	**252.1**	**244.2**	**3.2**
Finance income	11.6	13.8	16.2
Finance expense	-27.8	-33.1	16.0
Income from / expense to investments accounted for using the equity method	5.2	6.3	17.4
Finance income / expense	-11.0	-13.0	15.1
Earnings before income tax (EBT)	**241.1**	**231.2**	**4.3**
Taxes on income	-74.7	-84.4	11.6
Earnings after income tax	**166.4**	**146.8**	**13.4**
Attributable to:			
Non-controlling interests	25.5	28.7	11.1
Shareholders of KSB SE & Co. KGaA	140.9	118.1	19.3
Diluted and basic earnings per ordinary share (€)	80.31	67.29	19.3
Diluted and basic earnings per preference share (€)	80.57	67.55	19.3

Further information is provided in Section V. Income Statement Disclosures of the Notes to the consolidated financial statements.

Total Output of Operations

Total output of operations amounted to € 3,056.1 million, compared with € 2,975.9 million in the previous year. Sales revenue increased by € 69.5 million. Changes in inventories amounting to € 16.6 million (previous year: € 8.6 million) also had a positive effect on total output of operations, increasing it by € 8.0 million. In addition, € 4.6 million in capitalised product development costs contributed to the increase in total output of operations.

Income and Expenses

Other income rose by € 6.9 million year on year to € 33.1 million (previous year: € 26.2 million). Largely responsible for this increase were the insurance compensation payments (€ 4.4 million) received in connection with a cyber attack in Germany in 2022, along with research subsidies.

The cost of materials as a percentage of total output of operations amounted to 39.3 % in the reporting year, a slight decline on the 39.6 % recorded in the previous year.

Staff costs rose from € 1,014.1 million to € 1,063.7 million in the financial year, a rise of € 49.6 million. The increase is largely attributable to the higher headcount and general wage and salary increases. The number of employees rose from 16,256 to 16,716 on average over the year. On average in the reporting year, the KSB Group had 460 employees (2.8 %) more than in the previous year. Europe reported the greatest increase in the number of employees, adding 161. The number of employees rose by 154 in Asia, and by 123 in South America. Despite the increasing number of employees, the total output of operations per employee remains unchanged at € 0.2 million due to the 2.7 % increase in total output of operations.

Depreciation and amortisation remained largely stable at € 96.4 million (previous year: € 97.4 million). At € 98.2 million, scheduled depreciation and amortisation was € 4.4 million higher than in the previous year (€ 93.8 million). Write-downs and write-ups decreased by € 5.5 million, from € 3.6 million in the previous year. This resulted in income of € 1.9 million in the 2025 financial year. In the previous year, they primarily related to the write-down of goodwill in the KSB SupremeServ Segment of a service company in the USA (€ 2.5 million) and

impairment losses on parts of the valves business in France (€ 1.7 million). In the reporting year, however, impairment losses from previous years on parts of the valves business in France were reversed.

At € 477.6 million, other expenses exceeded the prior-year level (€ 467.8 million) by € 9.8 million. The main cause of this change was administrative costs, which rose by € 21.9 million. This was primarily due to consulting costs for the migration of the SAP R/3 system to the SAP S/4HANA system. In addition, a decrease of € 15.7 million in warranty obligations and provisions for expected losses contributed to this development. As a percentage of total output of operations, expenses decreased slightly from 15.7 % in the previous year to 15.6 % in the financial year.

Finance income / expense amounted to € -11.0 million (previous year: € -13.0 million). Lower creditor losses (–€ 5.8 million) stemming from the hyperinflation adjustment in Argentina and Turkey were offset by a € 2.9 million increase in interest expenses and a € 1.1 million decline in earnings from companies that are accounted for using the equity method.

Earnings

The KSB Group generated earnings before income tax (EBT) of € 241.1 million, compared with € 231.2 million in the previous year. The return on sales before income tax rose from 7.8 % in the previous year to 7.9 %. Income taxes amounted to € 74.7 million, a decrease of € 9.8 million on the previous year (€ 84.4 million). Effective taxes increased by € 2.0 million to € 79.7 million. Expenses from deferred taxes decreased by € 11.8 million, arriving at income of € 5.0 million following an expense of € 6.8 million in the previous year. The income tax quota fell accordingly, from 36.5 % in the previous year to 31.0 %. In the 2024 financial year, the income tax expense was negatively impacted in the amount of € 9.6 million by a completed tax audit. This effect had a negative impact of 4.1 % on the income tax quota. Earnings after income tax rose from € 146.8 million in the previous year to € 166.4 million in the reporting year, a rise of € 19.6 million.

At € 25.5 million, earnings attributable to non-controlling interests rose by € 3.2 million compared with the previous year. The ratio of non-controlling interests to earnings after income tax declined from 19.6 % to 15.3 %.

Earnings attributable to shareholders of KSB SE & Co. KGaA (€ 140.9 million) were € 22.8 million higher than in the previous year (€ 118.1 million).

Earnings per ordinary share were € 80.31, compared with € 67.29 in the previous year, and € 80.57 per preference share, compared with € 67.55 in the year 2024.

Financial Position and Net Assets

Financial Position

Statement of Cash Flows

€ millions	2025	2024	Percentage change
Earnings after income tax	166.4	146.8	13.4
Taxes on income	74.7	84.4	11.6
Finance income and finance expense	16.2	19.3	15.9
Depreciation and amortisation	96.4	97.4	1.1
Gain / loss on disposal of intangible assets and property, plant and equipment	-1.1	-0.2	378.2
Change in working capital	-48.8	-26.9	81.2
Change in other assets and liabilities as well as provisions	-36.6	-3.5	937.7
Income tax paid	-81.6	-61.1	33.5
Interest received	10.5	12.5	16.6
Cash flows from operating activities	**196.0**	**268.6**	**27.0**
Payments to acquire intangible assets and property, plant and equipment	-153.8	-135.0	14.0
Change in deposits	17.4	-19.3	190.4
Change in the other items from investing activities	1.5	0.5	203.8
Cash flows from investing activities	**-135.0**	**-153.7**	**12.2**
Dividends paid	-53.1	-59.6	11.0
Change in financial liabilities (including lease liabilities)	-19.3	-26.7	27.5
Interest paid	-2.4	-3.1	23.6
Other equity transactions	-2.9	0.6	573.6
Cash flows from financing activities	**-77.7**	**-88.8**	**12.6**
Changes in cash and cash equivalents	-16.7	26.1	164.0
Effects of exchange rate changes on cash and cash equivalents	-14.3	2.8	605.0
Effects of changes in consolidated Group	0.3	–	100.0
Cash and cash equivalents at beginning of period	369.3	340.4	8.5
Cash and cash equivalents at end of period	**338.6**	**369.3**	**8.3**

Further information is provided in Section VII. Statement of Cash Flows in the Notes to the consolidated financial statements.

The KSB Group's financial position remains very good. Equity increased in the reporting year and amounted to € 1,391.2 million (previous year: € 1,335.4 million). The equity ratio of 48.3 % exceeded the prior-year level (46.6 %).

Liquidity

KSB recorded cash flows of € 196.0 million from operating activities, following € 268.6 million in the previous year, representing a decrease of € 72.7 million in cash flows from operating activities. This development is due in particular to an increase of € 21.8 million in required working capital, higher income tax payments of € 20.5 million and a reduction of € 18.7 million in provisions.

Overall, cash outflows of € 48.8 million were attributable to working capital. Along with effects related to the reporting date, such as the very high level of sales revenue in December, the additions to inventories over the course of the financial year also contributed to the increase in working capital. In more specific terms, cash outflows of € 47.3 million from trade receivables and of € 34.3 million from inventories were recorded. In contrast, cash inflows amounting to a total of € 42.8 million were generated from trade payables and contractual liabilities.

The cash outflows from investing activities fell by € 18.8 million from € 153.7 million in the previous year to € 135.0 million in the reporting year. The € 18.8 million increase in payments for investments in intangible assets and property, plant and equipment was more than offset by the € 37.4 million decrease in net payments for deposits with an original maturity of more than three months.

Due to the € 8.3 decrease in net payments for financial liabilities (excluding lease liabilities) and the € 6.5 million decrease in dividend payments to non-controlling interests, the cash outflows from financing activities were € 11.1 million lower than in the previous year.

Overall, cash and cash equivalents declined from € 369.3 million in the previous year to € 338.6 million in the reporting year.

From the current perspective, the KSB Group's finance management continues to assume that it meets its goal of ensuring liquidity at all times essentially without any additional external financing measures. The credit and guarantee lines include amounts from a syndicated loan agreement originally signed in December 2018 and extended on 19 November 2024 as part of an amend-ment and restatement agreement. The associated credit line of € 300.0 million can be used at any time and increased by KSB by a further € 250.0 million through the exercise of an option to increase the credit line. The guarantee line from the syndicated loan agreement comes to € 250.0 million. In the reporting year, KSB utilised the renewal option to extend the term of the agreement by one year to 19 November 2030. KSB has the option to extend the agreement again by a further year. In the reporting year, an ESG component was added to the syndicated loan.

For more information on liquidity management (such as credit lines) see the Risk Report on the Utilisation of Financial Instruments section elsewhere in this Group management report.

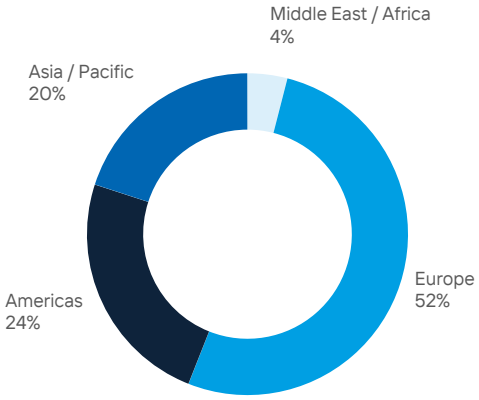
Investments

The additions to intangible assets, amounting to € 9.0 million, are slightly above the prior-year level (€ 7.4 million).

Investments in property, plant and equipment of € 147.6 million in the reporting year are € 15.2 million higher than in the previous year (€ 132.4 million).

At € 72.8 million, the highest additions related to advance payments and assets under construction, as in the previous year (€ 50.9 million). Another € 31.5 million related to plant and machinery (previous year: € 28.3 million), while € 28.3 million related to other equipment, operating and office equipment (previous year: € 27.6 million).

Investment activities by Region



As in 2024, the focus of investment activity was the Region Europe, mainly Germany and France. Outside Europe, the highest additions were made at the plants in the USA, India and China.

315.4

Net financial position in € millions

Net Financial Position

The net financial position, at € 315.4 million, fell by € 55.6 million from € 371.0 million in the previous year. The decline in the net financial position is due in particular to low cash flows from operating activities and to increased payments for investments in intangible assets and property, plant and equipment. Further informa-tion on the net financial position is provided in Section IX. Other Disclosures – Capital Disclosures in the Notes to the consolidated financial statements.

Contingent Liabilities and Other Financial Obligations

Contingent liabilities as at the reporting date totalled € 30.7 million and were therefore € 2.3 million higher (previous year: € 28.4 million).

There are no other obligations and commitments beyond the reporting date. Further financial obligations arose only within the normal scope from purchase commitments amounting to € 44.0 million (previous year: € 47.9 million).

Net Assets

Around 33.6 % of funds is attributable to non-current assets (previous year: 32.4 %). Intangible assets and property, plant and equipment with a historical cost of € 1,908.9 million (previous year: € 1,849.0 million) had carrying amounts of € 792.9 million (previous year:

€ 745.8 million). At € 73.3 million, intangible assets remained stable (previous year: € 73.6 million).

Right-of-use assets for leases (€ 58.6 million) are up slightly on the prior-year level (€ 57.7 million).

Property, plant and equipment increased from € 672.2 million to € 719.6 million as a result of capital expenditure (€ 147.6 million) being in excess of depreciation (€ 66.5 million). Currency translation effects resulted in a reduction of € 31.0 million.

At € 38.8 million, the investments accounted for using the equity method were up € 7.1 million on the previous year's level (€ 31.7 million). In the reporting year, shares amounting to € 6.1 million were acquired in ECOP Technologies GmbH, Austria.

Deferred tax assets rose by € 15.7 million to € 66.1 million (previous year: € 81.8 million). This decline is mainly due to the lower temporary difference in pension provisions that was caused by a further rise in interest rates. To a lesser extent, this development was also caused by the incremental reduction in the corporation tax rate in Germany.

Inventories amounted to € 752.4 million (previous year: € 764.8 million), a decrease of € 12.5 million. This change was primarily driven by negative foreign currency effects in India and the USA.

Contract assets rose by € 9.0 million, from € 56.9 million in the previous year to € 65.9 million. This stemmed from a € 33.0 million increase in the level of completion of customer contracts, while the advance payments received rose by only € 24.0 million.

In line with the development in sales revenue, trade receivables increased from € 605.4 million to € 619.8 million.

Other financial assets amount to € 66.8 millionand are € 23.1 million lower than in the previous year (€ 89.9 million). This is mainly attributable to a € 22.3 million decline in deposits with an original maturity of more than three months. Other non-financial assets amounted to € 70.5 million, up € 18.8 million on the prior-year level (€ 51.7 million). This is due in particular to a € 15.3 million increase in recoverable taxes.

Assets

€ millions	31 Dec. 2025	31 Dec. 2024	Percentage change
Non-current assets			
Intangible assets	73.3	73.6	0.5
Right-of-use assets	58.6	57.7	1.5
Property, plant and equipment	719.6	672.2	7.0
Non-current financial assets	1.8	1.9	8.1
Other non-financial assets	11.1	11.0	0.9
Investments accounted for using the equity method	38.8	31.7	22.5
Deferred tax assets	66.1	81.8	19.2
	969.2	**929.9**	**4.2**
Current assets			
Inventories	752.4	764.8	1.6
Contract assets	65.9	56.9	15.8
Trade receivables	619.8	605.4	2.4
Other financial assets	66.8	89.9	25.6
Other non-financial assets	70.5	51.7	36.5
Cash and cash equivalents	338.6	369.3	8.3
	1,914.1	**1,938.0**	**1.2**
	2,883.3	**2,867.9**	**0.5**

Further information is provided in Section IV. Balance Sheet Disclosures in the Notes to the consolidated financial statements.

Cash and cash equivalents accounted for around 11.7 % of assets, totalling € 338.6 million (previous year: € 369.3 million). The reasons for the increase are explained in the Liquidity section of the management report.

Overall, total assets rose by 0.5 % to € 2,883.3 million.

Equity

KSB Group equity amounts to € 1,391.2 million (previous year: € 1,335.4 million). This includes KSB SE & Co. KGaA's subscribed capital of € 44.8 million as in the previous year. The capital reserve remains unchanged at € 66.7 million. Revenue reserves increased by a total of € 68.3 million. The net profit for the year of € 166.4 million had a particular impact in this context. The remeasurement of defined benefit plans in the amount of € 42.9 million (€ 24.9 million after taxes) also led to an increase in equity.

Dividend payments to shareholders of KSB SE & Co. KGaA of € 46.6 million were € 0.8 million higher than in the previous year (€ 45.8 million). Dividends amounting to € 6.4 million were distributed to non-controlling interests, € 7.5 million less than in the previous year (€ 13.9 million).

Currency translation effects led to a loss of € 82.5 million in the reporting year (previous year: gains of € 23.0 million). This was largely due to negative foreign currency effects related to the US dollar and the Indian rupee. The revenue reserves include the proportion of earnings after income tax attributable to KSB SE & Co. KGaA shareholders, at € 140.9 million (previous year: € 118.1 million). Out of total equity, € 230.4 million (previous year: € 242.9 million) is attributable to non-controlling interests. The equity ratio increased further to 48.3 % (previous year: 46.6 %).

Equity and Liabilities

€ millions	31 Dec. 2025	31 Dec. 2024	Percentage change
Equity			
Subscribed capital	44.8	44.8	–
Capital reserve	66.7	66.7	–
Revenue reserves	1,049.4	981.1	7.0
Equity attributable to shareholders of KSB SE & Co. KGaA	1,160.8	1,092.5	6.2
Non-controlling interests	230.4	242.9	5.1
	1,391.2	**1,335.4**	**4.2**
Non-current liabilities			
Provisions for pensions and similar obligations	455.2	489.6	7.0
Other provisions	10.8	12.5	13.6
Financial liabilities	39.0	37.8	3.2
Deferred tax liabilities	9.6	9.7	0.2
	514.7	**549.5**	**6.3**
Current liabilities			
Other provisions	100.9	122.5	17.6
Financial liabilities	22.3	20.8	7.2
Contract liabilities	215.7	214.4	0.6
Trade payables	362.7	356.7	1.7
Other financial liabilities	33.8	35.1	3.8
Other non-financial liabilities	207.8	201.4	3.2
Income tax liabilities	34.2	32.0	7.0
	977.4	**983.0**	**0.6**
	2,883.3	**2,867.9**	**0.5**

Further information is provided in Section IV. Balance Sheet Disclosures in the Notes to the consolidated financial statements.

48.3

Equity ratio in percent

The non-controlling interests mainly relate to the PAB subgroup and the following companies: KSB Limited, India, and KSB Shanghai Pump Co., Ltd., China. The PAB subgroup comprises Pumpen- und Armaturen-Beteiligungsgesellschaft mbH, Frankenthal, and its US subsidiaries.

Inflation and exchange rate effects

Of the Group's consolidated companies, the annual financial statements of the Argentinian and the Turkish company had to be adjusted for the effects of inflation. The net loss from the monetary depreciation of the affected monetary assets and liabilities to be taken into account under IAS 29, amounting to € 6.7 million (previous year: € 12.6 million), is included in the income statement under other finance expense within finance income / expense.

The difference of € – 82.5 million (previous year: € + 23.0 million) from currency translation of the financial statements of consolidated companies that are not prepared in euro was taken directly to equity.

Liabilities

The largest item under liabilities continues to be pension provisions, which decreased by € 34.4 million from € 489.6 million to € 455.2 million. Higher interest rates account for this reduction. This effect was recognised as remeasurement of defined benefit plans in the amount of € 42.9 million (previous year: € 14.8 million) under other comprehensive income. Obligations for current pensioners and vested benefits of employees who have left the company account for about 50.1 % of the amount recognised in the balance sheet. The rest is attributable to defined benefit obligations for current employees.

Non-current financial liabilities rose slightly by € 1.2 million year on year to € 39.0 million (previous year: € 37.8 million). These are mainly lease liabilities.

At € 111.7 million in 2025, other current and non-current provisions fell by € 23.3 million compared with 2024 (€ 135.0 million), due in large part to the € 16.5 million decrease in provisions for warranties and penalties.

Current liabilities decreased overall by € 5.6 million to € 977.4 million compared with € 983.0 million at year-end 2024. The share of current liabilities relative to total equity and liabilities fell marginally to 33.9 % (previous year: 34.3 %).

Current financial liabilities of € 22.3 million exceeded the prior-year level (€ 20.8 million) by just € 1.5 million.

Contract liabilities increased just slightly from € 214.4 million in the previous year to € 215.7 million.

Trade payables fell by € 6.0 million to € 362.7 million (previous year: € 356.7 million).

Other non-financial liabilities increased by € 6.4 million, above all due to higher personnel liabilities.

Summary of Performance in the Financial Year

The moderate increase in order intake from € 3,114.0 million in the previous year to € 3,203.1 million placed it within the forecast corridor between € 3,100 million and € 3,400 million. KSB is satisfied with the order intake achieved in the reporting year. The figures for order intake in the Valves and Pumps Segments rose moderately and significantly (respectively) and thus bore out the previous year's forecast. Instead of the strong growth that was forecast for the KSG SupremeServ Segment, its order intake fell slightly.

The forecast for sales revenue provided in the 2024 Annual Report, which was expected to be in a range between € 2,950 million and € 3,150 million, was confirmed. The sales revenue achieved of € 3,034.7 million (previous year: € 2,965.2 million) is satisfactory. The Pumps Segment grew moderately, affirming the respective forecast. The Valves Segment exceeded the projected stable development by achieving moderate growth. The KSB SupremeServ Segment was unable to realise the significant increase that was forecast, instead turning in stable sales revenue development.

The forecast for EBIT set out in the 2024 Annual Report, which ranged between € 235.0 million and € 265.0 million, was met in the 2025 financial year with EBIT of € 252.1 million. For the Pumps Segment, an EBIT at prior-year level was expected for the reporting year. In actuality, this forecast was surpassed thanks to a strong increase. The EBIT for the Valves Segment, which was forecast to remain at the previous year's level, was not achieved, falling instead by € 2.8 million. The KSB SupremeServ Segment was predicted to achieve significant growth, but reported a noticeable decline instead. Detailed information on the reasons for the

developments in order intake, sales revenue and EBIT is provided in the Segment Reporting section.

The assumptions on the regional development of order intake that were made in the previous year's financial statements have largely been confirmed. In the Regions Americas and Middle East / Africa, the significant growth expected was achieved, while Europe – as forecast – recorded a slight increase. The Region Asia / Pacific, however, remained at the level of the previous year instead of achieving the significant growth that was forecast. The Region Asia / Pacific also held stable in sales revenue, falling short of the noticeable increase that was projected. In absolute terms, Europe contributed the most to sales revenue growth.

Meanwhile, the expectation that the largest share of EBIT growth would come from the Regions Americas and Asia / Pacific proved accurate. The Region Middle East / Africa helped improve earnings as expected by turning in strong growth, while the Region Asia / Pacific achieved noticeable (instead of strong) growth. In light of these figures, the Management of the KSB Group is satisfied with its business performance in the past financial year.

KSB continues to have a healthy financial basis for the future.

Report on Expected Developments

The International Monetary Fund's (IMF) latest forecast for global economic growth in 2026 was 3.3 %. This forecast is, however, subject to numerous downside risks. For example, ongoing political uncertainty could hamper consumer spending and investment to a greater extent than expected. A further escalation of protectionist measures, including trade barriers unrelated to tariffs, could disrupt supply chains and limit growth in productivity.

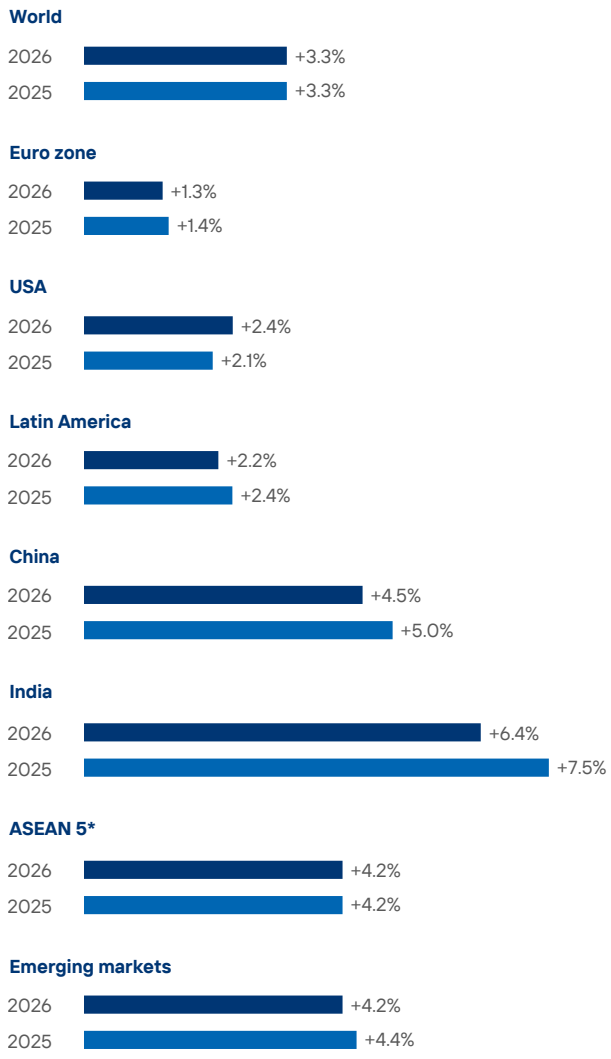
In 2026, global inflation is expected to fall to 3.8 %. For most of the world's largest national economies, the target level of inflation is expected to be reached in 2027.

Without permanent structural reforms, it can be assumed, including in the medium term, that economic growth will remain subdued and below the historical average prior to the pandemic. In this context, the more strongly fragmented international economic landscape presents an additional challenge for many countries.

The IMF is projecting an overall economic growth rate of 4.2 % for the emerging markets and developing countries.

At 1.8 % for 2026, expected economic growth in the industrialised nations is slightly above the previous year's level. Growth expectations in the USA are at 2.4 %.

Gross domestic product growth



Source: International Monetary Fund (January 2026)

* Indonesia, Malaysia, Philippines, Singapore, Thailand

Canada's economy is forecast to grow by 1.6 %.

Economic growth in the euro zone is expected to see a minimal decline compared with the previous year, reaching 1.3 %. The most recent forecast for Germany was 1.1 % and for Italy 0.7 %. In both cases, the forecast is higher than in the previous year. In France, economic growth is anticipated at 1.0 %. The forecast for Spain, at 2.3 %, is lower than in previous years. Economic growth of 1.3 % is forecast for the UK.

For South Africa, the IMF expects economic growth of 1.4 %. At 4.5 %, Saudi Arabia's economic growth is projected to slightly exceed the 2025 level.

In Asia, economic growth is expected to be down overall from the previous year, reaching 5.0 %. For China, the forecast was most recently 4.5 %. The IMF anticipates a growth rate of 6.4 % for India in 2026.

In the ASEAN 5 countries, a growth rate of 4.2 % is expected.

Overall growth in the Latin American countries is anticipated to be at 2.2 %. In Brazil, economic growth of 1.6 % is expected.

With regard to the willingness to invest in the mechanical engineering sector, the German Mechanical Engineering Industry Association (VDMA) is forecasting growth in real terms of 2.0 % in global sales revenue in mechanical engineering, with significant regional differences. In the euro zone as a whole, sales revenue in mechanical engineering is expected to stagnate compared with 2025, with development varying across individual countries. For Germany, a 1 % increase in sales revenue is anticipated, while declines of 2 % and 4 % are forecast for France and the Netherlands, respectively. The sales

revenue forecasts for the Asian countries remain at an above-average level. The strongest increase in sales revenue (5 %) is predicted for the Indian mechanical engineering market. In China, sales revenue is expected to grow by 4 % and an increase of 1 % is expected for the USA.

With regard to the specific market for liquid pumps, VDMA forecasts stagnant sales revenue for German manufacturers in 2026. It predicts an increase of 3 % for industrial valves. Sales revenue for building services valves is expected to rise by 3 % in nominal terms.

Summary of Expected Development

For the 2026 financial year, KSB expects to achieve the key financial performance indicators presented in the table below:

Expected development

€ millions	Actual 2025	Forecast 2026
Order intake	3,203.1	3,100 – 3,500
Sales revenue	3,034.7	2,900 – 3,200
EBIT	252.1	220 – 265

Growth in order intake will primarily be driven by the Pumps and KSB SupremeServ Segments. For the 2026 financial year, the Group anticipates a slight to significant increase in orders received by the Pumps Segment, which achieved an order intake of € 1,759.6 million in the reporting year. This growth will largely come from Mining and Energy, as well as from General Industry. The Building Services Market will contribute to this rise as well. Strong growth is expected in the nuclear business, particularly in the Energy Market. Based on an order intake of € 1,030.5 million in the reporting year, the Group is also predicting slight to significant growth in the KSB SupremeServ Segment in the 2026 financial year. This growth will be facilitated by its business in both spare parts and services. In the spare parts business, growth will be driven by nearly all Markets. For order intake in the Valves Segment, which amounted to € 413.0 million in the reporting year, KSB expects stable development or a slight increase, which will stem in particular from major orders in the nuclear business.

As far as sales revenue is concerned, KSB expects the following changes in the Segments. The Pumps Segment contributed € 1,617.9 million to the Group's consolidated sales revenue in the reporting year. KSB expects a slight to significant increase in this Segment in the 2026 financial year. This growth will be borne primarily by the Petrochemicals / Chemicals and Energy business. The General Industry Market will also contribute to this growth, while the Water business is expected to record a slight decline following a highly successful financial year in 2025. The KSB SupremeServ Segment contributed € 1,012.9 million to consolidated sales revenue. For this Segment, KSB forecasts stable development up to a slight increase in sales revenue, which will largely be driven by its business in spare parts for pumps, especially in the Energy Market, and greater sales of spare parts for valves. In addition, an increase in sales revenue in the service business is expected. KSB anticipates stable development up to a slight increase in 2026 for the Valves Segment, which achieved sales revenue of € 403.9 million in the reporting year.

As in previous years, the main contribution to EBIT will come from the KSB SupremeServ Segment. The Pumps Segment generated earnings before finance income / expense and income tax (EBIT) of € 71.3 million in the 2025 reporting year. KSB is not expecting to achieve the same excellent earnings in the 2026 financial year. Instead, it anticipates a sharp decline. In particular, the Water and Petrochemicals / Chemicals Markets will see regressions that the improved earnings performance of the General Industry and Building Services Markets will not be able to offset. In the KSB SupremeServ Segment, which contributed € 184.5 million to EBIT in the reporting year, KSB expects a light to significant increase in EBIT. The earnings growth will be fuelled by the spare parts business in the Energy, Petrochemicals / Chemicals and Water Markets. Earnings in the service business will also grow accordingly. For the Valves Segment, which achieved EBIT of € -3.6 million, EBIT is expected to be slightly positive.

The forecast is based on the assumption that the acts of war started in the Middle East – in particular in Iran – at the end of February 2026 are short-term in nature and do not have a negative impact on achieving the forecast corridors. Continuation of the acts for a longer period of time will entail risks. In this context, we refer to the report on events after the reporting period.

In addition, the forecast may be influenced by the other ongoing geopolitical tensions which are described in more detail in the Opportunities and Risks Report.

Forward-looking Statements

This report contains forward-looking statements and information that are based upon the assumptions of Management. They express current forecasts and expectations with regard to future events. As a result, these forward-looking statements and information are exposed to risks and uncertainties that lie outside the Management's sphere of influence. KSB wishes to point out that actual events or earnings may differ materially from the forward-looking statements and information presented, if one or more of the following opportunities or risks, or other opportunities, risks and uncertainties should materialise, or if the assumptions underlying the statements prove to be inaccurate.

Opportunities and Risks Report

As an organisation that operates throughout the world, the KSB Group is exposed to macroeconomic, sector-typical, financial and company-specific risks. The risk policy is designed to ensure the sustainable and profitable growth of the Group. The KSB Group aims to reduce the risks associated with its business and where possible to avoid them completely. At the same time its global alignment and extensive product range offer opportunities. This includes those opportunities that arise on the basis of research and development activities, but also any that are linked to the quality and cost effectiveness of products. In addition, KSB's competitive position is being strengthened by the optimisation of the global sales and production network. In this context, opportunities are constantly examined to further increase KSB's global presence, by establishing new companies or expanding KSB SupremeServ sites and by acquisitions. Customer focus is the key principle in this context.

The Group defines both opportunities and risks as possible future developments or events that may lead to lead to departures from forecasts or targets. The departure can be both positive and negative. In order to manage the varied opportunities and risks appropriately and effectively, the Group aligns its actions accordingly and transfers responsibility to the managers of the relevant departments. In doing so, Controlling, Legal, Finance and Accounting as well as Internal Audits perform important monitoring tasks. The following section describes the processes related to the Group-wide opportunities and risk management system, which is based on the Auditing Standards 340 (IDW PS 340 n. F.) and 981 (IDW PS 981) issued by the Institute of Public Auditors in Germany.

Risk Management System

KSB has implemented a Group-wide risk management system for identifying and assessing relevant risks in the different areas of responsibility and reporting these to Group headquarters. The risk management process of the KSB Group consists of the successive phases of identification, assessment, management, control, documentation and communication of risks. The six phases form a continuous and IT-based closed-loop system. This is documented in KSB's Risk Management Manual, as well as the management responsibility and the description of all relevant tasks. In this manual, KSB also formalises its risk strategy.

The Managing Directors of KSB Management SE are responsible for determining, implementing and releasing the risk management system that is effective throughout the Group. The risk strategy is reviewed regularly to ensure it is oriented on the Group strategy and meets the regulatory requirements. Changes to the risk strategy require the approval of the Managing Directors of KSB Management SE.

KSB's risk strategy serves as a basis for evaluating business decisions and is based on normative guiding principles. These guiding principles include, among other things, a clear commitment to promoting an interdisciplinary and Group-wide risk culture, efficient and time-critical risk communication processes and a stakeholder-centred focus on value creation and preservation. These qualitative criteria are supplemented by a quantitative approach to analysing the risk-bearing capacity.

KSB defines the risk-bearing capacity as an aggregated risk potential that can be absorbed in a time period covering the next 24 months without posing a threat to the business continuity of KSB. A corresponding concept for risk-bearing capacity, taking into account the overall risk strategy, was established within the Group. It specifically examines whether and to what extent developments could jeopardise the continued existence of the KSB Group with regard to equity and / or liquidity position.

The regular derivation of the risk-bearing capacity and its communication to management is an integral process of the risk management system and is the responsibility of the Risk Manager. Changes require the approval of the Managing Directors of KSB Management SE. If the analysis of the risk-bearing capacity reveals a need for additional requirements for risk provisioning, equity or liquidity, further measures are defined to ensure that adequate account is taken of the KSB Group's risk-bearing capacity in accordance with its risk strategy. In addition to risk-bearing capacity, KSB defines risk appetite as part of the risk strategy as a level of risk that it is prepared to bear over a certain period of time.

KSB uses risk management software to support these analytical processes and to enhance the efficiency and effectiveness of risk management. This supports the systematic identification, assessment, management and monitoring of Group-wide risks and enables the precise and immediate recording of risk information.

Managers are encouraged to take timely action to define and implement measures to limit or avoid damage that may result from the occurrence of risk events. All

corporate and central functions and all Group companies, including Group companies that are not fully consolidated, are included in the risk management system. The responsible managers are required to supply their relevant key business and financial indicators each month. As well as creating forecasts during the year on business performance, they also report twice a year to the central Risk Manager on all recognised risks in the categories of market and competitive risks, technological risks, project- and product-related risks, financial risks, procurement risks, ESG (Environmental, Social and Governance) risks, other business-specific risks and long-term strategic risks in a bottom-up process. The monitoring period was divided into four cycles. In the first cycle, the risks are to be reported for the following financial year or, as part of the risk assessment during the course of the year, for the remainder of the financial year. Accordingly, the second cycle covers the risks that are seen within a time period of up to 24 months, and the third cycle covers medium-term risks within a time period of 24 months to five years. Long-term risks are recorded in a fourth period of more than five years.

In addition, regular management reporting on day-to-day business-related risk developments and issues is provided by the respective corporate and central functions to the Managing Directors of the KSB Group. The aim is to ensure that, from a management perspective, such risks are addressed with in an action-oriented manner and are continually tracked between the reporting dates.

The regular identification and updating of risks in all the Group companies and in the respective corporate and central functions ensure that risk awareness within the KSB Group remains at a high level across the board. A distinction is made between qualitative and quantitative risks.

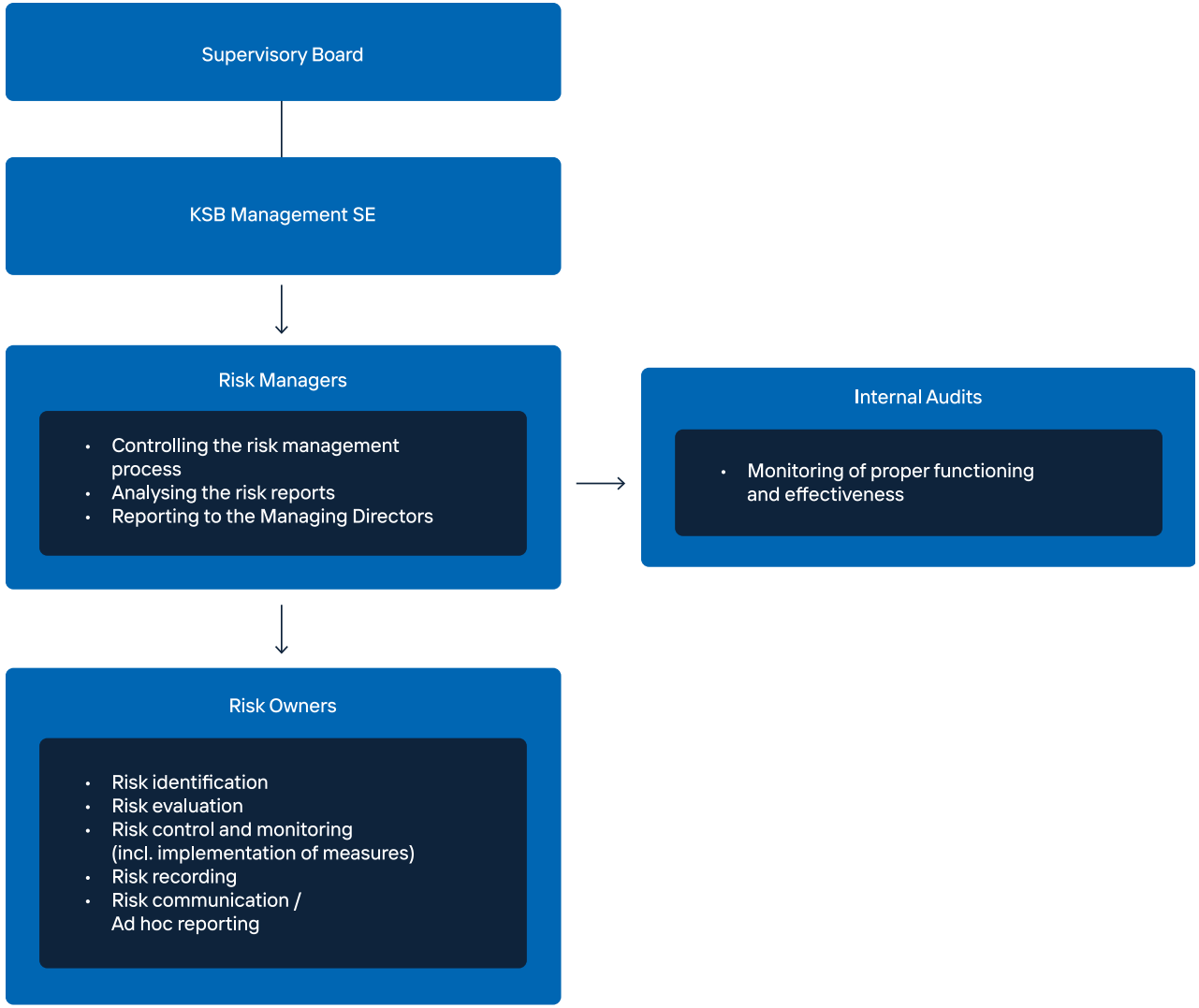
Qualitative risks are developments that cannot or cannot yet be thoroughly quantified due to a lack of precise information. However, to be able to evaluate them for further analysis steps, the scope is assessed using defined evaluation intervals. The mean value of these evaluation intervals is used to determine the significance of these risks for the Group.

Quantitative risks are risks for which the potential monetary impact on the earnings and/or liquidity of the KSB Group can be estimated. They are evaluated taking into account the probability of occurrence in combination with the potential amount of loss. The scope or amount of loss describes the potential influence of the individual risk on the key indicator of earnings before finance income / expense and income tax (EBIT) or liquidity of the KSB Group or the respective Group company. The amount of loss is assessed on the basis of three scenarios: worst case, most likely case and best case. A distinction is also made between a gross method before taking into account any corrective action that has been taken, and a net method after taking into account such measures. Risk assessment at KSB covers all relevant risk areas for internal and external risks arising from the KSB business and the Group's inherent risk profile. In this context, gross impacts on EBIT of all individual and similar risks of € 0.5 million or more before countermeasures are to be reported throughout the Group at the earliest possible time. These impacts are to be recorded regardless of how the probability of occurrence of the risk is assessed. Purely cash-effective risks are reported as from a gross impact of € 5.0 million or more (in the most likely case).

KSB defines as material all risks or aggregate risks, for which the product of the probability of occurrence and the most probable amount of loss, after deducting the amount of countermeasures, is greater than € 5.0 million. This applies to qualitative and quantitative risks.

The bodies to which specific responsibilities and competencies were assigned in KSB's risk management system in the reporting year are presented and explained in the following diagram.

Risk Management System of the KSB Group



As the legal representative, KSB Management SE assumes overall responsibility for risk management. KSB Management SE reports to the Supervisory Board of KSE SE & Co. KGaA via its Managing Directors during regular Audit Committee meetings and is monitored by the latter. The Managing Directors are supported by the Group Compliance Officer and the Group Finance and Accounting department of KSB SE & Co. KGaA. The latter coordinates the risk management process at Group level and checks all risks reported for relevance to the preparation of financial statements. This ensures that there is a systematic link with the Group accounting process. The risk management system is supplemented by a Risk & Opportunity Review Panel. The aim of this panel is to continuously improve KSB's risk management system. This is achieved by identifying all material risks and opportunities, critically assessing the reported top risks and opportunities, and reviewing the appropriateness and effectiveness of the allocated actions. The panel consists of managers from selected functional areas who have the necessary expertise to review the risk and opportunity reporting with regard to the points mentioned and thus ensure the completeness and plausibility of the disclosures. The Managing Directors, the Administrative Board and the Supervisory Board's Audit Committee receive two risk reports per financial year. These reports include all the risks classed as material that exceed pre-defined threshold values individually or collectively, taking into consideration any corrective action that has been taken (net risk), as well as further significant developments. The net method enables the Managing Directors to focus specifically on the reported risks. Additionally, the risk-bearing capacity of the KSB Group is regularly monitored on the basis of the overall risk position, which is developed by aggregating all the risks recorded. This makes it possible to identify early on any developments that could threaten business continuity in the period under review. Particularly time-critical risks and new or changed risks that are classified as significant are to be reported by the responsible managers to the Risk Managers on an ad hoc basis. They review the information and pass it on to the head of Finance, who in turn communicates it to the Managing Directors of KSB Management SE. Opportunities are also taken into account in KSB's current risk management system and are reported in line with the specifications for the risks.

With regard to the use of financial instruments, KSB makes use of additional risk identification, assessment, management and communication. The central Finance department is responsible for this task, which is described in detail elsewhere in this section under Risk Reporting on the Utilisation of Financial Instruments.

Compliance risks are dealt with by the Group Compliance Officer, who is assigned to the Legal and Compliance, Patents and Trademarks staff function. The Chief Compliance Officer is supported by the members of the Compliance Committee and the Compliance Managers of the individual companies.

Relevant risks from the two aforementioned corporate and central functions as well as other specialised corporate and central functions, such as Strategy, Sales or Purchasing, are transferred to and integrated within the KSB Group's risk management system, thus systematically ensuring a holistic overall risk inventory. The Internal Audits department is integrated into the risk management system as part of the internal control system. When planning audits, it prioritises areas according to potential risks and is provided with all the necessary information. The auditors ensure that all audited units adhere to the applicable guidelines, actively participate in the risk management system, and control or avoid their risks. Information obtained by Internal Audits on both the identified risks and the corrective action initiated in response forms an integral part of the reporting to the Managing Directors and to the Audit Committee of the Supervisory Board. The risk management system is updated promptly if need be, for example in the event of relevant legal or organisational changes. In addition, the auditors examine the early risk detection system within the scope of the audit of the annual financial statements, establishing that it is in place and checking that it is fit for purpose. Relevant basic documents on risk management are archived in accordance with the statutory applicable deadline and in the statutory required formats.

Internal Control System and Risk Management System with Regard to the Group Accounting Process

The accounting-related internal control system (ICS) contributes towards ensuring proper financial reporting. The aim is to ensure that the consolidated financial statements and group management report comply with all relevant regulations. Key elements of the ICS are – as well as the risk management system described above – guidelines and regulations which include standard accounting and measurement policies. They must be applied to the full extent by all Group companies. There is a segregation of duties and a double-check system is in place. Internal Audits regularly conducts audits of the controls implemented at the Group companies.

In addition, Accounting and Controlling carry out regular analytical plausibility checks of the financial information requested from the companies as well as actual / budget variance analyses. This enables KSB to identify significant changes early on, which are examined for account-

ing and measurement discrepancies. The resulting findings are then discussed at management level.

The responsibility for Group accounting lies with the employees in the central Accounting KSB Group department. The services of qualified external reviewers are employed to evaluate complex issues (such as the calculation of pension obligations) as part of the preparation of the financial statements.

Binding schedules and guidelines apply to accounting within the KSB Group and to accounting at each individual subsidiary. The accounting and measurement methods that must be applied to compile the consolidated financial statements are defined in writing in a manual that is updated and revised on a continual basis. It includes guidelines for posting intra-Group transactions. New accounting principles and other official announcements are continually analysed with regard to their relevance and impact on the consolidated financial statements. Guidelines and manual are adapted where necessary and any changes communicated immediately to the companies. Group Accounting likewise monitors compliance with requirements. This reduces the risk of compiling inappropriate financial statements or failing to publish them by the defined deadlines.

The financial statements information of all Group companies is automatically processed using certified standard consolidation software. Systematic checks are implemented to help validate the data. The sequence of the processing steps is strictly specified through the use of the consolidation monitor within the IT system. This ensures the correct processing of data.

To ensure a seamless and accurate accounting process, only employees who have the appropriate specialist know-how are assigned to this task. These employees are trained on a regular basis to make sure that their expert knowledge remains up to date.

Access authorisations have been defined for the accounting-related IT system. This protects the data against unauthorised access as well as improper usage and modification. In addition, the checks at many stages ensure the quality of processing and help to limit operational risks.

Individually Assessed Opportunities and Risks

The categories presented below include the net risks classified as material and other net risks that are relevant to the Group, as well as opportunities for the 2026 financial year. If risks are not flagged as material, they are considered to be of secondary importance. Unless otherwise stated, the following risks relate to all Segments.

Markets / Competition

The forecast for the 2026 financial year is based on the expectations and assumptions regarding general economic performance and the development of global GDP as described in the Report on Expected Developments.

Risks arise in particular through current geopolitical uncertainty resulting from trade conflicts and numerous global flashpoints. In particular, KSB considers the possible escalation of the China-Taiwan conflict to be a material risk. In the Group's internal risk assessment, a net expected value of more than € 5 million is assumed for this scenario. The conflict in Ukraine could also have a negative impact on the KSB Group's business in terms of its duration and possible escalation. In addition, KSB is monitoring the increasing tensions with regard to trade and technology between the USA and China. This development could put a strain on the global trade situation and have a dampening effect on demand for industrial goods. Initial protectionist measures such as higher tariffs and the uncertainty regarding future trade agreements illustrate the volatility of the current environment.

Risks that were reported in the previous year regarding the introduction of protectionist measures by individual countries, as well as possible reactions to them, have been factored into the Group's planning and therefore pose no further risk for the coming financial year. Nevertheless, additional measures that could be taken in the course of the trade conflict cannot be ruled out.

To make use of potential opportunities arising from strategic mergers or acquisitions, KSB continuously monitors the current market situation as well as forecast developments. This allows it to expand market shares or tap into new areas of application.

In addition, an opportunity is arising from the fund established by the German government to renew the country's defence and infrastructure. Increased governmental demand for security-relevant and infrastructure-based capital goods could have a positive effect on KSB's business.

Projects / Products

Regular market analysis and monitoring, together with continuous quality management, generally minimise the risk that products will become technically obsolete, are offered at prices not acceptable in the market or that market developments are missed.

In KSB's business, there are special requirements when it comes to the processing of technically complex large-scale projects with long contract terms. These typically involve potential risks. There may be cost overruns, tighter import and export regulations or sanctions, staff shortages, technical difficulties or quality problems – including potential contractual penalties – that reduce the margins. KSB therefore continuously trains its employees in project management. Specialist knowledge is to enable them to identify the risks associated with longer-term orders at an early stage. In addition, project managers are provided with appropriate management tools. Decisions are linked to clearly structured approval processes. Furthermore, there is central monitoring of projects exposed to risk across all KSB companies.

There are also technical and financial risks to orders with newly designed products. The aforementioned risks are limited so that intermediate steps for development work are defined and partial solutions are subjected to assessments. Commercial risks are minimised by drafting appropriate contractual clauses. KSB's goal is to ensure that advance payments and collateral provided by customers are structured in such a way that they at least cover the costs incurred. KSB reports no contingent liabilities (previous year: € 1.8 million) for risks that result from warranty obligations and contractual penalties risks and that were not covered by corresponding provisions. Of this amount, € 0.0 million is attributable to KSB SE & Co. KGaA, as in the previous year. Beyond the existing provisions and contingent liabilities disclosed, there are no further risks of relevance related to ongoing projects as at the reporting date.

Finance / Liquidity

The Group's international focus is associated with exchange rate risks. Besides the euro, the most important currencies for KSB are the US dollar, the Indian rupee, the Brazilian real and the Chinese yuan. The Group utilises derivative financial instruments to reduce the liquidity risk related to foreign currency transactions. The extent to which hedging is used varies by business and is based on both established contracts and cash flows expected in the future.

Economic downturns or newly emerging crisis may adversely affect the financial situation of customers. Delayed payments and defaults on receivables as a result of this can burden the earnings. The same effect might occur if the foreign exchange regulations become stricter for individual countries. KSB counters this by means of a strict receivables management system and intensive customer contacts.

KSB SE & Co. KGaA is exposed to the risk of potential non-repayment of loans to subsidiaries in geopolitically unstable regions. A current example is the Russia-Ukraine conflict, which has led to considerable economic sanctions and restrictions. These measures can result in payments not being allowed to leave the country concerned, which makes the repayment of loans significantly more difficult or even impossible. For the Group, on the other hand, there is a risk of losing control over the Russian subsidiary and its investments.

As regards tax matters, the global orientation of the activities of the KSB Group must be taken into consideration. Based on its operative activities in numerous countries with varying tax laws and administrative interpretation, differentiated assessment is required for measuring tax obligations of every jurisdiction. Uncertainty could arise due to different factual interpretations by taxable entities on the one hand and local finance authorities on the other, as well as due to unclear legislative texts. These may come to light during audits. By cooperating closely with external local tax specialists, KSB counteracts the risk of having to pay back taxes. As KSB continually monitors unclear issues, it can generally classify the probability of occurrence. Should a need for subsequent payment arise, the corresponding tax liabilities are recognised in good time. In the Notes to the consolidated financial statements, KSB also reports contingent liabilities of € 1.9 million (previous year: € 0.8 million) from risks associated with income taxes. Of this amount, € 0.0 million is attributable to KSB SE & Co. KGaA, as in the previous year. € 13.0 million (previous year: € 14.1 million) are reported as contingent liabilities for risks from other tax matters. Of this amount, € 0.0 million is attributable to KSB SE & Co. KGaA, as in the previous year.

Procurement

Commodity prices and procurement times are subject to strong market-related fluctuations. An increase in costs for raw materials and components can have a negative impact on the earnings situation if the cost increases cannot be compensated for or passed on to customers. Ineffective supply chains, defined by supply bottlenecks and capacity restrictions, can lead to production bottlenecks and delays in delivery, and adversely affect KSB's business activities. In its procurement strategy KSB seeks to prevent dependencies on suppliers and thereby counter any bottlenecks and delays. If local conditions mean that it is impossible to ensure sufficient diversification in this regard, KSB will make use of additional foreign business partners.

New regulations, such as the introduction of new certification standards for imported products in certain regions, posed a risk for KSB. Such changes in the legal

situation can lead to disruptions in supply chains and consequently in business processes if the corresponding requirements cannot be implemented in time.

To minimise such risks, KSB devises possible solutions at an early stage. In the previous year, this risk was one of the greatest faced by the KSB Group. While it remains present in the reporting year, it has declined in significance.

There is the risk that the availability of critical raw materials such as rare earths will be considerably limited. These materials are relevant to KSB in connection with certain components, particularly in drive systems. Since a significant share of the production of rare earths is concentrated in China, geopolitical tensions or export restrictions could make these materials more difficult to obtain. This in turn could lead to production delays and the need to identify alternative materials or suppliers. KSB constantly monitors the market's development and analyses possible substitutions and the strategic warehousing of affected materials in a proactive manner.

Technology / Research and Development

It is essential to future success to have a product and service range that is suited to the market in terms of technology, price and delivery time. The changing needs of customers together with new standards and regulations – especially in promising markets – require the continuous development and improvement of products and services. The research and development required for their adjustment consumes significant financial and human resources. However, there is no guarantee of commercial success in the medium or long term

To avoid any negative impact on earnings, it is important to recognise the market-related or technical risks early on. To this end, the KSB Group is constantly updating the development process, which incorporates various control levels. As sales employees are regularly included in this process, risks arising from changes in markets or applications can be taken into account in good time in the evaluation.

Environmental, Social and Governance (ESG)

ESG – short for Environmental, Social and Governance – refers to a comprehensive set of standards covering environmental, social and governance aspects for assessing the Group's sustainable and ethical activities. The risks presented here are classified as immaterial both prior to and after corresponding measures.

KSB's business activities, primarily in the area of production, are subject to numerous environmental protection laws and regulations. Environmental damage of any kind (for example, groundwater contamination, renovation needed due to outdated construction materials or unpleasant odours arising from the use of chemicals) may result in costs not covered by insurance policies. Therefore, at all company sites officers monitor compliance with laws and regulations as well as with internal KSB rules. If KSB discovers any contamination, it sets aside provisions to be able to meet obligations for necessary remediation.

In addition, KSB is exposed to risks from climate and natural hazards. In a first step, KSB evaluates its sites with regard to these risks, which include earthquakes, flooding, lightning strikes and wildfires. The occurrence of these risks would lead to disruptions in ongoing business operations at the respective sites. Sites identified to be exposed to risks based on this evaluation are examined in greater detail in relation to risks from climate and natural hazards, in order to develop and implement individual solutions. Basically KSB counters risks from climate and natural hazards by means of a differentiated production network. This facilitates a flexible response to breakdowns at production sites. This risk is no longer one of the greatest net risks in the reporting year.

To achieve its growth and profitability business objectives, KSB needs qualified employees at all locations, including technical specialists. Due to the demographic change in some countries, the competition for these and other highly skilled professionals is increasing, KSB counters this risk with demand-oriented measures, systematic human resources planning and international recruitment programmes.

Other potential risks associated with the activities of KSB's employees include dishonest conduct or violations of laws, which could damage the image of KSB. One risk, for example, is the possible discovery of cases of corruption, particularly at Sales and Purchasing, where there is regular contact with customers and suppliers. The occurrence of such a risk entails the threat of fines and exclusion from public procurement procedures. The KSB Group counters these risks and safeguards its reputation among customers by organising regular compliance training and through individual initiatives in critical regions.

Other Business-specific Opportunities and Risks

The worldwide increase in threats to IT security and cyber crime entail a risk in terms of the security of systems and networks, as well as the confidentiality and availability of data. KSB plans to further expand IT security in the years ahead as part of a multi-year programme.

In principle, there is a risk that laws and regulations on the processing and use of personal data may be violated. Violations of data privacy provisions can lead to penalties with an impact on earnings. Process control and awareness-raising measures are designed to ensure compliance with data privacy requirements within the KSB Group.

The digitalisation of processes helps to make them transparent. KSB uses a process mining tool for this purpose. This approach specifically demonstrates the company processes and identifies any weaknesses and where there is room for improvement. This forms the basis for the continuous development of the internal workflows from start to end of a process.

Legal disputes cannot always be avoided within the framework of business activities. These risks are usually disputes arising from operative business, generally involving unclear warranty issues or labour law disputes. In some cases, the continuous further and new development of products can lead to similarities with competitors' products. KSB limits the risk of resulting legal dispute by submitting patent applications at an early stage of the product development. If as a result of these issues KSB expects negative effects on the success of its business with a probability of occurrence of more than 50 %, corresponding provisions are set aside, which cover not only the anticipated amount of loss, but also the costs of proceedings. In addition, KSB reports contingent liabilities in the amount of € 10.2 million (previous year: € 2.0 million) in the Notes to the consolidated financial statements. € 0.0 million of this is attributable to KSB SE & Co. KGaA (previous year: € 1.0 million).

Strategic Opportunities and Risks

Strategic risks are the uncertainties and threats arising from strategic decisions and the business environment. They can impair the long-term performance and competitiveness of a company. They are closely linked with a company's long-term objectives, orientation and success. Strategic risks typically arise from the complexity and dynamics of the business environment. The occurrence of such risks can be far-reaching and impact a company's long-term growth, profitability and image, among other things. It is therefore crucial to recognise and evaluate strategic risks in order to take appropriate measures. The strategic risks presented here are long-term in nature and therefore mainly affect time horizons that extend beyond the following financial year.

KSB perceives stricter environmental regulations to pose a risk with regard to approvals and production, as certain materials or processes could be limited or prohibited in the future. Even regulations that will only come into force in a number of years could have a negative impact on KSB's business. They include, but are not limited to, regulations in connection with per- and polyfluoroalkyl substances (PFAS). These mainly relate to regions with existing and / or increasingly strict regulations, in particular the European Union, the USA and Canada, which are among the most active zones in terms of restricting PFAS. KSB is addressing this material risk by defining clear measures to identify potential violations early on and deal with them in a consistent manner.

If the continuous monitoring of the current market situation and forecast developments lead to acquisition plans, there is always a risk that these will fail before a contract is concluded. This risk is no longer one of the greatest net risks in the 2025 financial year.

Risk Report on the Utilisation of Financial Instruments

Central Finance Management in the KSB Group performs its duties within the framework of the guidelines laid down by KSB Management SE as the legal representative. The KSB Group bases the nature and scope of all financial transactions exclusively on the requirements of its business. It does not lend itself to business of a speculative nature. The aim is to ensure liquidity at all times and to finance activities under optimal conditions. In export business transactions, foreign exchange and credit risks are hedged. KSB continuously improves its receivables management methods with the goal of settling outstanding amounts by their due dates.

KSB is exposed to the following financial risks as a consequence of its business activities.

KSB is exposed to credit risk, which is defined as potential default or delays in the receipt of contractually agreed payments. KSB is also exposed to liquidity risk which is the risk that an entity will be unable to meet its financial obligations, or will be unable to meet them in full. In addition, KSB is exposed to market price risk. Exchange rate or interest rate changes may adversely affect the economic position of the Group. Risks from fluctuations in the prices of financial instruments are not material.

Foreign exchange hedges are used to reduce the risks from transactions involving different currencies. These are generally currency forwards, which KSB uses both for transactions that have already been recognised and for future cash flows from orders still to be processed. At year end, the notional volume of currency forwards used to hedge exchange rate risks totalled € 282.3 million

(previous year: € 288.2 million). € 222.1 million of this is attributable to KSB SE & Co. KGaA (previous year: € 230.2 million). The hedged currency risk is mainly in US dollars. A global network of production sites in the local sales markets reduces potential currency risks.

All these risks are limited through an appropriate risk management system, defining how these risks are addressed through guidelines and work instructions. In addition, the current risk characteristics are continuously monitored and the information obtained in this way is provided to the Managing Directors and the Supervisory Board in the form of standardised reports and individual analyses.

For more information on the three risk areas and the impact on the balance sheet, see the Notes, Section VI. Additional Disclosures on Financial Instruments.

Overall Assessment of Opportunities and Risks

The assessment of the KSB Group's overall opportunity and risk situation is summarised in a consolidated appraisal. Compared with the previous year, there was no material change in the overall risk situation for KSB, which is essentially measured in terms of value at risk; the situation thus remains within the Group's risk appetite. This shows that KSB has sufficient financial resources to cover potential risks and ensure financial stability.

One of the KSB Group's material risks is the further escalation of current crises, in particular the China-Taiwan conflict. As in the previous year, Russia's war of aggression against Ukraine is also of significance, while other individual risks identified previously have lessened in importance. The imminent protectionist measures were anticipated in the Group's planning. Nevertheless, a particular amount of uncertainty remains, as further measures cannot be ruled out. The developments in the Middle East were reassessed internally in the reporting year and determined to be less relevant for the KSB Group in comparison to the previous year.

The risk management system in place as well as the related organisational measures allow KSB Management SE as the legal representative to identify risks in a timely manner and to take adequate measures. The focus of activities in 2026 will be on the material risks described above. On the basis of the risk management system established by the KSB Group, and taking into account the regulatory requirements (IDW PS 340 n. F.), the legal representative states that at the present time, according to the analysis of the KSB Group's overall risk position and risk-bearing capacity, no threat has been identified to business continuity.

Disclosures Relating to KSB SE & Co. KGaA (HGB)

Balance Sheet of KSB SE & Co. KGaA (HGB)

Assets

€ millions	31 Dec. 2025	31 Dec. 2024
Fixed assets		
Intangible assets	39.2	39.1
Property, plant and equipment	221.3	196.2
Financial assets	366.4	358.1
	627.0	**593.4**
Current assets		
Inventories	284.5	291.3
Advances received from customers	-73.4	-83.5
	211.1	**207.7**
Receivables and other assets	378.2	367.2
Cash and balances with credit institutions	96.6	114.0
	474.8	**481.2**
Prepaid expenses	**10.1**	**7.2**
	1,322.9	**1,289.6**

Equity and Liabilities

€ millions	31 Dec. 2025	31 Dec. 2024
Equity		
Subscribed capital	44.8	44.8
Capital reserve	66.7	66.7
Revenue reserves	136.2	136.2
Net retained profits	197.1	128.2
	444.7	**375.8**
Provisions		
Pensions and similar obligations	503.0	516.2
Miscellaneous other provisions	114.4	132.5
	617.4	**648.7**
Liabilities	**260.7**	**265.0**
	1,322.9	**1,289.6**

Income Statement of KSB SE & Co. KGaA (HGB)

Income Statement

€ millions	2025	2024
Sales revenue	**1,030.9**	**963.8**
Changes in inventories	-1.0	13.6
Work performed and capitalised	4.5	1.9
Total output of operations	**1,034.3**	**979.2**
Other operating income	53.4	31.3
Cost of materials	-442.7	-410.4
Staff costs	-397.7	-382.7
Depreciation and amortisation on intangible assets under fixed assets and property, plant and equipment	-24.6	-23.3
Other operating expenses	-204.7	-197.4
	18.0	**-3.4**
Income from equity investments	112.7	104.6
Other finance income / expense	-0.2	-2.1
	112.5	**102.5**
Taxes on income	-13.6	-12.2
Earnings after taxes	**116.9**	**87.0**
Other taxes	-1.3	-1.7
Net profit / loss for the year	**115.6**	**85.3**
Profit / loss carried forward	81.5	42.9
Appropriation to other revenue reserves	–	–
Net retained earnings	**197.1**	**128.2**

Business Model of KSB SE & Co. KGaA

KSB SE & Co. KGaA, as the parent, directly or indirectly holds the shares in the companies belonging to the KSB Group. The KSB Group is managed via KSB SE & Co. KGaA, which is at the same time the Group's largest operative company. The central administrative offices are located at the company's seat (registered office) in Frankenthal; branch operations are located in Bremen, Halle and Pegnitz.

KSB SE & Co. KGaA is associated via control and profit transfer agreements with the following German service companies: KSB Service GmbH, Frankenthal, KSB Service GmbH, Schwedt, Uder Elektromechanik GmbH, Friedrichsthal, Dynamik-Pumpen GmbH, Stuhr, PMS BERCHEM GmbH, Neuss, Pumpen Service Bentz GmbH, Reinbek, and KSB KAGEMA GmbH, Pattensen, as well as with the holding company KSB Finanz GmbH, Frankenthal. These companies are therefore under single management by KSB SE & Co. KGaA. Their annual earnings are transferred to KSB SE & Co. KGaA.

The annual financial statements of KSB SE & Co. KGaA have been prepared in accordance with the provisions of the *Handelsgesetzbuch* (HGB) [German Commercial Code] and the *Aktiengesetz* (AktG) [German Public Companies Act] including the German principles of proper accounting.

Differences between the accounting methods under HGB and the International Financial Reporting Standards (IFRS), which are the basis of preparation for the consolidated financial statements of KSB, arise primarily from the recognition over time of revenue from customer contracts under IFRS 15, in the calculation of pension provisions, from the recognition of leases under IFRS 16 and in the capitalisation of deferred taxes. Furthermore, differences arise in the recognition of assets and liabilities and of income statement items; under HGB there is expanded scope for the recognition of sales revenue.

Business Development and Results of Operations (IFRS) of KSB SE & Co. KGaA

In the 2025 financial year, the economic environment was characterised by a global reluctance to invest, a noticeable downturn in business activity in key sales regions and negative currency translation effects. Despite these challenges, KSB SE & Co. KGaA succeeded in improving its operational performance and advancing its strategic development as planned. The key indicators it has achieved attest to the sustainability of its corporate development and the effective implementation of the measures defined in the Mission TEN30 strategy in a demanding economic environment.

Order intake under IFRS remained at the level of the previous year. Sales revenue under IFRS increased moderately. There was a strong improvement in EBIT under IFRS compared with the prior-year figure. The key performance indicators – order intake, EBIT and sales revenue under IFRS – are, as described in the Control System section, the material financial performance indicators, which are also used for controlling KSB SE & Co. KGaA.

Order Intake

The volume of orders received by KSB SE & Co. KGaA rose by € 2.8 million to € 892.6 million in the reporting year, an increase of 0.3 %. Despite the economic slowdown in Germany, KSB SE & Co. KGaA's diversification across numerous regions and markets helped it maintain its order intake at the level of the previous year.

Sales Revenue

Under IFRS, sales revenue fell moderately to € 916.2 million compared with € 875.9 million in the previous year. Here, new business with pumps saw moderate growth. This was primarily due to a strong sales revenue increase in the Water business; sales revenue in the Mining Market, however, developed in the opposite direction. New business with pumps in the Energy Market held steady at the level of the previous year, and sales of standard pumps for General Industry recorded moderate declines. There was a strong rise in valve sales in the reporting year. The KSB SupremeServ Segment achieved a slight increase in sales revenue thanks to higher sales of spare parts.

Earnings before Finance Income / Expense and Income Tax (EBIT)

The EBIT determined in accordance with IFRS amounted to € –10.0 million in the 2025 financial year (previous year: € –12.3 million). The external costs for the migration of the SAP R/3 system to SAP S/4HANA had a significant negative impact on EBIT at € 26.6 million (previous year: € 15.4 million). Larger insurance compensation payments and research subsidies also had an impact.

Results of Operations (HGB) of KSB SE & Co. KGaA

Sales Revenue

At € 1,030.9 million, total sales revenue under HGB was up € 67.1 million on the prior-year figure of € 963.8 million.

The disclosures below refer only to sales revenue from the sale of pumps, valves and spare parts as well as services. Sales revenue of € 912.3 million generated in

the 2025 financial year represents a year-on-year increase of € 49.1 million (5.7 %).

67.4 % of sales revenue relates to new business with pumps, 11.4 % to new business with valves, and 21.2 % to KSB SupremeServ, which comprises all the service and spare parts business. The breakdown of sales revenue is broadly similar to that of the previous year.

Other sales revenue amounting to € 118.5 million (previous year: € 100.6 million) largely comprises services for Group companies, which accounted for € 113.3 million (previous year: € 95.3 million. The increase relating to services for Group companies essentially results from recharging expenses for the migration of the SAP R/3 system to SAP S/4HANA.

Income and Expenses

Other operating income rose from € 31.3 million to € 53.4 million. This increase was mainly due to higher currency translation gains.

The cost of materials, at € 442.7 million, was significantly above the previous year's level of € 410.4 million. The cost of materials as a percentage of the total output of operations rose from 41.9 % in the previous year to 42.8 % in the reporting year. This is due in particular to changes to the product mix.

Staff costs increased in absolute terms by € 15.0 million to € 397.7 million. Higher wages and salaries due to the collectively agreed pay adjustment as from April 2025 as well as provisions for profit bonuses had an impact here. Pension costs showed a contrary trend. At 38.5 %, staff costs as a percentage of total output of operations were down on the previous year's figure of 39.1 %.

At € 204.7 million, other operating expenses showed a slight increase after € 197.4 million in the previous year. In addition to a general increase in costs, higher expenses related to currency and exchange rate losses (€ 15.3 million) and cost transfers from Group companies (€ 5.0 million) contributed to the rise. Lower additions to provisions for warranties and penalties showed a contrary trend.

Overall, income from equity investments, at € 112.7 million, was significantly up from the prior-year level (€ 104.6 million). This item includes profit transfers from the German controlled companies of € 57.7 million (previous year: € 53.9 million) and dividend income from affiliates and equity investments of € 55.0 million. Other finance income / expenses improved from € –2.1 million to € –0.2 million. This increase was caused by the interest rate effect on pension provisions.

The sharp growth in taxes on income from € -12.2 million to € -13.6 million was due to the strong increase in earnings before taxes.

Net Profit / Loss for the Year

A noticeable increase in total output of operations and other income, alongside significant increases in operating expense items, resulted in improved operating earnings of € 18.0 million (previous year: € -3.4 million). Finance income / expense rose sharply. As a result, KSB SE & Co. KGaA generated a net profit of € 115.6 million in the 2025 financial year; this compares with a net profit of € 85.3 million in the previous year.

Financial Position and Net Assets (HGB) of KSB SE & Co. KGaA

Financial Position

KSB SE & Co. KGaA is embedded within central financial management at the KSB Group. The latter works within the framework of the guidelines laid down by KSB Management SE as the legal representative and bases the nature and scope of all financial transactions exclusively on the requirements of the business. The objective of financial management is to guarantee liquidity at all times and to ensure the financing of activities on optimum terms. In financing export transactions, KSB SE & Co. KGaA hedges foreign exchange and credit risks. KSB continuously improves its receivables management methods with the goal of settling outstanding amounts by their due dates.

Liabilities and Provisions

The largest liabilities item, as in the previous year, was pension provisions, which amounted to € 503.0 million (previous year: € 516.2 million) as at the reporting date. Other provisions, at € 114.4 million, were much lower than in the previous year (€ 132.5 million). This was due to security deposits being offset by personnel provisions and lower provisions for warranties.

Of liabilities totalling € 260.7 million (previous year: € 265.0 million), € 74.4 million was accounted for by trade payables at year end (previous year: € 71.8 million). Liabilities towards affiliates and equity investments decreased significantly from € 182.8 million in the previous year to € 173.3 million. They include € 144.3 million (previous year: € 154.0 million) for intercompany loans and cash investments.

Net Assets

Total assets, at € 1,322.9 million, are up 2.6 % on the prior-year level of € 1,289.6 million.

In the reporting year, fixed assets made up 47.4 % (previous year: 46.0 %) of total assets. Intangible assets, property, plant and equipment with a historical cost of € 712.4 million have carrying amounts of € 260.5 million. The focus continued to be on replacement investments in manufacturing facilities. The rise in financial assets from € 358.1 million to € 366.4 million is essentially attributable to capital increases and the addition of an equity investment.

The share accounted for by current assets was 52.6 %, following 54.0 % in 2024. Inventories rose moderately from € 207.7 million in the previous year to € 211.1 million. Advances received from customers were lower, amounting to € 10.1 million, compared with inventories of € 284.5 million (previous year: € 291.3 million). In addition, receivables and other assets rose by € 11.0 million. Higher trade receivables from affiliates and cash investments in the Group attributed to this in particular. Cash and balances with credit institutions decreased by € 17.3 million.

Equity

The share capital of KSB SE & Co. KGaA remained at € 44.8 million. The capital reserve was unchanged at € 66.7 million. At year end, € 136.2 million (previous year: € 136.2 million) was assigned to other revenue reserves. Out of the 2024 net retained earnings of € 128.2 million, dividends totalling € 46.6 million (dividend of € 26.50 per ordinary share and € 26.76 per preference share) were distributed by resolution of the Annual General Meeting on 8 May 2025. The remaining amount of € 81.5 million was carried forward to new account.

Summary of the Performance in the Financial Year of KSB SE & Co. KGaA

The forecasts made at the beginning of the year were not fulfilled. Sales revenue under IFRS rose moderately; a noticeable increase had been planned. Order intake remained steady at the level of the previous year. Expectations at the beginning of the year foresaw a significant increase. The strong decline that was forecast for EBIT under IFRS did not occur; instead, EBIT under IFRS improved markedly in the reporting year. The reasons for this are explained in more detail in the Earnings Before Finance Income / Expense and Income Tax (EBIT) Under IFRS sub-section of this report.

Opportunities and Risks

The business performance of KSB SE & Co. KGaA depends significantly on the risks and opportunities faced by the KSB Group, which are set out in detail in the Report on Expected Developments and the Opportunities and Risks Report in the Combined Management Report. KSB SE & Co. KGaA generally shares in the opportunities and risks of its equity investments and subsidiaries in line with its equity interest.

Report on Expected Developments of KSB SE & Co. KGaA

In its forecast, KSB SE & Co. KGaA essentially makes the same assumptions regarding the development of global economic conditions as the KSB Group.

Overall, KSB SE & Co. KGaA foresees moderate growth in sales revenue under IFRS in the 2026 financial year. This growth is being driven across all Segments in equal measure. In particular, strong growth in new business with pumps in the Energy Market will drive this development. As regards order intake, strong increases are expected. The Group is forecasting a noticeably higher number of orders received in new business with pumps and for KSB SupremeServ. EBIT under IFRS is expected to fall sharply compared with the 2025 financial year. This decline is attributable, among other things, to the ongoing high level of expenses for the migration of the SAP R/3 system to the SAP S/4HANA system. Stable development is expected in operational business activities.

The forecast horizon for the above-mentioned information and statements is the 2026 financial year.

The forecast may be influenced in particular by the continuing geopolitical tensions.

2.2

Corporate Governance

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Acquisition-related Disclosures

A summary of the acquisition-related disclosures required by Sections 289a and 315a HGB [*Handelsgesetzbuch* – German Commercial Code] is given below and explanatory information is provided pursuant to Section 176(1) AktG [*Aktiengesetz* – German Public Companies Act].

The share capital of KSB SE & Co. KGaA (the company) amounts to € 44.8 million, of which € 22.7 million is represented by 886,615 no-par-value ordinary shares and € 22.1 million by 864,712 no-par-value preference shares. Each no-par-value share represents an equal notional amount of the share capital. All shares are bearer shares. They are listed for trading on the regulated market and are traded in the Prime Standard segment of the Frankfurt Stock Exchange.

Each ordinary share entitles the holder to one vote at KSB SE & Co. KGaA's Annual General Meeting. Johannes und Jacob Klein GmbH, Frankenthal, holds approximately 84 % of the ordinary shares; the KSB Stiftung [KSB Foundation], Stuttgart, holds the majority of the shares of Johannes und Jacob Klein GmbH. The preference shares carry separate cumulative preferred dividend rights and progressive additional dividend rights. Detailed information on the share capital and shareholders holding an interest of more than 10 % is provided in the Notes to the consolidated financial statements. Holders of preference shares are entitled to voting rights only in the cases prescribed by law. The issue of additional ordinary shares does not require the consent of the preference shareholders. Similarly, the issue of additional preference shares does not require the consent of the preference shareholders provided that the subscription rights do not exclude newly issued senior or pari passu preference shares.

The company is authorised by a resolution passed at the Annual General Meeting on 8 May 2025 to acquire during the period up to (and including) 7 May 2030, for any permitted purpose, ordinary and/or preference shares of the company up to a total of 10 % of the share capital of KSB SE & Co. KGaA existing at the time the resolution is adopted or – if this value is lower – at the time the authorisation is exercised. The general partner shall be entitled to use treasury shares acquired in such a way for any permitted purpose, including but not limited to the following: (1) The acquired treasury shares may be redeemed without the redemption or its execution requiring any further resolution by the Annual General Meeting. The general partner may also determine that the share capital remains unchanged by the redemption and that, instead, the portion of share capital that the remaining shares represent is increased pursuant to Section 8(3) AktG. (2) The acquired treasury shares may also be sold in ways other than over the stock exchange or by way of an offer to all shareholders if the shares are sold for cash at a price that is not materially lower than the stock exchange price of the company's shares of the same type and with the same features at the time of the sale. However, this authorisation shall only apply subject to the proviso that the shares sold to the exclusion of the pre-emptive right pursuant to Section 186(3), sentence 4 AktG shall not exceed a total pro-rata amount of 10 % of the share capital, either at the time this authorisation enters into effect or at the time it is exercised. Any shares issued from authorised capital during the term of this authorisation to the exclusion of the pre-emptive right pursuant to Sections 203(2), sentence 2, and 186(3), sentence 4 AktG shall be counted towards this limit. In addition, shares to be issued to service bonds and/or participation rights with conversion or option rights or a conversion or option obligation shall also count towards this limit if the bonds and/or participation rights are issued during the term of this authorisation to the exclusion of the pre-emptive right in corresponding application of Section 186(3), sentence 4 AktG. (3) The acquired treasury shares may be sold for a contribution in kind, in particular for the acquisition of companies, parts of companies or interests in companies. (4) Finally, the acquired treasury shares may be used to fulfil conversion or option rights that were granted by the company or a domestic or foreign enterprise in which the company directly or indirectly holds a majority of the votes and capital when issuing bonds and/or participation rights, or to fulfil conversion or option obligations from bonds and/or participation rights issued by the company or a domestic or foreign enterprise in which the company directly or indirectly holds a majority of the votes and capital.

The above-mentioned authorisations (1) to (4) on the use of shares of the Company acquired on the basis of previous authorisation resolutions in accordance with Section 71(1) No. 8 AktG or another legal basis, and of such shares acquired by controlled enterprises or enterprises in which the Company holds a majority ownership interest, or pursuant to Section 71d, sentence 5 AktG. The authorisations may be exercised once or several times, in whole or in part, individually or jointly, and also by controlled enterprises or enterprises in which KSB SE & Co. KGaA holds a majority ownership interest, or by third parties acting for their account or for the account of the company.

Where treasury shares are used in accordance with the aforementioned authorisations (2) to (4), the pre-

emptive right of the shareholders to these treasury shares is excluded. In addition, the general partner shall, in the event of an offer for treasury shares to the shareholders, be authorised to grant to the creditors of bonds and/or participation rights with conversion or option rights or a conversion or option obligation issued by the company or a domestic or foreign enterprise in which the company directly or indirectly holds a majority of the votes and capital, a pre-emptive right to shares to the extent to which they would be entitled after exercising the conversion or option right or after fulfilling a conversion or option obligation. To this extent, the shareholders' pre-emptive right to such treasury shares shall also be excluded.

The company has not yet made use of this authorisation to purchase treasury shares.

There are no resolutions by the Annual General Meeting authorising the company's individually liable general partner to increase the share capital (authorised capital).

The company's business is managed by KSB Management SE, which is supervised by the Administrative Board and acts through the Managing Directors.

Amendments to the company's Articles of Association are resolved by the Annual General Meeting. If the amendments only affect the wording of the Articles of Association, they can be made by the Supervisory Board, which operates and is formed in accordance with the regulations of the *Mitbestimmungsgesetz* [German Co-determination Act].

Corporate Governance Statement (Section 315d HGB in Conjunction with Section 289f HGB)

The Corporate Governance Statement pursuant to Section 315d HGB in conjunction with Section 289f HGB [*Handelsgesetzbuch* – German Commercial Code] dated 11 March 2026 is accessible to the public at ksb.com/en-global > Investor Relations > Corporate Governance / Statement and Report. The Corporate Governance Statement contains the content specified in Section 298f HGB, including the Statement of Compliance in accordance with Section 161 AktG, as well as the relevant information on corporate governance practices applied at KSB SE & Co. KGaA that go above and beyond statutory requirements. Also described are in particular the working methods of KSB Management SE as the general partner and of the Supervisory Board, and the composition and working methods of the committees of the Supervisory Board.

Corporate Governance Systems*

KSB has an internal control system, a risk management system and a compliance management system, which are important elements of corporate governance. In the following section, KSB describes these systems in accordance with A.5 DCGK 2022 recommendation.

Risk Management System (RMS) and Internal Control System (ICS)

The accounting-related internal control system comprises principles, processes and measures aimed at ensuring the correctness and reliability of the accounting system. This system ensures, for example, that reliable accounting-related information is complete and provided in a timely manner.

Further information on characteristics of the accounting-related internal control system is provided in the Opportunities and Risks Report under Internal Control System and Risk Management System with Regard to the Group Accounting Process.

Controls are also in place in the operative business processes of the Corporate Functions and KSB's decentralised units for handling the risks involved in the business activities. A comprehensive internal control system is set up at KSB by conceptually integrating the accounting-related internal control system with the current elements of an internal control system in the operative business processes beyond accounting.

Risk management is the most important instrument the Managing Directors of KSB have to ensure that all negative and positive developments are reported to them systematically and in a timely manner, and that appropriate measures can be implemented. In addition, risk management is critical for reporting about the risks and developments that could threaten the continued existence of KSB. Group risk management therefore comprises all the organisational rules and methods for recognising and managing opportunities and risks that arise in relation to Corporate Functions and decentralised units, and from markets and business activities. KSB's risk management is oriented on the basic elements of IDW PS 981 published by the German Institute of Public Auditors.

Further information on characteristics of the risk management system is provided in the Opportunities and Risks Report under Risk Management System.

Compliance Management System

Compliance in terms of implementing measures to ensure observance of applicable law and internal guidelines by Group units is one of the key management tasks of the general partner, which in this regard also acts through its Managing Directors. The requirement for professional and honest conduct is expressed within the Group-wide Code of Conduct.

Some fundamental statements contained in the Code of Conduct are addressed in more detail in other, separate directives and guidelines. This particularly applies to the areas of anti-trust or cartel law and anti-corruption measures. The applicable legal bases in this respect are explained in greater detail and useful information on proper conduct in actual situations is provided. The latter equally applies to the Insider Directive, which deals with the ban on insider trading and handling of inside information. Further compliance sub-areas that are material to the company (such as data privacy and protection, export control, money laundering prevention) are assigned to the specific specialist departments for processing.

All material structures and processes of the compliance management system, including handling of violations, are compiled in the Compliance Manual which is available to the employees. In the case of proven violations, consistent sanctions are imposed based on a "zero tolerance" policy.

Responsibility for the compliance organisation lies with the general partner, acting through its Managing Directors, who are monitored by the Supervisory Board (Audit Committee) in this regard.

The compliance organisation is structured as follows:

- Group Compliance Office
- Local Compliance Offices
- Compliance Committee
- Ombudsperson

* Disclosures unrelated to the management report that are excluded from the factual review of the management report by the auditors

The Group Compliance Officer (hereinafter also "GCO") heads the Group Compliance Office. In the Group Compliance Office, the GCO is supported by the Regional Compliance Officers. In addition, there are Local Compliance Offices in place throughout the Group in countries in which KSB Group companies have their registered office; they usually consist of the Local Compliance Officer. Where several Local Compliance Officers are appointed in a country, they may be headed by a Country Compliance Officer.

An interdisciplinary Compliance Committee at Group headquarters provides advice on fundamental compliance issues as well as support to the Group Compliance Office in fulfilling its responsibilities.

If employees or third parties become aware of infringements of the KSB Code of Conduct, i.e. in particular violations of laws or company guidelines, they can get in touch with internal contacts or an external ombudsperson with the relevant information, also anonymously if they wish. The ombudsperson will immediately contact the Group Compliance Office with regard to processing such information.

Consistent further advancements of the compliance management system were made in the past financial year. A central focus of these activities related to the implementation of an automated registration process for newly designed compliance training courses. This new process was applied for the first time as part of training measures that were carried out throughout the Group. It is making a key contribution to the long-term optimisation of process efficiency and the further harmonisation and standardisation of compliance qualification procedures at the Group. Once again, the specific handling of compliance regulations at a selected national company was assessed on site, namely at KSB Pumps and Valves (Pty) Ltd., South Africa. The potential for improvement and modernisation identified during this process will be implemented in the current financial year. A further point of focus involved the continuation of Group-wide risk analysis in the areas of anti-corruption and cartel / anti-trust law. This was supplemented by special risk analyses for selected sub-areas of compliance. As part of the Group's annually rolling audits, another of its decentrally organised sub-areas of compliance was analysed, again with the support of PricewaterhouseCoopers GmbH. The results are being incorporated into the ongoing further development of the Group-wide compliance structure. Work also continued on coordinating the closer integration of the compliance management system and the internal control system in order to strengthen the overarching monitoring function. The targeted preventive effect of compliance measures is rounded off by the specific review of operative projects for compliance with the regulations.

Statement on Appropriateness and Effectiveness

The internal control system, the risk management system and the compliance management system are subject to process-integrated and process-independent monitoring. Responsibility for process-integrated monitoring lies with the relevant Corporate Functions and decentralised units. The Internal Audits department is responsible for process-independent monitoring of the systems.

Process-independent monitoring of the internal control system comprises an audit of material controls along selected business processes at the level of Corporate Functions and decentralised units. The basis for this is a risk-oriented audit plan of the Internal Audits department, which is updated annually or as needed in a given situation.

Internal Audits also regularly reviews the risk management system for appropriateness and effectiveness on the basis of relevant standards, such as the DIIR Audit Standard No. 2: Audit of the Risk Management System by Internal Audits.

Finally, the appropriateness and effectiveness of the compliance management system is also continuously monitored by Internal Audits, mainly in the course of general or special audit measures. For example, the application of compliance regulations in the company is monitored in the form of employee surveys or in-depth analysis of relevant operative projects. In addition, selected parts of the compliance management system occasionally undergo external analyses by auditors, which are based on the requirements of IDW PS 980. The Audit Committee of the Supervisory Board is always involved in these processes and their findings, in particular to facilitate independent monitoring of the compliance management system by the Committee.

The Managing Directors are involved in monitoring the appropriateness and effectiveness of the systems by coordinating the specific key areas for the audit by Internal Audits, commissioning external auditors, managing a Group Compliance Office and maintaining regular dialogue with those responsible for the governance systems, among other things.

Based on the continuous findings from the aforementioned monitoring measures, the Managing Directors have no evidence that would call into question the appropriateness and effectiveness of the compliance management system, the risk management system and the internal control system.

2.3

Group Sustainability Statement

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Group Sustainability Statement*

Sustainability is one of KSB's strategic pillars and has always been a key focus of its business activities. The company understands sustainability to encompass environmental responsibility and the responsible use of resources, as well as its responsibility to employees and its corporate social commitment. These topics are covered in this combined sustainability report pursuant to Sections 315b, 315c and 289b(5) HGB [*Handelsgesetzbuch* – German Commercial Code] and Regulation (EU) 2020/852 of the European Parliament and of the Council, as amended on 27 June 2023, on the Establishment of a Framework to Facilitate Sustainable Investment, and Amending Regulation (EU) 2019/2088 (hereinafter referred to as the EU Taxonomy Regulation). This report fulfils the requirements of the proposed national legislation transposing Directive (EU) 2022/2464 as regards corporate sustainability reporting, as amended by Directive (EU) 2025/794, and combines the statement at company level with the Group Sustainability Report.

The sustainability report of KSB SE & Co. KGaA has been combined within the sustainability report for the KSB Group because a consolidated ESRS report is relevant and meaningful for the stakeholders due to the integration of the activities of KSB SE & Co. KGaA within the processes of the Group as a whole. There was no separate application of a framework within the meaning of Section 289d HGB for the parent company.

A non-financial report was prepared for the first time in the 2024 Annual Report on the basis of the European Sustainability Reporting Standards (ESRS) published by the European Financial Reporting Advisory Group (EFRAG).

Although EU Directive 2022/2464 as regards corporate sustainability reporting (CSRD) had not yet been transposed into German law by the end of 2025, KSB elected to prepare this report in alignment with the recognised ESRS framework (Set 1) and the EU Taxonomy Regulation.

The report was prepared in accordance with the ESRS in the amended German version of Regulation (EU) 2024/90457 and Commission Delegated Regulation (EU) 2025/1416.

The sustainability aspects to be reported in accordance with the ESRS are determined by the double materiality assessment, which assesses the company's impacts on the environment and society as well as the risks and opportunities that arise for the company. KSB conducted this double materiality assessment for the first time at the end of 2023 / beginning of 2024. The results were reviewed in the course of 2025. The review did not identify any material changes.

KSB uses the criteria set out in ESRS 1 to assess both actual and potential environmental, social and governance (ESG) impacts throughout the value chain (over short-, medium- and long-term time horizons).

The indicators presented in the sustainability report are consistent with the definitions in the ESRS. Any deviations are indicated and explained.

The policies, actions and targets presented for KSB at Group level are also pursued at the level of the parent company KSB SE & Co. KGaA, unless expressly stated otherwise.

Since this is the first year that KSB is applying the ESRS, it has used the relief provided for under ESRS 1.136, whereby comparative information in accordance with ESRS 1.83 is not required to be disclosed in the first reporting period. This means that disclosures from the previous year are only comparable to a limited extent.

Pursuant to Section 289c(1) HGB, the non-financial report must include a brief description of KSB's business model.

Pursuant to Section 289c(2) HGB, the non-financial report must also refer to the following five aspects:

- Environmental matters
- Employee-related matters
- Social matters
- Respect for human rights
- Combating corruption and bribery

*The contents of this section are not part of the scope of statutory auditing of financial statements, but were subject to a separate limited assurance engagement performed by the auditors.

In accordance with its business model, KSB supplies customers worldwide with high-quality pumps and valves as well as related support services. The company develops the vast majority of its products itself and manufactures them in factories on four continents. The products are sold via its own sales organisation, supported by dealer networks comprising selected partners. Further details about the KSB business model are provided in Section ESRS 2 – "Strategy, business model and value chain of the sustainability report (SBM-1)".

As a member of the UN Global Compact, KSB commits to aligning its business activities with ten universal principles. The Global Compact principles apply equally to managers and employees throughout the company as well as to all suppliers and business partners.

Risks Related to Non-financial Aspects

KSB has not identified any material risks, as assessed based on the net risk method, associated with its own business and the business relationships of the company or its products and services which, in all probability, have or could have a serious negative impact on non-financial aspects pursuant to Section 289c HGB such as the environment, anti-corruption, human rights, employee concerns and social issues. All other risks affecting business activities are described in the Sustainability Statement and the Opportunities and Risks Report section in the Combined Management Report.

Environmental matters

A detailed presentation of environmental matters is provided in the Environmental Information section of this report (ESRS E1, E2 and E3, from page 127).

Employee-related matters

A detailed presentation of employee-related matters is provided in the Social Information section (ESRS S1, from page 158).

Social matters

KSB seeks to make an active contribution to society through its commitment to social initiatives. This includes financial contributions to organisations engaged in social projects. Through this commitment, KSB seeks to contribute to the development of the common good.

KSB supports social projects and initiatives worldwide, even though such support is not material for its business.

KSB's binding Donation Directive sets out for which purposes and under which conditions the company may make financial or material commitments. In this context, the focus is on supporting organisations, projects and measures dedicated to the education, social support and protection of children and young people. The company is also committed to helping the disadvantaged. In the event of disasters it provides assistance to both people and organisations. KSB also supports organisations and projects that promote local sports and those that engage in sustainability and environmental protection.

The company's social engagement sees KSB making a contribution towards achieving the United Nations' 17 Sustainable Development Goals.

A comprehensive policy for social matters was not defined as no material risks resulting from the business activities of KSB or its suppliers with regard to the topic-specific standards S3 and S4 were identified in the double materiality assessment in accordance with ESRS.

Respect for human rights

More information on policies relating to respect for human rights is provided in the Social Information section (ESRS S1 and S2, from page 158).

Combating corruption and bribery

A detailed presentation of the policy for combating corruption and bribery is provided in the Information on Corporate Governance section (ESRS G1, from page 185).

General Information

85 Governance
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ESRS 2 General Disclosures

General basis for preparation of the Sustainability Statement (BP-1)

Framework and data basis

The sustainability report has been prepared in accordance with the requirements of the European Sustainability Reporting Standards (ESRS) published by the European Financial Reporting Advisory Group (EFRAG). The KSB Group presents the sustainability issues that are material to its business activities and the impacts of these activities on different sustainability matters.

A double materiality assessment (DMA) was conducted to identify the material IROs (impacts, risks and opportunities) and the material topics derived from these, which are presented in the Environmental Information, Social Information and Information on Corporate Governance sections.

The implementation process and methodology of the DMA are described in the General Information section of this report.

The reporting of all data points on greenhouse gas (GHG) emissions (Scope 1–3 emissions) is based on the Greenhouse Gas Protocol (as amended in 2004).

Where individual indicators have been reviewed by third parties, this is noted for the indicator in question.

Consolidated Group

This sustainability report has been prepared on a consolidated basis.

The information in this report relates to KSB SE & Co. KGaA and the companies directly or indirectly controlled by it.

The reporting period for this sustainability report is the 2025 financial year.

The consolidated Group for the sustainability report corresponds in principle to the consolidated Group for the financial statements plus the companies which KSB has not included in the consolidated financial statements for reasons of lack of financial materiality.

KSB has not identified any associates or joint ventures over which it has operational control.

This sustainability report includes climate and environmental indicators for new companies or companies acquired during the reporting year, starting from the month in which the company was established or ownership was transferred.

Data from discontinued, closed or sold companies are included for the part of the reporting period in which they were in operation and controlled by KSB.

The report considers impacts, risks and opportunities for the company's own operations as well as for the upstream and downstream value chain. Due to the complexity of the KSB Group with its many production sites, over 1,800 different products and a variety of supply chains and processes, it has been necessary to group the key Segments (Pumps, Valves, KSB SupremeServ) and, within the Pumps Segment, the Markets (Building Services, Water, General Industry, Mining, Energy, Petrochemicals / Chemicals) for simplification purposes. The Workers in the Value Chain section of the report focuses on the upstream value chain in particular.

The policies and directives on climate change mitigation, human rights and corporate governance mentioned in this sustainability report also apply to the upstream and downstream value chain.

In its calculation of Scope 3 greenhouse gas emissions, KSB included the upstream and downstream value chain to produce the material key performance indicators (KPIs) disclosed in this report.

In most cases, KSB has taken advantage of the phase-in provisions, which allow certain information not to be provided during the first year of sustainability reporting. This has been done in consideration of the anticipated revision of the reporting standards (ESRS).

KSB has opted not to use the safeguard clauses of ESRS 1, Section 7.7 regarding specific classified or sensitive information, and information on intellectual property, know-how or results of innovation.

KSB has also opted not to use the exemption under Article 19a(9) and Article 29a(8) of Directive 2013/34/EU.

Disclosures in relation to specific circumstances (BP-2)

Time horizons

KSB has adopted the time horizons defined in ESRS 1 Section 6.4 Definition of short-, medium- and long-term for reporting purposes.

Short-term: up to 1 year
Medium-term: up to five years
Long-term: more than five years

Value chain estimation, sources of estimation and outcome uncertainty

Do the parameters include data on the upstream and/or downstream value chain, which have been estimated using indirect sources?	☒ YES	☐ NO

Due to the scope of the Group companies to be reported on and the lack of generally accepted reporting standards and practices for specific data, the reported information may be subject to estimates and uncertainties.

Material estimate-related uncertainties arise in connection with the assumptions made about the forecast electricity mix during the usage phase and the anticipated service life of the products, which have an impact on the calculation of the Scope 3, Category 11 GHG emissions. Further details about the estimation method are provided in Section ESRS E1-6.

Changes in preparation or presentation of sustainability information

This report has been prepared in accordance with ESRS for the first time.

Reporting errors in prior periods

No material reporting errors were identified for prior reporting periods.

Disclosures stemming from other legislation or generally accepted sustainability reporting publications

Disclosures pursuant to Article 8 of Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the Establishment of a Framework to Facilitate Sustainable Investment, and Amending Regulation (EU) 2019/2088 (EU Taxonomy Regulation) are published in the Environmental Information section.

The role of the administrative, management and supervisory bodies (GOV-1)

KSB is managed as a partnership limited by shares (KGaA). KSB Management SE is responsible for management as general partner. The responsibilities of the bodies are governed by law and the Articles of Association. The Administrative Board determines the basic principles of KSB Management SE's activities and monitors their implementation by the Managing Directors. The latter conduct the business of KSB Management SE.

The remit of the Supervisory Board of KSB SE & Co. KGaA is to monitor the management of the company by KSB Management SE as general partner and to provide it with advice on ongoing business operations and long-term development, in terms of strategy and sustainability in particular.

The number of executive and non-executive members of the company's bodies

There are four executive members of the company's bodies; these are the Managing Directors of KSB Management SE. There are four non-executive members of the company's bodies on the Administrative Board of KSB Management SE (five until 16 June 2025) and twelve on the Supervisory Board of KSB SE & Co. KGaA.

Six of the twelve members of the Supervisory Board are employee representatives and are elected in accordance with the provisions of the *Mitbestimmungsgesetz* (MitbestG) [German Co-Determination Act] of 4 May 1976.

There are no employee representatives on the Administrative Board.

All executive and non-executive members of the respective bodies are familiar with sector-specific topics. They draw on their own experience and a degree of external know-how to perform their duties. No competency profile has been established for the Supervisory Board, the Administrative Board or the Managing Directors.

Through many years of service at KSB and previous activities, all Managing Directors have in-depth knowledge of mechanical engineering and specific knowledge about KSB products and the international regions in which the company operates. Each Managing Director is responsible for monitoring individual Segments, Market Areas and Regions.

Almost all members of the Supervisory Board have expertise in the metal and electrical industry. Approximately half of the members also have good knowledge of the company's products. All members of the Supervisory Board are familiar with the geographical markets, which in some cases is due to their own international professional experience.

The members of the Administrative Board are also familiar with the metal and electrical industry. They acquired the necessary industry knowledge – unless they already had such knowledge from previous professional activities – from intensive discussions and company reports. All Administrative Board members have also familiarised themselves with the products and the geographical locations and markets. Some are familiar with the metal and electrical industry as a supplier from their main professional activity.

Gender distribution across the bodies

Body / Gender	Male	Female	Proportion (f)
Management of KSB Management SE	4	0	0 %
Administrative Board of KSB Management SE			
Until 16 June 2025	3	2	40 %
From 17 June 2025	2	2	50 %
Supervisory Board of KSB SE & Co. KGaA	8	4	33 %

Proportion of independent members of the company's bodies

Five of the six shareholder representatives on the Supervisory Board of KSB SE & Co. KGaA are independent (see breakdown below).

Five of the twelve Supervisory Board members are independent shareholder representatives.

In the reporting year, the Supervisory Board of KSB SE & Co. KGaA consisted of the following members:

- Dr. Bernd Flohr* (Chair)
- Ms Claudia Augustin (Deputy Chair)
- Mr Klaus Burchards (until 8 May 2025)*
- Mr Matthias Bikowski (from 8 May 2025)*
- Mr Arturo Esquinca*
- Mr René Klotz
- Mr Klaus Kühborth
- Ms Birgit Mohme
- Mr Thomas Pabst
- Prof. Dr.-Ing. Corinna Salander*
- Mr Harald Schöberl
- Ms Gabriele Sommer*
- Mr Stefan Winnerlein

* Shareholder representatives who are independent from the company and its general partner as well as from a controlling shareholder

Until 16 June 2025, four of the five Administrative Board members of KSB Management SE were independent. From 17 June 2025, three of the four were independent.

Proportion of independent board members

Board	Independent	Dependent	Percentage
Administrative Board of KSB Management SE			
Until 16 June 2025	4	1	80 %
From 17 June 2025	3	1	75 %
Supervisory Board of KSB SE & Co. KGaA	5	7	42 %

Administrative, management and supervisory bodies responsible for oversight of impact, risks and opportunities

Supervisory Board

The Audit Committee, which consists of four members of the Supervisory Board, is responsible for auditing the financial reporting and financial statements, including sustainability reporting.

The Supervisory Board of KSB SE & Co. KGaA receives regular reports on business development and strategic matters, assesses risks and opportunities, and monitors the management of the company. The Supervisory Board's Audit Committee also deals with sustainability-related impacts, risks and opportunities.

Company Management

CEO Dr. Stephan Timmermann is responsible for monitoring sustainability-related impacts, risks and opportunities on behalf of the Managing Directors.

Management formulated KSB's own corporate sustainability principles in a Group-wide sustainability policy that is binding for all locations and all companies within the KSB Group. In addition, as a signatory to the United Nations Global Compact, KSB is committed to meeting fundamental responsibilities in the areas of human rights, labour, environment and anti-corruption. The KSB Code of Conduct, which is binding for all employees, similarly sets out clear principles, governing, among other things, human rights, environmental protection, anti-corruption and occupational health and safety aspects.

The Managing Directors of KSB Management SE manage the Group's business and regularly assess material internal and external impacts on the business as well as risks and opportunities. This includes sustainability-related impacts, risks and opportunities. The Managing Directors also develop the strategy for the further development of the company.

The results of the double materiality assessment (DMA) were presented to, as well as discussed and approved by Management and the Audit Committee of the Supervisory Board.

In addition, a Sustainability Committee chaired by the CEO regularly reviews progress on sustainability topics in general as well as progress in respect of the specific impacts, risks and opportunities identified. It also monitors the achievement of Group-wide sustainability goals. A Global Sustainability Network with representatives from all nine KSB Regions ensures that sustainability topics are driven forward in their Regions. Its members report to each other on progress, local initiatives and actions, as well as target achievement status. Management also receives a compliance report twice a year as well as an annual review of management issues relating to quality, the environment and occupational health and safety. The Sustainability Committee includes the CEO and management staff from Human Resources, Legal & Compliance, Internal Audits, Production, Market Areas, Product Management, Procurement, Communications, Strategy, Controlling, Finance and Integrated Management.

Implementing the actions is the responsibility of individual functions, regions and locations. Their role is to develop roadmaps and implementation plans and report on these to the Sustainability Committee and Global Sustainability Network every four months.

Management sets the targets relating to material impacts, risks and opportunities.

The Administrative Board of KSB, the Managing Directors and the senior executives (the Sustainability Committee in particular) of KSB SE & Co. KGaA use the following mechanisms to oversee the setting of targets related to material impacts, risks and opportunities, and monitor progress towards them:

Strategic planning and setting of targets

As part of its strategic planning, KSB's Administrative Board sets specific sustainability goals for the Managing Directors based on the material impacts, risks and opportunities. These goals are part of the company's overall strategy and are reviewed at least once a year.

The findings from the double materiality assessment (DMA) are used to inform the strategic planning and setting of targets.

Regular reporting and monitoring

At least once a year, reports are prepared on progress made towards achieving the sustainability goals. These reports are reviewed by Management, the Administrative Board and executives at top management level to ensure that the targets are met.

Focus of the work performed by the bodies

The Supervisory Board oversees the activities of Management in ongoing business, strategic development and sustainability. The Supervisory Board's Audit Committee has audited the non-financial report for many years and thus has special expertise in sustainability, relying on both internal and external know-how. The Chair of the Audit Committee also completed a training course on sustainability reporting in 2025.

Sustainability is an important aspect of the company's strategic development, for which the Administrative Board bears responsibility. The sustainability policy is one of the central strategic topics of the Mission TEN30 corporate strategy adopted by the Administrative Board in 2023. By virtue of its personnel decision-making and remuneration authority concerning the Managing Directors, the Administrative Board also steers the company's sustainability agenda by setting the sustainability goals for the variable remuneration of the Managing Directors.

Sustainability-related expertise

The Administrative and Supervisory Board members and the Managing Directors of KSB SE & Co. KGaA either have direct sustainability expertise or can access such expertise through various means.

Direct expertise

A detailed competency profile has not yet been defined for members of the company's bodies. Nonetheless, the members of the company's bodies were collectively considered to have the necessary knowledge and expertise to oversee and manage the impacts, risks and opportunities (IROs) identified as material.

Some members of the company's bodies have experience and knowledge in sustainability, including sectoral expertise in ESG, through their work as auditors, for example, or from their managerial positions at other companies or institutions.

All management and supervisory body members have functional technical or commercial knowledge acquired through relevant training and professional qualifications. This expertise enables them to properly assess and monitor the material impacts, risks and opportunities related to the business activities of the company. In addition, several members of the company's bodies have many years of experience in corporate governance and thus provide expert support for the strategic control and further development of the company's sustainability management.

Access to experts

The bodies have access to external experts and consultants specialising in sustainability and ESG. These experts support the bodies with the evaluation and implementation of sustainability policies and actions.

Basic training and advanced training

The Chair of the Supervisory Board's Audit Committee completed a training course on sustainability reporting in 2025.

Members of the governing bodies (Administrative Board, Supervisory Board and Managing Directors) also have access to reports from internal experts at the company to expand their sustainability-related knowledge.

The role of the administrative, management and supervisory bodies related to corporate governance (ESRS 2 GOV-1 x ESRS G1)

The role of the administrative, management and supervisory bodies related to corporate governance has already been described in the General Information section.

The administrative, management and supervisory bodies can access internal expertise (for example, the Group Compliance Officer) and external expertise (for example, the Ombudsperson) relating to corporate governance at any time.

In addition, the following individuals have appropriate expertise on corporate governance matters:

- The Chair of the Supervisory Board, Dr. Bernd Flohr, has relevant expertise on corporate governance matters as a former executive board member of WMF AG.
- The Chair of the Audit Committee until 8 May 2025, Klaus Burchards, has relevant expertise on corporate governance matters due to his former position as an auditor. The current Chair of the Audit Committee since 8 May 2025, Matthias Bikowski, has experience in corporate governance due to his principal activity as managing director of a media group.
- The Chair of the Administrative Board of KSB Management SE, Dr. Harald Schwager, has many years of experience in corporate governance due to his activity as a board member and deputy board chairman of several large companies.
- CEO Dr. Stephan Timmermann has relevant expertise on corporate governance matters due to his long tenure as CEO.

Information provided to and sustainability matters addressed by the company's administrative, management and supervisory bodies (GOV-2)

The CEO is informed about developments related to sustainability matters three times a year by the Sustainability Committee.

The Administrative Board is informed regularly, at least once a year, by the Managing Directors – acting through their spokesperson – about company-related matters concerning sustainability, the impact, risk and opportunity situation, and compliance, about extraordinary events that are of particular significance for the general partner or KSB SE & Co. KGaA, as well as about material deviations of business performance from the plans and targets set.

The Administrative Board usually meets once a month.

In 2025, sustainability, including all the impacts, risks and opportunities assessed as material in the DMA, was the focus of one Administrative Board meeting. The Managing Directors and an internal expert also informed the Administrative Board about progress in implementing the regulatory requirements and discussed needs for action and goals with the Administrative Board.

On the agenda were the selection of suitable sustainability goals for the coming years as well as further expansion of the topic of sustainability.

The Administrative Board also used several meetings to deal with other ESG-related topics, which included analysing developments in the energy sector and approving an investment in a manufacturer of large industrial heat pumps. The reports on business development in the Regions also regularly included social topics.

The Supervisory Board met six times in 2025, also addressing the development of business activities and sustainability topics in the context of its oversight responsibilities. The Managing Directors reported on sustainability topics in one of the five regular meetings.

Sustainability reporting was an even bigger focus for the Supervisory Board's Audit Committee. In 2025, sustainability topics were addressed in two of the five meetings, with internal or external experts called in to discuss the topics in each case.

These two meetings specifically focused on changes compared with the previous year and on the reporting process. Also presented at these meetings were the results from the review of the double materiality assessment and related targets.

The Committee therefore regularly addressed reported impacts, risks and opportunities. The impacts, risks and opportunities reported included environmental, social and governance factors.

The Managing Directors, Administrative Board and Supervisory Board do consider impacts, risks and opportunities when monitoring the corporate strategy, by tracking the targets set (for GHG emissions reductions, workplace accident prevention, increasing the representation of women in management, for example) and defining corresponding actions. They also

consider ESG-related aspects when overseeing potential company acquisitions (major transactions) and consult with external advisors in this regard. KSB's risk management processes also take ESG-related aspects into account.

ESG-related aspects and the trade-offs associated with these are also considered systematically in decisions on bid submissions or other investments.

Integration of sustainability-related performance in incentive schemes (GOV-3)

There is a link between remuneration and the achievement of sustainability goals

For Managing Directors:	☒ YES	☐ NO
For members of the Administrative Board of KSB Management SE:	☐ YES	☒ NO
For members of the Supervisory Board of KSB SE & Co. KGaA:	☐ YES	☒ NO

The Managing Directors are awarded variable remuneration, which includes a short-term component (15 % of the regular annual remuneration) and a long-term component with a three-year assessment period (25 % of the regular annual remuneration).

A 5 % portion of the regular annual remuneration within the long-term remuneration component is linked to defined sustainability goals. Absolute amounts cannot be disclosed because the individual annual remuneration data are not available.

The remuneration of the Administrative Board and Supervisory Board does not include variable components linked to sustainability goals.

The agreed, remuneration-related sustainability goals for the years preceding the reporting year were:

- Reduce CO_2 emissions from the production sites
- Develop a policy for the strategic pursuit of environmental objectives in line with the Mission TEN30 corporate strategy
- Improve occupational health and safety /reduce work-related accidents and days lost due to accidents
- Improve resource efficiency and accelerate the circular economy
- Improve employee engagement

There is, as yet, no explicit, long-term link between the company's sustainability goals defined in accordance with the sustainability reporting process and the variable remuneration system of the Managing Directors. However, ESG-related aspects (see above) are regularly included in the annual goals defined for the Managing Directors.

The achievement of ESG-related sustainability goals accounts for 20 % of the long-term variable remuneration.

The Administrative Board of KSB sets the sustainability goals and controls the remuneration system for the Managing Directors.

Before the three-year assessment period, the Administrative Board sets a number of specific ESG-related sustainability goals, which it selects from a list of predefined goals based on KSB SE & Co. KGaA's sustainability focus topics.

The Administrative Board ensures that these goals are clearly defined and measurable.

Integration of climate change-related considerations in incentive schemes (ESRS 2 GOV-3 x ESRS E1)

In the 2025 reporting year, climate change-related considerations were not part of the remuneration components of the Managing Directors.

The remuneration of the Administrative Board and the Supervisory Board does not include any variable components that are linked to climate change-related considerations.

Statement on due diligence (GOV-4)

For the disclosure of KSB's actual due diligence practices, the following table indicates how and where the application of the key aspects and steps of the due diligence process, as set out in the UN Guiding Principles on Business and Human Rights (UNGP) and the OECD Guidelines for Multinational Enterprises, is reflected in the Sustainability Statement.

Overview of due diligence disclosures

Core elements of due diligence	Sections in the Sustainability Statement	Page No.
a) Embedding due diligence in governance, strategy and business model	ESRS 2 GOV-2	88
	ESRS 2 GOV-3	89
	ESRS 2 SBM-3	103
b) Engaging with affected stakeholders in all key due diligence steps	ESRS 2 GOV-2	88
	ESRS 2 SBM-2	99
	ESRS 2 IRO-1	111
	ESRS 2 IRO-1 x ESRS E1	117
	ESRS 2 IRO-1 x ESRS E2	121
	ESRS 2 IRO-1 x ESRS E3	121
	ESRS 2 IRO-1 x ESRS E4	122
	ESRS 2 IRO-1 x ESRS E5	122
	ESRS 2 IRO-1 x ESRS G1	123
	ESRS 2 MDR-P x ESRS E1-2	128
	ESRS 2 MDR-P x ESRS E2-1	152
	ESRS 2 MDR-P x ESRS E3-1	155
	ESRS 2 MDR-P x ESRS S1-1	158
	ESRS 2 MDR-P x ESRS S2-1	177
c) Identifying and assessing negative impacts	ESRS 2 IRO-1	111
	ESRS 2 IRO-1 x ESRS E1	117
	ESRS 2 IRO-1 x ESRS E2	121
	ESRS 2 IRO-1 x ESRS E3	121
	ESRS 2 IRO-1 x ESRS E4	122
	ESRS 2 IRO-1 x ESRS E5	122
	ESRS 2 IRO-1 x ESRS G1	123
	ESRS 2 SBM-3	103
	ESRS 2 SBM-3 x ESRS E1	127
	ESRS 2 SBM-3 x ESRS S1	158
d) Taking actions to address these negative impacts	ESRS 2 MDR-A x ESRS E1-3	129
	ESRS 2 MDR-A x ESRS E2-2	152
	ESRS 2 MDR-A x ESRS E3-2	155
	ESRS 2 MDR-A x ESRS S1-4	165
	ESRS 2 MDR-A x ESRS S2-4	181
	ESRS 2 MDR-A x ESRS G1-3	189
e) Tracking the effectiveness of these actions and communicating	ESRS 2 MDR-M x ESRS E1-5	136
	ESRS 2 MDR-M x ESRS E1-6	137
	ESRS 2 MDR-M x ESRS E2-5	152
	ESRS 2 MDR-M x ESRS S1-6	170
	ESRS 2 MDR-M x ESRS S1-7	170
	ESRS 2 MDR-M x ESRS S1-9	171
	ESRS 2 MDR-M x ESRS S1-13	171
	ESRS 2 MDR-M x ESRS S1-14	171
	ESRS 2 MDR-M x ESRS S1-16	172
	ESRS 2 MDR-M x ESRS S1-17	172
	ESRS 2 MDR-M x ESRS G1-4	190
	ESRS 2 MDR-T x ESRS E1-4	131
	ESRS 2 MDR-T x ESRS E2-2	152
	ESRS 2 MDR-T x ESRS E3-2	155
	ESRS 2 MDR-T x ESRS S1-5	169
	ESRS 2 MDR-T x ESRS S2-5	183

Risk management and internal controls over sustainability reporting (GOV-5)

Internal controls

In the previous year, process-based risks were identified and controls in sustainability reporting processes were developed for consolidated energy data and the GHG emissions calculation. Additional process-based risks and controls for the company's own workforce were added for the reporting year. These are largely downstream manual controls. Targeted actions are planned for the coming years as part of the further development of the sustainability-related internal control system (ICS). These include, for example, the technological optimisation of existing control processes and the phasing in of additional control mechanisms to further strengthen system integrity and sustainability.

All existing and future controls associated with sustainability reporting are or will be implemented at a decentralised and centralised level within the Group.

The processes and process-related risks and controls currently reported relate to the data points presented in the Climate Change section of the report. The implemented controls relate to KSB subsidiaries and locations operationally controlled by KSB.

For Social Information topics, specific controls will be added to the basic processes currently in place over the coming years. The aim is to increase the level of maturity in the medium term.

Process-based risks are classified into three categories, High, Medium or Low, according to an assessment matrix. The resulting risk category depends on the probability of occurrence and impact.

Key controls are required to address process-related risks rated as High. The appropriateness of the existing controls is reviewed annually in structured process discussions involving the specialist departments and ICS team. The ICS team also oversees the implementation of these controls and monitors their effectiveness. A three-year review is carried out for risks rated as Medium, while a four or five-year review cycle applies for risks rated as Low.

In sustainability reporting, risks arise in connection with the process-related sequence in which information is obtained and processed.

This results in the following categories in KSB's internal control system for sustainability reporting:

- Data identification
- Data collection
- Data validation and verification
- Data preparation and consolidation
- Reporting and communication

Different types of controls are assigned to the identified process-based risks. Each control is assigned a control objective and a corresponding control activity.

Control owners in the ICS test the controls for their appropriateness and effectiveness.

If a control is found to be ineffective or inappropriate, a process of actions is triggered in the ICS with the aim of improving the respective control mechanisms. The control owner and ICS team are jointly responsible for monitoring the implementation of these actions.

Where shortcomings are identified in the sustainability-related internal control system (ICS), the administrative, management and supervisory bodies are informed accordingly.

Risk management

The approach used to assess risks and opportunities is described in the "Description of the processes to identify and assess material impacts, risks and opportunities" section.

Sustainability goals by 2030

Environment	
	**Climate change mitigation** **Renewable energy** **Energy efficiency**
Social	
	**Training and development** **Diversity & equality** **Occupational health and safety**
Governance	
	**Sustainability in the supply chain** **Employee engagement**

Strategy, business model and value chain (SBM-1)

Core elements of the general strategy that relate to or affect sustainability matters

KSB's long-term corporate strategy, Mission TEN30, reflects the company's strong commitment to sustainability and the importance of sustainability in today's business world.

The current Mission TEN30 strategy for 2030 incorporates key elements that are of vital importance for the sustainable corporate development of KSB, and includes sustainability goals based on the Sustainable Development Goals (SDGs) of the United Nations, which focus on the company's material environmental, social and economic impacts.

These form the basis for initial approaches to integrating environmental, social and governance matters into the company's decision-making processes.

In 2019, KSB formulated nine sustainability goals that it wanted or wants to achieve by the end of the 2025 and 2026 financial years. It became necessary to revise these sustainability goals following the double materiality assessment, which was completed for the first time in the 2024 financial year, and the ESRS-compliant energy consumption and greenhouse gas emissions calculation. In the 2025 financial year, nine sustainability goals were defined for the period up to 2030.

Sustainability goals by 2030

Environment
The company reduces the Scope 1 & 2 **GHG emissions** by 25.2 % (4.2 % per year) and material Scope 3 GHG emissions by 15 % (2.5 % per year) (baseline 2024).
More than 80 % of KSB's electricity comes from **renewable sources**.
Water pumps sold by KSB save at least 26 GWh of energy annually.
Power plant pumps sold by KSB reduce GHG emissions by 40 % during the usage phase (baseline 2024).

Social & Governance
KSB is a leader in training and professional development, **with every employee completing more than 32 training hours per year**.
The proportion of **women in management positions** is at least 15 % in executive management, 18 % in management positions two levels below the Managing Directors and a total of 15 % in Group-wide management.
The **lost time injury rate** (LTIR) is ≤ 7.
The potential ESG risks of **current suppliers** (over 400 per year) are assessed. All new suppliers meet KSB's ESG criteria. All KSB purchase orders are placed in compliance with the KSB Code of Conduct. All employees with material supplier contact receive training on ESG topics every three years.
The employee **engagement score** is > 75%.

External sustainability performance assessment

KSB participates in the EcoVadis sustainability assessment to gain validation of the company's sustainability performance from an independent external party. The EcoVadis rating not only serves as an important performance indicator for the internal management of the sustainability strategy, but also increasingly meets the requirements of customers, investors and other stakeholders who require transparent and comprehensible evidence of sustainability as part of their own ESG assessments and supplier evaluations.

Innovation for sustainability

KSB's research and development activities focus on developing environmentally friendly and energy-efficient pumps, valves, motors, and fluid and monitoring equipment.

KSB's applications focus is squarely on the evolving sustainability-related requirements in the Market Areas.

Core applications of the Market Areas include

- Flood control, water supply and treatment
- Solutions for the sustainable mining and processing of battery active materials
- Suppliers of solutions for the reduction and storage of CO_2 emissions to support the energy transition
- Green technologies of the future, such as the production and transport of hydrogen for example
- Smart, efficient and secure building infrastructure
- Innovative valve solutions
- Services to improve systems efficiency

Stakeholder engagement

KSB actively engages with its stakeholders, including customers, suppliers, employees and local communities. This engagement gives KSB a better understanding of stakeholders' sustainability-related expectations, which can then be taken into account in strategic planning.

Continuous improvement

KSB's strategy is to foster a culture of continuous improvement with a focus on regularly assessing and improving its sustainability practices. This includes monitoring the key performance indicators (KPIs) of KSB's nine sustainability goals, defining and tracking actions, and transparently reporting on progress in the KSB Sustainability Committee.

Sustainability in the supply chain

KSB works closely with suppliers to ensure their adherence to ethical and sustainable practices. This includes checking ESG-related aspects, promoting fair working practices and minimising the environmental impact of the materials and components they supply.

Digital products and optimisation services

KSB SupremeServ Optimisation Services use actual operating data from customer pump systems to identify data-driven efficiency and performance improvements. The insights gained are used to optimise energy consumption, plant performance and reliability.

Overview of relevant product groups and services and significant markets and customer groups

KSB organises its activities in the following Segments: Pumps, Valves and KSB SupremeServ. The Pumps Segment serves the following markets:

- Building Services
- Water
- General Industry
- Mining
- Energy
- Petrochemicals / Chemicals

KSB is one of the world's leading suppliers of pumps, valves and related systems. KSB's customers value the quality and efficiency of its products. The company also offers a broad service and spare parts portfolio to users of these products.

For KSB customers, pumps and valves are often vital components in the smooth operation of their plants.

KSB is well-positioned worldwide. Wherever the customers are, KSB is there, too. This physical proximity allows us to devise customised solutions for every regional and industry-specific requirement.

Were there any material changes in the groups of products and services offered or the markets and customer groups in the reporting period?	☐ YES	☒ NO

Number of employees by geographical area

Total number of employees	17,526
Region Europe	8,863
Region Asia / Pacific	4,813
Region Middle East / Africa	1,150
Region Americas	2,700

KSB's segment reporting is prepared in accordance with IFRS 8.

A breakdown of sales revenue into ESRS sectors is not yet possible because binding definitions of these sectors do not currently exist.

Sales revenue across all business areas of the KSB Group relates to the NACE sector mechanical engineering. During the reporting period, none of the KSB Group's business operations were involved in or generated revenue from fossil fuel production, chemical production, the cultivation and production of tobacco, or the production of controversial weapons.

Sustainability-related goals in terms of significant groups of products and services, customer categories, geographical areas and relationships with stakeholders

Based on the Sustainable Development Goals (SDGs), KSB has formulated binding, Group-wide goals that relate to the following:

Society

In its activities, KSB takes into account climate change mitigation and minimising the negative impacts on people and the environment. The company has therefore defined specific goals for reducing GHG emissions. In the reporting year, these goals were aligned with the reductions pathway for Scope 1 & 2 and Scope 3 GHG emissions of the Science Based Targets initiative (SBTi). This underscores KSB's commitment to keep future development in line with the scenario for limiting global warming to 1.5 °C. Furthermore, KSB has set itself a goal in the reporting year concerning the use of electricity from renewable sources.

Employees

Employees are a key success factor for the company. KSB's goals in this regard include providing comprehensive training opportunities for employees, increasing the representation of women in management, and ensuring health and safety in the workplace.

Suppliers

Suppliers play a key role in KSB's value chain. To ensure that its upstream value chain meets ethical and sustainable standards, KSB monitors specific ESG-related aspects at its suppliers with a special focus on the promotion of fair working practices and minimisation of environmental impacts. In addition, employees with material supplier contact receive ESG-related training at least once every three years to improve awareness in this area.

Products and services

As part of its sustainability policy, KSB has assessed its key products and services to analyse their contribution to long-term sustainability goals.

KSB products, especially in the Pumps and Pump Systems Segment, play a crucial role in achieving climate goals, as they are designed to improve efficiency and reduce environmental impact.

KSB's efficient pump technology, for example, helps to reduce electricity consumption, which can result in tangible THG emissions reduction in the operating phase. These products also address markets with considerable resource conservation potential, for instance in water supply, energy supply and industrial applications.

Based on these analyses, KSB set specific sustainability goals for two product groups: For water pumps, the focus is on reducing energy consumption while, for energy pumps, the focus is on reducing the emission of greenhouse gases during use.

Significant customer groups served by KSB include industrial customers, municipal utility companies and private consumers, who increasingly value energy and resource-saving solutions. KSB works hard to provide these customers with innovative, sustainable solutions that reduce their environmental footprint and contribute to the achievement of global climate goals.

KSB also focuses on improving the sustainability of services. For example, through maintenance, training and consultation services, the company helps its customers achieve their own sustainability goals.

These KSB services are an important component of the company's commitment to maximising the functional life of products and minimising environmental impacts throughout their life cycle.

Material challenges

Energy consumption and reducing GHG emissions

The production and operation of pumps and valves requires high amounts of energy. Consequently, there is a need to keep reducing energy consumption throughout the value chain while continuing to improve the energy efficiency of processes and products.

At the same time, a significant proportion of the company's GHG emissions is attributable to the energy-intensive production processes and operating phases. To reduce this impact, the company is pursuing a gradual transition to renewable energies. The increased use of electricity from renewable sources will also significantly reduce the resulting emissions.

Gender diversity in the mechanical engineering industry

Women are under-represented in the industry due, in part, to a lack of attractiveness of STEM (science, technology, engineering and mathematics) professions. This is a challenge that needs to be addressed in recruitment and in consideration of the long-term retention of female talent.

Sustainability in the supply chain

Due to the high complexity and number of suppliers, improving sustainability standards in the supply chain is a challenge for KSB.

Solutions

Energy efficiency measures and renewable energies

Negative environmental impacts can be reduced by adopting energy-efficient production processes and machines and by implementing energy management systems to monitor and reduce energy consumption. Using renewable energy sources will also contribute to this.

Promoting gender diversity
Setting up an internal women's network supports women by encouraging dialogue, mentorship and career development. Other actions include targeted training and recruitment initiatives.

Optimising the supply chain
Working with suppliers improves sustainability standards across the supply chain.

Projects

Research and development for sustainable products
Investment in research and development (R&D) helps to drive the development of new, environmentally friendly pumps and valves. The focus is on products that consume less energy.

Energy and environmental management systems
Implementing ISO 50001 – Energy Management Systems and ISO 14001 – Environmental Management Systems allows energy consumption and environmental impact to be monitored and reduced.

Digitalisation
Using digital technologies and automation makes production processes more efficient while data analyses support the optimisation of operations and identification of potential savings.

KSB's internal women's network
Setting up a platform promotes dialogue and networking among female employees. The aim is to improve the work environment and long-term retention of female talent. There are also initiatives to increase the visibility and influence of women in the company.

Training and risk management in the supply chain
Training and awareness programmes can help employees adopt more sustainable practices and gradually increase their awareness of environmental protection while also encouraging the development of a more sustainability-oriented corporate culture. In addition, the use of a software solution like IntegrityNext supports the systematic sustainability screening of suppliers and thus improves transparency and cooperation on sustainability standards within the supply chain.

KSB business model and value chain

KSB's mission is to supply customers around the world with top-quality pumps, valves and related systems. It also offers a broad service and spare parts portfolio to users of these products.

Inputs

Materials and resources: For the manufacture of pumps, valves and related systems, the KSB Group sources high-quality materials (metals and engineering plastics for the most part) as well as components (hydraulic parts, electric motors and seals) from selected suppliers.

Collection, development and security of supply

- Collection: By maintaining a regional and, in part, global network of suppliers, KSB ensures that the quality raw materials and components it requires are available on time. Suppliers are carefully audited in consideration of this and are selected according to internal KSB standards.
- Development: Research and development (R&D) play a central role in the continuous improvement of materials and components. KSB invests in innovative technologies such as 3D component printing.
- Security of supply: To minimise supply chain risks, the company has established processes and backup systems for critical components, including long-term supply agreements and alternative sources of supply.

Outputs

Products and Services

The KSB Group supplies a wide range of products, including pumps, valves and complete system solutions, which are used in industries such as the energy, water and process industry, mining and building services. The company also has a comprehensive range of services and spare parts to extend product life cycles and increase efficiency.

Outcomes and benefits

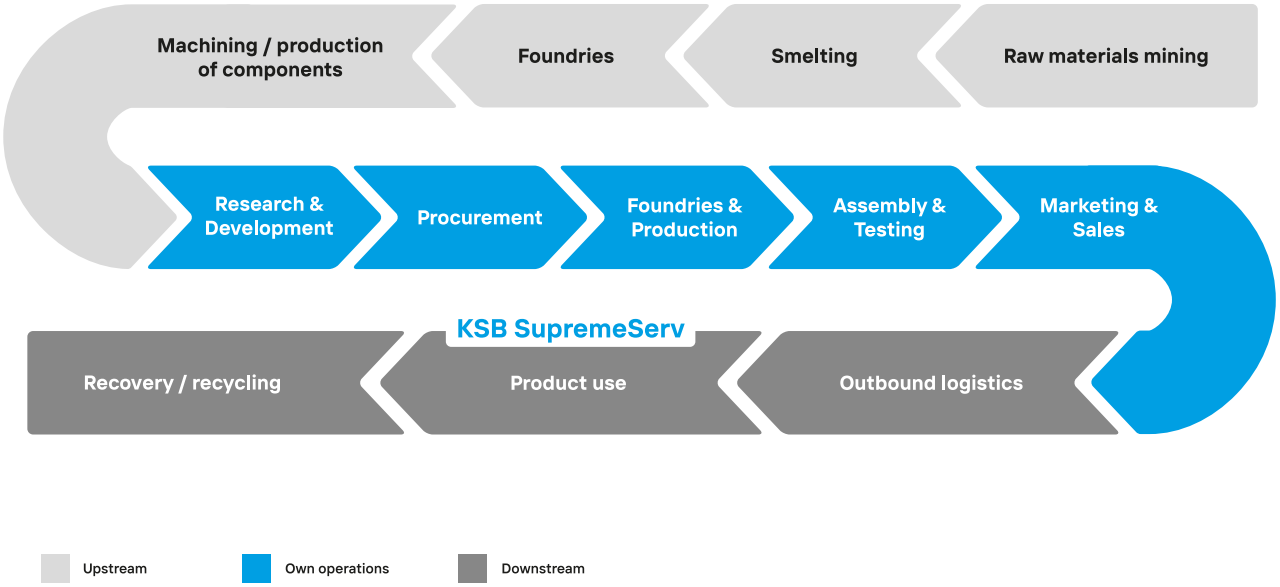
- For customers: The KSB Group offers reliable, high-quality, sustainable products and services. Customers can benefit from increased efficiency, lower operating costs and an improved environmental footprint.
- For investors: The company's robust business performance, supported by innovative technologies and a diversified portfolio, creates long-term value creation and stability.
- For other stakeholders: The KSB Group strives to play its part in supporting local communities through the creation of attractive jobs.

The KSB value chain

When preparing the sustainability report, the upstream and downstream value chain was taken into account alongside the company's own operations. The value chain is also a central element of the KSB sustainability policy.

The value chain in the manufacture of pumps, valves and systems includes various upstream, own and downstream operations that are closely interlinked.

Value chain: Processes detail view



Upstream activities

Raw materials mining:

- Mining companies that mine iron and ore deposits, for example

Smelting:

- E.g. steelworks that produce crude steel from iron ore

Foundries:

- Entities that process crude steel into castings for pumps and valves, for example

Machining and production of components:

- Mechanical engineering companies that produce precision components by milling, turning and grinding
- In addition to main component suppliers, there are also companies that supply seals, screws, electronic motors and controls, and other smaller components.

Inbound logistics:

- Logistics companies that organise the transport of raw materials and components to KSB's production facilities

Own operations

Research and development (R&D):

- Development of new valve and pump technologies to improve product efficiency and performance

Procurement:

- Selecting and managing suppliers, negotiating contracts and ensuring availability

Foundries and production:

- Internal KSB foundries for the production of special castings as well as for the production and machining of components

Assembly and testing:

- The various components are assembled into finished pumps and valves.
- Quality assurance and testing to ensure that products meet the requirements

Marketing and sales:

- Promoting products, acquiring new customers and maintaining good relationships with existing customers
- Selling directly to B2B customers or via distributors and dealers

KSB SupremeServ (service, customer service and support):

- Providing installation services, maintenance, repair and technical support
- Technical support and customer training

Downstream activities

Outbound logistics:

- Organising the transport of finished products to the customers

Product use:

- Companies that use the pumps and valves in their processes and applications

Recovery / recycling:

- Recycling and waste disposal companies that accept products at the end of their life cycle and enable the recycling of materials

Key players and their relationships

Suppliers

- Main components made from iron and steel and important parts: long-term contracts and close cooperation to ensure a continuous supply of high-quality materials
- Motor suppliers: Specifications and joint development projects to optimise pump and pump system motors

Customers

- Regular dialogue with the product users and adaptation to specific requirements
- Technical support and training to ensure optimal use of the products

Service providers

- Logistics companies: Cooperation for efficient and timely delivery of materials and finished products
- Recycling companies: Cooperation on the environmentally sound disposal and recycling of end-of-life products

Relationships with the company

Cooperation and communication

Regular meetings and agreements with suppliers and customers to optimise quality and delivery times

Quality management

Strict controls and audits of suppliers as well as extensive checks during production to ensure high quality and sustainability standards

Customer satisfaction

Proactive customer service and technical support to ensure customer satisfaction and long-term loyalty

Innovation

Constant investment in research & development to maintain the competitiveness of products and solutions

The value chain presented above illustrates the relationships and dependencies required for the successful production and supply of pumps and valves and the related service provision. It shows how cooperation along the value chain, from the procurement of raw materials to the provision of services, helps to ensure a smooth and efficient process.

Potential impacts, risks and opportunities in mechanical engineering and their possible relationship to the business model and value chain

For KSB, there are potential impacts and risks that are closely linked to the business model, its activity in the mechanical engineering sector and the related value chain. The material impacts and risks are as follows:

- Potential human rights violations (workers in the value chain, upstream): There are risks in the upstream supply chains, in connection with the extraction of raw materials for example.
- PFAS risk (pollution, upstream): The purchase of components containing PFAS (per- and poly-fluoroalkyl substances) poses a material risk.
- High energy consumption and GHG emissions (upstream, own operations, downstream): Energy-intensive manufacturing processes and associated emissions as well as emissions in the supply chain and during the use of the products are significant.
- Water consumption (upstream): High water use in production and material processing can impact the environment.
- Work-related accidents and safety (own workforce and workers in the upstream value chain): There are safety risks both in the company's own production facilities and at suppliers.

Interests and views of stakeholders (SBM-2)

Stakeholder engagement is important to KSB to take into account the expectations and needs of all relevant groups in the interests of sustainable and future-oriented business development.

The key stakeholders of KSB include:

- Customers
- Employees
- Investors
- Suppliers (tier 1)
- Workers in the value chain
- State
- Society (non-governmental organisations, media, local community, analysts, competitors, political parties)
- Trade unions

KSB actively engages with different categories of stakeholders, including economic, social and environmental stakeholders who interact directly or indirectly with the company.

This engagement takes the form of:

- Meetings and discussions
- Participation in conferences and industry gatherings
- KSB-hosted workshops
- Use of feedback mechanisms such as surveys and feedback via digital channels

KSB communicates with stakeholders to:

- Identify their interests and expectations at an early stage
- Anticipate developments in relevant areas
- Better assess risks and opportunities for the company
- Make sustainable decisions that safeguard the company's long-term success

The feedback from stakeholders is:

- Incorporated within development of the strategy and adaptation of the business model
- Taken into account when setting priorities for sustainability and innovation projects
- Used to improve products and services
- Used to support internal decision-making processes and communication with stakeholders

Overview of views of stakeholders

Stakeholders	Why it is important to include the views	How KSB interacts with stakeholders
Customers	For KSB, understanding customer needs and requirements is key and the only way to ensure that KSB's products and services meet customer expectations.	Customer surveys and interaction during the product development process Regular discussions with customers (sales and service activities)
Employees	Sustainable business growth depends on the employees. Employee views, ideas and concerns therefore help drive KSB's strategy and ensure the company's long-term success. The results from the Leadership & Culture part of the regular KSB Voice employee engagement survey indirectly influence the corporate strategy. Management also regularly communicates important corporate decisions and information to employees using the internal KSB communication format Let's Talk.	Employee surveys (KSB Voice engagement surveys) Employee events (first joiner days) Employee dialogue and networks Discussions with employee representatives (Group Works Council, General Works Council, local employee representatives, representatives for severely disabled employees and younger employees) Digital communication channels (KSB Intranet)
Investors	Investors play a central role in the company's long-term financing and strategic growth. Their expectations concerning financial performance, risk management and sustainability significantly influence the corporate strategy. Transparent communication and the inclusion of environmental, social and governance criteria are therefore crucial for investor trust and support.	Regular reporting (quarterly and annual reports) Investor conferences and annual general meetings One-on-one meetings with institutional investors
Suppliers (tier 1)	Suppliers have a major influence on the quality and environmental impact of KSB products. The consideration of relevant sustainability aspects and potential risks based on the standardised supplier management process is therefore an integral part of the supplier selection process.	Dialogue with suppliers in operational procurement meetings Through strategic meetings and framework agreement meetings
Workers in the value chain	KSB acknowledges its responsibility for all workers in the value chain and aims to avoid negative impacts. This calls for direct discussions with affected workers.	In the reporting year, KSB established a supplier screening system to identify negative, risk-based impacts in the value chain.
State	Maintaining a line of communication with state institutions is essential to ensure that KSB meets all regulatory requirements and actively participates in political processes relating to environmental, labour and industrial policy. This helps the company adapt to changes in the law and develop long-term, legally compliant strategies.	Regular meetings with authorities Participation in industry associations and consultations on new laws Cooperation in public-private partnerships
Society (non-governmental organisations, media, local community, analysts, competitors, political parties)	Corporate social responsibility is at the heart of KSB's business operations. It is important to understand societal expectations relating to corporate social responsibility, environmental protection and ethical action, and for the corporate strategy to reflect these. Social acceptance and a positive image strengthen trust in the company.	Engagement with local communities Corporate social responsibility (CSR) projects Participation in public discussions and initiatives
Trade unions	Trade unions represent the interests of employees and play an important role in negotiations on working conditions, pay and social security. Constructive dialogue with trade unions contributes to the creation of a fair, safe and inclusive work environment and helps resolve potential conflicts at an early stage.	Regular dialogue and negotiations with trade unions Discussions with employee representatives (e.g. works council, industrial relations manager) Joint working groups

KSB analyses the interests and views of its key stakeholders in the course of due diligence and the double materiality assessment. The most important insights from stakeholders are as follows:

Stakeholders	Requirements and expectations
Customers	On-time deliveries Products and services as ordered Fast and competent after-sales service Reasonable prices Extensive product information Transparent corporate governance Qualified employees Nuclear safety Data and information security Adaptation due to climate change IT and data security
Financial markets (Shareholders, banks, insurance companies)	<u>Shareholders:</u> Positive image of KSB Retention, payment of interest and increase in the value of invested capital An appropriate and effective risk management system Transparent corporate governance Adaptation due to climate change Protection from cyberattacks <u>Banks:</u> Retention and payment of interest on the financial resources provided (as credit lines or sureties for example) <u>Insurance companies:</u> Protection of the company Avoidance of financial damage for KSB Adaptation due to climate change Protection from cyberattacks
State (Authorities, tax authorities)	<u>Authorities:</u> Full implementation of legal and other requirements Transparent corporate governance Positive contributions to the infrastructure Payment of social benefits Compliance with the fundamental Conventions of the ILO Timely communication/information Appropriate and effective risk management Nuclear safety Data and information security <u>Tax authorities:</u> Tax revenue
Suppliers (Suppliers, service providers)	<u>Suppliers:</u> Clear specifications Reasonable delivery time Payment as per agreement Prompt notification of defects Data and information security <u>Service providers:</u> Clear order details Favourable conditions Payment as per agreement Safety at the Workplace Good infrastructure Good planning of working hours Data and information security
Workers in the value chain	Health and safety at the workplace Exploitation prevention Freedom of association and collective bargaining Grievance mechanisms Transparency and traceability Consideration of gender and diversity aspects
Society (Non-governmental organisations, media, local community, analysts, competitors, political parties)	<u>NGOs:</u> Information about activities Avoidance of pollution Adaptation due to climate change Assumption of social responsibility Nuclear safety <u>Media:</u> Information about activities, objectives, results and strategies Adaptation due to climate change <u>Local community:</u> Guarantee of safety and reliability Information about activities at the location No significant environmental impact Assumption of social responsibility <u>Analysts:</u> Transparent financial indicators with a positive trend Transparent ESG reporting Transparent strategic direction Appropriate and effective risk management Adaptation due to climate change <u>Competitors:</u> Fair business conduct <u>Political parties:</u> Full implementation of legal and other requirements Preservation of jobs Protection of the environment and social inclusion Transparent corporate governance Compliance with the fundamental Conventions of the ILO Timely communication/information An appropriate and effective risk management system Qualified employees

Stakeholders	Requirements and expectations
Employees, Supervisory and Administrative Board (top management, middle management, non-managerial employees, Supervisory Board and Administrative Board)	Top management: Decision-making autonomy Good income Development of their own ideas and skills Compliance with defined processes Full implementation of strategic decisions Appropriate and effective risk management Adaptation due to climate change Data and information security Middle management: Good income Decision-making autonomy Development of their own ideas and skills Safety at the workplace Non-managerial employees: Good income Safety at the workplace Social security Safety at the Workplace Good working atmosphere Opportunities to maintain and further develop skills Good infrastructure Good planning of working hours Possible adaptation of workplaces to climate change Data privacy and protection Supervisory and Administrative Board: Transparent financial indicators with a positive trend Positive image of KSB Innovative products Transparent strategic direction Appropriate and effective risk management Adaptation due to climate change Data and information security
Interest groups (industry associations, trade unions)	Industry associations: Positive image of KSB Engagement with association work Transparent corporate governance Trade unions: Job security Safeguarding of social benefits and income Accident prevention Preventive healthcare Compliance with the fundamental Conventions of the ILO Possible adaptation of workplaces to climate change

The assessment identified negative impacts and risks. However, the negative impacts and risks identified do not require far-reaching changes to KSB's current strategy or business model.

Stakeholders will continue to be consulted on their interests and their responses will contribute towards the development and adaptation of the long-term strategy and business model.

The Supervisory Board and Management are updated on the sustainability views and expectations of the stakeholders several times a year by the CEO, who receives reports from the members of the Sustainability Committee three times a year. The CEO also receives a monthly update from a sustainability representative from the Group's Strategy department.

Interests and views of stakeholders (own workforce) (ESRS 2 SBM-2 x ESRS S1)

For KSB, satisfied and qualified employees are essential for a sustainable and future-oriented business model. KSB therefore takes into account the interests, views and rights of its employees in various ways to ensure that their needs are fully met:

- Employee dialogue and networks: Open communication formats promote a continuous dialogue between employees and management.
- Cooperation with workers' representatives using Germany as an example: Discussions take place several times a year with local works councils, the Group Works Council and General Works Council and local representatives (e.g. representatives for severely disabled employees and younger employees). These representatives are involved in strategic decisions, especially on working conditions and social benefits.
  Comparable formats are also implemented in other countries, adapted to local conditions. There were also meetings with the Group Works Council in the 2025 financial year.
- The workers' representatives on the Supervisory Board are appointed in accordance with the Mitbestimmungsgesetz [German Co-Determination Act].
- Digital communication channels: Use of the KSB Intranet enables transparent communication and a rapid exchange of information.

Incorporation in strategy and business model:
The feedback from discussions and other forms of interaction is incorporated into the design of the work environment and contributes towards the company's strategic direction. Respect for human rights, compliance with international labour standards, including the fundamental Conventions of the International Labour Organisation (ILO), non-discrimination policies and equal opportunities in the workplace are of particular importance.

KSB also strives to promote an open corporate culture by taking into account individual needs and rights, improving skills, and adapting to the challenges of climate change.

Besides encouraging employee engagement, these approaches are also intended to ensure KSB's long-term resilience and competitiveness.

Interests and views of stakeholders (workers in the value chain) (ESRS 2 SBM-2 x ESRS S2)
The company's business activities could potentially have a material impact on workers in the upstream value chain, especially in terms of human rights and working conditions. Workers in the upstream value chain are therefore key stakeholders of KSB. KSB has not been found to have a material impact on the downstream value chain.

KSB uses an external supplier screening platform to take into consideration the interests and views of workers from the upstream value chain (tier 1). The evaluation also incorporates observations from KSB Procurement employees during visits to the supplier.

Due to the complexity of the supply chain, priority is given to bigger, active suppliers. For new suppliers, KSB requires the supplier to complete a questionnaire on topics related to human rights (decent pay, prohibition of forced labour) and the existence of a code of ethics.

Respect for human rights is a material criterion for KSB in the selection of direct suppliers.

This is verified during the supplier selection process and when assessing sustainability criteria for existing suppliers as part of a risk assessment for prioritised suppliers.

These findings are used as the basis for incorporating the interests and rights of these stakeholders into the strategy and supplier selection in accordance with the following guiding principles:

- KSB does not tolerate human rights violations in the value chain and only wants to work with partners who guarantee fair working conditions and human rights. Audits and the supplier code of conduct are intended to enforce this.
- Grievance mechanisms: KSB provides secure channels through which workers in the supply chain or their representatives can report human rights violations.
- Training: To minimise risks, KSB has trained employees with expertise in occupational health and safety and human rights to support the suppliers.

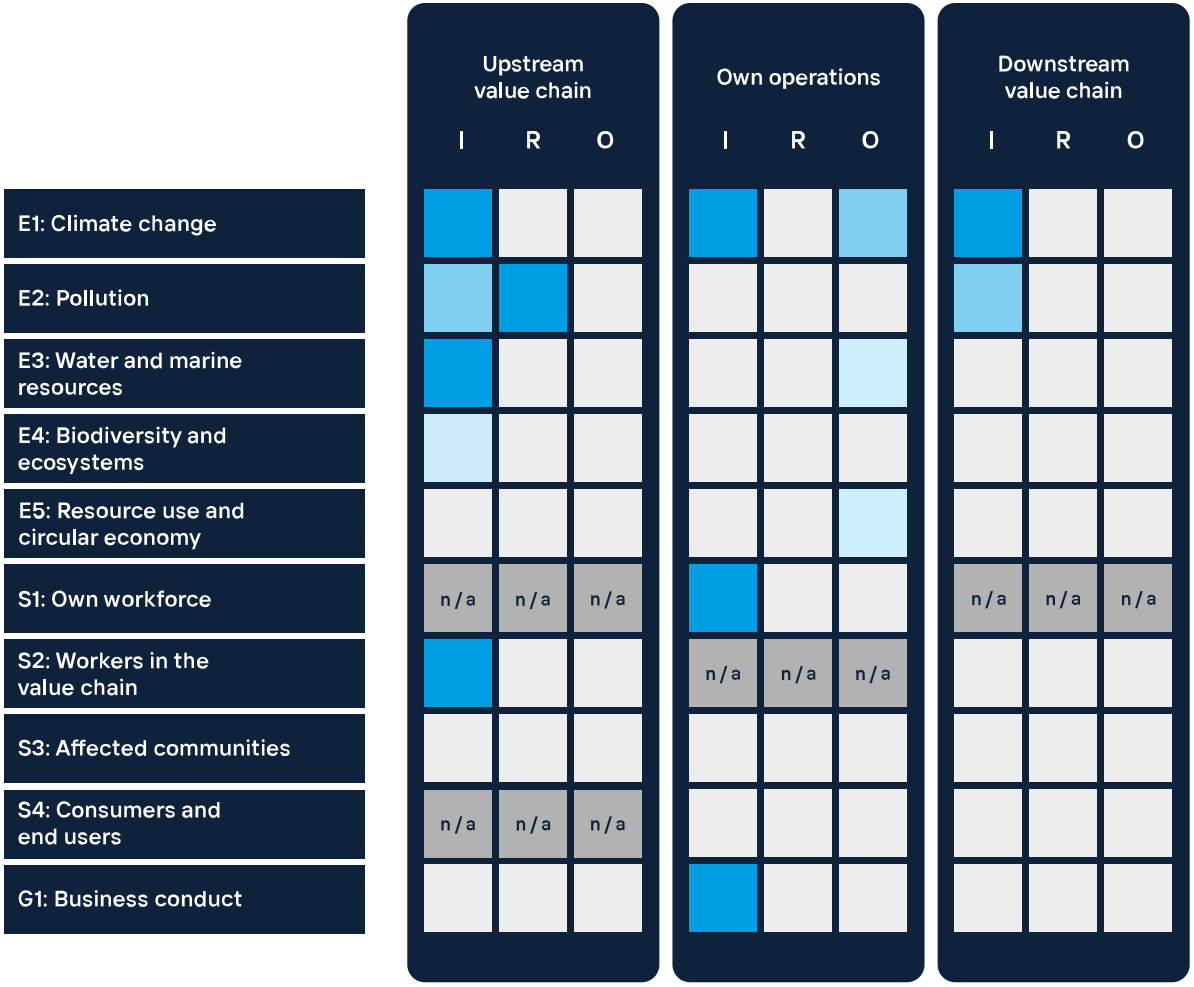
These actions strengthen KSB's long-term strategy to promote decent working conditions throughout the value chain and reduce risks to workers.

If a concern is raised (whether through the whistleblower system, via KSB's supplier screening platform or following a supplier audit), KSB will conduct an investigation and address the issues with the individual supplier.

As part of its ongoing due diligence process, KSB seeks dialogue with individual suppliers with the aim of eradicating any issues.

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)
Overview of material impacts, risks and opportunities
The impacts presented in the following illustration as having Medium and Low materiality were not deemed to be material in the double materiality assessment conducted. However, KSB will continue to monitor these impacts and will, if necessary, include them in its reporting at a later date.

Six material reporting topics were identified by the double materiality assessment



Key

Assessment	Procedure
High materiality	Disclosure requirement in accordance with the ESRS topical standards
Medium materiality	Continue to monitor and, if necessary, collect data for proper assessment and future disclosure
Low materiality	Future disclosure requirement unlikely, ongoing monitoring recommended
Not material	No disclosure requirement identified
n / a	Not applicable

I = Impact
R = Risk
O = Opportunities

Overview of the material impacts, risks and opportunities related to the KSB business model

		Position within the value chain			Impacts		Risks and opportunities		Status	
		Upstream	Own operations	Downstream	Positive	Negative	Risk	Opportunity	Potential	Actual
E1: Climate change	**IRO 1:** Energy consumption and greenhouse gas emissions	x	x	x		x				x
	IRO 2: Mitigating the impacts of climate change – flood control			x	x				x	
	IRO 3: Reducing electricity consumption in the usage phase			x	x				x	
E2: Pollution	**IRO 4:** Dependence on SVHC (PFAS)	x					x			
E3: Water and marine resources	**IRO 5:** Water consumption, withdrawal and discharge	x				x				x
S1: Own workforce	**IRO 6:** Occupational health and safety		x			x				x
	IRO 7: Equal treatment and opportunities for all		x			x				x
	IRO 8: Gender diversity		x			x				x
	IRO 9: Training and professional development		x		x				x	
S2: Workers in the value chain	**IRO 10:** Working conditions, equal treatment, human rights	x				x			x	
G1: Business conduct	**IRO 11:** Corruption and bribery		x			x			x	
	IRO 12: Inadequate prevention of corruption and related training		x			x			x	
	IRO 13: Corporate culture		x		x					x

Impact on business model, value chain, strategy and decision-making

KSB thoroughly assessed the material impacts, risks and opportunities related to its business model and value chain.

The assessment identified negative impacts and risks. However, KSB does not currently consider it necessary to make material adjustments to the existing strategy or business model. At the present time, therefore, the strategic focus remains on the following:

Environment

By proactively integrating sustainability into the KSB corporate strategy, the company strives to mitigate the environmental impact of its energy use in the context of climate change.

Strategic focus areas include improving energy efficiency and reducing greenhouse gas emissions through continuous improvements in the technologies used and a reduction in emissions throughout the value chain.

The product life cycle and operation of the products at customers are material aspects in this regard. KSB wants to improve the environmental performance of its products during their service life and support the sustainability goals of its customers.

By focusing on energy-efficient technologies and digitalisation, KSB is improving its operational efficiency and driving the development of innovative solutions.

KSB's current and future sustainability goals are key to the further development of sustainability-related aspects in the corporate strategy and organisation.

Social

Occupational health and safety

Occupational health and safety is an integral part of the KSB strategy and essential for creating safe working conditions to minimise accidents and risks to health.

This includes regular training, ensuring safe operating processes, providing suitable personal protective equipment and promoting a culture of mindfulness and prevention.

Reducing accident-related absences has been incorporated into the company's objectives.

Equal treatment and opportunities for all

KSB has made achieving a fair gender distribution in management positions, promoting gender equality and providing professional development opportunities for all employees important priorities.

KSB has defined a specific percentage of women in management positions as one of its corporate goals and included this in the Human Resources functional strategy.

Gender diversity

Women are still under-represented in technical professions such as engineering. For a mechanical engineering company like KSB, this indicates considerable untapped potential on the labour market.

KSB is determined to increase the proportion of women in its own workforce and also increase interest among women in training for a technical profession.

Training and professional development

Qualified employees are key to any company's success. There is a close connection between employee training and the Know-How Champion pillar of the Mission TEN30 corporate strategy. Ensuring a high standard of training is part of the Human Resources functional strategy and corporate targets have been set for the average number of training hours to be completed per employee per year.

Improvement of working conditions across the value chain

KSB focuses not only on protecting and supporting its own employees, but also on respecting human rights and improving the working conditions of employees in the upstream value chain.

An important aspect of this is intensifying cooperation with suppliers to promote sustainable practices while reducing environmental impacts. KSB has defined ESG-related targets for the value chain.

Corporate governance

By engaging KSB stakeholders and committing to ethical business practices, KSB proactively addresses social and governance risks related to human rights, diversity and corporate governance. This helps to position KSB as a responsible company.

Material impacts on people and the environment and their interaction with strategy and business model(s)

Climate change (ESRS E1)

IRO 1: Energy consumption and greenhouse gas emissions

The combustion of fossil energy sources and use of non-renewable electrical energy produce greenhouse gas emissions that contribute to climate change.

This, in turn, will entail an increase in extreme weather events, such as heat waves, heavy rainfall and floods. This can worsen the working conditions of the workforce and put the production sites at risk. It will also impact the

living conditions of many people and potentially destroy habitats.

As a mechanical engineering company, KSB operates in a high climate impact sector. The negative impacts of energy use and greenhouse gas emissions are directly linked to the company's business model.

The impacts are expected in the short term.

The extraction of raw materials, production of purchased products (for example, castings, steel parts, motors), KSB's own production (machining, assembly, testing) and the operation of pumps and valves all consume large amounts of energy.

The type of energy required depends on the production processes chosen, the technical solution used to heat and cool the buildings, and the electrical energy source for processing and operation during the usage phase of a sold product.

Fossil fuels (natural gas and heating oil) are used primarily in the production of castings and steel parts in the upstream value chain and KSB's own foundries, as well as for heating company buildings.

Electrical energy is used primarily to operate machining equipment in KSB production facilities and products during the usage phase.

IRO 2: Mitigating the impacts of climate change – flood control and
IRO 3: Reducing electricity consumption in the usage phase

KSB actively contributes to mitigating climate change-related challenges with innovative technical solutions. These include pumps and valves for flood control systems that protect human habitats. In addition, KSB's energy-efficient products make a material contribution to reducing greenhouse gas emissions and customer operating costs thanks to increased efficiency.

These positive impacts are closely linked to KSB's business model and strategic direction, as the development of energy-efficient technologies is an integral part of KSB's corporate strategy.

The impacts are expected in the short term.

KSB develops and markets technologies that are designed to increase energy efficiency, which can help to lower operating costs and reduce the associated environmental impact. The company's innovative strength and the targeted integration of sustainable principles into product development are positively impacting the environment and society.

Water and marine resources (ESRS E3)

IRO 5: Water consumption, withdrawal and discharge

KSB's upstream value chain includes the mining of necessary raw materials and the production of intermediate products in the iron and steel industry. Water withdrawal, water consumption and the generation and treatment of waste water associated with raw material mining vary greatly depending on the specific activities and locations.

Mining companies typically use large amounts of water for production, processing, separating minerals and cleaning machines. Smelting also requires large quantities of water for cooling, scrubbing and dust suppression. Suitable waste water purification and treatment technologies are required to decontaminate the water used.

As a mechanical engineering company, KSB requires many supply parts made of iron and steel. The upstream value chain is water-intensive. The negative impacts are directly linked to the company's business model.

This can lead to significant environmental and health problems in the medium to long term.

In water-scarce regions, water withdrawal, combined with water scarcity, can cause short-term resource conflicts.

The negative impacts arise in the upstream value chain, raw material mines, steelworks and during further processing into intermediate products made from iron and steel, which are required by KSB and purchased as part of its business operations.

Own workforce (ESRS S1)

IRO 6: Occupational health and safety

As a company involved in industrial machine production and with its own foundries, workers at KSB are regularly exposed to health and safety risks from heavy machinery, moveable equipment and electrical hazards.

Activities to ensure occupational safety and promote employee health are therefore important fields of action for the company.

Besides safeguarding employee health, safe and ergonomic working conditions also improve effectiveness and efficiency.

The impacts are expected in the short term.

The impacts relate to KSB's own mechanical engineering activities.

IRO 7: Equal treatment and opportunities for all

Due to the under-representation of women in management positions, there is, at present, only a limited diversity of experiences and perspectives at management level. This can affect the quality of decision-making processes and the long-term performance of the company.

As a global company, equal treatment and opportunities is extremely important. This is also reflected in KSB's commitment to providing fair development and promotion opportunities for all employees, regardless of gender or other personal characteristics. A working environment that embraces diverse professional backgrounds and experiences breeds innovation and drives business success.

KSB is focused on providing fair and transparent access to management positions and reducing structural imbalances by promoting gender equality and ensuring equal opportunities at every stage of the career path.

The impacts are expected in the short term.

KSB seeks to meet the challenge of addressing the negative impacts on equal treatment and equal opportunities in management positions and helping to shape social change.

IRO 8: Gender diversity

The low representation of women could negatively impact KSB's attractiveness to female employees, which could adversely affect its perception as an attractive employer for female professionals and managers. This could limit diversity within the company and reduce the potential for different perspectives.

The under-representation of women is connected to the company's business model and mechanical engineering activities, and is, in part, attributable to the fact that STEM (science, technology, engineering and mathematics) professions are less attractive to women.

Despite signs of a turnaround, technical disciplines such as engineering continue to be impacted.

The impacts are expected in the short term.

IRO 9: Training and professional development

Training and professional development has the potential to positively impact the company's workforce.

Providing professional development opportunities for all employees is important to KSB. Its aim is to harness and develop existing potential in order to strengthen the company's performance and innovation.

Employee training is a key part of this. There is a direct correlation between employee training and the Know-How Champion pillar of the Mission TEN30 corporate strategy.

The impacts are expected in the short term.

In connection with its business model and activities, KSB requires highly qualified specialists. This potentially correlates directly with the positive impact of training and professional development.

Workers in the value chain (ESRS S2)

IRO 10: Working conditions, equal treatment, human rights

The material impacts related to supply chain workers for KSB concern working conditions, equal treatment and opportunities for all, and other work-related rights. Focus areas for KSB include ensuring compliance with appropriate labour, wage and social standards, equal treatment, and improving respect for human rights, primarily among suppliers in Asia.

The impacts relate to KSB's business model as the required raw materials have to be mined and negative impacts on workers cannot be completely ruled out.

The impacts are expected in the short term.

The impacts relate to KSB's business relationships and upstream value chain.

Business conduct (ESRS G1)

IRO 11: Corruption and bribery and
IRO 12: Inadequate prevention of corruption and related training

Incidents of corruption and bribery can potentially have serious negative impacts, as they give rise to unethical decision-making processes that can violate human rights or compromise environmental protection. Such incidents undermine trust in institutions and companies, and can damage natural resources or harm vulnerable communities. One consequence can be the misuse of public funds and resources, which can harm the general public and negatively impact society and the environment through illegal projects or projects that are not environmentally sustainable, for example.

Incidents of corruption often arise due to weaknesses in the business model or inadequate governance control; for example associated with a lack of or ineffective prevention or training. An explicit anti-corruption policy is necessary to minimise such risks and maintain the company's integrity.

KSB could become embroiled in incidents of corruption through its own operations or those of business

partners, especially in high-risk countries or sectors. It is important that all involved parties, from suppliers to partners, follow the same ethical standards.

Anti-corruption and anti-bribery policies are closely connected to the corporate strategy. Observing ethical standards and preventing illegal activities such as corruption reduces the likelihood of potential negative impacts. A strong governance control system and regular training are an integral part of KSB's business processes.

The company may be exposed to negative impacts from corruption through its own business practices or through business relationships with suppliers or partners. It is therefore important to integrate these activities into all business relationships to ensure compliance with ethical standards across the supply chain.

The negative impacts may already be felt in the short term.

IRO 13: Corporate culture

A strong corporate culture based on clearly defined values leads to a positive social climate and supports fair working conditions. This can promote employee well-being and support fairer, environmentally conscious business practices, ensuring the long-term protection of natural resources and communities.

A value-based corporate culture is a solid basis for the corporate strategy. It increases stakeholder confidence in the company.

Promoting a value-based corporate culture has positive effects on employee motivation and trust in the short term, while strengthening the company's reputation in the long term.

A value-based corporate culture influences internal business practice and positively impacts business partners.

Current financial effects from risks and opportunities

The sustainability-related risks and opportunities identified were quantified in the reporting year. The topics identified in the double materiality assessment were incorporated in KSB's Group-wide risk management system. Based on the double materiality assessment conducted, KSB does not consider there to be a significant risk of a material adjustment within the 2025 financial year to the carrying amounts of assets and liabilities reported in the consolidated financial statements. In the current reporting year, material risks and opportunities have no financial effects on the financial position, results of operations or cash flows.

Anticipated financial effects from risks and opportunities

IRO 4: Dependence on SVHC (PFAS)

Based on current knowledge, KSB does not anticipate any material impacts on the financial position, financial performance or cash flows in the short and medium term.

The company has identified a potential long-term financial risk from its dependence on PFAS (per- and polyfluoroalkyl substances) components in view of the proposed ban on their use in the long term.

PFAS components offer specific properties such as chemical resistance and longevity, which are essential for certain applications. A restriction on these substances could bring significant challenges, including rising costs for developing and sourcing alternative materials as well as production delays. This could have a significant long-term impact on KSB's business and upstream supply chain.

To minimise this risk, KSB is already looking for alternatives.

This risk cannot be quantified reliably at present due to the evolving legal situation (there is currently no concrete restriction) and the evolving availability of alternative materials.

Other risks and opportunities

KSB sees growth potential for its products in the different Segments and Markets, regardless of the climate scenarios considered (1.5 °C, 2 °C, 4 °C). The various development trajectories have all been projected and taken full account of in the Mission TEN30 corporate strategy.

Therefore, no additional opportunities in connection with a deviation from the plan were identified during the assessment. According to the underlying definition, an opportunity exclusively represents a positive deviation from the existing strategic planning.

Since the market potential identified is already an integral part of the strategic objectives, investment planning and product and market orientation, there is no unplanned potential for further increases in value.

There are no sustainability-related actions that currently require material investments. However, once KSB has prepared a transition plan for reducing greenhouse gas emissions, it does anticipate a need for investment.

KSB was able to use the impacts, risks and opportunities identified in the DMA to conduct additional resilience audits.

These included qualitative assessments considering the different time horizons defined in ESRS 1 Chapter 6 “Time horizons”.

The qualitative assessment focused on identifying vulnerabilities and potential disruptive factors within the business processes and value chain.

KSB conducted scenario analyses to understand how its business could be impacted by various risks and opportunities such as climatic changes, geopolitical instability or market shifts.

The results of the analyses showed that the flexibility of the KSB business model allows for targeted adjustments, making it resilient to transitory changes. A key factor in KSB’s resilience is its ability to respond swiftly to market changes and develop innovative solutions.

The analyses found that KSB is well positioned to address the transitory risks while taking advantage of opportunities.

According to the company’s current assessment, the KSB business model and Mission TEN30 corporate strategy have the resilience needed to meet future challenges and leverage opportunities from global changes:

- Energy efficiency and climate change mitigation: KSB continues to increase the energy efficiency of its products and reduce greenhouse gas emissions through innovative pump and drive technologies. The company’s long-term goal is to achieve climate neutrality.
- Reduction of polluting substances: The use of PFAS is planned to be minimised over the medium term.
- Employee appreciation: KSB invests in employee training and development and occupational health and safety, and promotes a positive, diverse corporate culture. Employee engagement is measured in regular employee surveys.
- Support across the value chain: KSB works with its suppliers to ensure their compliance with social and environmental standards and increase awareness of sustainability throughout the value chain.
- Transparency and ethical action underpin corporate governance. KSB has clear compliance guidelines and promotes a culture of responsibility.

In the reporting year, the structure of the identified impacts, risks and opportunities (IROs) was adjusted as part of the DMA review. Individual IROs were incorporated within higher-level categories without changing their definition, materiality classification or management approaches. The consolidation is for presentation purposes only, meaning that the underlying sustainability information and ratings are unchanged and comparable with the previous period.

As part of the risk identification, additional potential risks were analysed with regard to a dependence on critical raw materials and the shortage of skilled workers, and an initial quantitative assessment was conducted to identify the potential financial impacts. Based on the assessment methodology applied, these risks are currently not classified as material in terms of their financial impact on KSB’s net assets, financial position and results of operations. For reasons of transparency, the risks are nevertheless disclosed in the risk report, as they reflect structural developments which may become increasingly relevant in the future. The assessment is reviewed at regular intervals and adjusted in the event of a change in the underlying framework.

Description of the processes to identify and assess material impacts, risks and opportunities (Double Materiality Assessment, DMA) (IRO -1)

Procedure

KSB conducted its first double materiality assessment (DMA) based on the ESRS in 2024 and reviewed it in the reporting year. Guided by the content and requirements of the draft ESRS, KSB adopted a systematic approach to the double materiality assessment to identify, evaluate and document all material impacts, risks and opportunities (IRO). For the consideration of the impacts, risks and opportunities, KSB referenced the short-, medium- and long-term time horizons defined in Section BP-2.

It used the scoring and assessment model suggested by the ESRS and EFRAG.

For the initial preparation of the DMA, KSB completed the following steps:

- Preparatory workshops including as-is analysis
- Performance of the DMA (assessment and documentation of impacts, risks and opportunities)
- Presentation of the DMA and approval by the Managing Directors

The following preparatory activities were completed in the kick-off workshop before starting the DMA:

- As-is analysis
- Preparation of an overview of relevant business areas, production processes and product groups
- Definition of relevant business relationships along the value chain
- Discussion of possible topics and their impacts, risks and opportunities (long list)
- Determination of KSB's internal interview partners for stakeholder discussions

For an external perspective, KSB held workshops and interviews with internal stakeholders with in-depth knowledge and experience of the company's internal processes, strategies and goals. Their insights are critical to understanding external perceptions of the company and how external factors (e.g., market trends and regulatory requirements) can influence internal decisions.

Assumptions:
The assumptions made when completing the DMA related to the availability and quality of data, the long-term impacts of the company's operations and actions, regulatory trends, stakeholder expectations, and the company's ability to respond to future challenges and opportunities. These assumptions formed the basis for identifying material financial effects and material impacts on the environment and society.

Validity of the material impacts, risks and opportunities for all KSB business areas:
The IROs impact the Pumps, Valves and KSB SupremeServ Segments equally because the risks and opportunities, which are influenced by factors such as market conditions, regulatory requirements and technological developments, do not differ materially and the businesses are closely linked.

Gross view of impacts, risks and opportunities in the DMA:
The assessment of impacts, risks and opportunities makes a distinction between gross and net effects. Gross effects are the impacts, risks and opportunities identified, not accounting for any mitigation effects or implemented actions.

Net effects, on the other hand, take into account the impact of strategies already implemented as well as actions to mitigate impacts and risks or maximise opportunities. This distinction is important to give a realistic picture of the potential financial and operational impact and assess the effectiveness of existing actions.

While the DMA presents the gross view, the individual facts in the Opportunities and Risks Report in the financial part of the Annual Report are presented net, after deducting the amount of countermeasures. This may result in differences in the assessment of individual facts in the Sustainability Statement as compared to the Opportunities and Risks Report. If the different views lead to deviations, this is explicitly indicated in the reports.

KSB included all of its organisational units (including Segments and Market Areas) in the discussion of potentially relevant activities and product groups. Since KSB is similarly positioned worldwide in terms of its activities and product groups, there is no breakdown by KSB Regions and subsidiaries.

Impacts from the upstream and downstream value chain and business relationships were considered in addition to the company's own operations.

There was no direct involvement of external stakeholders in the DMA. The stakeholder perspective was included in the workshops based on input from internal employees with external stakeholder contact. KSB also called in external expertise to support it during implementation of the DMA process.

The materiality of the identified impacts, risks and opportunities was assessed in workshops.

The criteria and thresholds recommended by the European Financial Reporting Advisory Group (EFRAG) were used for the materiality assessment.

These criteria are explained below.

Assessment of impact materiality

Negative impacts

In the case of actual negative impacts, materiality is based on the severity of the impacts based on the following factors:

Scale + scope + irremediable character

In the case of potential negative impacts, materiality is based on the severity and likelihood of the impacts.

Positive impacts

The materiality assessment of a positive impact does not have to take into account remediability (irremediable character) as the impact does not cause harm. ESRS 1 (46) requires positive impacts to be assessed based on actual and potential impacts as follows:

For actual impacts, materiality is based on the scale and scope of the impact:

Scale + scope

For potential positive impacts, materiality is based on the scale, scope and likelihood of the impact.

Detailed description of the assessment criteria used (scale, scope and irremediable character)

- Scale – How serious are the negative impacts or how beneficial are the positive impacts for people or the environment?

The scale of impact is a relative measure depending on the context in which the positive or negative impact takes place.

Assessing the scale of the impacts

Value	Description
5	Absolute
4	High
3	Medium
2	Low
1	Minimal

- Scope – How widespread are the negative or positive impacts?

In case of environmental impacts, the scale may be understood as the extent of environmental damage in a geographical region or a geographical perimeter.

In case of impact on people, the scope may be understood as the number of people adversely affected.

Assessing the scope of the impacts

Value	Description
5	Global / Total
4	Widespread
3	Medium
2	Concentrated
1	Limited

- Irremediable character – Could the negative impacts be remediated and, if so, to what extent? (Not relevant for positive impacts)

Irremediability concerns whether and to what extent the negative impacts could be remediated, restoring the environment or affected people to their prior state.

Assessing the remediability or irremediability of the impacts

Value	Description
5	Non-remediable / irreversible
4	Very difficult to remediate or long-term
3	Difficult to remediate or mid-term
2	Remediable with effort (time & cost)
1	Relatively easy to remediate or short-term

Materiality thresholds

After assessing the scale, scope and remediability or irremediability (severity) of positive and negative impacts using the criteria described, the impacts are classified using the materiality thresholds defined by EFRAG.

The materiality thresholds are necessary to determine which actual impacts are material.

- Any actual impact with a quantitative sum result of 8 or higher is material and must be disclosed by KSB.

Materiality thresholds for actual impacts

Value	Description	Material
>12	Critical	Yes
11–12	Significant	Yes
8–10	Important	Yes
5–7	Informative	No
<5	Minimal	No

- All potential impacts must also be assessed with a likelihood. The assessment of likelihood is a follow-on step in the impact assessment and is only relevant for potential impacts.

The company is required to disclose potential material impacts based on the combined likelihood and severity in accordance with the matrix published by EFRAG.

To classify an impact in the likelihood matrix, the assessed severity score is divided by 3 (negative impact) or 2 (positive impact).

The materiality of a potential impact is assessed against criteria of severity and likelihood as follows:

Materiality thresholds for potential impacts

Combinations	Likelihood					
		5	4	3	2	1
Severity	5 (Critical)	Material	Material	Material	Material	Material
	4 (High)	Material	Material	Material	Material	Not material
	3 (Moderate)	Material	Material	Not material	Not material	Not material
	2 (Minor)	Material	Not material	Not material	Not material	Not material
	1 (Negligible)	Not material	Not material	Not material	Not material	Not material

The likelihood is assessed using the following scale:

1: Very unlikely
2: Unlikely
3: Neither likely nor unlikely
4: Likely
5: Very likely

Exception in case of negative human rights impacts
In the case of a potential negative human rights impact, the severity of the impact takes precedence over its likelihood. In such cases, the likelihood of potential negative impacts was not taken into account. These impacts are then treated as actual impacts and their materiality thresholds are applied accordingly.

Overview of the process used to assess, identify and monitor risks and opportunities that have or may have financial effects
KSB has implemented a Group-wide risk management system for identifying, assessing and reporting relevant, ESG-related risks and opportunities. Risk Management was involved in performance of the double materiality assessment and IRO assessment process. An additional category for ESG risks was also included for risk management.

All corporate and central functions and Group companies, including Group companies that are not consolidated, are included in the risk management system. The responsible managers are required to report all identified risks to the central Risk Managers twice a year.

The risk management process of the KSB Group consists of the successive phases of identification, assessment, management, control, documentation and communication of risks. This process is supported by risk management software and is documented in KSB's Risk Management Manual alongside the Management's responsibility, the description of all relevant tasks and the risk strategy.

The monitoring period for risks and opportunities in the DMA process comprises three periods:

- The first period encompasses a time horizon of up to twelve months.
- The second period encompasses a time horizon of up to five years.
- The third period encompasses a period of more than five years. This is limited by the validity period of the Mission TEN30 corporate strategy, which currently runs until 2030.

The Managing Directors, the Administrative Board and the Supervisory Board's Audit Committee receive two risk reports per financial year. These reports include all the risks classed as material that exceed a pre-defined threshold value individually or collectively, taking into consideration any corrective action that has been taken (net risk), as well as further significant developments.

Additionally, the risk-bearing capacity of the KSB Group is regularly monitored on the basis of the overall risk position, which is developed by aggregating all the risks recorded. This makes it possible to identify early on any developments that could threaten business continuity in the monitoring period.

Particularly time-critical risks and new or changed risks that are classified as significant are to be reported by the responsible managers to the Risk Managers on an ad hoc basis. The latter review the information and pass it on to the Managing Directors of KSB Management SE.

As the legal representative, KSB Management SE assumes overall responsibility for risk management. It reports to the Supervisory Board of KSB SE & Co. KGaA via its Managing Directors during regular Audit Committee meetings and is monitored by the latter.

The impacts were reconciled with the risks and opportunities in the workshops and documented in the double materiality assessment.

A distinction is made between qualitative and quantitative risks.

Qualitative risks are developments that cannot or cannot yet be thoroughly quantified due to a lack of precise information. However, to be able to evaluate them for further analysis steps, the scope is assessed using defined evaluation intervals. The mean value of these evaluation intervals is used to determine the significance of these risks for the Group.

Quantitative risks are risks for which the potential monetary impact on the earnings and/or liquidity of the KSB Group can be estimated. They are evaluated taking into account the specifically calculated probability of occurrence in combination with the potential amount of loss.

The scope or amount of loss describes the potential influence of the individual risk on the key indicator of earnings before finance income / expense and income tax (EBIT) or liquidity of the KSB Group or the respective Group company. This must be evaluated using three scenarios. A distinction is also made between a gross method before taking into account any corrective action that has been taken, and a net method after taking into account such actions.

In this context, gross impacts on EBIT of all individual and similar risks of € 500,000 or more before countermeasures in the most likely case scenario are to be reported uniformly throughout the Group at the earliest possible time, regardless of how the risk is assessed in terms of probability of occurrence. Purely cash-effective

risks are reported as from a gross impact of € 5.0 million or more (in the most likely case).

KSB defines as material all risks or aggregate risks, for which the product of the probability of occurrence and the most likely amount of loss, after deducting the amount of countermeasures, is greater than € 5.0 million. This applies to qualitative and quantitative risks.

Assessment of financial materiality

In a first step, the assessment was carried out in two groups (Continued use or availability of resources and Dependence on relationships) as shown below.

If the result of the assessment is critical, significant or important, the financial effect was initially classed as material.

a) Continued use or availability of resources

Risks:

Value	Description
5	Impossible, very costly or unavailable in the short term
4	Possible, but costly in the short term, very costly or lacking in the medium term, impossible in the long term
3	Possible in the short term, costly in the medium term, very costly in the long term
2	Possible in the short, medium and long term
1	Without consequence in the short, medium and long term

Opportunities:

Value	Description
5	The resource use is very likely, very beneficial and available in the short term
4	The resource use is likely, beneficial in the short term, very beneficial in the medium term
3	Possible in the short term, beneficial in the medium term, very beneficial in the long term
2	Possible and slightly beneficial in the short, medium and long term
1	Possible in the short, medium and long term

b) Dependence of relationships

Risks:

Value	Description
5	Strong adverse reaction currently or very likely in the future
4	Adverse reaction currently, strong adverse reaction likely in the future
3	Negative reaction currently, adverse reaction likely in the future
2	Signs of negative reaction currently or in the future
1	Neutral / no reaction currently and likely in the future

Opportunities:

Value	Description
5	Strong positive reaction currently or very likely in the future
4	Positive reaction currently, strong positive reaction likely in the future
3	Positive reaction currently, positive reaction likely in the future
2	Signs of slightly positive reaction currently or in the future
1	Neutral / no reaction currently and likely in the future

Financial materiality assessment table:

Value	Description	Material
5	Critical	Yes
4	Significant	Yes
3	Important	Yes
2	Informative	No
1	Low	No
0	Minimal	No

Since dimensions were partly aggregated in this first step, the reported risks and opportunities classed as material were also systematically evaluated in accordance with the requirements of risk and opportunity management with the specialist departments responsible. The influence of time, likelihood, and magnitude of the risks and opportunities were considered and evaluated separately.

The following scale was used to assess the global probability of occurrence:

- Highly likely (51–100 %)
- Likely (31–50 %)
- Possible (11–30 %)
- Unlikely (1–10 %)

Evaluation of the materiality of risks and opportunities

The decision as to the materiality of an opportunity or risk was based on the expected value (probability of occurrence multiplied by the amount of loss in the expected case).

When considering the risks and opportunities in the DMA, this gross value was used for the assessment of materiality (expected value without deduction of mitigating actions).

For other financial risk management, on the other hand, the net expected value for materiality was used (after deducting mitigating actions).

As a result, there are no material risks other than the potential restriction on components made of PFAS (per- and polyfluoroalkyl substances). The final assessment with the relevant specialist department resulted in

determining the materiality for the long-term time horizon.

For the opportunities, a review was conducted of the notional growth potentials from the DMA workshops in the KSB fields of application. This found that all growth potentials were already incorporated in the Mission TEN30 corporate strategy and did not identify any material deviations from the plan. In accordance with the DMA methodology, this does not result in any material opportunities for KSB.

The sustainability-related risks are not prioritised by KSB and are covered by the company's general risk management.

Performance of the DMA

The DMA was prepared on the basis of expert interviews. The KSB core team – the internal subject owners – held several meetings with some involvement of external experts to discuss the impacts, risks and opportunities and the assessment of these.

The DMA was also validated by the Managing Directors, the Administrative Board of KSB Management SE and the Audit Committee.

The review during the reporting year focused on the following:

- Clarification of new topics for the long list
- Stakeholder interviews
- Review of the double materiality assessment
- Control procedures of the Managing Directors

The impacts, risks and opportunities are based on KSB's risk reports.

All risks and opportunities identified in the DMA are recorded to the same extent as risks and opportunities in the corresponding software solution for risk management.

ESG risks and opportunities are assessed in the same way as all other financial risks and opportunities. The impacts are also identified in the risk management software. The assessment was conducted outside the software solution.

The DMA did not identify any material opportunities in the reporting year.

However, possible ESG opportunities would always be identified and reported as part of the risk and opportunity management process.

In addition to the topics listed in ESRS 1 Appendix A, the DMA process also considered industry and company-specific topics that were already the basis for the previous sustainability reporting.

Additional information comes from the SASB Materiality Finder, VDMA information, WWF Water Risk and Biodiversity Risk Filters, IPCC scenarios, Swiss RE Catnet data, customer satisfaction surveys, comparisons with competitors, a broad Internet search on specific sustainability topics, especially on the web sites of recognised NGOs.

Following a reconciliation (which is also based on the SASB Materiality Finder for industrial machinery), all potentially material topics for KSB as a company are covered by the CSRD subsubtopics.

The entire company including its value chain was considered.

The materiality assessment (DMA) itself was initiated, with external advisory support, in the second half of 2023 and completed in the course of 2024. The results were re-validated in 2025. No additional topics were identified as material. However, the potential positive impact related to the whistleblower protection system was reassessed and no longer considered to be material. The impact descriptions have been revised for clarity. There were no changes to the risks and opportunities. A further review of the DMA is planned following the adoption of the revised ESRS.

Topical disclosure requirements related to climate change (ESRS 2 IRO-1 x ESRS E1)

KSB identified and assessed its current actual climate-related impacts, risks and opportunities in the DMA.

As the basis for considering the impacts on climate change in particular, direct and indirect greenhouse gas emissions along the value chain were calculated in line with the GHG Protocol standards and guidance.

These included:

- Scope 1 emissions (direct emissions from sources owned or controlled by the company directly, e.g. production facilities and building heating systems, air conditioning systems, the KSB vehicle fleet)
- Scope 2 emissions (indirect emissions from purchased energy)
- Scope 3 emissions (emissions from upstream and downstream activities such as supply chains, product use and waste disposal)

The data is collected annually using quantitative methods. The results are presented in an annual emissions report and included in the company's climate change policy.

KSB does not currently use projections to quantify accurate potential future emissions in the event of business growth or new technologies, but has considered and assessed these potential impacts qualitatively.

Physical climate risk analysis

In the 2024 financial year, KSB assessed climate-related physical risks for its biggest production sites and the upstream and downstream value chain, and reviewed this assessment in the reporting year.

The assessment of climate-related hazards, exposure and sensitivity was informed by high emissions climate scenarios, including the IPCC's RCP 8.5 scenario. This scenario (RCP 8.5: Representative Concentration Pathway 8.5) represents the possible physical risks for KSB in the event of unchecked emissions growth and was used for all production sites worldwide.

Various sources and tools were used for the assessment to provide the clearest possible picture of current and potential risks:

The CatNet climate database of the insurance company Swiss Re: This database provided location-specific information on the current climate risk situation. It offers a global, up-to-date overview of climate risks, such as floods, heat waves and storms.

IPCC WGI Interactive Atlas: This tool was used to analyse regional climate projections. Future scenarios, especially with high emissions, were considered to assess potential physical risks for the production sites and geographical regions.

This information was presented in the form of a summary for each region and production site. The analysis is based on regional climate projections and geographical data of the production sites. Detailed, site-specific analyses were not performed at the micro level, limiting the accuracy of the predictions.

The assessment considered chronic and acute risks associated with temperature, wind, water and solids.

The following table presents the physical risks that were considered and those that were not.

→ **Overview of physical risks that were considered or not considered**

Overview of physical risks that were considered or not considered

	Temperature	Wind	Water	Solids
Chronic	**Changing temperature (air, freshwater, marine water)**	**Changing wind patterns**	**Changing precipitation patterns and types (rain, hail, snow / ice)**	**Coastal erosion**
	Heat stress		**Precipitation or hydrological variability**	Soil degradation
	Temperature variability		**Ocean acidification**	Soil erosion
	Permafrost thawing		Saline intrusion	Solifluction
			Sea level rise	
			Water scarcity	
Acute	**Heat wave**	**Cyclones, hurricanes, typhoons**	**Drought**	Avalanche
	Cold wave / frost	**Storms (including blizzards, dust, and sandstorms)**	**Heavy precipitation (rain, hail, snow / ice)**	Landslide
	Forest and grassland fires	**Tornado**	**Flood (coastal, fluvial, pluvial, ground water)**	Ground subsidence
			Glacial lake outburst	

Key

- Bold with blue background: considered risks
- Not bold with white background: risks were not considered

KSB has assessed the extent to which its assets and activities are exposed to the identified climate-related hazards.

The scenarios considered covered short-term (up to one year), medium-term (up to five years) and long-term (beyond five years) periods to assess different potential risks. These time horizons were chosen to align with the company's strategic planning horizons and capital allocation plans. However, the production sites are expected to last longer than the longest period considered.

The impacts on production facilities and critical infrastructures were examined to plan the necessary medium-term investments and adjustments:

Short term (up to 1 year):
KSB did not identify any material risks.

Medium term (up to five years):
KSB did not identify any material risks.

Long term (beyond 5 years):
KSB did not identify any material risks.

KSB also initiated strategic actions to safeguard its business and diversify supply chains. An ISO 22301-compliant business continuity management system has been developed since April 2023, which also takes these risks into account.

When identifying and assessing physical risks, did the company consider climate-related hazards over the short, medium and long-term time horizons and screen whether its assets and business activities may be exposed to these hazards?	☒ YES	☐ NO
Does the company use medium- and long-term time horizons and has it explained how these definitions are linked to the expected lifetime of its assets, strategic planning horizons and capital allocation plans?	☒ YES	☐ NO
Has the company presented the extent to which the likelihood, magnitude and duration of the hazards as well as the geospatial coordinates specific to the company's locations were considered in the assessment of impacts on its assets and business activities?	☒ YES	☐ NO
Has the company presented the extent to which the assessment of climate-related hazards is informed by high emissions climate scenarios.	☒ YES	☐ NO

Climate scenario analysis

KSB analysed potential climate-related transition risks and opportunities that could impact the company's business and assets.

This assessment was based on the Mission TEN30 growth strategy and covered internal operations as well as the upstream and downstream value chain.

As recommended by the Task Force on Climate-related Financial Disclosures (TCFD), the assessment involved three climate scenarios and three different time horizons (short, medium and long term) that could have different impacts on KSB's business:

- Worst case, +4 °C
- Middle of the road, +2 °C
- Best case, +1.5 °C

Worst-case scenario, +4 °C:
In this scenario, only minimal actions are taken globally to reduce greenhouse gases, while climate policies and carbon pricing remain weak. General consequences include an increased physical impact from extreme weather events such as floods and droughts, which, without adequate political action, could lead to significant physical damage and global economic burden.

Middle-of-the-road scenario, +2 °C:
In this case, climate change mitigation progresses slowly as global social, economic and political trends remain largely unchanged. Greenhouse gas emissions will not stabilise until around 2100. This scenario foresees local and severe impacts of extreme weather events such as heat waves and droughts with moderate, but inadequate climate policies. Carbon pricing is only partially implemented, and the transition to a low-carbon economy is patchy.

Best-case scenario, +1.5 °C
This scenario describes an ambitious global climate policy with the goal of limiting global warming to 1.5 °C. This would involve the implementation of robust climate policies and comprehensive carbon pricing. Technological innovations accelerate the transition to low-emission technologies, while market demands and consumption habits increasingly focus on sustainable products. This scenario represents a rapid, coordinated transition to a low-carbon economy.

The transitory risk analysis included potential risks related to policy, regulation, technology, market changes and reputational risks. KSB selected the main risk drivers for its consideration of transitory risks. These are indicated in the table below, which presents the transitory risks that were considered and those that were not.

Overview of transitory risks that were considered or not considered

	Policy and legal	Technology	Market	View
Transitory risks	**Increased pricing of GHG emissions**	**Substitution of existing products and services with lower emissions options**	**Changing customer behaviour**	**Changing consumer preferences**
	Enhanced emissions reporting obligations	Unsuccessful investment in new technologies	Uncertainty in market signals	**Stigmatisation of sector**
	Mandates on and regulation of existing products and services	Costs of transition to lower emissions technology	**Increased cost of raw materials**	**Increased stakeholder concern**
	Mandates on and regulation of existing production processes			Negative stakeholder feedback
	Exposure to litigation			

Key

- Bold with blue background: considered risks
- Not bold with white background: risks were not considered

In all three scenarios, a judgement was made about the extent to which assets and business activities are affected in the scenario analysis. The results were incorporated within the regular opportunity and risk management process.

Short term (up to 1 year):
KSB did not identify any material risks or opportunities.

Medium term (up to five years):
KSB did not identify any material risks or opportunities.

Long term (beyond 5 years):
KSB did not identify any material risks or opportunities.

KSB's operations and assets are, in principle, compatible with a transition to a climate-neutral economy.

Have transitory effects been identified over the short-, medium- and long-term time horizons?	☒ YES	☐ NO
Has the company screened whether its assets and business activities may be exposed to potential transitory effects?	☒ YES	☐ NO
Has the company assessed the extent to which its assets and business activities may be exposed and sensitive to the transitory effects identified?	☒ YES	☐ NO
Is there a material exposure to climate-related risks?	☐ YES	☒ NO
Are the identification of transitory effects and the assessment of exposure informed by climate-related scenario analysis?	☒ YES	☐ NO

Were assets and business activities that are incompatible with or need significant efforts to be compatible with a transition to a climate-neutral economy identified?	☐ YES	☒ NO

The climate-related assumptions made in the financial reports were reconciled with the resilience analysis based on climate scenarios and the physical climate risk analysis.

Topical disclosure requirements related to pollution (ESRS 2 IRO-1 x ESRS E2)

The double materiality assessment included consideration and assessment of pollution of the air, water, soil, living organisms and food resources, and pollution related to substances of concern, substances of very high concern and microplastics in the company's own operations and in the upstream and downstream value chain.

The impact of business activities at the KSB locations related to air, water and soil pollution was identified and assessed using ISO 14001-compliant methodology and related internal processes and procedures.

However, no material negative impacts were identified in this regard.

KSB did not conduct consultations with potentially affected communities.

Topical disclosure requirements related to water (ESRS 2 IRO-1 x ESRS E3)

The double materiality assessment included a qualitative consideration of the impacts, risks and opportunities related to water and marine resources connected with the upstream and downstream value chain as well as KSB's own operations and assets.

KSB used the WWF Water Risk Filter (WRF) and Aqueduct Water Risk Atlas to quantify the water risks at company level.

This tool enables an analysis of the potential impacts and risks in connection with the company's locations.

Despite indicating a number of potential impacts and risks, the tool did not identify any actual impacts or risks.

The results of the WWF WRF are consistent with TNFD's LEAP approach (an integrated approach developed by the Taskforce on Nature-related Financial Disclosures (TNFD) to identify and assess nature-related issues).

KSB used the WWF Water Risk Filter to assess its production sites. This found that the following KSB production sites are located in areas of high water stress:

Lille (France), Pune, Shirwal, Sinnar and Vambori (all India), Querétaro (Mexico).

A company may face reputational risk in the context of the Water Risk Filter if stakeholders and local communities perceive that it does not conduct business in a sustainable and responsible fashion with respect to water. The indicator refers to the automotive, electrical components and mechanical engineering sectors.

Reputational risk comprises four risk categories:

- The cultural significance of water for local communities
- The conditions and values of freshwater resources and freshwater biodiversity
- Media scrutiny / reporting on water-related topics
- The risk of hydro-political conflicts in river basins

For KSB, however, the impacts and risks related to water consumption are not material as the company's machining and manufacturing processes are not water-intensive.

In addition to the WWF Water Risk Filter, KSB also uses life cycle assessments (LCAs) for pumps and valves: To assess the water consumption and impact on marine resources of its products and processes, KSB conducted life cycle assessments along the value chain for a few selected products. It considered and quantified the environmental impact of all relevant processes from raw material extraction to end of product life. These assessments help to quantify the specific water consumption of individual products and thus identify hotspots where water can be used more efficiently.

However, these calculations were performed for specific, isolated products and the results cannot be generalised. KSB is taking steps to better understand and quantify the overall impacts of its operations and the value chain on water and marine resources.

Through its activities related to water extraction, water supply and water treatment, KSB also works with local community representatives and industry stakeholders to understand regional water-related risks and marine ecosystem vulnerabilities.

This enables KSB to take on board local knowledge and set priorities in areas where the company's activities could have significant impact.

These external stakeholders were not involved directly in the double materiality assessment, but their views were taken into account by internal representatives.

Topical disclosure requirements related to biodiversity and ecosystems (ESRS 2 IRO-1 x ESRS E4)
The actual and potential impacts on biodiversity and ecosystems were qualitatively considered in the double materiality assessment at KSB's own sites and within the upstream and downstream value chain.

KSB used the WWF Biodiversity Risk Filter (BRF) to quantify the biodiversity-related impacts and risks. The tool provided the basis for an initial assessment of potential impacts on biodiversity and ecosystems at the company's own production sites.

KSB used the following assessment criteria:

- A sector-specific assessment of the impact on biodiversity and ecosystems
- Site-specific risks related to impacts on biodiversity and ecosystems, such as proximity to nature reserves
- Site-specific impacts on biodiversity and ecosystems

The impacts covered by the WWF BRF include land-use change, freshwater-use change and sea-use change, direct exploitation, invasive alien species, pollution and other impacts.

When examining the potential impacts of the production sites, none of the sites achieved a score higher than 3.31 for the Pressures on Biodiversity indicator. This equates to a medium risk. KSB therefore considers the potential negative impacts to be in the low to medium range.

Dependencies on biodiversity and ecosystems and their services were considered and assessed in the double materiality assessment for the company's own operations and the upstream and downstream value chain. This assessment was used to identify potential risks to KSB's business.

The assessment criteria were as follows:

- Dependence on water resources, natural raw materials (e.g. wood, agricultural products) and the importance of pollination
- Inclusion of ecosystem services

KSB did not identify or assess any transition risks, physical risks or opportunities related to biodiversity and ecosystems.

The double materiality assessment also considered systemic risks.

The WWF BRF was also used to provide a limited assessment of systemic risks by considering aggregated risks linked to the fundamental impacts of biodiversity loss.

KSB did not consult with affected stakeholders. Environmental interests were represented by internal stakeholders during the double materiality assessment.

The WWF Biodiversity Risk Filter was used to assess sites in biodiversity-sensitive areas.

The assessment of the production sites indicated that the production site in Alphen, the Netherlands, has the highest potential risk due to its proximity to protected areas.

(Score 4 – high potential risk of indicator 6.1 Protected / conserved areas, including the Natura 2000 Network of Protected Areas and UNESCO Protected World Natural Heritage Sites).

At this site, KSB operates electrically operated processing machines, assembly and test facilities and has not identified any negative impact on protected areas. All other KSB sites are below this potential risk. KSB also does not anticipate a negative impact from other sites in connection with the deterioration of natural habitats and the habitats of species and the disturbance of the species for which a protected area has been designated.

KSB has not identified any material impacts related to biodiversity and therefore does not currently consider it necessary to implement mitigation actions in this regard.

Topical disclosure requirements related to resource use and circular economy (ESRS 2 IRO-1 x ESRS E5)
In the double materiality assessment, KSB screened its assets and activities to identify the actual and potential impacts, risks and opportunities related to resource use and the circular economy. KSB did not conduct consultations with affected communities in the reporting year.

The resource inflows, outflows and waste were assessed for KSB's own operations and the full value chain.

When screening its assets and activities, KSB additionally uses assessment methodology based on circular economy indicators such as the MCI (Material Circularity Indicator) of the Ellen MacArthur Foundation for selected products.

With the aid of an independent consultant, KSB estimated the circularity of five representative products and resource streams based on the MCI.

The models provided by the Ellen MacArthur Foundation allow for a fair comparison of material use and the

potential for reuse and recycling of products and components. Based on the MCI, the company was able to make a structured assessment of resource efficiency over the entire product life cycle.

Assumptions and specific analysis: The MCI measures the circularity of a product or material. It evaluates the proportion of recycled or renewable inputs used and assesses the potential for reuse or recycling at the end of the product's life The assessment is based on the assumption that greater circularity means lower environmental impact and resource use. For data collection, KSB used internal life cycle assessment tools and recycling rates to calculate the MCI score for different product categories.

KSB believes that the assessments performed are representative of the company's entire product portfolio.

MCI assessment results: The MCI assessment showed how the use of recycled metals and optimised design can improve material efficiency and resource conservation.

KSB has not identified any material impacts related to resource use and circular economy.

Topical disclosure requirements related to corporate governance (ESRS 2 IRO-1 x ESRS G1)

The double materiality assessment included the recording and assessment of all potential and actual impacts, risks and opportunities related to corporate governance.

It considered the following relevant criteria:

Site location

The company operates production sites, research and development centres, and sales offices in several countries worldwide.

In addition to the central Group Compliance Office, there is also a local compliance office for each KSB location. Group Compliance conducts on-site assessments (screening of KSB's compliance management system at a decentralised level) with the support of external consultants. At each site, the risk assessments are conducted with the involvement of the local management and Local Compliance Officer (LCO).

In 2024, Group Compliance, with the support of external consultants, also launched a Group-wide bottom-up risk assessment on corruption prevention and cartel / anti-trust law to assess whether KSB is adequately managing risks in this area.

All KSB companies also report their business risks and the financial consequences arising from these to a centrally managed risk management system.

Activity

The company's business activities include the development, production and sale of pumps and valves, and related services.

The process takes into account impacts, risks and opportunities throughout the entire life cycle of the products – from raw material procurement to production and use by customers.

Sector

In the mechanical engineering industry, industry-specific risks, such as technological innovations and market changes, and regulatory requirements, such as environmental and safety standards, are central. The company's processes related to compliance with local and regional regulations, international trade restrictions and sanctions support KSB in complying with these regulations.

Structure of transactions

When assessing risks related to mergers, acquisitions and other strategic transactions, due diligence processes are used that integrate ESG (environmental, social, governance) criteria. This includes analysing potential violations of anti-corruption directives, human rights and other governance risks.

This will be adapted to new regulatory requirements and market conditions if necessary.

This approach helps the company to ensure responsible corporate governance and ensure long-term success in a competitive global market.

Disclosure requirements in the ESRS covered by the company's non-financial report (IRO-2)

The final result of the double materiality assessment found that 12 of the total 37 possible ESRS sub-topics are material for KSB.

These can be grouped into the overarching topics Environment, Social and Governance.

The topics Biodiversity and ecosystems, Resource use and circular economy, Affected communities and Consumers and end-users were excluded as the impacts, opportunities or risks were considered negligible.

ESRS standards relevant to KSB and material subtopics

ESRS E1 Climate Change

- Climate change adaptation
- Climate change mitigation
- Energy

ESRS E2 Pollution

- Substances of concern and substances of very high concern

ESRS E3 Water and Marine Resources

- Water

ESRS S1 Own Workforce

- Working conditions
- Equal treatment and opportunities for all

ESRS S2 Workers in the Value Chain

- Working conditions
- Equal treatment and opportunities for all
- Other work-related rights

ESRS G1 Business Conduct

- Corporate culture
- Corruption and bribery

The materiality threshold for impacts was defined in accordance with the specifications of the European Financial Reporting Advisory Group (EFRAG). On this basis, actual impacts with a score of eight or higher were classed as material (important).

For potential impacts, materiality is based on a matrix that assesses the severity and likelihood of the impact materialising. This matrix is included on a previous page of this report.

Risks and opportunities were considered financially material if the product of the probability of occurrence and most probable amount of loss was greater than € 5 million.

KSB has provided the qualitative and quantitative disclosures on material impacts, risks and opportunities as required by the ESRS.

The overview of disclosure requirements is included in the Notes to this sustainability report.

Environmental Information

126 Climate Change
143 EU Taxonomy Regulation
151 Pollution
154 Water and Marine Resources

Climate Change

24 % reduction in emissions in own operations compared with the base year, 78 % electricity from renewable sources. In this way, KSB contributes to climate change mitigation.



E1: Climate change:
Impacts, risks and opportunities

	Status		Position within the value chain			Impacts		Risks and opportunities		
	Potential	Actual	Upstream	Own operations	Downstream	Positive	Negative	Risk	Opportunity	Time horizon
IRO 1: Energy consumption and greenhouse gas emissions		x	x	x	x		x			Short-term
IRO 2: Mitigating the impacts of climate change – flood control	x				x	x				Short-term
IRO 3: Reducing electricity consumption in the usage phase	x				x	x				Short-term

ESRS E1 Climate Change

A detailed description of the material impacts related to climate change is provided in the General Information – Strategy section.

E1-1: Transition plan for climate change mitigation

The material greenhouse gases emitted by the operationally controlled subsidiaries were fully consolidated for the first time in the 2024 reporting year. This formed the basis for the development of a transition plan.

KSB is expected to finalise and publish the detailed transition plan by the 2027 financial year. This will also incorporate the requirements of the proposed Corporate Sustainability Due Diligence Directive (CSDDD) to ensure a coherent sustainability strategy.

Material impacts, risks and opportunities and their interaction with strategy and business model (ESRS 2 SBM-3 x ESRS E1)

In the reporting year, KSB did not identify any material risks from its completed risk analyses for climate-related physical and transition risks, as described in the General Information section.

KSB's resilience analysis based on physical and transitory climate risks (which are described in detail in the General Information section) is based on all the company's Segments, Market Areas, Regions and Corporate Functions, as well as the associated regional and global supply chains.

The resilience analysis, which was completed using the climate scenario analysis recommended by the Task Force on Climate-related Financial Disclosures (TCFD), was reviewed during the reporting year.

These analyses were used to assess the resilience of KSB to the various risks.

Critical assumptions about the transition to a low-carbon and resilient economy

Macroeconomic trends

The transition to a low-carbon economy is being promoted by globally strengthened climate policies and carbon pricing. This is leading to changes in supply chains, an increased focus on sustainable products and services, and rising demand for energy-efficient solutions. For KSB, this could mean greater demand for green technologies, especially in the general industry, water and energy management sectors, to meet the stricter energy efficiency and emissions reduction requirements.

Energy consumption and mix

To achieve emissions targets, companies are increasingly facing the challenge of reducing energy consumption in the production and operation of their products and transitioning to renewable energies. KSB too is actively driving this transition both by expanding its own production and procurement of renewable energies and implementing energy efficiency measures at its locations worldwide.

As a result, the company's global energy mix will increasingly move towards renewable and nuclear energy sources with a declining focus on conventional energy sources. In the 1.5 °C scenario, the transition is accelerated, while in the 4 °C scenario, it is slower and attenuated.

KSB therefore remains clearly focused on developing:

- Energy-efficient pump and automation solutions
- Technologies to promote renewable and nuclear energy sources
- And using digital and automated control systems to optimise energy consumption in operational processes.

Technological change

The transition to a low-carbon economy will be driven by rapid technological innovations in energy efficiency, low-emissions technologies and digital solutions.

For KSB, this calls for investment in research and development to develop digital and low-emissions products that meet the demands of the changing market. Developing intelligent pump solutions with integrated automation functions is just one example.

Applied time horizons and their alignment with climate and business scenarios

The resilience analysis considers material risks and opportunities over three time horizons:

Short-term time horizon (up to one year):

For the short-term time horizon, KSB is focused on assessing current climate risks, including acute physical risks such as floods and heat waves, which can impact production sites and supply chains.

Medium-term time horizon (up to five years):

Within the next five years, the company will focus on rolling out stricter climate policies and influencing changes in the market. Transitory risks such as new legal rules and regulations regarding CO_2 emissions as well as changing market requirements (e.g. demand for energy-efficient products) are expected to increase. Over this period, KSB will aim to adapt its product range to meet

these requirements. To remain competitive, the company will focus on strategic investments in technological innovations and digitalising its products and processes.

Long-term time horizon (beyond 5 years):
In the long term, KSB expects to see a transformation to a low-carbon economy. During this period, KSB will develop climate-neutral products and services, and plans to introduce more sustainable business models to address long-term transition risks such as the complete ban on fossil fuels. The focus will be on climate adaptation strategies, including ensuring the resilience of the company's own production facilities and supply chains.

Actions and resources related to climate change mitigation

KSB plans to implement a number of climate change mitigation actions, including a reduction in operational CO_2 emissions, a transition to renewable energies, and the optimisation of production processes to increase energy efficiency. Most of the actions necessary for this are already part of the current medium-term plan, meaning that no material unscheduled investments are currently required. In view of this, a comprehensive evaluation as part of the resilience analysis is not necessary at the present time.

According to KSB's current estimates, the resilience of the business model and supply chains is ensured by the diversified global production network with several manufacturing plants per product, as well as several main suppliers (at least two suppliers for critical components).

Pumps and valves are needed both for mitigating the impacts of climate change and for preventing and managing climate-related disasters.

KSB's broad customer base in the various markets and applications enables it to offset any negative developments.

Adaptability of the business model to climate change

The resilience analysis of KSB's business model found that the company has an excellent basis for successful business over the long term and is resilient. In all the climate scenarios considered, KSB is able to generate business in the different markets and is well positioned to offset potential negative developments in individual applications.

The only differences arising from the assessed climate scenarios and underlying assumptions will be a shift of focus to specific business activities.

Following the analysis, KSB is able to:

- Ensure constant access to financial resources at an affordable cost of capital
- Flexibly repurpose, modernise or decommission existing assets
- Align the product and service portfolio to changing requirements
- Retrain the workforce to serve new technologies and market needs

E1-2: Policies related to climate change mitigation and adaptation

In its efforts to limit negative environmental impacts and continuously improve the company's environmental and climate change mitigation activities, KSB is guided by the defined corporate guidelines and environmental laws in force.

In addition, KSB updated its Climate Protection Directive in the reporting year on the basis of the new targets for the reduction of greenhouse gas emissions.

Directive: Climate Protection Directive
Key contents, general objectives and relation to material impacts, risks and opportunities: The KSB Group's Climate Protection Directive supports the company in its efforts to make an active contribution to reducing greenhouse gas (GHG) emissions. It sets out basic principles and targets for climate protection to strike a balance between profitable growth and the company's sustainability aims. This directive sets out KSB's commitment to supporting the energy transition towards renewable energy sources and the avoidance and reduction of GHG emissions worldwide with its own products and solutions. KSB also wants to limit the effects of climate change while also reducing environmental pollution. The directive forms the basis for KSB's commitment to climate protection. Why the climate is important to KSB: There is a broad scientific consensus that human activities, especially the burning of fossil fuels, are a major contributor to global warming. This has already led to rising temperatures and an increase in global energy consumption. Climate change has far-reaching impacts on people, ecosystems and economies. A healthy environment is fundamental for human health while the risks of climate change are already affecting economies worldwide; an impact that is only set to increase in the future.
Process for monitoring: The (regional/local) sustainability coordinators are responsible for developing, coordinating and implementing GHG reduction actions and reporting measures. Management is updated three times a year through meetings of the Sustainability Committee, which are attended by the relevant corporate units (Finance, HR, Procurement, Corporate Strategy, Integrated Management). These meetings discuss the status of climate change mitigation actions. In addition, the employees are encouraged to actively contribute to the implementation of the Climate Protection Directive. They are invited to practice environmentally aware behaviour and make suggestions for improving sustainability activities to protect the global climate.
Scope of application and value chain: The Climate Protection Directive applies to the company and includes the upstream and downstream value chain with a focus on purchased goods and services and the product operating phase.

Responsible organisational level:
The Management of KSB has overall responsibility for implementing the Climate Protection Directive. It ensures the availability of the necessary resources to achieve the greenhouse gas (GHG) reduction targets and promotes a culture of environmental awareness and sustainability within the company.

Reference to third-party standards or initiatives:

- Paris Climate Agreement
- 17 goals for sustainable development set out by the United Nations
- UN Global Compact

Engagement with affected stakeholders:
External stakeholders were not involved directly in the development of the Climate Protection Directive.

Availability of the directive to stakeholders:
The Climate Protection Directive is centrally accessible to employees on the KSB Intranet and is available to external stakeholders on the KSB Group's web site.

Is climate change mitigation taken into account in the company's policies?	☒ YES	☐ NO

KSB's Climate Protection Directive aims to reduce energy consumption and related greenhouse gas emissions throughout the value chain. This encompasses the production sites, vehicle fleet, and upstream and downstream processes such as the purchase of raw materials and intermediate products as well as the operation of KSB products.

Is climate change adaptation taken into account in the company's policies?	☒ YES	☐ NO

With its products and solutions, the company aims to mitigate the impacts of climate change and facilitate adaptation to climate change in line with the KSB Climate Protection Directive.

Is energy efficiency taken into account in the company's policies?	☒ YES	☐ NO

In the reporting year, the company rolled out an ISO 50001 energy management system at the German production sites in Frankenthal, Pegnitz and Halle (Saale) of KSB SE & Co. KGaA under its Climate Protection Directive. KSB thus meets the requirements of the EnEfG [*Energieeffizienzgesetz* – German Energy Efficiency Act] and has established an energy policy in accordance with ISO 50001 requirements.

Is renewable energy deployment taken into account in the company's policies?	☒ YES	☐ NO

KSB evaluates and communicates internally the energy and GHG intensity of different companies relative to sales revenue with the aim of encouraging an increasing use of renewable energies. In addition, KSB has defined a target for the share of electrical energy from renewable sources in 2030.

Are other areas considered in the company's policies?	☐ YES	☒ NO

E1-3: Actions and resources in relation to climate change policies

KSB has formed a sustainability network for the planning and implementation of ESG-related actions. All KSB Regions are part of this network and share information every six weeks on the planned actions and development of ESG topics in the regions. The sustainability network is responsible for consolidating the regional actions implemented and planned for the KSB Group. The necessary investments are planned regionally and are an integral part of the regular budgeting process at KSB.

KSB has not yet prepared a detailed action plan based on the ESRS requirements because it does not yet have a net zero transition plan. Consequently, no projected or achieved GHG reductions on the basis of specific measures can be reported at the present time.

However, since 2018, KSB has been looking at material company locations in relation to greenhouse gases and their Scope 1 and 2 emissions, and has defined reduction actions.

The implementation of climate change mitigation actions depends on the current economic situation of the company and is therefore evaluated and decided as part of regular budget planning.

An investment plan for necessary actions is also to be prepared and approved by Management, the Administrative Board and the Supervisory Board as part of the net zero transition plan.

In the reporting year, KSB did not invest significant sums in the implementation of the actions taken or planned.

KSB continues to focus on implementing the following key actions (current and future) to reduce Scope 1, 2 and 3.11 GHG emissions and will expand these further in the development of its net zero action plan:

Use of renewable energy
Expansion of the company's own PV energy production and purchase of renewable energy:

Actions in the 2025 reporting year linked to the purchase of renewable electrical energy	• For the first time, the Frankenthal and Halle sites (KSB SE & Co. KGaA) purchased 100 % of their electrical energy from renewable sources. • The share of renewable electrical energy at the Shanghai site increased to over 50 % during the reporting year due to an expansion of the power purchase agreement (PPA). • For the Pimpri site (India), additional renewable electrical energy was purchased on the basis of a PPA (increasing the total renewables share to more than 75 %).
Projected GHG reduction	–
Achieved GHG reduction	• Approx. 8,500 t CO_2eq
Scope	The share of energy converted from 'grey' to 'green' electricity amounts to approx. 10 % of the company's total electricity requirements. This was largely due to the conversion of the energy-intensive production sites in Frankenthal and Halle (Saale), which operate large production facilities.
Time horizons	The actions mentioned have an impact in the short term and also contribute to the company's long-term goal of sourcing a high proportion of its energy from renewable sources.

Actions in the 2025 reporting year linked to the expansion of the company's own renewable energy production	New photovoltaic systems were put into service at the: • Halle site (Germany) • Alphen site (Netherlands) • Bundamba site (Australia) • Singapore site (Singapore) • Prague site (Czechia) • Johannesburg site (South Africa) • Wavre site (Belgium) • Carapachay site (Argentina)
Projected GHG reduction	-
Achieved GHG reduction	• Approx. 500 t CO_2eq
Scope	Some actions implemented at individual locations, as listed above
Time horizons	The actions mentioned have an impact in the short term and also contribute to the company's long-term goal of sourcing a high proportion of its energy from renewable sources.

Energy efficiency and substitution of fossil fuels

Building efficiency:

- Construction projects (new buildings and renovations)
- Energy efficiency measures (insulation, replacement of lighting systems)

Process efficiency:

- Replacement of machines and systems with low energy efficiency
- Conversion of heating systems

Vehicle fleet:

- In the long term, KSB is moving to an all-electric vehicle fleet and is investing in charging infrastructure.

Actions in the 2025 reporting year	Building efficiency: • Various actions related to the insulation of buildings, replacement of windows, replacement of lighting with LEDs and the installation of heat pumps at sites in Belgium, Germany and France Process efficiency: • Various actions related to the replacement of supply and exhaust air systems at sites in Germany
Projected GHG reduction	-
Achieved GHG reduction	• Approx. 1,000 t CO_2eq
Scope	Some actions implemented at individual locations, as listed above
Time horizons	The actions have an impact in the short term.

Actions in the 2025 reporting year	Vehicle fleet: • Several vehicles replaced with electric vehicles
Projected GHG reduction	-
Achieved GHG reduction	• Approx. 42 t CO_2eq
Scope	These actions concern company vehicles under KSB's operational control (the KSB vehicle fleet).
Time horizons	The actions have an impact in the short term and help to reduce vehicle fleet-related greenhouse gas emissions.

The capital expenditure (CapEx) resulting from the above actions is primarily attributable to the economic activities CCM 7.2 / CE 3.2 "Renovation of existing buildings" and CCM 7.6 "Installation, maintenance and repair of renewable energy technologies" defined in the EU Taxonomy section.

Increase in product efficiency

To reduce energy consumption in the operating phase of the products, KSB already offers highly efficient, highly automated solutions and additional sensors for identifying potential savings.

Actions in the 2025 reporting year	Market launch of new products: • Calio Pro Plus • MultiTec Plus (sizes 125 & 150) • UPA S 12" and 14" • AmaCan • Amarex Pro (ATEX-compliant version)
Expected results	Reduction of energy consumption and the associated greenhouse gas emissions during the operating phase of KSB products
Contribution to the achievement of the targets	In the reporting year, KSB defined a target related to the energy consumption of its water pumps.
Scope	Even if the savings for individual products are low, the total savings still have a considerable impact in consideration of the quantities sold and the period of operation.
Time horizons	The actions have an impact in the short term and help to reduce energy consumption and greenhouse gas emissions associated with product operation.

Nature-based solutions (NbS)

KSB does not currently use any nature-based solutions such as reforestation projects for the long-term storage of carbon.

New flood control products

In the reporting year, KSB developed and sold the following flood control-related products.

Actions in the 2025 reporting year	Market launch of new products: • AmaCan • Flood Fighter L (initial market launch in October 2024)
Expected results	Reduction in the risk of flooding in flood areas, buildings and plants
Contribution to the achievement of the targets	-
Scope	A number of drainage-related products in the Water and Building Services Market Areas
Time horizons	The actions have an impact in the short term and help to reduce the flooding risk and related impacts.

Actions relating to aspects associated with Scope 3, Category 3.1 and additional actions relating to Scope 3, Category 3.11 are to be developed in the medium term.

E1-4: Targets related to climate change mitigation and adaptation

Mitigating the impact of climate change and protecting the environment are tasks that can only be achieved together. As a manufacturing company, KSB takes care to use natural resources responsibly. This includes pursuing a targeted reduction in the company's consumption of energy and raw materials. In addition to mitigating negative environmental impacts, this also increases the company's profitability.

For the period 2019 to 2025, KSB set CO_2 reduction targets (Scope 1 & 2 market-based) based on the 2018 figures. These targets were already met in the 2024 financial year. For this reason, new climate change-related targets, applicable from 2025, were set during the current financial year. These targets also include new GHG emissions reduction targets for the period 2025 to 2030, based on the base year 2024.

In accordance with the cross-sector, 1.5 °C-aligned reductions pathway until 2030, the company aims to reduce Scope 1 and 2 market-based GHG emissions by 25.2 % and material Scope 3 GHG emissions by 15 %. In this context, KSB intends to achieve the targets for Scope 1 and market-based Scope 2 GHG emissions at a ratio of 1:3.

Overview of GHG emissions reduction targets for the period 2025–2030

Relationship of the target to the policy objectives	The targets are consistent with the policy objectives.
Set target level and target achievement period (including milestones)	Reduction target in % of t CO_2eq until 2030: Scope 1 & 2 market-based: – 25.2 % (base year 2024) Scope 3.1 & 3.11: – 15 % (base year 2024)
Base year and base value compared with current status	Scope 1 & 2 market-based: 2024 / 76,039 t CO_2eq (base value) 2025 / 57,604 t CO_2eq Scope 3.1 & 3.11: 2024 / 305,543,744 t CO_2eq (base value) 2025 / 317,756,805 t CO_2eq
Stakeholder engagement	Stakeholders were not involved in the setting of this target.
Change to targets and parameters	No changes
Current progress [%]	Scope 1 & 2: –24 % Scope 3: +4 %
Percentage of Scope 1 GHG emissions covered by this target [%]	100 %
Percentage of market-based Scope 2 GHG emissions covered by this target [%]	100 %
Percentage of material Scope 3 GHG emissions covered by this target [%]	100 %
Percentage of total GHG emissions covered by this target (Scope 1, 2, 3) [%]	100 %
Assumption	Based on cross-sector reductions pathway (1.5 °C-aligned) Scope of greenhouse gases: Carbon dioxide (CO_2), methane (CH_4), nitrous oxide (N_2O), hydrofluorocarbons (HFCs), perfluorocarbons (PFCs), sulphur hexafluoride (SF_6), nitrogen trifluoride (NF_3)
Methodology	GHG Protocol Corporate Standard (market-based for Scope 2 in accordance with the GHG Protocol Scope 2 Guidance)

2024 was defined as the base year for setting KSB's baseline value for the target period 2025-2030.
The selected baseline value is considered representative of the company's activities and greenhouse gas emissions because in the reference period:

- There were no material acquisitions.
- There were no substantial changes to the business model.
- There were no material changes in the data collection or estimation methods.

The methodology used to calculate the quantities of pumps and valves sold was revised during the reporting year. As a result of this methodological improvement, the base annual value (2024) was recalculated for Scope category 3.11 (Use of sold products). This adjustment increases data quality and improves emissions calculation accuracy. As a result of this methodological change, both the total value of Scope 3 GHG emissions and the emissions of Scope 3 category 3.11 are not fully comparable with the figures from the previous year's report. The underlying values for the year 2024 have therefore been recalculated in the tables.

KSB opted not to normalise the baseline value (using averages from the last three years for example).

Potential distortions caused by exceptional external factors, such as weather-related anomalies, were not classed as material.

Progress compared with initial plan, how it is monitored and reviewed, and an analysis of trends or significant changes

The progress at KSB is in line with the plans defined in 2024. Achievement of the targets is reviewed and monitored on an annual basis and documented within the framework of internal control and assessment processes.

KSB's performance has been impacted by the following trends and changes:

- Efficiency improvements: The installation of heat pumps in Belgium and France and building renovations in Germany have led to a reduction in Scope 1 emissions.
- Greater share of renewable energies: 78 % of KSB's own electricity needs are now covered by renewable energy sources, which has significantly reduced its own Scope 2 emissions.
- Influences from external factors: The energy crisis-related increase in energy costs has prompted KSB to implement efficiency projects faster than originally planned.
- The deviation from the projected target values for Scope 3 GHG emissions is attributable primarily to higher sales and purchasing volumes than projected, as well as increased emission factors.

The current greenhouse gas emission targets relate to Scope 1 and market-based Scope 2 GHG emissions as well as the material Scope 3 GHG emissions (3.1 & 3.11).

With a view to achieving consistency between the greenhouse gas emissions reduction targets pursued by KSB and the limits of the greenhouse gas inventory, the company has taken the following actions:

- Definition of clearly defined inventory limits: The greenhouse gas inventory includes relevant emissions sources, including direct emissions (Scope 1), indirect emissions from energy consumption (Scope 2) and other indirect emissions along the value chain (Scope 3).
- Compliance with international standards: The inventory limits and emissions calculations are in line with the GHG Protocol guidance to ensure international recognition and comparability of the data.
- Reviews and adjustments: KSB regularly conducts internal reviews to ensure that relevant emissions sources are recorded correctly and that the reduction targets are adjusted accordingly.

KSB's current greenhouse gas reduction targets are not yet officially recognised as science based. They are, however, aligned to the Science Based Targets Initiative (SBTi) and the cross-sector reductions pathway, which does claim compatibility with the 1.5 °C target. The methodology is not audited by an external body. Some future anticipated developments, such as changes in quantities sold or customer preferences, regulatory changes or technological advances, were not taken into account when setting the Scope 1 and 2 targets.

Cross-sector (ACA) reductions pathway based on the year 2020 as the base year	
Reduction by 2030	– 42 %
Reduction by 2050	– 90 %

Source: Based on "Pathways to Net-zero –SBTi Technical Summary" (Version 1.0, October 2021)

The most relevant decarbonisation levers for KSB are:

Scope 1:

- Energy efficiency and substitution of fossil fuels in production and heating processes: Potential to reduce approximately 62 % of total Scope 1 greenhouse gas emissions
- Electrification of the vehicle fleet: Potential to reduce approximately 24 % of total Scope 1 greenhouse gas emissions

Scope 2 market-based:

- The generation and purchase of renewable energy: Potential to eliminate almost all Scope 2 greenhouse gas emissions

KSB did not consider a diverse range of climate scenarios when defining the decarbonisation levers as the climate scenario analysis did not show a material impact on KSB's business or product range.

For Scope 3, improving the efficiency of products and using electricity from renewable sources is a key decarbonisation lever. However, it is not yet possible to quantify the effects of these measures for KSB.

Target related to the use of renewable energies

Goal	**More than 80 % of KSB's electricity comes from renewable sources.**
Relationship of the target to the policy objectives	The targets are consistent with the policy objectives.
Set target level	Use of more than 80 % of electricity from renewable sources in 2030
Scope	The target relates to electrical energy requirements and is globally valid.
Base year and base value	-
Target achievement period (including milestones)	2030
Data source	Indicators from ESRS E1-5
Stakeholder engagement	None
Change to targets and parameters	No changes
Current progress	78 %
Assumptions and methodology	Since there are no generally accepted underlying methods or assumptions, the methodology is defined by Management. The share of renewable energies is reported with reference to energy supply contracts, which include related Guarantees of Origin and certificates, and the electricity generated by the company's own photovoltaic systems.

Target related to energy consumption during the product usage phase

Goal	**The water pumps sold save at least 26 GWh of energy annually.**
Relationship of the target to the policy objectives	The targets are consistent with the policy objectives.
Set target level	Energy savings of at least 26 GWh per year in 2030
Scope	The target relates to the usage phase of the relevant products and the associated energy requirements.
Base year and base value	-
Target achievement period (including milestones)	2030
Data source	Determined internally
Stakeholder engagement	None
Change to targets and parameters	No changes
Current progress	1.28 GWh
Assumptions and methodology	Since there are no generally accepted underlying methods or assumptions, the methodology is defined by Management. The annual energy savings are calculated on the basis of average operating and performance data of selected pump series, using typical operating conditions, average power consumption and standard annual operating hours. The energy savings are calculated by comparing the energy consumption of new, more efficient product generations with the corresponding predecessor models. The savings are attributable to improved hydraulic designs and higher efficiency motors. The calculation is based on the quantities sold in the reporting year and is not cumulative.

Target related to GHG emissions during the product usage phase	
Goal	**The power plant pumps sold reduce GHG emissions by 40 % during the usage phase.**
Relationship of the target to the policy objectives	The targets are consistent with the policy objectives.
Set target level	40 % absolute reduction
Scope	The target relates to power plant pumps sold globally by KSB.
Base year and base value	2024, base value: 119,459,982 t CO_2eq
Target achievement period (including milestones)	2030
Data source	Indicators from ESRS E1-6
Stakeholder engagement	None
Change to targets and parameters	No changes
Current progress	2025: 98,384,830 t CO_2eq (-17.6 %)
Assumptions and methodology	Since there are no generally accepted underlying methods or assumptions, the methodology is defined by Management. GHG emissions during the usage phase of power plant pumps sold by KSB are calculated using globally consolidated quantities of the relevant pump type series and their average technical operating parameters, including power consumption and annual operating hours. Emissions are calculated on the basis of energy-related electricity consumption over the expected useful life and the applicable energy sources. Allocation depends on the specific application of the customer project. The calculations are based on consistent, conservative standard assumptions about load profiles and operating conditions. The reduction effect is quantified by the move towards gas, biogas and nuclear power plants in customer applications.

A specific target was not defined for the IRO Mitigating the impacts of climate change – flood control. Effectiveness of the policies and actions is measured by tracking business development in this area.

E1-5: Energy consumption and mix

Total energy consumption of the company

Metrics	Description	Unit	2025 value
Total energy consumption	**Total from fossil, nuclear and renewable sources**	**MWh**	**325,488.9**
Total energy consumption from fossil sources	**Total energy consumption from fossil sources and share of fossil sources in total energy consumption**	**MWh/%**	**184,516.0 / 57 %**
	Fuel consumption from coal and coal products	**MWh**	**0.0**
	Fuel consumption from crude oil and petroleum products	**MWh**	**38,346.7**
	Fuel consumption from compressed natural gas (CNG)/liquefied petroleum gas (LPG)	**MWh**	**102,677.9**
	Fuel consumption from other fossil sources	**MWh**	**0.0**
	Consumption of purchased or acquired electricity, heat, steam, or cooling from fossil sources	**MWh**	**43,491.3**
Total energy consumption from nuclear sources	**Total energy consumption from nuclear sources and share of nuclear sources in total energy consumption**	**MWh/%**	**0.0 / 0 %**
Total energy consumption from renewable sources	**Total energy consumption of renewable energy and share of renewable sources in total energy consumption**	**MWh/%**	**140,972.9 / 43 %**
	Fuel consumption for renewable sources including biomass (also comprising industrial and municipal waste of biologic origin), biofuels, biogas, hydrogen from renewable sources	**MWh**	**10,918.2**
	Consumption of purchased or acquired electricity, heat, steam and cooling from renewable sources	**MWh**	**124,652.0**
	Consumption of self-generated non-fuel renewable energy	**MWh**	**5,402.7**
Energy generation	Generation of non-renewable energy	**MWh**	**0.0**
	Generation of renewable energy	**MWh**	**5,706.8**
Energy intensity based on net revenue	Total energy consumption from activities in high climate impact sectors per net revenue from activities in high climate impact sectors (MWh/Monetary unit)	**Energy consumption in MWh per € million sales revenue**	**107**

KSB's total revenues are associated with activities in high climate impact sectors.

Since mechanical engineering falls within the energy-intensive sector, KSB's total energy consumption is associated with activities in the energy-intensive sector.

Sector: Mechanical engineering, NACE code 28.

E1-6: Gross Scope 1, 2, 3 and Total GHG emissions

Total GHG emissions, disaggregated by Scope 1, Scope 2 and significant Scope 3 emissions			Milestones and target year		
Description	**Base year (2024)**	**2025**	**2025**	**2030**	**Annual % target/ base year**
Scope 1 GHG emissions (t CO_2eq)					
Gross Scope 1 GHG emissions (t CO_2eq)	**37,971**	**35,540**	**–**	**–**	**–**
Biogenic GHG emissions from the combustion of wood	**2,321**	**3,619**	**–**	**–**	**–**
Percentage of Scope 1 GHG emissions from regulated emissions trading schemes (in %)	**0 %**	**0 %**	**–**	**–**	**–**
Scope 2 GHG emissions (t CO_2eq)					
Gross location-based Scope 2 GHG emissions (t CO_2eq)	**73,866**	**77,500**	**–**	**–**	**–**
Gross market-based Scope 2 GHG emissions (t CO_2eq)	**38,068**	**22,064**	**–**	**–**	**–**
Total Scope 1 and Scope 2 greenhouse gas emissions (market-based) (t CO_2e)	**76,039**	**57,604**	**–**	**56,877**	**3,194 (4.2 %)**
Significant Scope 3 GHG emissions (in accordance with the GHG Protocol)					
Total gross indirect (Scope 3) GHG emissions (t CO_2eq)	305,543,744*	317,756,805	–	259,712,182	7,638,594 (2.5 %)
1: Purchased goods and services (t CO_2eq)	796,701	896,436	–	–	–
11: Use of sold products (t CO_2eq)	304,747,043*	316,860,369	–	–	–
Total GHG emissions					
Total GHG emissions (location-based) (t CO_2eq)	305,655,581*	317,869,845	–	–	–
Total GHG emissions (market-based) (t CO_2eq)	305,619,783*	317,814,409	–	–	–
GHG intensity based on net revenue					
Total GHG emissions (location-based) per net revenue (t CO_2eq / € millions)	103,088*	104,735	–	–	–
Total GHG emissions (market-based) per net revenue (t CO_2eq / € millions)	103,076*	104,716	–	–	–

*Recalculated values

Reconciliation with net turnover from financial statements:

Net sales revenue from activities in high climate impact sectors used to calculate energy intensity	€ 3,035 million
Net sales revenue (other)	€ 0
Total net sales revenue (financial statements)	€ 3,035 million

Contractual instruments bundled with energy generation attributes:	
Share:	• 32 locations with green energy contracts (EU) • 13 locations with PPA contracts
Types:	• Power purchase agreements (PPAs) that include renewable energy and related Guarantees of Origin (e.g. certificates that comply with the EU Directive) • Standardised energy supply contracts, in which supply chain attributes are used to guarantee the origin of the energy Examples: Long-term contracts with wind turbine and solar park operators. Green electricity contracts within the EU

Contractual instruments for unbundled attribute claims:	
Share:	• 10 locations with green electricity based on unbundled RECs in the United States, Brazil and Australia
Types:	• Spot market transactions with no directly allocated energy attributes • Contracts with energy traders where attributes are optionally purchased separately Examples: Short-term electricity purchases without Guarantees of Origin

Additional notes

The company prioritises long-term contracts with bundled energy generation attributes to support its sustainability goals and increase the transparency of its energy consumption.

The above proportions and types are based on data for the 2025 reporting year and are subject to change depending on market conditions and corporate strategies.

Disclosure of biogenic emissions of CO_2 and other greenhouse gases (Scope 2 and Scope 3)

The company used location- and market-based emission factors for its greenhouse gas reporting.

This had the following limitations:

- Biogenic CO_2 emissions: The underlying emission factors do not provide information on the percentage share of biogenic CO_2 emissions or their separation from fossil emissions. The company points out that this is a limitation in the exact calculation and separation of biogenic and fossil emissions.
- Other greenhouse gases (CH_4 and N_2O): No specific data on methane (CH_4) and nitrous oxide (N_2O) are included in the emission factors used for the location-based method (grid-based averages). Nor is there any information on the proportions of these gases in the energy mixes used for the market-based method.

Impacts of data gaps

These limitations could lead to an underestimation of the total greenhouse gas emissions from energy consumption, but KSB does not currently consider these to be material. The company shall include more detailed information in future reporting as it becomes available.

Percentage of Scope 3 GHG emissions determined from primary data from suppliers: 0 %

Overviews of Scope 1 and Scope 2 emissions of the companies by consolidation status for accounting purposes

The consolidated accounting group (parent and subsidiaries):	
Gross Scope 1 GHG emissions (t CO_2eq)	35,291
Gross Scope 2 GHG emissions (location-based) (t CO_2eq)	76,956
Gross Scope 2 GHG emissions (market-based) (t CO_2eq)	21,909
Gross Total GHG emissions (location-based) (t CO_2eq)	112,247
Gross Total GHG emissions (market-based) (t CO_2eq)	57,200

Subsidiaries under KSB's operational control that are not consolidated in the financial statements:	
Gross Scope 1 GHG emissions (t CO_2eq)	249
Gross Scope 2 GHG emissions (location-based) (t CO_2eq)	544
Gross Scope 2 GHG emissions (market-based) (t CO_2eq)	155
Gross Total GHG emissions (location-based) (t CO_2eq)	793
Gross Total GHG emissions (market-based) (t CO_2eq)	404

Non-consolidated companies under KSB's financial and operational control with relevance for energy and GHG

Name and seat	Country	Financial consolidation status	Operational control
KSB BOMBAS E VÁLVULAS (Angola), LDA, Belas	Angola	Not consolidated	Yes
KSB Panama S.A., Panamá	Panama	Not consolidated	Yes
KSB Pumpe i Armature d.o.o. Belgrade	Serbia	Not consolidated	Yes
KSB pumpe i armature d.o.o., Rakov Potok	Croatia	Not consolidated	Yes
KSB Pumps and Valves Nigeria Ltd, Lagos	Nigeria	Not consolidated	Yes
KSB Service Egypt LLC, Cairo	Egypt	Not consolidated	Yes
KSB ZAMBIA LIMITED, Kitwe	Zambia	Not consolidated	Yes
Vari.Co. GmbH, Karlsruhe	Germany	Not consolidated	Yes
KSB Bolivia S.R.L., La Paz	Bolivia	Not consolidated	Yes
KSB (CAMBODIA) PUMPS & VALVES CO., LTD.	Cambodia	Not consolidated	Yes

E1-9: Anticipated financial effects from material physical and transition risks and potential climate-related opportunities

In accordance with ESRS 1 Appendix C and the phased-in disclosure requirements, disclosures are not required on this subject in the first year of reporting.

Methods and calculation factors for climate change-related KPIs (ESRS E1)

The companies over which KSB has operational control are consolidated for the calculation of energy consumption and Scope 1 and 2 GHG emissions.

Scope 3 emissions are consistent with the GHG Protocol reporting boundaries and include:

- Indirect Scope 3 GHG emissions from the consolidated Group companies (parent company and companies within the Group)
- Indirect Scope 3 GHG emissions from associates, joint ventures, and unconsolidated subsidiaries for which the company has the ability to control the operational activities and relationships (i.e., operational control)
- Scope 1, 2 and 3 GHG emissions from associates, joint ventures, unconsolidated direct and indirect equity investments (investment entities) and joint arrangements over which the company does not have operational control, if these entities are part of the company's upstream and downstream value chain

Energy consumption

The energy data comes directly from the KSB sites over which KSB has financial and operational control and is combined and centrally consolidated by regional coordinators.

KSB's energy consumption is based on a number of different energy sources, including:

- Electricity
- District heating
- Fuel oil
- Natural gas
- Liquefied petroleum gas (LPG)
- Biomass (especially wood)
- Petrol and diesel

Data sources for energy consumption include manual meter readings, automated systems for real-time usage monitoring and utility bills.

For the quantification of energy consumption, the 31 material Group companies are consolidated by consultation. The figures for all controlled subsidiaries are projected on this basis.

The 31 Group companies consulted include all companies with energy-intensive production facilities and foundries, and all locations with energy-intensive workshops.

The 31 companies consolidated by consultation cover 86 % of the workforce.

Figures for the remaining companies (small assembly locations, small service locations and sales locations) were projected according to the number of employees using average energy consumption values per employee. The projected energy consumption represents 5.6 % of the total reported energy consumption across the Group.

The remaining and thus predominant part of the data used to calculate energy consumption is based on measured data.

Estimates and projections are used for the remaining data. Average values per employee are used for these projections based on the measured data.

Stationary combustion: The data quality is based on measured data because the material energy consumption figures for the Group companies consulted originate from the monthly and annual statements of the energy suppliers. Heating oil energy use is calculated based on consumption. Estimates were used in a few exceptional cases for the companies consulted and for projecting the figures for companies not consulted.

Electricity and district heating: The data quality is based on measured data because the material energy consumption figures for the Group companies consulted originate from the monthly and annual statements of the electricity and district heating suppliers. Estimates for the underlying energy consumption were used in a few exceptional cases for the companies consulted and for projecting the figures for companies not consulted.

The estimates were extrapolated based on the number of employees per site and average energy consumption values.

Operation of the necessary means of transport: The reported energy consumption for the KSB vehicle fleet (in-house vehicle fleet/company cars) is broken down into petrol and diesel fuels, liquefied petroleum gas and electricity. Estimates were used for a few of the companies consulted and for projecting the figures for companies not consulted.

Greenhouse gas emissions

The following greenhouse gases are material for KSB:

- Carbon dioxide CO_2 (from the combustion of fossil energy sources)
- Methane CH_4 and nitrous oxide N_2O (from the combustion of biomass)
- Hydrofluorocarbons (HFCs) due to fugitive emissions from air conditioning systems

GHG emissions are reported in metric tons using carbon equivalents (CO_2eq).

The reported material Scope 3 emissions are calculated on the basis of spend- and activity-based data from central financial, controlling and procurement sources.

Calculation factors

KSB uses emission factors to calculate GHG emissions, as described below.

The material basis for calculating the gross Scope 1 and 2 GHG emissions is energy consumption in accordance with ESRS E1-5. Calculation factors based on industry averages are used for calculating the gross GHG emissions related to energy consumption.

Scope 1

These emissions result from stationary combustion, mobile combustion and fugitive emissions (from air conditioning systems).

The calculation of fugitive emissions related to the use of air conditioning systems was based on individual estimates of refilling quantities or loss estimates (2 % of the system volume of air conditioning systems) for 27 companies. Calculation factors (DEFRA) were used to convert the estimated refrigerant quantities into CO_2 equivalents. The 27 companies represent approximately 79 % of the total workforce. Figures for the remaining 21 % were projected.

For most calculations, KSB uses the emission factors of the Department for Environment, Food & Rural Affairs (DEFRA) and the German Federal Office of Economics and Export Control (BAFA), unless locally specific factors are available.

Scope 2

These emissions are indirect GHG emissions associated with the purchase of electricity and district heating.

For the calculation of market-based Scope 2 emissions and for district heating, KSB uses supplier-specific emission factors that are consistent with the GHG Protocol quality standards. For the location-based calculation, KSB uses factors from the Ecoinvent database (version 3.12). The conversion factors are updated annually based on the most up-to-date data.

Scope 3.1 (Purchased goods and services)

The greenhouse gas emissions calculation for purchased goods and services is based on KSB's global purchasing volume for manufacturing companies. For subsidiaries without detailed financial spend information (non-manufacturing companies), figures have been projected based on the number of employees.

The financial spend is multiplied by the applicable environmentally-extended input output (EEIO) emission factors. These provider-supplied EEIO factors are adjusted for global inflation, average global improvements in CO_2eq / GDP and the shift towards the service sector in the global economy. Data have been obtained from the OECD, the European Environment Agency and the US Environmental Protection Agency (EPA).

This methodology is subject to inaccuracies due to the conversion of different currencies and the effects of inflation and projection. However, the impact of price fluctuations in the GHG emissions calculation is mitigated through the use of quarterly price adjustments. Sector averages are also used to calculate greenhouse gas emissions. These averages represent the typical emissions generated during the production of products or services in a particular sector of the economy.

KSB is constantly improving the data basis for purchased goods and services (Scope 3.1) and, in the medium term, aims to replace, as far as possible, the current spend-based calculation with a calculation based on the weight of purchased goods.

Scope 3.11 (Use of sold products)

Greenhouse gas emissions generated by electricity consumption during the lifetime of the products and services sold by KSB to customers in the reporting year fall within this scope.

Calculations were based on guidance published by the industry association EuroPump for the calculation of GHG emissions on the basis of the quantity sold per sales region, the emission factors of the sales regions from Ecoinvent and the energy consumption per sold product multiplied by the operating hours of the service life.

For the electricity mix data of the Regions, forecasts were made based on the anticipated, product service life-related future development of the electricity mix of the sales region from Ecoinvent. These were included in the calculation. For pumps in power plants, calculations were, in particular, based on the fuel-specific, regionally different GHG emissions per KWh (VDA: German Association of the Automotive Industry, Ecoinvent). Considering the high number of pump variants and pump types, average values were also used for energy consumption calculations in the product usage phase and, to a limited extent, projections of the quantities sold globally. The calculation results are therefore subject to considerable inaccuracies, depending on the actual operating conditions of the products and the forecast electricity mix of the regions under consideration.

The service life of pumps and valves was determined by product category. An expected service life of ten years is assumed for standard pumps. A service life of 25 years

is assumed for pumps in conventional power plants and pumps used for mining, rising to 40 years for pumps used in the primary process of nuclear power plants.

The analysis included a control factor as per the EuroPump Guide to accommodate variable loads and the adaptability of the pumps. A similar methodology was used for valves based on 40,000 actuating cycles over the defined service life.

To improve reporting accuracy, KSB plans to expand the use of Life Cycle Assessments (LCA) for pumps and valves.

EU Taxonomy Regulation

EU Taxonomy Regulation

The European Union has set itself the goal of becoming climate-neutral by 2050. As part of the Green Deal, the Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the Establishment of a Framework to Facilitate Sustainable Investment, and Amending Regulation (EU) 2019/2088, hereinafter referred to as the EU Taxonomy Regulation, entered into force in 2020.

The taxonomy sets out a classification system for environmentally sustainable economic activities and defines six environmental objectives:

1) Climate change mitigation (CCM)
2) Climate change adaptation (CCA)
3) Sustainable use and protection of water and marine resources (WTR)
4) Transition to a circular economy (CE)
5) Pollution prevention and control (PPC)
6) Protection and restoration of biodiversity and ecosystems (BIO)

The EU Taxonomy Regulation defines economic activities and technical screening criteria for achieving environmental objectives in the Climate Delegated Act and the Environmental Delegated Act.

Economic activities qualify as taxonomy-eligible if they correspond to at least one of the activity descriptions set out in the aforementioned delegated acts.

If the taxonomy-eligible economic activities also:

1) Make a substantial contribution to the fulfilment of one or more of the six environmental objectives
2) Do not significantly affect the fulfilment of the five other EU environmental objectives (Do No Significant Harm, or DNSH)
3) Comply with the minimum safeguards

they are classified as taxonomy-aligned.

The assessment of whether an economic activity makes a substantial contribution to one of the environmental objectives and does no significant harm to the five other environmental objectives shall be made on the basis of technical screening criteria.

Delegated Regulation (EU) 2021/2178 requires companies to report information on the key performance indicators of sales revenue, capital expenditure (CapEx) and operating expenditure (OpEx) relating to taxonomy-eligible and taxonomy-aligned economic activities as well as to publish additional quantitative and qualitative information.

The capital expenditure and operating expenditure performance indicators are classified into the following categories:

- Category A: Capital or operating expenditure related to assets or processes associated with taxonomy-aligned economic activities
- Category B: Capital or operating expenditure that is part of a plan to expand taxonomy-aligned economic activities or to allow taxonomy-eligible economic activities to become taxonomy-aligned economic activities
- Category C: Capital or operating expenditure related to the purchase of output from taxonomy-aligned economic activities and individual measures enabling certain target activities to become low-carbon or to lead to greenhouse gas reductions.

Procedure in the reporting year

In order to identify taxonomy-eligible economic activities, all activities listed in the annexes to the Climate Delegated Act and the Environmental Delegated Act were assessed in the impact analysis for relevance to KSB. Experts from specialist departments including Product Development, Sales, Facility Management and IT were consulted for this assessment. Responsibility for the data collection and reporting process lies with the Finance department.

The following findings regarding KSB's economic activities were made as part of the impact analysis in connection with the key performance indicators relevant to the EU taxonomy:

KSB's core sales activities almost exclusively comprise the manufacture of pumps and valves, and provision of related spare parts and service. The EU taxonomy currently in force in particular covers economic activities that have a material impact on the climate or the environment. As this is largely not the case with mechanical engineering, KSB cannot allocate its material sales activities to such economic activities. In addition, it was assessed whether the economic activities of environmental objective 4 Transition to a circular economy from Section 5. Services could be relevant for KSB. However, the NACE codes listed in the activity descriptions of economic activity 5. Services to narrow down the products considered for this activity do not fall within the scope of the Group's activities.

Furthermore, KSB does not engage in any of the economic activities described in the European Commission Delegated Regulation (EU) 2022/1214 in connection with nuclear energy or fossil gas.

Template 1:
Nuclear and fossil gas related activities

Row	Nuclear energy related activities	Yes/ No
1	The undertaking carries out, funds or has exposures to research, development, demonstration and deployment of innovative electricity generation facilities that produce energy from nuclear processes with minimal waste from the fuel cycle.	No
2	The undertaking carries out, funds or has exposures to construction and safe operation of new nuclear installations to produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production, as well as their safety upgrades, using best available technologies.	No
3	The undertaking carries out, funds or has exposures to safe operation of existing nuclear installations that produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production from nuclear energy, as well as their safety upgrades.	No
Row	**Fossil gas related activities**	**Yes/ No**
4	The undertaking carries out, funds or has exposures to construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels.	No
5	The undertaking carries out, funds or has exposures to construction, refurbishment, and operation of combined heat/cool and power generation facilities using fossil gaseous fuels.	No
6	The undertaking carries out, funds or has exposures to construction, refurbishment and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels.	No

Accordingly, as in previous years, KSB does not report any taxonomy-eligible or taxonomy-aligned sales revenue in the 2025 financial year.

Capital expenditure and operating expenditure relating to assets or processes associated with taxonomy-aligned economic activities (Category A) therefore also cannot be reported. Furthermore, there is no CapEx plan to expand a taxonomy-aligned activity or upgrade a taxonomy-eligible activity to become a taxonomy-aligned activity. Thus, no category B capital expenditure or operating expenditure is reported.

With regard to capital expenditure and operating expenditure in category C, from the purchase of taxonomy-aligned products and individual measures, the following taxonomy-eligible economic activities were identified in the impact analysis for the KSB Group:

→ **Taxonomy-eligible economic activities:**

The identified taxonomy-eligible economic activities were primarily allocated to environmental objective (1) Climate change mitigation, as KSB has a greater influence on the contribution to this environmental objective.

Despite the corresponding activity description, the activities of environmental objective (2) Climate change adaptation were not reported as taxonomy eligible because they are not enabling activities or there is no separable, specific capital expenditure or operating expenditure for climate change adaptation.

Assessment of taxonomy eligibility and alignment

The bases for determining taxonomy-eligible and taxonomy-aligned economic activities are the actually identified capital expenditure and operating expenditure calculated for the fully consolidated companies in the Group, which were assessed and audited in terms of a cost-benefit ratio.

The relevant performance indicators were determined using a questionnaire prepared by KSB in which the potential taxonomy-eligible economic activities identified in the impact analysis were assessed. When validating the questionnaires, particular care was taken to ensure that the figures reported by the companies were not counted twice.

The analysis of capital expenditure showed that economic activities amounting to € 66.8 million (36.8 % of total investments) (previous year: € 79.3 million, 46.6 % of total investments) correspond to the activity descriptions of the delegated acts and therefore constitute taxonomy-eligible capital expenditure. Despite a significant decline in the number of leases concluded in 2025 for buildings, with a resulting fall in taxonomy-eligible capital expenditure in category CCM 7.7 Acquisition and ownership of buildings, capital

Taxonomy-eligible economic activities:

Economic activities according to the EU taxonomy	Examples of activities at KSB
Transport	
CCM 6.5 Transport by motorbikes, passenger cars and light commercial vehicles	• Purchasing and leasing of passenger cars
Construction and real estate	
CCM 7.2 / CE 3.2 Renovation of existing buildings	• Renovation of buildings
CCM 7.3 Installation, maintenance and repair of energy efficiency equipment	• Replacement of existing windows with new energy-efficient windows
CCM 7.6 Installation, maintenance and repair of renewable energy technologies	• Purchasing and installation of solar power systems
CCM 7.7 Acquisition and ownership of buildings	• Purchasing and leasing of non-residential buildings

expenditure in category CCM 7.2 / CE 3.2 Renovation of existing buildings increased. This increase was attributable in particular to a major renovation project at the US company KSB, Inc. in 2025 as well as several renovation projects at KSB SE & Co. KGaA. Although capital expenditure was reported in categories CCM 3.9 Manufacturing of iron and steel and CCM 6.6 Freight transport services by road in the previous year, this expenditure was not considered material either for the previous year or the reporting year and will therefore no longer be reported.

Breakdown of capital expenditure by environmental objectives

	Proportion of CapEx / Total CapEx	
	Taxonomy-aligned per objective	Taxonomy-eligible per objective
Climate change mitigation (CCM)	–	36.8 %
Climate change adaptation (CCA)	–	–
Water (WTR)	–	–
Circular economy (CE)	–	15.0 %
Pollution prevention and control (PPC)	–	–
Biodiversity (BIO)	–	–

Taxonomy-eligible operating expenditure amounted to € 5.5 million (4.1 % of total operating expenditure) in the reporting year (previous year: € 5.3 million, 4.0 % of total operating expenditure). Compared with the previous year, there was an increase in taxonomy-eligible operating expenditure in category CCM 7.3 Installation, maintenance and repair of energy efficiency equipment in the 2025 financial year. This rise is primarily attributable to higher taxonomy-eligible operating expenditure of KSB SE & Co. KGaA, especially in connection with the installation of replacement windows for a company building. No other larger projects related to economic activity CCM 7.2 / CE 3.2 Renovation of existing buildings took place during the reporting year. There was an increase in taxonomy-eligible operating expenditure in category CCM 6.5 Transport by motorbikes, passenger cars and light commercial vehicles because two Group companies agreed more short-term car leases in 2025 than the previous year.

Breakdown of operating expenditure by environmental objectives

	Proportion of OpEx / Total OpEx	
	Taxonomy-aligned per objective	Taxonomy-eligible per objective
Climate change mitigation (CCM)	–	4.1 %
Climate change adaptation (CCA)	–	–
Water (WTR)	–	–
Circular economy (CE)	–	–
Pollution prevention and control (PPC)	–	–
Biodiversity (BIO)	–	–

The identified taxonomy-eligible economic activities were analysed as part of the taxonomy alignment assessment. As the identified taxonomy-eligible economic activities relate to the acquisition of products from taxonomy-aligned economic activities (Category C), the assessment of alignment is dependent on the provision of relevant proof by external third parties and cannot be carried out independently by KSB. Suppliers were therefore contacted to verify compliance with the technical screening criteria. The external third parties were unable to provide the documents required to a sufficient extent for the assessment of alignment in accordance with the delegated acts.

As a result, KSB was unable to report any taxonomy-aligned capital expenditure and operating expenditure in the 2025 financial year.

Calculation of key performance indicators

The sales revenue performance indicator was calculated as the proportion of sales revenue derived from products and services generated by taxonomy-eligible and -aligned economic activities (numerator) divided by the sales revenue generated in the reporting year (denominator). The denominator of the sales revenue performance indicator can be found in the statement of comprehensive income in the Consolidated Financial Statements section. As described above, no taxonomy-eligible and -aligned economic activities can be reported in relation to sales revenue.

The capital expenditure (CapEx) performance indicator is defined as capital expenditure in taxonomy-aligned and -eligible economic activities (numerator) divided by total capital expenditure made in the financial year (denominator). Total capital expenditure includes additions to property, plant and equipment (IAS 16), intangible assets (IAS 38) and right-of-use assets (IFRS 16). A breakdown of the composition of capital expenditure by asset class is presented in the Consolidated Financial Statements, Section IV. Balance Sheet Disclosures, Sub-sections “1. Intangible assets”, “2. Right-of-use assets” and “3. Property, plant and equipment”.

The operating expenditure (OpEx) performance indicator is defined as operating expenses in taxonomy-aligned and -eligible economic activities (numerator) divided by total operating expenses (denominator). The denominator of operating expenses comprises direct, non-capitalised costs related to research and development, maintenance and short-term lease expenses. Maintenance expenses also include other expenditure related to the daily maintenance of property, plant and equipment and comprise services provided by third parties as well as maintenance work performed by KSB

employees. The operating expenditure performance indicator is reported in accordance with the definition of the EU Taxonomy Regulation and is not included in the consolidated financial statements in this form.

Given the dynamic situation relating to the relevant legislation, KSB points out that the impact analysis and interpretation of the key financial indicators to be determined may be subject to adjustments in the future.

Proportion of sales revenue from products or services associated with taxonomy-aligned economic activities – Disclosures for the 2025 financial year

	2025			Substantial contribution criteria						DNSH criteria (Do No Significant Harm)									
Economic activities (1)	Code(s) (2)	Sales revenue (3)	Proportion of sales revenue, 2025 (4)	Climate change mitigation (5)	Climate change adaptation (6)	Water (7)	Pollution (8)	Circular economy (9)	Biodiversity (10)	Climate change mitigation (11)	Climate change adaptation (12)	Water (13)	Pollution (14)	Circular economy (15)	Biodiversity (16)	Minimum safeguards (17)	Proportion of taxonomy-aligned (A.1.) or -eligible (A.2.) sales revenue, 2024 (18)	Category Enabling activity (19)	Category Transitional activity (20)
		€ millions	**%**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**%**	**E**	**T**
A. Taxonomy-eligible activities																			
A.1. Environmentally sustainable activities (taxonomy-aligned)																			
Sales revenue from environmentally sustainable activities (taxonomy-aligned) (A.1.)		**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**								**–**		
Of which enabling		–	–	–	–	–	–	–	–								–	E	
Of which transitional		–	–	–													–		T
A.2. Taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities)																			
				EL N/EL	EL N/EL	EL N/EL	EL N/EL	EL N/EL	EL N/EL										
Sales revenue from taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities) (A.2)		—	—	—	—	—	—	—	—										
A. Sales revenue from taxonomy-eligible activities (A.1. + A.2.)		—	—	—	—	—	—	—	—										
B. Taxonomy-non-eligible activities																			
Sales revenue from taxonomy-non-eligible activities		**3,034.7**	**100.0**																
Total		**3,034.7**	**100.0**																

Y Yes, taxonomy-eligible and, in relation to the relevant environmental objective, taxonomy-aligned activity
N No, taxonomy-eligible but, in relation to the relevant environmental objective, not taxonomy-aligned activity
N/EL Not eligible, taxonomy-non-eligible activity in relation to the relevant environmental objective
EL Eligible, taxonomy-eligible activity in relation to the relevant environmental objective

Proportion of CapEx from products or services associated with taxonomy-aligned economic activities – Disclosures for the 2025 financial year

		2025		Substantial contribution criteria						DNSH criteria (Do No Significant Harm)									
Economic activities (1)	Code(s) (2)	CapEx (3)	Proportion of CapEx, 2025 (4)	Climate change mitigation (5)	Climate change adaptation (6)	Water (7)	Pollution (8)	Circular economy (9)	Biodiversity (10)	Climate change mitigation (11)	Climate change adaptation (12)	Water (13)	Pollution (14)	Circular economy (15)	Biodiversity (16)	Minimum safeguards (17)	Proportion of taxonomy-aligned (A.1.) or -eligible (A.2.) CapEx, 2024 (18)	Category Enabling activity (19)	Category Transitional activity (20)
		€ millions	**%**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**%**	**E**	**T**
A. Taxonomy-eligible activities																			
A.1. Environmentally sustainable activities (taxonomy-aligned)																			
CapEx of environmentally sustainable activities (taxonomy-aligned) (A.1.)		–	–	–	–	–	–	–	–								–		
Of which enabling		–	–	–	–	–	–	–	–								–	E	
Of which transitional		–	–	–													–		T
A.2. Taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities)																			
				EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
Transport by motorbikes, passenger cars and light commercial vehicles	CCM 6.5	11.3	6.2	EL	N/EL	N/EL	N/EL	N/EL	N/EL								7.7		
Renovation of existing buildings	**CCM 7.2** / CE 3.2	27.2	15.0	EL	N/EL	N/EL	N/EL	EL	N/EL								9.1		
Installation, maintenance and repair of energy efficiency equipment	CCM 7.3	6.0	3.3	EL	N/EL	N/EL	N/EL	N/EL	N/EL								3.1		
Installation, maintenance and repair of renewable energy technologies	CCM 7.6	1.8	1.0	EL	N/EL	N/EL	N/EL	N/EL	N/EL								1.4		
Acquisition and ownership of buildings	CCM 7.7	20.4	11.2	EL	N/EL	N/EL	N/EL	N/EL	N/EL								24.8		
CapEx of taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities) (A.2)		66.8	36.8	36.8 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %										
A. CapEx of taxonomy-eligible activities (A.1. + A.2.)		**66.8**	**36.8**	**36.8 %**	**0.0 %**	**0.0 %**	**0.0 %**	**0.0 %**	**0.0 %**										
B. Taxonomy-non-eligible-activities																			
CapEx of taxonomy-non-eligible-activities		**114.8**	**63.2**																
Total		**181.6**	**100.0**																

Y Yes, taxonomy-eligible and, in relation to the relevant environmental objective, taxonomy-aligned activity
N No, taxonomy-eligible but, in relation to the relevant environmental objective, not taxonomy-aligned activity
N/EL Not eligible, taxonomy-non-eligible activity in relation to the relevant environmental objective
EL Eligible, taxonomy-eligible activity in relation to the relevant environmental objective

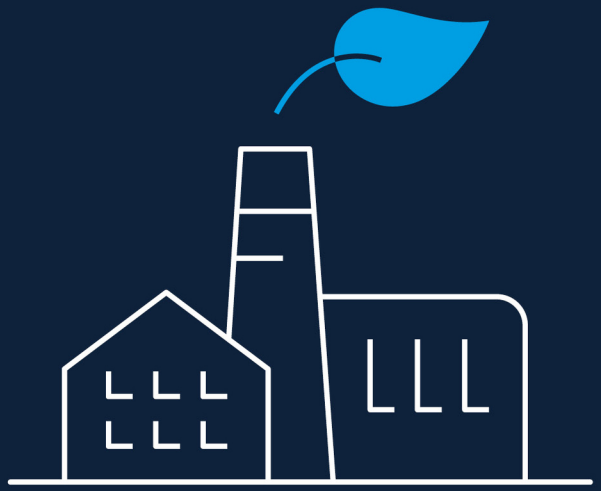
Proportion of OpEx from products or services associated with taxonomy-aligned economic activities – Disclosures for the 2025 financial year

		2025		Substantial contribution criteria						DNSH criteria (Do No Significant Harm)									
Economic activities (1)	Code(s) (2)	OpEx (3)	Proportion of OpEx, 2025 (4)	Climate change mitigation (5)	Climate change adaptation (6)	Water (7)	Pollution (8)	Circular economy (9)	Biodiversity (10)	Climate change mitigation (11)	Climate change adaptation (12)	Water (13)	Pollution (14)	Circular economy (15)	Biodiversity (16)	Minimum safeguards (17)	Proportion of taxonomy-aligned (A.1.) or -eligible (A.2.) OpEx, 2024 (18)	Category Enabling activity (19)	Category Transitional activity (20)
		€ millions	**%**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y; N; N/EL**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**Y / N**	**%**	**E**	**T**
A. Taxonomy-eligible activities																			
A.1. Environmentally sustainable activities (taxonomy-aligned)																			
OpEx of environmentally sustainable activities (taxonomy-aligned) (A.1.)		**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**								**–**		
Of which enabling		–	–	–	–	–	–	–	–								–	E	
Of which transitional		–	–	–													–		T
A.2. Taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities)																			
				EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
Transport by motorbikes, passenger cars and light commercial vehicles	CCM 6.5	1.8	1.3	EL	N/EL	N/EL	N/EL	N/EL	N/EL								0.6		
Renovation of existing buildings	**CCM 7.2** / CE 3.2	—	—	EL	N/EL	N/EL	N/EL	EL	N/EL								1.5		
Installation, maintenance and repair of energy efficiency equipment	CCM 7.3	2.4	1.8	EL	N/EL	N/EL	N/EL	N/EL	N/EL								1.1		
Acquisition and ownership of buildings	CCM 7.7	1.2	0.9	EL	N/EL	N/EL	N/EL	N/EL	N/EL								0.8		
OpEx of taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned activities) (A.2)		5.5	4.1	4.1 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %										
A. OpEx of taxonomy-eligible activities (A.1. + A.2.)		**5.5**	**4.1**	**4.1 %**	**0.0 %**	**0.0 %**	**0.0 %**	**0.0 %**	**0.0 %**										
B. Taxonomy-non-eligible activities																			
OpEx of taxonomy-non-eligible activities		**128.5**	**95.9**																
Total		**134.0**	**100.0**																

Y Yes, taxonomy-eligible and, in relation to the relevant environmental objective, taxonomy-aligned activity
N No, taxonomy-eligible but, in relation to the relevant environmental objective, not taxonomy-aligned activity
N/EL Not eligible, taxonomy-non-eligible activity in relation to the relevant environmental objective
EL Eligible, taxonomy-eligible activity in relation to the relevant environmental objective

Pollution

KSB intends to develop a policy on the handling of PFAS components over the medium term.



E2: Pollution:
Impacts, risks and opportunities

	Status		Position within the value chain			Impacts		Risks and opportunities		
	Potential	Actual	Upstream	Own operations	Downstream	Positive	Negative	Risk	Opportunity	Time horizon
IRO 4: Dependence on SVHC (PFAS)			x					x		Long-term

ESRS E2 Pollution

E2-1: Pollution-related policies

The materiality assessment identified a material risk associated with PFAS.

There is currently no specific policy on the handling of components made of PFAS (per- and polyfluoroalkyl substances). KSB aims to develop this in the medium term based on potential future PFAS-related regulations and restrictions.

A project study was conducted in 2023 for KSB products and purchased components (upstream value chain) to evaluate the impact of such future changes on the availability and quality of KSB products. KSB uses PFAS components in its products because of their fluid resistance properties and stability under different operating temperature ranges. PFAS chemicals are a large group of substances, some of which are already on the list of substances of very high concern (SVHC).

The internal KSB study found that a complete ban on all 7,000-10,000 PFAS substances (-CF2, -CF3) could affect up to 40 % of KSB products sold worldwide. In the absence of suitable alternative substances or processes, this could significantly impact the availability and available variants of KSB pumps and valves.

Since the restriction on PFAS materials was proposed, therefore, KSB has been conducting internal research and initial consultations with suppliers of affected components to analyse possible alternatives. No suitable alternatives have yet been identified that match the properties of PFAS components and their universal applicability or that meet the various application requirements (high temperatures, high pressures, high chemical resistance, for example).

KSB is closely following the ongoing regulatory activities around PFAS in Europe. The details of a possible ban or restriction in the EU are still under discussion. KSB will continue to follow developments and take action accordingly.

E2-2: Actions and resources related to pollution

Actions	In the medium term, KSB aims to improve its understanding of the scale and scope of the PFAS substances and components used. In the long term, the company wants to implement specific actions to replace PFAS components as soon as suitable alternative materials are available (KSB is dependent on the upstream supply chain in this regard).
Expected results	• Detailed overviews of the specific material components and substances used • A better understanding of potential risks and dependencies • A reduction in dependencies and potential regulatory risks
Contribution to the achievement of the targets	KSB has not yet defined a specific PFAS-related target.
Scope	PFAS-related actions affect up to 40 % of KSB products sold globally.
Time horizons	The action to be taken will be set out in more detail in the medium term and implemented depending on the publication of a regulatory decision.
Key actions to remedy the situation	• The planned implementation of a material compliance tool to simplify and support the identification of substances used, for example, to enable KSB to react faster and more efficiently to the complex and changing requirements in all markets. • The long-term replacement of product materials containing hazardous PFAS.
Progress	-

E2-3: Targets related to pollution

KSB does not currently have a specific PFAS-related target as the pollution risk is associated with upstream and downstream manufacturing and recycling processes on which KSB has a limited influence.

Due to a lack of alternative materials, KSB currently has no options for replacing PFAS materials and components.

E2-5: Total quantity of substances of concern and substances of very high concern

KSB is not yet able to comply fully with the disclosure requirements under ESRS E2-5 Substances of concern and substances of very high concern (SVHC) and is making use of the transitional provisions under ESRS 1.132 and 133.

Although the manufacture of pumps or industrial valves does not directly involve the production of chemical products, numerous materials, components and consumables are used along the value chain, which could potentially contain such substances. A major challenge is limited data availability along the supply chain. Such information can usually only be provided by suppliers. However, despite repeated requests and in-person meetings, the data currently available is either incomplete or not of sufficient quality.

In addition, there is no central system for the Group-wide recording and evaluation of substance information. The processes in place are primarily oriented towards complying with regulatory requirements (e.g. REACH); the data is not yet formatted or reported in an ESRS-compliant manner. In addition, REACH requests are used to collect information on the presence of SVHC, but do not provide quantitative weight information, which makes it even more difficult to quantify.

The relevant processes will be analysed and developed further as part of the upcoming migration of the KSB ERP system. The aim is to introduce the transparent and system-based recording, evaluation and reporting of substance information to ensure full compliance with the disclosure requirements under ESRS E2-5 in the future.

E2-6: Anticipated financial effects from pollution-related risks and opportunities

In accordance with ESRS 1 Appendix C and the phased-in disclosure requirements, disclosures are not required on this subject in the first year of reporting.

Water and Marine Resources

Water is an important sustainability topic globally. For KSB, material impacts apply to the upstream value chain.



E3: Water and marine resources:
Impacts, risks and opportunities

	Status		Position within the value chain			Impacts		Risks and opportunities		
	Potential	Actual	Upstream	Own operations	Downstream	Positive	Negative	Risk	Opportunity	Time horizon
IRO 5: Water consumption, withdrawal and discharge		x	x				x			Short-term

ESRS E3 Water and Marine Resources

A detailed description of the material impacts related to water and marine resources is provided in the General Information – Strategy section.

E3-1: Policies related to water and marine resources

No specific policy yet exists in connection with impacts in the upstream value chain and water consumption in the upstream value chain in particular.

This is because KSB does not currently have a sufficient data or information basis for transparent implementation.

According to the Aqueduct Water Risk Atlas of the World Resource Institute (WRI), some KSB production sites are located in regions with high and extremely high water stress. KSB production processes are not water-intensive, especially compared with the upstream value chain. This was therefore not considered a material issue for the double materiality assessment. No material impacts, risks or opportunities were identified related to sustainable oceans and seas.

E3-2: Actions and resources related to water and marine resources, and
E3-3: Targets related to water and marine resources

KSB has not defined any actions or targets in connection with water-related impacts to date.

E3-5: Anticipated financial effects from material water and marine resources-related risks and opportunities

In accordance with ESRS 1 Appendix C and the phased-in disclosure requirements, disclosures are not required on this subject in the first year of reporting.

Social Information

157 Own Workforce
176 Workers in the Value Chain

Own Workforce

Reducing work-related accidents, increasing the representation of women in management positions, and strengthening training remain central goals for KSB.



S1: Own workforce:
Impacts, risks and opportunities

	Status		Position within the value chain			Impacts		Risks and opportunities		
	Potential	Actual	Upstream	Own operations	Downstream	Positive	Negative	Risk	Opportunity	Time horizon
IRO 6: Occupational health and safety		x		x			x			Short-term
IRO 7: Equal treatment and opportunities for all		x		x			x			Short-term
IRO 8: Gender diversity		x		x			x			Short-term
IRO 9: Training and professional development	x			x		x				Short-term

ESRS S1 Own Workforce

A detailed description of the material impacts related to KSB's own workforce is provided in the General Information – Strategy section.

Material impacts, risks and opportunities and their interaction with strategy and business model (ESRS 2 SBM-3 x ESRS S1)

Permanent and temporary employees (hereinafter collectively referred to as employees), self-employed persons and employees of external companies work at the company's locations.

The material impacts, risks and opportunities were identified in consideration of the interests of the workforce at all locations. The disclosed impacts apply equally to employees, self-employed persons and employees of external companies.

Negative impacts

IRO 6: KSB workers may experience negative impacts in connection with health and safety. This applies to, but is not limited to, workers in the production processes, in particular in connection with working with heavy materials / parts / machinery, and in foundries (heat / electricity). Such negative impacts are typical for the mechanical engineering sector.

IRO 7: KSB identified inadequate equal treatment and equal opportunities, particularly in connection with promotion opportunities in management, as an important field of action.

Inequalities can restrict equal access to management positions and obstruct career progression.

IRO 8: Overall, women are underrepresented in the total workforce of KSB. This is still typical in many technical disciplines such as mechanical engineering. The lower attractiveness of STEM (science, technology, engineering and mathematics) professions for women results in a smaller pool of highly qualified specialists.

There were no material negative impacts related to individual incidents in the reporting period.

Positive impacts

IRO 9: To promote training and professional development of employees worldwide, KSB has a dedicated global training platform covering technical and non-technical fields.

Training is available in different formats and, depending on content, is offered to all employees, self-employed persons working for KSB and employees of external companies. Training is either on the job or delivered in dedicated online or in-person courses designed by the Global Learning Center or external providers.

Risks and opportunities

No risks or opportunities arising from the impacts and dependencies related to own workforce were identified for the company.

Impacts related to transition plans and human rights

The materiality assessment did not identify any impact on the company's own workforce related to transition plans (including plans and actions to reduce carbon emissions) or human rights.

KSB takes a clear stance against forced labour and child labour in its Code of Conduct. Forced labour is prohibited and child labour is not tolerated.

KSB did not identify any areas where workers active in its own operations were subject to forced or child labour.

S1-1: Policies related to own workforce

KSB employees are integral to the company's success. A safe, equitable and nurturing work environment and corporate culture are part of the corporate strategy. The aim is to ensure both the health and safety of employees and their professional development and engagement.

Basic policies related to own workforce

The KSB Code of Conduct sets out the ethical standards and requirements for all employees and business partners. Key topics include respect for human rights, integrity, lawful conduct, avoiding conflicts of interest, protecting company resources, confidentiality, and responsibility to society and the environment. The Code serves as a guideline for ethical and responsible conduct in day-to-day business. KSB also uses the Code of Conduct as the basis for its HR policy of equal opportunities and diversity.

The aim is to create a diverse and equitable work environment without fear of harassment or discrimination. It applies to all companies within the KSB Group and is based on the International Labour Organisation (ILO) Convention No. 111 in compliance with local labour law.

Key roles include the Management, which is responsible for the equal treatment policy, Global HR, which is responsible for implementing the human resources policy, and the HR managers/business partners for promoting awareness in this area.

Directive: Code of Conduct
Key contents, general objectives and relation to material impacts, risks and opportunities: The Code of Conduct describes the key business policy principles that guide KSB in its relationships with customers, suppliers and other business partners, as well as in its internal cooperation. The Code of Conduct covers the following topics: Employee interaction, acting as a role model, communication and transparency, management of business, business relationships, conflicts of interest, inside information, confidentiality, corporate social responsibility, competition and cartel / anti-trust law, foreign trade and export control, tax law, the environment, energy and climate change mitigation, dealing with conflict minerals, occupational health and safety, remuneration and working hours, respect for human rights, product safety and quality, data privacy and protection, IT security
Process for monitoring: Monitoring is the autonomous responsibility of the respective manager and the Compliance Organisation headed by the Group Compliance Officer. In this role, the Group Compliance Officer reports directly to the CEO but is not subject to instructions.
Scope of application and value chain: The Code of Conduct is compulsory for all employees at all levels. It covers all organisational units and Group companies where KSB SE & Co. KGaA directly or indirectly holds an interest of more than 50 %. If the interest held is lower, KSB encourages the relevant company to adhere to similar standards. Suppliers are required to comply with the principles of this Code of Conduct or an equivalent code.
Responsible organisational level: Human Rights Officer and Group Compliance Officer, reporting directly to Management (CEO) but not subject to instructions Each KSB employee is individually responsible for observing the Code of Conduct in their area. Each line manager is responsible for ensuring that the content of the Code of Conduct is known to and observed by their respective employees. Supported by the Group Compliance Officer
Reference to third-party standards or initiatives: UN Guiding Principles, the Ten Principles of the UN Global Compact, ILO Standards, OECD Guidelines
Engagement with affected stakeholders: Not explicitly mentioned in the directive
Availability of the policy to stakeholders: Available on the Internet (KSB web site)

The following statements are taken from the KSB Code of Conduct, which is binding for all employees:
It is KSB's declared goal to prevent all forms of discrimination on the basis of individual characteristics such as age, race, religion, skin colour, gender, sexual orientation, disability, national origin, heritage or marital status. KSB does not tolerate discrimination, harassment or reprisals of any kind in the work environment. This also applies to KSB's interaction with people outside the company, such as job applicants, for instance.

With regard to inclusion and positive action for people from groups at particular risk of vulnerability, KSB observes the global standards mentioned above as well as applicable local legal requirements.

The legal requirements include, for example, the establishment of a body of representatives for severely disabled employees within Germany. Comparable regulations exist in various other countries in which KSB operates.

The company directives are accessible to KSB's own employees on the Global Intranet. New hires are given a link to these directives during the on-boarding process. All employees can view the directives on the Intranet and receive them by e-mail. Employees worldwide are required to implement these directives in their work on site.

Global HR is responsible for reviewing and updating the Global HR Directives. After revisions and updates, the Global HR team advises the regional HR managers, who duly notify the local HR managers. The local HR managers are responsible for disseminating the directives within their organisation and implementing these in local processes.

The directives are updated whenever there is a change to the processes, procedures, relevant principles or legal provisions.

KSB has also set out the principles of its human resources policy in a number of directives to be applied by all the companies in the Group.

The company's Human Rights Policy Statement underlines the obligation of all business areas and companies of the Group to respect and promote human rights. It includes the principles of non-discrimination and fair working conditions, the prohibition of forced and child labour, as well as the protection of freedom of association and the right to organise and to bargain collectively.

Directive: Human Rights Policy Statement
Key contents, general objectives and relation to material impacts, risks and opportunities: As part of its commitment to observe internationally recognised and codified human rights, KSB places a particular focus on assessing and identifying potential risks in: Occupational health and safety Work environment Remuneration Company safety and security Impact of our products Anti-corruption Child labour, forced labour and human trafficking Freedom of association and collective bargaining Business partners Communities and indigenous peoples
Process for monitoring: Monitoring and ongoing due diligence Remedy and complaint mechanisms (where required)
Scope of application and value chain (suppliers): Own operations and all business partners
Responsible organisational level: All management levels and all employees are responsible for implementing this policy, starting with the company's Management (Managing Directors) and Human Rights Officer.
Reference to third-party standards or initiatives: Ten Principles of the UN Global Compact International Bill of Human Rights International Labour Organisation (ILO) Declaration on Fundamental Principles and Rights at Work OECD Guidelines for Multinational Enterprises
Engagement with affected stakeholders: Employees, customers, business partners, shareholders, municipalities
Availability of the policy to stakeholders: Published on the KSB homepage

KSB is committed to upholding the following standards related to human rights, including the labour rights of workers:

- Ten Principles of the United Nations Global Compact
- International Bill of Human Rights
- International Labour Organisation (ILO) Declaration on Fundamental Principles and Rights at Work
- OECD Guidelines for Multinational Enterprises

This obligation is set out in the Human Rights Policy Statement on the KSB web site.

Are KSB's policies with regard to its own workforce fundamentally aligned with internationally recognised instruments?	☒ YES	☐ NO

The process documentation "Human rights due diligence within the supply chains and own business operations" described below regulates the process for monitoring and the responsibilities at global and local level.

Process documentation: Human rights due diligence within the supply chains and own business operations
Key contents, general objectives and relation to material impacts, risks and opportunities: This directive sets out the company's responsibility to monitor compliance with human rights standards at global and local level in KSB's own operations and in the value chain. The directive also describes the grievance mechanism.
Process for monitoring: The Human Rights Commissioner ensures compliance with human rights standards within the KSB Group and coordinates all human rights-related activities. The site managers are responsible for monitoring activities at a local level. The value chain is monitored in central or local Procurement.
Scope of application and value chain: Applicable to the KSB Group's own operations, including all companies over which KSB has operational control and all direct and indirect business partners. Although the formal Human Rights Due Diligence Report has not yet been finalised, KSB continues to develop and implement due diligence actions.
Responsible organisational level: The Human Rights Officer of the KSB Group is responsible for implementing Human Rights Due Diligence with the support of the following individuals and departments: Head of Procurement, who oversees the overarching procurement processes and supplier selection KSB Compliance Officer with oversight by the Ombudsperson (whistleblower channel) Category Manager and local buyers, who are responsible for overseeing compliance with human rights standards among the suppliers and in the categories Site managers, who are responsible for monitoring activities at a local level Sustainability Management, which is responsible for monitoring and improving compliance with sustainability and human rights standards Risk Management, which is responsible for analysing and evaluating potential risks related to human rights violations.
Reference to third-party standards or initiatives: Ten Principles of the UN Global Compact
Engagement with affected stakeholders: Own employees, legislators, NGOs
Availability of the policy to stakeholders: Available on the Intranet

KSB established the role of Human Rights Officer to ensure and oversee compliance with the human rights policy.

The KSB Human Rights Officer – along with other local departments – is a central point of contact for questions, suggestions and complaints.

Grievances can also be reported to the external Ombudsperson at any time, anonymously if preferred.

In the Human Rights Policy Statement, which can be viewed on the Group's web site, KSB states that it does not tolerate any form of forced labour or child labour, including slavery and human trafficking. This applies to all of KSB's own employees and anyone who works at KSB locations.

Respecting human rights is a core element of KSB's corporate social responsibility. Wherever KSB becomes aware of violations of human rights principles, it urges that they be stopped immediately.

For the implementation of human rights requirements, KSB places a special emphasis on the following:

- Occupational health and safety is paramount for KSB. This applies equally to KSB's own employees, employees at partner companies and to the neighbours and local residents around the company's sites.
- All workers must be treated with dignity and respect. Abuse and harassment are not tolerated. A diverse workforce enriches the company.
- KSB remunerates fairly and on the basis of performance.
- KSB takes responsibility for the safety of its employees, sites and transport as well as sensitive information.
- KSB subscribes to the notion that corruption compromises human rights. The company does not tolerate corruption and is committed to fair business practices.
- KSB does not tolerate child labour, forced labour, slavery or human trafficking.
- KSB respects the fundamental rights of freedom of association and collective bargaining.
- KSB does not tolerate human rights violations. Business partners are also held to the same standards.
- At its company sites, KSB sees itself as a partner and good neighbour who respects the rights of local residents and contributes to positive local development. KSB recognises the rights of indigenous peoples.

Policies related to gender equality, equal pay for work of equal value and gender diversity

The Equal Opportunities and Diversity Directive underlines the company's commitment to an inclusive and diverse work environment. It prohibits harassment and discrimination based on gender, race, religion, age, sexual orientation, disability or other protected characteristics. It also focuses on the promotion of equal treatment and diversity.

According to the Directive, a diverse, inclusive work environment relies on the following:

1) Selecting and promoting employees on the basis of performance and potential and without regard to personal characteristics.
2) Identifying and removing barriers to equal opportunities, including discriminatory selection criteria. Providing access to training, support and mentorship to create a non-discriminatory workplace.
3) Promoting cultural and gender diversity to create an inclusive environment.
4) Fostering a performance-driven culture that rewards innovation and creativity to enjoy maximum benefits from diversity.
5) Guaranteeing that action is taken to foster gender equality and diversity. It is vital that all action taken, including recruitment and selection, promotions, transfers and disciplinary action, training and professional development, working conditions, sexual harassment policies and programmes that promote a healthy work-life balance, is fully harmonised and free from gender bias.
6) Training staff to raise awareness of the importance of gender balance and diversity.

Equal Opportunities and Diversity Directive
Key contents, general objectives and relation to material impacts, risks and opportunities: The directive provides a framework for a diverse and equitable work environment that offers equitable working conditions and is free from harassment and discrimination. KSB strives to create a work environment in which all employees are treated fairly and with dignity and respect.
Monitoring process: Internal Audits
Scope of application and value chain (suppliers): Applies to all companies of the KSB Group at all locations.
Responsible organisational level: Global HR, implementation by regional HR and local management
Reference to third-party standards or initiatives: Conventions of the International Labour Organisation (ILO), Convention No. 111 and local laws on equality, diversity and protection against harassment
Engagement with affected stakeholders: Employees
Availability of the policy to stakeholders: Available on the Group-wide Intranet and communicated via other official internal communication channels

In addition, KSB is guided by the ISO 26000 standard which provides organisations with guidance on social responsibility. It covers topics such as governance, human rights, working practices, the environment, fair operational and business practices, consumer issues and community engagement. The standard stresses the importance of integrating socially responsible behaviour into the entire organisation and its value chain.

Does KSB have specific policies aimed at the elimination of discrimination, including harassment, promoting equal opportunities and other ways to advance diversity and inclusion?	☒ YES	☐ NO

Policies related to health and safety

KSB has implemented an ISO 45001-certified health and occupational safety management system at 69 sites (including all production sites).

The TÜV Rheinland Group recertifies the system annually in a Group certification process based on random sampling. In compliance with ISO 45001, all certified sites have an established internal audit programme, which must be managed by the local representatives.

An assessment of risks in the workplace is a mandatory part of ISO 45001 certification.

KSB recommends that all of its sites implement the International Social Security Association's (ISSA) global Vision Zero strategy to reduce workplace accidents. This aims for even greater involvement of management in occupational safety to increase awareness of occupational health and safety.

Vision Zero is a transformative approach to prevention that integrates the three dimensions of health, safety and well-being in all areas of activity. It is based on the assumption that all accidents, damage and work-related illnesses can be prevented. The Vision Zero strategy is flexible and can be adapted to specific needs and priorities in any given context.

The following regulation sets out basic occupational health and safety requirements for the Group companies:

The Integrated Management System Manual includes provisions on Quality, Environmental, Occupational Health and Safety, Information Security, Business Continuity and Sustainability Management
Key contents, general objectives and relation to material impacts, risks and opportunities: The manual regulates the basic principles of quality assurance and environmental, occupational health and safety. It describes the standards to be observed and sets out how the actions are to be planned, incorporated in the local organisation and controlled. Quality awareness, internal customer-supplier relationships, error avoidance, continuous improvement and supplier involvement are key areas of focus. Health, Safety and Environment Directives. The goal is to minimise risk and implement a continuous improvement process (CIP) to optimise processes.
Process for monitoring: Audits are planned and conducted (or commissioned) by the Head of Integrated Management.
Scope of application and value chain (suppliers): Applicable at all locations of the Group (which have implemented certifiable management systems to international standards) for own operations and employees and third-party companies working at KSB sites through implementation in work instructions / process descriptions that have been adapted to local conditions and laws.
Responsible organisational level: Overall responsibility lies with the KSB Board of Management. Coordination and implementation in local regulations: Head of Integrated Management. The individual topics are each delegated to locally responsible departments.
Reference to third-party standards or initiatives: Various global and local standards, including: ISO 9001, ISO 14001, ISO 45001, ISO 27001, ISO 22301, ISO 26000.
Engagement with affected stakeholders: Employee interests are incorporated within action plans on the basis of constant communication with employee representatives.
Availability of the policy to stakeholders: The manual is available internally on the Group-wide Intranet.

Does KSB have a management system in place to prevent workplace accidents?	☒ YES	☐ NO

Policies related to training and professional development

Further training and skills development are an important focus of the annual employee Performance Evaluations

by line managers. In these discussions, employees and their line manager agree on binding training goals and actions.

Directive: Performance Evaluation
Key contents, general objectives and relation to material impacts, risks and opportunities: A structured performance evaluation to determine the employee's further development in line with the corporate goals, identify areas in need of improvement, formulate actions to address these, and to promote the performance culture.
Process for monitoring: The evaluation is based on the comparison between the employee's self-assessment and their appraisal by their line manager. Implementation is monitored by Global HR using the Workday HR management platform.
Scope of application and value chain: The performance evaluation is being rolled out to all staff worldwide.
Responsible organisational level: Global HR monitors implementation by the respective line mangers.
Reference to third-party standards or initiatives: No external standards
Engagement with affected stakeholders: Employees, employee representatives
Availability of the policy to stakeholders: Available on the Intranet

In performance management, managers are responsible for setting employee training and development goals as part of the KSB employee portfolio (potential / performance matrix). The average number of training hours to be completed per employee is one of KSB's corporate goals, underscoring the importance of training and professional development for the company.

S1-2: Processes for engaging with own workforce and employee representatives about impacts

The Managing Directors and Management use the following actions / communication channels to engage with the employees to seek feedback on various matters:

Occupational health and safety

- Vision Zero awareness-raising activities at individual sites
- KSB Idea Management
- Red Dot Challenge, which invites employees to provide direct feedback about potential hazards in a system.
- Workshops
- Regular (usually annual) updates to occupational risk assessments, which are discussed with the employees.
- Publication of EHS News every two months to communicate safety information

Equality

- KSB women's network

General

- Town hall meetings
- Global Intranet
- KSB Voice (global employee engagement survey)
- Pulse survey to continuously measure employee engagement
- Management uses 'KSB topics' to communicate important information to all employees (including updates on Group performance).
- In brief Intranet video clips entitled Let's Talk, the CEO addresses employees directly to comment on and explain current topics, important developments and decisions.
- Discussion / agreement of possible development / training activities at the annual feedback meeting between line manager and employee
- Ombudsperson

Advancements in internal communications have continued to expand the opportunities for employee engagement worldwide.

For Intranet articles, the comment function is used to express opinions and discuss controversial topics.

General and topic-specific news feeds are available for employees to explore new topics and suggest improvements.

Employees worldwide can also interact with one another in specific topic forums. This form of informal communication makes it easier for individual employees to share their ideas and highlight potential for improvement.

(Two-way) communication is possible directly and with the bodies/employee representatives.

The formal route is via the employee representatives (in line with local regulations), HR managers (on request) and the KSB Voice employee engagement survey (every two years). Employees can also address problems with their line manager and suggest improvements in the annual feedback meeting.

The representation of employees with regard to human rights is based on country-specific co-determination legislation. In Germany, for example, the employee representatives consist of local works councils, the Group Works Council, the General Works Council and representatives for severely disabled employees, younger employees and trainees. In countries without a works council, the interests of the workforce are represented by trade union representatives or an industrial relations manager (in Pakistan and India for example). Regardless of the organisational form, employee representatives are involved in decisions on working conditions and benefits.

Local legislation governs the regulation of all human rights aspects and consideration of worker perspectives. In Germany and other EEA countries, works agreements are used for this purpose.

Comparable agreements also exist with employee representatives, trade unions or industrial relations managers in EEA and non-EEA countries.

The nature, extent and form of involvement of the employees and employee representatives are aligned to local requirements and practices. KSB cannot make a statement that applies to the entire Group.

The CEO is responsible for Strategy, Human Resources, Communications and Compliance, among other things. At a local level, these areas are also the responsibility of the individual company managing directors.

Operational responsibility for incorporating the employee views is delegated to the central or local HR managers.

Face-to-face interaction with employees is an important management tool in the company. This is facilitated by town hall meetings between the individual company managing directors and employees and round tables involving various employee groups (e.g. potential candidates and women) and KSB Management.

KSB uses the Intranet, which is available throughout the Group, to keep employees informed about current topics and enable them to share information with each other.

A global ideas management system encourages employees to suggest improvements across the board.

For a better understanding of the impact on KSB of the underrepresentation of women in management positions and low proportion of women generally in the workforce (diversity), the company supported the establishment of an informal women's network in which women can meet to discuss various work-related issues.

KSB's women's network gives female employees a platform to share their views. This is intended as a forum for identifying all relevant information associated with the disadvantages and communicating these to Management. The findings are used to inform actions and targets. The women's network is also intended as a platform to promote women with ambitions for further development.

Company employees and external parties alike are able to raise concerns about misconduct at KSB to the independent Ombudsperson's Office. The Ombudsperson's contact details are available to everyone on the company's web site.

In addition to these Group-wide initiatives, the Group companies also accommodate the employee representation and communication processes required by national law.

The KSB Voice employee survey, which is conducted every two years by an external institute, provides Management with feedback on how employees perceive the action taken and its effectiveness.

Resources for engaging with own workforce:

- Employee Experience team
- HR network
- Employee Experience Ambassadors

KSB does not currently anticipate the reduction of CO_2 emissions or the transition to more environmentally friendly and climate-neutral business activities to have any negative impacts for employees. Therefore, it is not currently planning additional resources to increase employee engagement in this regard.

Does the company have processes for engaging with its own workforce and workers about impacts?	☒ YES	☐ NO

S1-3: Processes to remediate negative impacts and channels for own workforce to raise concerns

Company employees can contact the Ombudsperson to report a grievance at any time. Reported cases of misconduct are investigated by the Legal and/or Compliance department as appropriate and, depending on the nature of the problem, forwarded to Human Resources or Internal Audits. KSB also invites employees to freely and actively express any concerns in the KSB Voice employee engagement survey, which takes place every two years.

The above dialogue formats are procedures for identifying possible negative impacts on individual employees and initiating remedial action. The regular dialogues between employees and their line managers, which take place at least once a year as part of the Performance Evaluation, are particularly important for agreeing on the remedial action to be taken. Experts from HR and employee representatives (e.g. the works council, representatives for younger employees, trainees and severely disabled employees) will be consulted as necessary.

Employee representative bodies in the individual Group companies are established in accordance with local regulations. Employees can use these channels to voice

their concerns. Employees also have the option of turning to central bodies. In Germany, for example, they can contact the works council, representatives for younger employees, trainees or severely disabled employees, and the complaints office as per the *Allgemeine Gleichbehandlungsgesetz* (AGG) [German General Equal Treatment Act], the Human Rights Officer or the Ombudsperson.

The company sees the KSB Voice employee engagement survey, which is conducted every two years, as one of the most important channels for collecting feedback from its employees worldwide and measuring action effectiveness. This is described in more detail in the G1: Information on Corporate Governance section of this report. One question also asks about the effectiveness of actions taken since the last survey. 85 % of all respondents gave a positive or broadly positive response to this question. Since the survey is conducted by an external institute and employees can share their opinions anonymously, this communication channel is considered very reliable.

Everyone has access to information about the different communication channels via the Intranet. Local units are required to communicate this information to employees and to name the complaints channels. For employees without direct Intranet access, the information must be made available on a publicly accessible notice board.

Does KSB have a defined grievance management process?	☒ YES	☐ NO

The reporting system of the Compliance Organisation and the results of the employee survey, which is conducted every two years, are used to monitor problems and evaluate the efficiency of the communication channels.

KSB does not have a specific procedure for ensuring that its employees are familiar with and have confidence in the whistleblower complaints structures.

KSB has taken steps to protect whistleblowers, including members of the works council, in compliance with legal requirements. This is described in more detail in the information about the KSB Compliance Organisation in Section G1: Information on Corporate Governance.

Processes to remediate negative impacts are aligned to local conditions and regulations.

S1-4: Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions and approaches

KSB has defined the following actions and resources in connection with the identified impacts.

Action taken, implementation, and monitoring of effectiveness

Occupational health and safety

An ISO 45001-compliant occupational health and safety management system is implemented at all production sites.

Action	Implementation of a system to promote the physical and psychological health of employees.
Expected results	Reduction in days lost due to accidents and sick leave
Contribution to the achievement of the targets	These actions are directly related to the target of reducing days lost due to accidents to 0.3 by 2025.
Scope	These actions are implemented in all companies with ISO 45001 certification, and adapted to local needs. The affected employees are defined in the individual risk assessments for each workplace.
Time horizons	This is a long-term action.
Key actions to remedy the situation	• Training courses and workshops on stress management and ergonomic working • Provision of resources such as access to fitness services, healthy food options and wellness programmes • The workplace risks covered by ISO 45001 are assessed regularly (once a year as a rule), including sources of stress. • Employee surveys and interviews to gather feedback on employee well-being • Development of action plans to reduce identified stress factors, e.g. adaptation of workload or improvement of the work environment • Preventive analyses to protect employee health
Progress	The implementation of specific measures resulted in a reduction in the number of days lost due to accidents.

A risk assessment is conducted at regular intervals (once a year as a rule) for each included workplace in accordance with the ISO 45001 standard and the local regulations to record existing hazards and the actions required to avoid negative impacts.

Based on the findings from the risk assessment, KSB implemented preventive actions to remediate the material impacts; for example, mechanical or electrical safety devices to prevent the incorrect operation of machines and systems.

The safety-related actions to be taken are defined and documented for each workplace / department / area based on the individual risk assessments for each workplace. Further safety-related actions to be implemented are defined on the basis of internal audits that are conducted by local Integrated Management departments and external audits that are conducted by inspection companies, for example.

Action	Risk assessment / audits
Expected results	Reduction of days lost due to work-related accidents
Contribution to the achievement of the targets	KSB assesses the workplace-related health hazards at all sites with production units.
Scope	All sites with a production unit
Time horizons	Indefinite, to be completed annually
Key actions to remedy the situation	The existing workplace-related health hazards are recorded and preventive actions defined.
Progress	Regular risk assessments and the associated audits contribute to the reduction in the number of working days lost due to work-related accidents.

All risk mitigation actions are recorded by the local Environmental, Health And Safety (EHS) departments and implemented and verified in cooperation with the respective managers. Annual management system audits are conducted to monitor compliance with the ISO 45001 system requirements and the effectiveness of the system and to document and verify actions derived from system non-conformities. The actions are derived from the findings of the (internal and external) auditors (potential hazards in the production process, for example).

Internal audits are conducted to monitor the effectiveness of the occupational health and safety-related actions. Audits are also conducted by external parties such as TÜV Rheinland based on the ISO 45001 standard to certify the effectiveness of our management system.

Equal treatment and opportunities for all

KSB pursues a policy of equal career opportunities (without gender bias) and a diversity policy to prevent unequal pay due to gender or other personal, non-performance-related aspects. KSB is currently focusing efforts on increasing the proportion of women in management positions. This is a big challenge, especially for the mechanical engineering sector. The local management is responsible for implementing all actions related to equal treatment and opportunities under consideration of local legal frameworks. The goal of increasing the representation of women in management positions, as described below, is one of the key global initiatives being implemented by the HR department. It applies to executive management appointments as well as senior manager and other management positions in the companies, which are always also advertised internally.

The proportion of women taking part in HR talent programmes and initiatives, and encouraging greater participation in such activities, is a further area of focus.

The proportion of women in top management positions one and two levels below the company's Management is evaluated and reported to Management once a year.

The informal international Women's Network, which is supported by the company, was set up to help improve career opportunities for women at KSB.

Action	International women's network
Expected results	Increase in the proportion of women in management positions
Contribution to the achievement of the targets	KSB promotes career opportunities for women through targeted engagement, networking and mentorship activities. These actions are directly related to the target of 11 % of women in the first management level below the Managing Directors and 15 % in the second management level by 2026.
Scope	The women's network is aimed at women worldwide with career ambitions, women interested in collaborating with other departments and managers who want to support this initiative.
Time horizons	This is a long-term action.
Key actions to remedy the situation	Specific actions are not defined.
Progress	The proportion of women in management positions was increased.

The KSB Women's Network implemented the following activities in the reporting year:

- Setting up of international hubs in India, South Africa and North America alongside the hub in Germany
- Launch of quarterly global leadership exchange sessions to facilitate cross-functional cooperation between the international hubs of the Women's Network
- Close cooperation with HR, first guidelines successfully adapted in India
- Active networking with male supporters and allies
- Hosting of internal information and networking events at different hubs, including presentations by internal and external speakers on relevant topics
- Activities at various locations around the world to mark International Women's Day

Gender diversity

Through initiatives such as the Girl's Day in Germany, which primarily targets young women interested in apprenticeships, KSB showcases the training opportunities available at KSB for women, especially in technical fields.

Similar actions are also offered by KSB companies with production units in other countries. These actions are implemented by the local HR managers.

Action	Girl's Day
Expected results	Increase in the proportion of women in technical professions
Contribution to the achievement of the targets	KSB invites women to technical departments to inspire an interest in a technical career.
Scope	This event is currently run in Germany and presented to companies in other countries as a model for own action. Other countries are implementing similar actions (e.g. STEM (science, technology, engineering and mathematics) day in India).
Time horizons	This is a long-term action.
Key actions to remedy the situation	-
Progress	-

KSB ran a number of locally and culturally adapted campaigns in the reporting year to honour and promote women. These included Women's Day and Mother's Day campaigns, for example.

These locally implemented actions are also advertised in internal communication channels throughout the Group and on external social media to inspire and motivate others.

The proportion of women in the company is evaluated and reported to Management once a year.

Training and professional development

Training and development planning is a mandatory part of the annual feedback meetings between employees and their line managers.

Action	Training and development planning as part of the annual feedback meeting
Expected results	Increase in number of training hours per employee to 30 hours per year
Contribution to the achievement of the targets	Agreement on targeted training and development for the individual employee
Scope	The action is aimed at all employees worldwide, their line managers and HR managers for implementation of the training plans.
Time horizons	The training activities are agreed annually in the feedback meeting
Key actions to remedy the situation	The feedback meeting and agreed training measures are intended to fill skills gaps and help employees unleash their full potential.
Progress	The average number of training hours remained stable in the financial year.

The Global Learning Center offers training on diverse topics and areas of work on the Group-wide learning platform. For various Segments and Market Areas, it has also set up academies on the platform to equip employees in the product and project areas with sufficient knowledge on products and processes. The courses offered by the Global Learning Center and the academies is available to employees throughout the Group.

In addition, the companies also have local training departments that offer the workers and employees training to meet local needs. KSB India, for example, offers a series of Workmen Training courses. KSB France also offers various technical and non-technical training courses for employees.

At Group level, new employees are offered various training courses during on-boarding to familiarise themselves with KSB-specific systems and processes and the corporate culture.

New courses and new learning formats (such as Lunch&Learn) are continually being added to the central training platform.

KSB monitors the effectiveness of the action by measuring the number of training hours per employee broken down by gender. The aim is to increase this and ensure a fair distribution.

Due to the strategic importance of the above-mentioned topics, KSB has taken steps, such as regular KSB Voice employee surveys for example, to review these actions. The findings from the employee feedback and dialogue contribute towards the company's strategic direction.

Additional actions to mitigate negative impacts

The Sustainability Committee also reviews the definition and implementation status of the actions for the impacts mentioned.

Potential vulnerabilities are also identified and documented during the internal and, in the case of occupational health & safety, external audits. In the event of deviations, additional necessary actions must be defined.

To mitigate negative impacts related to occupational safety and data protection, KSB implemented the following processes:

ISO 45001-compliant occupational health and safety management system

69 KSB locations have implemented a certified occupational health and safety management system to ISO 45001. This covers over 90% of the workforce. The aim of this occupational health and safety management system is to systematically and continuously identify, assess and minimise risks to the health and safety of employees.

This helps to avoid negative impacts on the workforce and create a safer work environment.

GDPR-compliant data privacy and protection management

Data privacy and protection management at KSB is based on the European General Data Protection Regulation (GDPR) and is implemented throughout the Group.

KSB has implemented policies and procedures under its data privacy and protection management system to ensure the protection of personal data.

The aim is to avoid negative impacts related to data use and to strengthen stakeholder trust in the company.

Directive on the Organisation of Data Protection
Key contents, general objectives and relation to material impacts, risks and opportunities: The directive describes the roles and responsibilities in the Group-wide data privacy and protection management system. It also sets out how data privacy and protection is to be incorporated in other directives and business processes.
Process for monitoring: Monitoring is the responsibility of Management, supported by the Group Data Protection Officer.
Scope of application and value chain (suppliers): Applies to all companies of the KSB Group at all locations.
Responsible organisational level: Member of the Management responsible for data privacy and protection, supported by the Group Data Protection Officer.
Reference to third-party standards or initiatives: General Data Protection Regulation
Engagement with affected stakeholders: There is no engagement.
Availability of the policy to stakeholders: Available on the Group-wide Intranet

Dealing with tensions between the prevention of negative impacts and business pressures

KSB addresses possible tensions through transparent communication and by maintaining an open dialogue with stakeholders. KSB focuses on inclusive decision-making, taking into account economic, social and environmental aspects.

Resources for avoiding negative impacts and advancing positive impacts

Occupational health and safety resources are planned as part of normal budget planning based on national requirements and are organised by the local site management.

Engagement Ambassadors at the KSB companies working on behalf of the Employee Experience & Culture team organise and coordinate various employee participation and engagement formats, such as newcomer sessions for new employees, round tables with the Managing Directors, the KSB Women's Network, events on key topics such as diversity, mentorship programmes, Create your Experience meetings on development opportunities at KSB and KSB Voice employee engagement surveys.

The Global Learning Center team is a central body that is responsible for organising many of the training courses and managing the company's own training platform.

S1-5: Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

Goal	**Reduction of days lost due to work-related accidents**
Relationship of the target to the policy objectives	The relevant policy does not mention a specific target.
Set target level	No more than 0.30 days lost per employee/year by 2025
Scope	All own employees
Base year and base value	2019 / average of 0.28 days lost per employee/year at all locations
Target achievement period (including milestones)	2025
Data source	Annual data collection by local security officers
Stakeholder engagement	No
Change to targets and parameters	No changes
Current progress	0.21 days lost per employee/year (2025); the target was achieved.
Assumption	-
Methodology	Defined by Management. No external benchmarks are used.

Goal	**Increase the proportion of women in management positions**
Relationship of the target to the policy objectives	There is no specific policy.
Set target level	First level below the Managing Directors: 11 % Second level below the Managing Directors: 15 %
Scope	All top management positions of the first and second management level Group-wide
Base year and base value	First level: 8 % (2022) Second level: 12 % (2022)
Target achievement period (including milestones)	2026
Data source	Workday
Stakeholder engagement	No
Change to targets and parameters	No changes
Current progress	First level: 12 % Second level: 16 %
Assumption	Targets considered to be achievable based on 2022 values
Methodology	Defined by Management. No external benchmarks are used.

Goal	**Strengthen employee training**
Relationship of the target to the policy objectives	There is no specific policy.
Set target level	Each employee invests an average of 30 hours per year in training and development.
Scope	All own employees at KSB locations
Base year and base value	2022 / 17 hours per year
Target achievement period (including milestones)	2025
Data source	Global Learning Center database
Stakeholder engagement	Through the employee feedback meeting
Change to targets and parameters	No changes
Current progress	26.09 hours per year; the target was not achieved. KSB is currently analysing the reasons and increases the level of ambition by defining new objectives.
Assumption	Targets considered to be achievable based on 2022 values
Methodology	Defined by Management. No external benchmarks are used.

The achievement of targets and progress of specific actions is monitored by the KSB Sustainability Committee, the KSB Audit Committee and during preparation of the sustainability report.

Employee representatives are involved in the target setting process during Works Council and Economic Committee meetings and Audit Committee meetings, as well as in monitoring their progress through Human Resources. These meetings give the employee representatives an opportunity to share their views.

Occupational Health and Safety Committee: Employee representatives are involved in the target setting and tracking process. Regular meetings take place quarterly or one to two times a year.

KSB has not defined quantified targets related to the impact Gender diversity: Low representation of women in the company. Although the importance of this topic for the company has been acknowledged, possibilities for exerting influence are extremely limited due to the production-heavy business model and success from the action taken is more likely to be achieved in the long term. The effectiveness of the policies and actions is monitored by the Sustainability Committee based on the development of the proportion of women in the workforce in comparison with previous years.

New targets were set during the reporting year for the period 2026 to 2030. The targets achieved to date and input from the Sustainability Committee and Audit Committee were taken into account as part of this. Employee representatives were included as members of the Audit Committee. The new targets related to own workforce are as follows:

Area	Goal
Occupational health and safety	The lost time injury rate (LTIR) per 1,000,000 working hours is ≤ 7.
Proportion of women in management positions	First level below the Managing Directors: 15 % Second level below the Managing Directors: 18 % All management positions: 15 %
Training and development	With > 32 training hours per employee per year on average, KSB is in the top quartile for training and further education.

Social indicators (on the company's employees)

All disclosures in this section are based on headcount (rather than a full-time equivalent basis).

All figures reported are based on the reporting date at the end of the year (31 December 2025).

The average number of employees for the year was used to calculate employee turnover.

S1-6: Characteristics of the company's employees

Total workforce

Gender	Number of company employees (headcount)
Female	3,108
Male	14,418
Other	0
Not disclosed	0
Total Employees	17,526

Number of employees in countries with at least 50 employees, representing at least 10 % of the total number of company employees:

Country		Number of company employees (headcount)
Germany	Total	5,510
	Female	1,023
	Male	4,487
	Other	0
	Not disclosed	0
India	Total	2,926
	Female	255
	Male	2,671
	Other	0
	Not disclosed	0

Contract type/ number of persons	Female	Male	Other	Not disclosed	Total
Permanent employees (number of employees with permanent contracts)	2,810	13,413	0	0	16,223
Temporary employees (number of employees with fixed-term contracts)	298	1,005	0	0	1,303
Non-guaranteed hours employees	0	0	0	0	0
Total	**3,108**	**14,418**	**0**	**0**	**17,526**

Total number of employees who left the company during the reporting period	1,739
Employee turnover in the reporting period	10 %

Reconciliation of the number of employees according to financial definition and CSRD definition:	
Total number of employees as defined by the IFRS	16,838
Total number of employees as defined by the CSRD	17,526

S1-7: Characteristics of non-employees of the company

Information is not provided due to the phase-in relief accorded under ESRS 1 Appendix C and Delegated Regulation (EU) 2025/1416/625.

S1-9: Diversity indicators

Gender distribution at top management level (first level below Managing Directors)	Number	Percentage (%)
Male	29	88 %
Female	4	12 %
Other	0	0 %
Not disclosed	0	0 %

Gender distribution at top management level (second level below Managing Directors)	Number	Percentage (%)
Male	159	84 %
Female	30	16 %
Other	0	0 %
Not disclosed	0	0 %

Distribution of employees by age group	
Under 30	2,837
30–50	9,770
Above 50	4,919
No age disclosed	0

S1-13: Training and professional development indicators

Percentage of employees who participated in regular performance and career evaluations	%
Male	71 %
Female	75 %
Other	0 %
Not disclosed	0 %

Average number of training hours per employee	Quantity
Male	26.07
Female	26.20
Other	0
Not disclosed	0
Average number of training hours per employee	26.09

S1-14: Health and safety indicators

	The percentage of people in KSB's own workforce who are covered by the company's health and safety management system based on legal requirements and / or recognised standards or guidelines
Company employees	100 %
	The number of fatalities as a result of work-related injuries and work-related ill health
Own workforce (number)	0
	The number and rate of recordable work-related accidents
Company employees (number)	306
Company employees (number of accidents per 1,000,000 hours of work)	9.91
	Number of cases of recordable work-related ill health
Company employees	According to ESRS 1 Appendix C, disclosures are not required on this subject in the first year of reporting.
	Number of days lost to work-related injuries and fatalities from work-related accidents, work-related ill health and fatalities from ill health
Company employees (days)	According to ESRS 1 Appendix C, disclosures are not required on this subject in the first year of reporting.

Reporting on external workers was omitted in accordance with ESRS 1 Appendix C.

S1-16: Remuneration indicators (pay gap and total remuneration)

	Gender pay gap
	–4 %
	The annual total remuneration ratio of the highest paid individual to the median annual total remuneration for all employees (excluding the highest-paid individual)
Remuneration ratio	20 : 1

The gender pay gap figure presented here is not comparable to the information disclosed for the previous year as the calculation methodology was changed. Further information is provided on page 174.

S1-17: Incidents, complaints and severe human rights impacts

Human rights-related complaints	Number
Total reported cases of discrimination, including harassment, during the reporting period	4
Number of complaints filed through channels for people in the company's own workforce to raise concerns (including grievance mechanisms)	0
Number of complaints (discrimination, including harassment) filed to the National Contact Points for OECD Multinational Enterprises	0

Human rights-related complaints	Amount (€)
Total amount of fines, penalties and compensation for damages as a result of the incidents and complaints	0

Serious human rights-related incidents identified	Number
Number of serious human rights-related incidents related to own workforce during the reporting period	0
Number of violations of the UN Guiding Principles on Business and Human Rights, the ILO Declaration on Fundamental Principles and Rights at Work, or the OECD Guidelines for Multinational Enterprises.	0

Serious human rights-related incidents identified	Amount (€)
Total amount of fines, penalties and compensation for damages as a result of the incidents	0

In the reporting year, there were no fines, penalties, sanctions or compensation imposed on KSB related to discrimination, harassment or serious human rights violations. There is therefore no need for reconciliation to the annual financial statements.

Methods and assumptions as well as explanations of KPIs in relation to the company's own workforce (ESRS S1)

General methodology

Prior to data collection:
Discussions were held with regional and local HR managers to explain the ESRS requirements.

Data collection stage:
Q&A sessions were organised to clarify questions about the KPIs and how to interpret them.

Data validation:
To ensure accuracy and consistency, validation discussions were held at the end of the reporting year with representatives from all regions and countries to validate the data and clarify any uncertainties.

Target-related assumptions (S1-5)

Days lost per employee (per year) due to work-related accidents (lost time accident rate – LTAR) and recordable work-related accidents

All work-related accidents that result in at least one day lost are recordable. This includes accidents that occur during regular working hours and those that occur in the course of work-related activities outside of regular working hours. It does not include accidents occurring on the journey to or from work, regardless of the applicable national reporting requirements.

Days lost per employee (per year) due to work-related accidents:
When calculating days lost per employee, the company divides the respective number of recorded days lost due to work-related accidents by the total number of employees. The number of days lost is counted such that the first full day and last day of absence is included. The calculation is based on calendar days.

The individual companies of the KSB Group continuously collect data on days lost due to work-related accidents. Once a year, Group Head Office runs a full data collection cycle by sending a standardised electronic query to the companies. The data returned is then combined and evaluated centrally.

Group Head Office calculates the days lost per employee based on the collected data. This indicator reflects the occupational health and safety situation across the entire KSB Group.

Number of training hours per employee

When determining the number of training hours per employee, the total working hours spent on training is calculated in relation to the total number of employees (headcount).

Hours spent on training on the company's own learning platform (youLEARN@KSB) and the external IT security learning platform are recorded automatically.

Training activities that are not documented on the above digital learning platforms are recorded centrally and evaluated by Global HR, which submits manual queries to the Group companies.

Proportion of women in management positions

To determine the proportion of women in management positions, KSB calculates the percentage of women in top management positions one and two levels below the Managing Directors of the KSB Group. This is based on the individual's hierarchical position in the Group organisational chart regardless of legal entity (company).

Assumptions on characteristics of the company's employees (S1-6)

Total number of employees

The number of employees refers to all employees who have an employment contract with a company included in the scope of consolidation.

The total number includes:

- All salaried employees with a permanent employment contract
- All salaried employees with a fixed-term employment contract
- Temporary workers
- Employees in the working phase of partial retirement
- Employees on long-term sick leave
- Employees on maternity leave
- Apprentices/trainees
- Working students

The total number does not include:

- Temporary agency workers (persons with an employment contract with a third-party company)
- Employees on parental leave
- Employees in military service
- Employees in the release phase of partial retirement
- Employees with an inactive employment contract
- Employees on care leave
- Employees in temporary retirement
- Employees subject to a social plan
- Partially retired persons in the release phase

All disclosures concern the headcount on the balance sheet date of the consolidated financial statements.

Methodology

The number of employees is extracted from the Workday Human Capital Management system and includes both permanent and temporary employees as well as employees without a fixed number of working hours. The data is validated by local HR managers, who are responsible for the Hire-to-Retire process in Workday. The figures reflect the headcount data at the end of the reporting period. Employee turnover rates are calculated on the basis of the average number of employees in the reporting period. To ensure consistency, the employee data is compared with financial controlling data.

Employee data in Workday is recorded by the local HR departments. Gender data is self-disclosed by the employees. Undisclosed entries are categorised separately.

Number of employees leaving the company / employee turnover

The number of employees leaving the company includes all resignations and dismissals, expired fixed-term contracts, termination agreements, retirements (including employees transitioning to the release phase of partial retirement) and deaths in the reporting year.

The employee turnover rate is calculated by dividing the average number of employees (headcount) with the number of leavers in the reporting year.

An employee turnover rate of 10 % can be attributed to factors such as project-related work, the skills shortage and the impact of automation. From the company's perspective, this employee turnover rate is manageable and allows for a renewal of the workforce. However, tailored retention strategies are required, including competitive remuneration and employee development programmes, to address challenges such as talent mobility, an ageing workforce and changing skill requirements.

Reconciliation of the number of employees according to financial definition and CSRD definition

The number of employees presented for social key performance indicators (KPIs) in this sustainability report may differ from the figures presented in the KSB Group Financial Report.

This difference arises from the fact that in this sustainability report, trainees and apprentices are counted in the number of employees.

While these people are counted in the context of social reporting to reflect the total number of employees, they are not counted in the number of employees in the financial report. Another factor is the additional inclusion of companies that are not consolidated due to immateriality.

The two documents may therefore differ in the total number of employees reported given the different purposes and methods of the two reports.

Diversity indicators (S1-9)

Methods and assumptions

Data on the gender distribution at top management level and the age distribution of the total workforce is extracted from Workday and manually validated by the appropriate department. Top management positions are identified based on the internal organisational hierarchy. In accordance with the disclosure requirements, age data is broken down into the categories Under 30, 30 to 50 and Over 50.

Employee data is recorded by the responsible HR departments. Gender data can be input and amended by the employees themselves. Undisclosed entries are categorised separately. Top management is classified according to the company's internal definition of senior executives. The age distribution is based on the age of employees at the end of the reporting period.

Training and professional development indicators (S1-13)

Methods and assumptions

Data on training hours is transferred from different systems and combined in Workday. The source data is imported into Workday from the company's own global learning platform, the IT security training portal for digital training activities, and the local databases for recording local training activities at the companies. The combined data was used to calculate the average training hours per employee by gender. Participation in performance and career development meetings was also determined using Workday and presented as a percentage of the number of employees, broken down by gender.

Health and safety indicators (S1-14)

Methods and assumptions

The health and safety data was collected through a structured questionnaire distributed to local health, safety & environment (HSE) representatives at all locations. The questionnaire recorded coverage of the health and safety management system and the number of work-related injuries, illnesses, deaths and working days lost due to incidents. The data was categorised according to own employees and non-employees (including temporary workers) working at KSB company locations.

For the collection of data within the framework of ESRS S1-14, a work-related accident is classed as 'recordable' if it:

- Results in at least one working day lost or
- Does not result in at least one working day lost, but must be reported to local authorities

Accidents must be recorded if they result in any of the following:

- Death, incapacity to work, reduced ability to work or transfer to another activity, medical treatment beyond first aid or a loss of consciousness
- A significant injury or illness diagnosed by a doctor or other practitioner.

This definition is based on internationally recognised standards, in particular:

- The United States OSHA Standard 29 C.F.R. Section 1904.7
- The recommendations of the International Labour Organisation (ILO) on the recording of work-related injuries
- The requirements of ISO 45001, which requires the systematic documentation and assessment of all work-related accidents resulting in injury

It does not include accidents occurring on the journey to or from work, regardless of the applicable national reporting requirements. The aim of this approach is to enable standardised, prevention-oriented and internationally comparable recording of work-related accidents across all companies – irrespective of national legal thresholds.

The reported data on injuries, illnesses and deaths complies with local legal reporting requirements. Workers who work at KSB sites, but are not part of KSB's own workforce, are included in the determination of deaths.

Remuneration indicators (S1-16)

Methods and assumptions

Due to improved quality of the underlying data, the remuneration indicators were calculated differently to the previous year.

The gender pay gap and annual total remuneration ratio indicators were calculated on the basis of the total gross salary.

The gross salary includes all fixed and variable monetary salary components, cash compensation (e.g. rent allowances, transport allowances), bonuses and special payments as well as the in-kind monetary value for company car use. All other benefits in kind are excluded. An internal analysis found that the inclusion of other benefits in kind has no significant influence on the indicators to be determined.

To ensure accuracy, the gross hourly wage was calculated based on actual hours worked, excluding holidays, public holidays and other absences.

The data is collected manually by local HR managers in all relevant countries, with each HR manager extracting the relevant information from the local payroll systems in compliance with the applicable data privacy laws.

The ratio of the annual total remuneration is calculated by comparing the total gross annual salary of the highest paid person with the median gross salary of all workers (excluding the highest paid person).

The remuneration of the Managing Directors of KSB Management SE is not included in the calculation of the remuneration indicators because the general partner, KSB Management SE, is not consolidated and does not disclose individual remuneration.

Salary data was converted from local currency. Purchasing power parities were not taken into account.

The gender pay gap is calculated by comparing the average remuneration of all male and female workers, using the methodology set out in the ESRS. However, significant differences in pay levels between individual countries and varying gender distributions in the respective Group companies lead to statistical distortions, which limit the validity of this indicator.

The resulting gender pay gap was –4 %.

To provide an indicator that more accurately reflects the situation across the Group, a Group-wide employee-weighted average was, as in the previous year, calculated on the basis of the gender pay gaps at the individual companies. The employee-weighted average calculated using this methodology resulted in a gender pay gap of 10 %.

Incidents, complaints and severe human rights impacts (S1-17)

Methods and assumptions

Data on work-related incidents, complaints and human rights violations was collected by the Global Compliance Department and the Ombudsperson's Office and validated by the Human Rights Officer. This included reports of discrimination and harassment received through internal grievance mechanisms and external channels. The total number of incidents, complaints and related fines and compensation were summarised for disclosure.

Workers in the Value Chain

KSB relies on close cooperation with its suppliers.



S2: Workers in the value chain:
Impacts, risks and opportunities

	Status		Position within the value chain			Impacts		Risks and opportunities		
	Potential	Actual	Upstream	Own operations	Downstream	Positive	Negative	Risk	Opportunity	Time horizon
IRO 10: Working conditions, equal treatment, human rights	x		x				x			Short-term

ESRS S2 Workers in the Value Chain

A detailed description of the material impacts related to workers in the value chain is provided in the General Information – Strategy section.

Impacts, risks and opportunities and their interaction with strategy and business model (ESRS 2 SBM-3 x ESRS S2)

IRO 10: Due to the company's activities in the field of mechanical engineering, there is an increased risk of negative human rights impacts in the upstream supply chain, especially in mines where the raw materials for KSB products (e.g. iron, gold, copper and minerals) are extracted. In the double materiality assessment (DMA), KSB did identify potential negative impacts such as forced labour, child labour, unsafe working conditions, as well as potential negative impacts related to inequality of opportunity and other labour-related rights in the mines associated with its business activities. These potential negative impacts arise from the need to source raw materials from regions where human rights standards may not be observed consistently.

The human rights aspects and the material impacts influence KSB's procurement strategy.

These issues are taken into account through the use of questionnaires, for example, when selecting new suppliers. For existing suppliers, high-priority queries are submitted to the main suppliers over the supplier screening platform.

KSB has thus far not considered adjusting its business model on account of these findings.

With regard to the potential negative impact on raw material extraction workers and all workers in the value chain, no material opportunities or risks have been identified for KSB's business model that would require an adjustment of the strategy or business model.

For workers of KSB suppliers who work at KSB sites but are not part of KSB's own workforce, the company has not identified any current or potential material negative impacts that differ from those on its own workforce.

KSB has not identified any material negative current or potential impacts related to workers in the downstream value chain (in logistics or sales, for example).

KSB has not identified any current or potential material negative impacts for workers working in joint ventures and has no direct involvement with any special purpose entities.

Migrant mine workers are a group of workers in the upstream supply chain at particular risk of vulnerability.

Geographically speaking, KSB has seen evidence of potential isolated human rights violations in Asia, but no indication of a systemic problem.

KSB has not identified any widespread or systemic material negative impacts in contexts where it has business relationships. However, there may be potential negative impacts related to isolated incidents or specific business relationships.

No individual incidents were reported in the reporting year.

No material positive impacts were identified.

Based on the double materiality assessment (DMA), KSB has developed an understanding of how workers in the upstream and downstream supply chain with particular characteristics, those working in particular contexts, or those undertaking particular activities may be at greater risk of harm.

S2-1: Policies related to value chain workers

KSB's double materiality assessment identified a potential impact related to possible human rights violations in the upstream value chain (IRO 10). For this reason, special importance was attached to engagement with workers in the upstream value chain during preparation of the listed policies.

KSB is committed to complying with the UN's International Bill of Human Rights, the core labour standards of the International Labour Organisation (ILO), the OECD Guidelines for Multinational Enterprises and the UN Global Compact.

This is documented in KSB's Human Rights Policy Statement and is also disclosed on the KSB web site.

KSB has appointed a Human Rights Officer to monitor compliance with these principles.

They are the first point of contact for all human rights-related concerns from the authorities, politics and society and play an important role in overseeing respect for the human rights, including labour rights, of workers.

Directive: Human Rights Policy Statement
Key contents, general objectives and relation to material impacts, risks and opportunities: KSB is committed to complying with codified human rights and places a particular focus on the following aspects involving potential risks: Occupational health and safety Work environment Remuneration Company safety and security Impact of our products Anti-corruption Child labour, forced labour and human trafficking Freedom of association and collective bargaining Business partners Communities and indigenous peoples
Process for monitoring: Monitoring and ongoing due diligence Remedy and complaint mechanisms (where required)
Scope of application and value chain (suppliers): Own operations and all business partners
Responsible organisational level: All management levels and all employees are responsible for implementing this policy, starting with the company's Management (Managing Directors) and Human Rights Officer.
Reference to third-party standards or initiatives: Ten Principles of the UN Global Compact International Bill of Human Rights International Labour Organisation Declaration on Fundamental Principles and Rights at Work OECD Guidelines for Multinational Enterprises
Engagement with affected stakeholders: Employees, customers, business partners, shareholders, municipalities
Availability of the policy to stakeholders: Published on the KSB web site

The processes and responsibilities associated with protecting human rights are set out in KSB's process documentation "Human rights due diligence within the supply chains and own business operations".

Process documentation "Human rights due diligence within the supply chains and own business operations"
Key contents, general objectives and relation to material impacts, risks and opportunities: The goal is to ensure that KSB only does business with partners who observe the Human Rights Statement and all applicable legal rules and regulations. The process documentation lists the topics to be covered and defines clear responsibilities.
Process for monitoring: This is currently monitored through: • Annual risk analyses regarding human rights violations in the supply chain • Supplier evaluations with a focus on observance of human rights standards and internationally recognised labour standards.
Scope of application and value chain (direct suppliers): Applicable to the KSB Group's own operations, including all companies over which KSB has operational control and all direct and indirect business partners. Although the formal Human Rights Due Diligence Report has not yet been finalised, KSB continues to develop and implement due diligence actions. These actions include the ongoing monitoring and assessment of risks related to all workers in the value chain, including groups at particular risk of vulnerability in raw material extraction.
Responsible organisational level: The Human Rights Officer of the KSB Group is responsible for implementing Human Rights Due Diligence with the support of the following individuals and departments: Head of Procurement, who oversees the overarching procurement processes and supplier selection KSB Compliance Officer with oversight by the Ombudsperson (whistleblower channel) Category Manager and local buyers, who are responsible for overseeing compliance with human rights standards among the suppliers and in the categories Site managers, who are responsible for monitoring activities at a local level Sustainability Management, which is responsible for monitoring and improving compliance with sustainability and human rights standards Risk Management, which is responsible for analysing and evaluating potential risks related to human rights violations
Reference to third-party standards or initiatives: Ten Principles of the UN Global Compact
Engagement with affected stakeholders: Reference is made to government regulations and the requirements of non-governmental organisations (NGOs).
Availability of the policy to stakeholders: It is an internal process description.

All KSB suppliers are expressly obliged to comply with the KSB Code of Conduct, which sets out specific requirements concerning legal compliance, human rights and non-discrimination, labour, health and safety.

Directive: Code of Conduct
Key contents, general objectives and relation to material impacts, risks and opportunities: The Code of Conduct describes the defining principles of law and business policy on which KSB bases not only relations with its customers, suppliers and business partners but also its internal collaboration. The Code of Conduct covers the following topics: Employee interaction, acting as a role model, communication and transparency, management of business, business relationships, conflicts of interest, inside information, confidentiality, corporate social responsibility, competition and cartel / anti-trust law, foreign trade and export control, tax law, the environment, energy and climate change mitigation, dealing with conflict minerals, occupational health and safety, remuneration and working hours, respect for human rights, product safety and quality, data privacy and protection, IT security
Process for monitoring: Monitoring is the responsibility of the respective manager and the Compliance Organisation headed by the Group Compliance Officer. In this role, the Group Compliance Officer reports directly to the CEO but is not subject to instructions.
Scope of application and value chain: The Code of Conduct is compulsory for all employees at all levels. It covers all organisational units and companies where KSB SE & Co. KGaA directly or indirectly holds more than 50 % of the shares. If the interest held is lower, KSB encourages the relevant company to adhere to similar standards. Suppliers are required to comply with the principles of this Code of Conduct or an equivalent code.
Responsible organisational level: Human Rights Officer and Group Compliance Officer, reporting directly to Management (CEO) but not subject to instructions Each KSB employee is individually responsible for observing the Code of Conduct in their area. Each line manager is responsible for ensuring that the content of the Code of Conduct is known to and observed by their respective employees. Supported by the Group Compliance Officer
Reference to third-party standards or initiatives: UN Guiding Principles, the Ten Principles of the UN Global Compact, ILO Standards, OECD Guidelines
Engagement with affected stakeholders: Not explicitly mentioned
Availability of the policy to stakeholders: Available on the Internet (KSB web site)

Policies related to forced labour and child labour

In the Human Rights Policy Statement, which can be viewed on the Group's web site, KSB states that it does not tolerate any form of forced labour or child labour, including slavery and human trafficking. This also applies to workers in the value chain.

The Code of Conduct, which is communicated to every potential supplier during the qualification process, includes but is not limited to the following topics:

- Occupational health and safety
- Remuneration and working hours
- Respect for human rights
- Prohibition of child labour
- Prohibition of forced labour
- Freedom of association and collective bargaining

As part of the qualification process, the potential supplier is required to confirm that it meets all the applicable standards in respect of:

- Prohibition of child labour
- Prohibition of human trafficking
- Prohibition of forced labour
- Prohibition of unequal treatment
- Occupational health and safety
- Freedom of association
- Decent pay
- Protection of natural resources

The KSB directives listed ensure the company's observance of the United Nations' Universal Declaration of Human Rights, the European Convention on Human Rights, the core labour standards of the International Labour Organisation (ILO), the OECD Guidelines for Multinational Enterprises and the UN Global Compact.	☒ YES	☐ NO
During the reporting period, there were no reported violations of the UN Guiding Principles on Business and Human Rights, the ILO Declaration on Fundamental Principles and Rights at Work, or the OECD Guidelines for Multinational Enterprises.	☒ YES	☐ NO

Actions

Supplier qualification for new suppliers

As part of the qualification process for new suppliers, suppliers are asked whether they follow a code of ethics comparable to the KSB Code of Conduct or, alternatively, whether they comply with the KSB Code of Conduct.

KSB requires its suppliers to follow these or equivalent international standards, such as the UN Global Compact or core labour standards of the ILO. In addition, contractors are expected to share KSB's commitment to meeting the social, ethical and ecological standards of society.

This is also communicated during the supplier qualification process and is verified with every potential supplier before a business relationship is entered into.

Supplier management plays an important role in protecting human rights and human rights due diligence.

Training for employees with supplier contact

KSB provides human rights training to all Procurement and Integrated Management employees at the company to ensure that they are alert to human rights violations when liaising with suppliers.

Code of conduct for business partners

All business partners are required to observe KSB's sustainability principles and agree to comply with the KSB Code of Conduct or their own comparable regulations.

Due diligence

With the application and implementation of the *Lieferkettensorgfaltspflichtengesetz* (LkSG) [German Supply Chain Due Diligence Act] since 1 January 2023, respect for the human rights, including labour rights, of workers in the value chain is also subject to human rights due diligence under the LkSG, and thus included, among other things, in LkSG risk management.

Risk analyses

In the reporting year, KSB conducted two risk analyses of its own operations and its suppliers in accordance with the requirements of the LkSG. The first step was an abstract risk analysis and the second a concrete risk analysis. The potential risks identified for direct suppliers and KSB business areas were then examined in more detail. This did not identify any specific material human rights-related risks within the meaning of the LkSG for workers in KSB's own operations and at KSB suppliers. If value chain workers feel that their rights have been impacted, the LkSG complaints procedure, which can be accessed via the KSB web site, is one of the channels available for submitting reports.

S2-2: Processes for engaging with value chain workers about impacts

Workers in the value chain or their representatives can use the KSB whistleblower system described below to report actual or potential impacts. This includes legitimate representatives and credible proxies.

Around 191 employees from Procurement and Integrated Management received human rights awareness training. For a direct insight into working conditions on site, procurement employees visited the production facilities

of KSB's main suppliers. KSB takes into account relevant information identified during these visits, as described in Section S2-4. Before entering into a business relationship with a new supplier, KSB engages with value chain workers indirectly by asking the supplier to complete a survey on human rights aspects. Completing and returning the questionnaire is mandatory for admission as a supplier. Questions about human rights are an integral part of the supplier qualification process.

Value chain workers are also taken into account in the risk analyses and accompanying actions.

Procurement is centralised within the Group. The function and the most senior role at KSB that has operational responsibility for ensuring this engagement happens, and that the results inform the company's approach is the Head of Procurement.

S2-3: Processes to remediate negative impacts and channels for value chain workers to raise concerns

A system for implementing remedial actions was introduced as part of the activities associated with the *Lieferkettensorgfaltspflichtengesetz* (LkSG) [German Supply Chain Due Diligence Act]. This is described in Section S2-4.

Information about the LkSG-compliant process is provided on the KSB web site. Workers in the value chain who feel their rights have been impacted are also able to use this channel to report any concerns. The whistleblower protection system is described in detail in Section G1: Information on Corporate Governance.

After an initial evaluation by the complaints office (Ombudsperson), all complaints will be forwarded to selected employees.

Depending on the nature of the complaint, different KSB departments, such as the Legal department, HR, Plant Security or Corporate Audit, may be involved in the investigation (investigation team).

Once an investigation is concluded, the reporting person will be notified of the outcome, unless the report was submitted anonymously. If KSB's response is unsatisfactory, contact can be made again at any time.

KSB has set up specific channels through which value chain workers can raise their concerns or needs with the company directly and have these addressed. Value chain workers can also use the whistleblower system to report grievances anonymously. The availability of this channel ensures that whistleblowers do not have to fear negative consequences.

The whistleblower system is organised by an independent, external law firm, which acts as an Ombudsperson and is also available to employees in the value chain. For a detailed description of the role and function of the Ombudsperson, see Section G1: Information on Corporate Governance.

In addition, individuals or groups, including stakeholders such as trade unions or NGOs, can address their concerns directly to the KSB Group's Human Rights Officer or by completing a contact form on the KSB web site.

To support value chain workers in accessing these channels in their places of work, suppliers are informed of the reporting channels through the Code of Conduct, which they are provided with at the beginning of each business relationship. This Code of Conduct contains the contact details of the Ombudsperson and explains how to make contact.

This information is also publicly accessible on the KSB web site.

The processes described are intended to facilitate the direct forwarding of all information received by KSB to the departments responsible for further investigation.

Stakeholder engagement is possible if the persons affected disclose their contact details and wish to be contacted.

Suppliers are informed directly about the whistleblower system (Ombudsperson), the relevant process and contact options while the public is informed via the KSB web site. The Ombudsperson will pass on the information in anonymised form by request and is not authorised to disclose the identity of individuals. KSB does not verify that all workers in the value chain are aware of the communication channel.

S2-4: Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions

Training for employee with supplier contact

Throughout the Group, employees with supplier contact from Procurement and Integrated Management are given human rights training to ensure that they are alert to and can actively address human rights issues when liaising with suppliers.

Supplier Qualification

Ensuring compliance with human rights standards is part of the qualification process for every new supplier. These actions within the scope of the due diligence process are not limited in time or scheduled.

Expanding the application of external sustainability platforms

An external sustainability platform (IntegrityNext) is used to assess the ESG impacts of suppliers.

Action	Implementation of a set of actions related to negative impacts on the working conditions, equal treatment and human rights of value chain workers
Expected results	• A better understanding of ESG matters among Procurement employees • A better understanding of potential negative impacts and dependencies • Greater cooperation with suppliers on ESG matters. • Completion of a mandatory ESG assessment by all suppliers with potential negative impacts • All qualified suppliers are assessed based on a questionnaire.
Contribution to the achievement of the targets	The number of suppliers with potential negative impacts assessed as well as the training of employees from Procurement and Integrated Management make a direct contribution to achievement of the targets listed in S2-5.
Scope	All employees with material supplier contact from Procurement departments throughout the Group All suppliers worldwide
Time horizons	The action to be taken will be set out in more detail and implemented by 2030.
Key actions to remedy the situation	• Training of employees in Procurement departments throughout the Group • Change to the supplier qualification process for new suppliers • Screening of all suppliers using IntegrityNext
Progress	By the end of 2025, 191 employees from Procurement and Integrated Management had completed the training. All suppliers newly qualified in 2025 were assessed based on a questionnaire and found to be compliant. A number of additional existing suppliers were also assessed during the reporting year for specific impacts and risks.

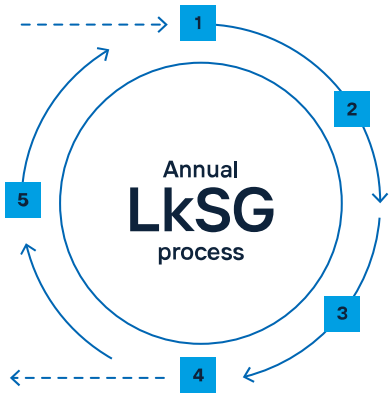
The effectiveness of these actions is measured on the basis of the targets listed in Section S2-5.

Where incidents from the value chain are reported which do not relate to our direct suppliers, KSB conducts individual investigations, defines necessary actions, and monitors their implementation.

In 23 Group companies to date, KSB uses the due diligence process in accordance with the *Lieferkettensorgfaltspflichtengesetz* (LkSG) [German Supply Chain Due Diligence Act] to assess the necessity of actions involving existing suppliers. These companies comprise the material operational units with relevant purchasing volumes and an increased risk potential. The process applies to direct suppliers (Tier 1). It is currently being implemented at the remaining Group companies.

LkSG

Annual target process: German Supply Chain Due Diligence Act



1 Abstract risk analysis

- Upload all centrally listed and active suppliers to the IntegrityNext platform
- Conduct the abstract risk analysis based on country and sector risk
- Classify suppliers into
  - Red: Suppliers with high risk
  - Yellow: Suppliers with medium risk
  - Green: Suppliers with low risk

2 Concrete risk analysis

- Ask suppliers to answer standardised ESG questionnaires
- Conduct validation process for assessments made

3 Impact analysis

- Classify the risk for the supplier
- Assess influence based on sales revenue

4 Preventive and remedial measures

- Define and track measures

5 Documentation

- Create documentation based on data from IntegrityNext

If evidence emerges during the supplier qualification process or a subsequent audit that a supplier's human rights standards do not meet KSB's minimum standards, or there is concrete evidence of violations, the purchasing organisation will implement and follow up targeted actions to improve the situation.

Only if these actions fail to achieve the desired outcome will the decision be made, as a final resort, to terminate the business relationship.

The standard procedure in such a case is designed as follows:

Possible actions and procedure			
	Steps	**Action**	**Evaluation and decision**
	A	Follow-up after the 1st upfront risk assessment (e.g. to check that questions have been understood correctly)	Stay and improve
or	B	In-depth assessment (asking detailed questions, addressing issues during visits, QA audit)	
	C	Offer training (the same training that KSB buyers attend)	
	D	Look into a strategic cooperation, with other customers for example	
	E	Look into cooperation within the wider industry to create pressure for change (e.g. an industry whitelist)	
	F	Cooperation/monitoring with local NGOs	
	G	Final = substitution (no cooperation)	Cut and leave

KSB did not identify any material risks and opportunities related to value chain workers.

KSB requires its suppliers to observe the KSB Code of Conduct or their own comparable regulations as part of the supplier qualification and due diligence process in accordance with defined standards.

No specific cases of human rights violations were reported in the reporting year within the upstream or downstream value chain.

The company provides resources to manage material impacts on value chain workers. One such resource is the Human Rights Officer, who is responsible for overseeing human rights-related matters at KSB. In addition, global and regional procurement are incorporated in a matrix organisation to ensure that human rights standards and due diligence are taken into account in all procurement processes worldwide. This structure allows for the effective management of material impacts through the cross-functional coordination of expertise and responsibilities.

With regard to financial resources, there are currently licence costs associated with the use of the external supplier screening platform.

These operational expenses and investments are not significant for KSB.

S2-5: Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

In the reporting year, KSB defined targets to address material negative impacts in the supply chain. It also identified a specific number of suppliers to be assessed annually in respect of ESG-related aspects and potential risks. In addition, all new suppliers with relevance for the products sold must meet KSB's ESG criteria. Furthermore, all orders are made on the basis of the KSB Code of Conduct and all employees with material supplier contact (Procurement, Integrated Management and Managing Directors) receive training on ESG topics every three years. There was no direct involvement of workers in the value chain or their representatives in the definition or tracking of the targets.

Goal	**Assess 400 existing suppliers in respect of ESG-related aspects and potential risks**
Relationship of the target to the policy objectives	The target shown here relates directly to the process documentation "Human rights due diligence within the supply chains and own business operations" and the actions listed. However, no target is defined in the process documentation.
Set target level	For the assessment of existing suppliers, at least 400 suppliers per year are analysed and evaluated for potential ESG risks based on a questionnaire. KSB aims to conduct an iterative assessment of all suppliers, but no less than 400 assessments per year.
Scope	Involves 23 companies included in the scope of consolidation
Target achievement period (including milestones)	Annual (period 2025-2030)
Data source	Questionnaires to suppliers via the supplier platform
Stakeholder engagement	No
Change to targets and parameters	No changes
Current progress	2025: 196 suppliers
Assumption	–
Methodology	Since there are no generally accepted underlying methods or assumptions, the methodology is defined by Management.

Goal	**All employees with material supplier contact receive training on ESG topics every three years.**
Relationship of the target to the policy objectives	The target shown here relates directly to the process documentation "Human rights due diligence within the supply chains and own business operations" and the actions listed.
Set target level	100 %
Scope	Procurement Group-wide Integrated Management Group-wide Managing directors of the Group companies
Target achievement period (including milestones)	At the end of each financial year, all relevant persons should have completed training at least once in the last three years.
Data source	Company's own youLEARN@KSB learning platform
Stakeholder engagement	None
Change to targets and parameters	No changes
Current progress	As at 31 December.2025: Training completed by 191 out of 1,120 (approximately 17 %) between 2023 and 2025
Assumption	–
Methodology	Since there are no generally accepted underlying methods or assumptions, the methodology is defined by Management. Data as at 1 January of the following year.

The operational configuration of the new targets for the period 2026-2030, which will require new suppliers to meet ESG criteria and ensure that all orders are placed on the basis of the KSB Code of Conduct, is still in progress. As at the reporting date, there is no fully defined methodology for measuring achievement of the targets. In view of this, the targets currently serve as strategic targets with a qualitative focus, but not yet as operationally measurable targets in the context of a KPI-based management tool.

Information on Corporate Governance

KSB firmly believes that a strong corporate culture is a key factor behind a company's success.



G1: Business conduct:
Impacts, risks and opportunities

	Status		Position within the value chain			Impacts		Risks and opportunities		
	Potential	Actual	Upstream	Own operations	Downstream	Positive	Negative	Risk	Opportunity	Time horizon
IRO 11: Corruption and bribery	x			x			x			Short-term
IRO 12: Inadequate prevention of corruption and related training	x			x			x			Short-term
IRO 13: Corporate culture		x		x		x				Short-term

ESRS G1 Information on Corporate Governance

A detailed description of the material impacts related to corporate governance is provided in the General Information – Strategy section.

G1-1: Policies for corporate governance and corporate culture

IRO 13: Corporate culture

A strong corporate culture is key to long-term business success. KSB has clearly defined corporate values that guide the company and its employees in everything they do. To encourage employee engagement, KSB wants to help its employees identify with these values and feel a sense of affiliation with the company.

KSB has identified a positive impact related to the corporate culture.

The results of the KSB Voice employee survey, which is conducted every two years, provide an important basis for internal improvement processes and demonstrate the success of actions to sustain and further strengthen the corporate culture.

The Group-wide KSB Voice survey is conducted in cooperation with an external, specialised service provider. The survey is based on a structured data download from the central HR system (Workday). All permanent employees of KSB are entitled to participate, except for employees in the release phase of partial retirement.

The service provider uses the personnel data provided to provide individual access to the survey system and manages all technical aspects of the survey. Employees receive an e-mail invite directly from the service provider, which includes a unique link to the survey and the login information required. This process ensures the quality and integrity of the data collected and prevents duplication of participation.

The results are evaluated by the service provider and presented graphically on the service provider's digital analysis platform, aggregated by organisational unit. The evaluation is not personalised and no personal data is stored, meaning that anonymity of the respondents is guaranteed.

A management report is also created, which correlates the results of the survey with relevant benchmarks from comparable industries. This report serves as a basis for Management to make strategic decisions concerning employee retention, corporate culture and the company's attractiveness as an employer.

At KSB, employee engagement is an integral part of the corporate culture. The KSB Voice survey should therefore not be viewed in isolation, but rather as part of a holistic approach to cultural and organisational growth.

Outside of the survey, KSB places an unwavering focus on improving working conditions, employee engagement and the leadership culture at the different locations, aligned to the local situation and culture.

The results of the survey are discussed at an appropriate level with the national companies and management of the individual companies. Based on the findings, Management works with the respective units to identify fields of action, set priorities and initiate improvement measures. The insights gained are then incorporated into KSB's strategic priorities.

The most recent survey took place between 18 September and 8 October 2024. The next employee survey is planned for 2026.

The questions focused on the following topics:

Engagement	Cooperation and teamwork	Conduct and attitude of managers	Sustainability / CSR
Importance of work	Recognition	Employer brand	Employee well-being / care
Innovation	Management	People development	Diversity and integration
Survey follow-up			

These topics all contribute towards a strong and positive corporate culture. A high level of employee engagement creates a strong affiliation with a company, motivating people to assume responsibility and actively contribute to the company's success. At the same time, good cooperation and teamwork creates a supportive environment where knowledge is shared and innovation encouraged. The conduct of managers plays a central role in this context: Through transparency, respect and dependability, they establish a climate of trust and psychological safety.

An awareness of sustainability is also positive for a company's culture, as it gives meaning and demonstrates that the company takes its responsibilities to society and the environment seriously. Recognition gives employees a sense of value and boosts their motivation. Employee well-being is closely linked to this, because a culture that supports a healthy work-life balance strengthens employee satisfaction, performance and retention over the long term.

Management that acts with a clear and compelling vision provides direction and stability. People development is a sign that individual growth and potential development are taken seriously for the continued success of the organisation. Last but not least, diversity and integration enrich the corporate culture with different perspectives, increase creativity, and foster an inclusive environment where all employees are appreciated, regardless of background or identity.

In combination, these elements are indicative of a culture of trust and growth with a shared sense of purpose and belonging.

The response rate for the workforce involved was 91 %.

The engagement score is calculated based on a set of questions from the three indices: employee retention (Stay), communication about the company (Say), and commitment to the company (Strive). A standardised core question is used from each of these indices. The engagement score is calculated from the answers to these three questions.

The calculation is performed using the recognised statistical method of relative weight analysis (RWA 3). The three engagement-relevant questions are weighted differently to adequately reflect their respective influence on the overall engagement of employees. The weighting is based on a validated methodology of the external service provider.

For consistency and comparability and to allow for time series analyses, both the selected questions and their weighting remain unchanged across all survey cycles. This permits a reliable measurement of engagement over time and a comparison with external benchmarks and industry values.

The engagement score for the 2024 survey across the workforce was 77 % (a rise of 12 percentage points compared with the previous survey in 2022). The increase of the indices employee retention (Stay), communication about the company (Say) and commitment to the company (Strive) indicates an overall positive development of the corporate culture, especially in terms of identification, engagement and constructive cooperation within the organisation.

One question also asked about the effectiveness of action taken. According to the results from the last employee survey, 85 % of employees agreed that the actions based on the results of the previous survey contributed towards the company's further development.

In the reporting year KSB defined a new target for the period 2025 to 2030. The aim of this target is to continue driving the long-term development of the corporate culture and employee engagement.

Goal	**Achieve a high engagement score**
Relationship of the target to the policy objectives	There is no specific policy.
Set target level	Engagement score >75 %
Scope	Group-wide
Base year and base value	–
Target achievement period (including milestones)	2026, 2028, 2030
Data source	External service provider survey (every two years)
Stakeholder engagement	No
Change to targets and parameters	No changes
Current progress	77 % (last survey in 2024)
Assumption	–
Methodology	Defined by Management

IRO 11: Corruption and bribery and
IRO 12: Inadequate prevention of corruption and related training

In addition to high-quality products and services, professional and honest behaviour is expected in the global competitive environment, including compliance with legal regulations and ethical standards. This is particularly important to avoid damaging trust in the company and the KSB brand. The prevention of corruption and bribery is especially relevant in this regard, since not only is the company's reputation at risk, but corruption and bribery can also have negative external effects (e.g. the misallocation of resources).

Improper behaviour by even one person can damage the company's reputation for a long time. A shared, Group-wide understanding of professional and ethical business conduct is therefore essential. These rules and guidelines are set out in the KSB Code of Conduct.

The Code of Conduct offers guidance and sets out the standards of conduct KSB espouses.

Managers and employees at all levels of the KSB Group are expected to adhere to the core KSB values of trust, honesty, responsibility, professionalism and appreciation. These values underpin all official guidelines in place at the company, including the KSB Code of Conduct

The topics addressed in the Code of Conduct, such as anti-corruption, cartel / anti-trust law, international trade and export control, tax law, environmental protection, occupational health and safety, quality assurance, data privacy and protection and IT security, for example, are defined in more detail in directives issued by the respective departments, which provide additional rules of conduct for employees.

Directive: Code of Conduct
Key contents, general objectives and relation to material impacts, risks and opportunities: The Code of Conduct describes the defining principles of law and business policy on which KSB bases not only relations with its customers, suppliers and business partners but also its internal collaboration. The Code of Conduct covers the following topics: Employee interaction, acting as a role model, communication and transparency, management of business, business relationships, conflicts of interest, inside information, confidentiality, corporate social responsibility, competition and cartel / anti-trust law, foreign trade and export control, tax law, the environment, energy and climate change mitigation, dealing with conflict minerals, occupational health and safety, remuneration and working hours, respect for human rights, product safety and quality, data privacy and protection, IT security
Process for monitoring: Monitoring is the responsibility of the respective manager and the Compliance Organisation headed by the Group Compliance Officer. In this role, the Group Compliance Officer reports directly to the CEO but is not subject to instructions.
Scope of application and value chain: The Code of Conduct is compulsory for all employees at all levels. It covers all organisational units and companies where KSB SE & Co. KGaA directly or indirectly holds more than 50 % of the shares. If the interest held is lower, KSB encourages the relevant companies to adhere to similar standards. Suppliers are required to comply with the principles of this Code of Conduct or an equivalent code.
Responsible organisational level: Human Rights Officer and Group Compliance Officer, reporting directly to Management (CEO) but not subject to instructions Each KSB employee is individually responsible for observing the Code of Conduct in their area. Each line manager is responsible for ensuring that the content of the Code of Conduct is known to and observed by their respective employees. Supported by the Group Compliance Officer
Reference to third-party standards or initiatives: UN Guiding Principles, the Ten Principles of the UN Global Compact, ILO Standards, OECD Guidelines
Engagement with affected stakeholders: Not explicitly mentioned
Availability of the policy to stakeholders: Available on the Internet (KSB web site)

Compliance Management System and structure of the Compliance Organisation

KSB defines compliance as the sum of all actions taken to ensure that the day-to-day behaviour of a company, its corporate bodies and employees conforms to applicable rules and laws. The basis is the KSB Code of Conduct. This describes the defining principles of law and business policy on which KSB bases not only relations with customers, suppliers and business partners but also its internal collaboration.

The KSB Group does not tolerate any breach of compliance committed by its employees (zero-tolerance policy). The possible consequences depend on the severity of the breach and range from a simple warning up to a termination of the employment with immediate effect. Third parties may also be called in (law enforcement agencies for example).

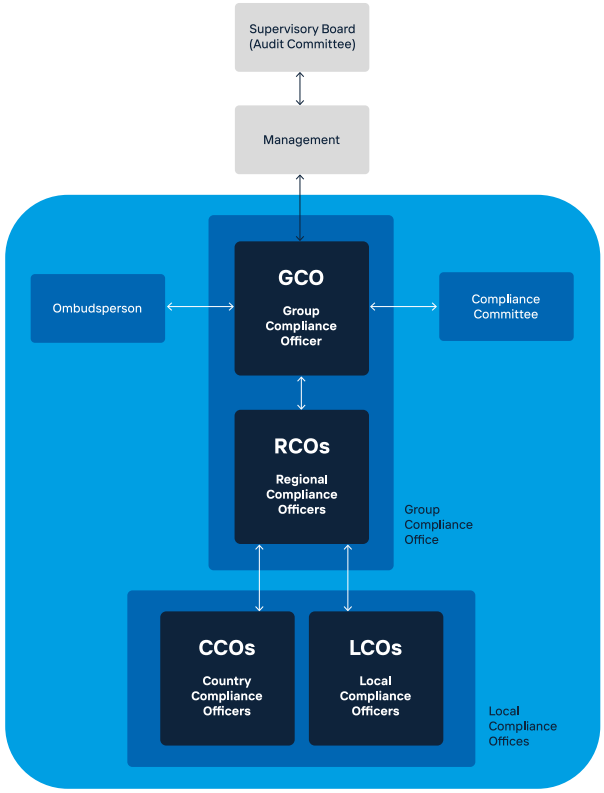
As an internationally operating Group, KSB recognises the necessity of a Compliance Management System to ensure compliance with legal provisions and internal regulations and safeguard the company's long-term economic success. Moreover, business partners increasingly require evidence of a functioning Compliance Management System.

The Compliance Management System consists of clear requirements and guidelines, including a Compliance Manual, directives on specific topics such as cartel / anti-trust law and anti-corruption, systematic training (every three years) for employees in sensitive areas, including follow-up, a defined procedure for compliance violations, including reporting, and a well-defined global Compliance Organisation that monitors adherence to these rules.

The most important information on the subject of compliance is included in a manual:

Directive: Compliance Manual
Key contents, general objectives and relation to material impacts, risks and opportunities: The Compliance Manual lists all compliance-related topics, describes the structure and working methods of the Compliance Organisation, and sets out related responsibilities. It also defines the reporting obligations and responsibilities. Other topics addressed by the manual are anti-corruption mechanisms, required corruption prevention training and principles for protecting whistleblowers.
Process for monitoring: Monitoring is the responsibility of the Compliance Organisation under the direction of the Group Compliance Officer. The manual refers to other corporate directives that also define monitoring processes for the individual compliance sub-areas. For monitoring purposes, the heads of departments responsible for delegated compliance sub-areas are asked to provide an annual status update and risk assessment. Every year, the Group Compliance Office selects several specialist departments to be subjected to an external audit.
Scope of application and value chain (suppliers): The Compliance Manual contains binding requirements for all KSB Group employees and governs dealings with business partners in the value chain.
Responsible organisational level: The CEO is responsible for compliance issues with the support of the Compliance Organisation under the direction of the Group Compliance Officer. The Group's legal department acts as the Group Compliance Office. It is headed by the GCO (Group Compliance Officer).
Reference to third-party standards or initiatives: None
Availability of the policy to stakeholders: No (available on Intranet for internal use only)

Structure of the Compliance Organisation



Every KSB employee must notify the Local Compliance Officer responsible for their company, the Group Compliance Office, the Ombudsperson, or their line manager of any breach of compliance they become aware of. Notifications may also be made anonymously.

The method of notification is left to the employee. If the LCO is not directly notified, all information is to be passed on to them.

The Group Compliance Office reviews breaches reported from across the Group in a multi-step process in accordance with the specifications of Directive (EU) 2019/1937.

Phase 1 – Validation:
All submitted information is first validated by the LCO since they are familiar with the local circumstances and processes.

The validation includes an initial analysis of the contents as well as an (initial) assessment of the information reported.

The Group Compliance Office verifies the results of the validation performed by the LCO. In the event of any deviating result, the decision on the further approach is at the discretion of the Group Compliance Office and the Internal Audits department, if necessary, by involving further internal resources (e.g. the Compliance Committee). Invalid information will not be pursued. The whistleblower, if known, must be notified. If the information is valid, the procedure is continued with Phase 2. The validation must be documented in a comprehensible manner.

Phase 2 – Intermediate procedure:
Together with Internal Audits, the information is examined in the framework of a preliminary investigation as to whether it contains sufficient concrete indications of a breach of compliance such that it is necessary to further investigate the information and/or the underlying facts and circumstances. This investigation can be made by involving all internal resources (e.g. local management, responsible LCO).

If no sufficient concrete indications for a breach of compliance are revealed, the investigations are not continued and the whistleblower is notified, if possible.

Phase 3 – Investigations conducted by Internal Audits or suitable third parties:
If there is sufficient evidence of a breach of compliance, Internal Audits or a suitable third party (e.g. auditing company) will take over the investigation in coordination with the Group Compliance Office, and by involving the Compliance Organisation, if necessary.

Does the company have policies on anti-corruption or anti-bribery consistent with the United Nations Convention against Corruption?	☒ YES	☐ NO

KSB strives to ensure that whistleblowers in the Group do not experience any disadvantages as a result of their report. For example, internal whistleblowers can always contact their Local Compliance Officer or the Group Compliance Office directly, regardless of the operational hierarchy.

The Ombudsperson is a key component of an effective Compliance Organisation.

The Ombudsperson is an external contact to whom any information on breaches of compliance can be reported. The Ombudsperson represents an additional option (besides communicating directly with the GCO, the CCO/LCO or one's line manager) for a whistleblower to report a relevant issue, especially for anonymous reports. The contact details of the Ombudsperson are listed in the Compliance Manual and the Code of Conduct.

External third parties can find the Ombudsperson contact details on the KSB web site under Compliance.

A whistleblower (e.g. employee, customer, supplier, private person) can report non-compliant conduct to the Ombudsperson. Contact can be made from any country, either in German or English, and both by telephone and in writing. The Group Compliance Office receives a written summary of the report from the Ombudsperson. If the whistleblower has requested confidentiality / anonymity, their contact data will not be disclosed to the Group Compliance Office.

The Ombudsperson will advise the Group Compliance Office of all reports received. Further classification and any necessary follow-up of the report is based on the procedure described in the Compliance Manual (from Phase 2 – Intermediate procedure).

This is also documented in the Rules of Procedure for the Grievance Procedure pursuant to Section 8 *Lieferkettensorgfaltspflichtengesetz* (LkSG) [German Supply Chain Due Diligence Act]", which is available on the KSB web site. The described process applies throughout the Group.

Does KSB have policies on the protection of whistleblowers?	☒ YES	☐ NO
Does KSB's whistleblowing policy (including Ombudsperson system) comply with Directive (EU) 2019/1937 (Whistleblower Directive)?	☒ YES	☐ NO
Does KSB have procedures to investigate business conduct incidents, including incidents of corruption and bribery, promptly, independently and objectively?	☒ YES	☐ NO

For KSB, it is important not only to encourage employee compliance, but also to ensure that the employees have sufficient knowledge to observe all applicable rules and laws.

The registration of employees working in compliance-sensitive areas and the implementation of compliance training on the topics of corruption and cartel / anti-trust law is managed by Human Resources via the KSB learning platform youLEARN@KSB. The aim of the training is to explain material compliance-related issues and increase employee awareness of compliance.

Corruption training focuses on the following topics:

- What is compliance? / What is corruption?
- Corruption in international business
- Legal basis and consequences
- What to bear in mind when contacting public officials
- Contact with service providers
- Contact

The fair competition training focuses on the following topics:

- Overview of cartel / anti-trust law
- Legal basis and consequences
- Agreements between competitors not to compete
- Agreements between suppliers and customers
- Abuse of market position
- Contact

Employees are educated on their compliance obligations.

Fictitious case studies are used for illustration purposes. The employees must successfully complete a series of test questions to receive their training completion certification.

Employees are automatically prompted to complete the training via the learning platform. The e-learning courses must be successfully completed within a specific period of time following the request. A reminder process is implemented. Employees who repeatedly decline to take a course risk a warning or notice of dismissal.

Relevant persons will be notified of any material and relevant changes in legislation on an ad-hoc basis.

Does KSB have policies for compliance training within the organisation?	☒ YES	☐ NO

KSB does not confine the selection of employees to receive training to those most at risk in respect of corruption and bribery. Rather, the KSB training programme offers compliance training to relevant employees at regular intervals (every three years).

Relevant employees are as follows:

- Members of Management and top-level managers
- All managers of all management levels with a sales or purchasing function
- All employees having regular contact with suppliers, customers or other external third parties, and (cumulatively) all such employees involved in decision-making preparations and/or who are decision-makers.

If there is any uncertainty as to whether individual employees meet the selection criteria, they must, on principle, be registered for training.

G1-3: Prevention and detection of corruption and bribery

Regular training of all relevant employees worldwide on such topics as corruption and cartel / anti-trust law helps

to maintain employee awareness of these topics. Employees are registered for training automatically via the HR systems. All training courses worldwide are offered via the central training platform and must be completed within a specific period. Only after successfully answering a series of test questions will the employees receive a training completion certificate.

Action	Anti-corruption compliance training
Expected results	All employees in compliance-sensitive functions are aware of anti-corruption practices
Contribution to the achievement of the targets	All employees in compliance-sensitive functions are informed of the most important aspects relating to corruption in e-learning courses. (Fictitious) Case studies are used for illustration purposes. At the end of the training, participants must pass a test.
Scope	All employees in compliance-sensitive functions worldwide
Time horizons	Indefinite, regular (every three years)
Key actions to remedy the situation	Detailed explanation of the subject of corruption Presentation of prohibitions and obligations Questions at the end to test course participants' knowledge
Progress	By the end of the 2025 reporting year, 6,959 employees had completed the training. By the end of 2025, therefore, 86.6 % of employees in compliance-sensitive functions had participated in the training within the specified period.

To ensure compliance with relevant legislation, including but not limited to anti-corruption and anti-bribery legislation, the Compliance Organisation ensures that all reported potential breaches are investigated, regardless of the operational hierarchy (in accordance with the processes described in Section G1-1).

Individuals and institutions within and outside the company can report suspected breaches anonymously via an independent communication channel: the Ombudsperson. The KSB Code of Conduct, Rules of Procedure for the Complaints Procedure, and the contact details of the Ombudsperson are available to external third parties on the Group web site.

Reports of suspected breaches must be dealt with in accordance with documented procedures and are overseen by monitoring authorities that are independent of the operational hierarchy.

The Group Compliance Officer (GCO) informs the Compliance Committee within a reasonable period of time about all reported breaches they consider to be important. The Compliance Committee must always be notified when the foreseeable or already incurred loss exceeds € 10,000.

Joining the Group Compliance Officer on the Compliance Committee are the heads of the following corporate functions:

- Controlling
- Legal & Compliance
- Procurement
- Internal Audits
- Finance
- Sales & Marketing
- Human Resources

The Compliance Committee decides on the basis of the significance of the breach whether and when Management is to be informed thereof. Management must always be notified when the foreseeable or already incurred loss exceeds € 50,000.

The Group Compliance Officer discusses compliance processes and matters with the Audit Committee of the Supervisory Board every six months.

The general partner, acting through its Managing Directors, and the Supervisory Board report on the company's corporate governance as part of the Corporate Governance Statement pursuant to Sections 289f (2 and 3) and 315d HGB.

Does the company have written procedures for dealing with reports of corruption and bribery?	☒ YES	☐ NO

The Compliance Organisation is responsible for raising awareness of compliance issues among employees with a compliance-sensitive function and for delivering relevant compliance training to these employees through the regular e-learning courses (which must be completed every three years), amongst other things. These courses address fundamental anti-corruption legislation-related issues, including recommendations and practical guidance for implementation (case studies and tasks).

As relevant employees, the Managing Directors are also required to attend regular training (every three years).

During the reporting period, the Group Compliance Officer kept the Supervisory Board and Administrative Board informed of compliance matters.	☒ YES	☐ NO

G1-4: Cases of corruption or bribery

In the reporting year, there were no convictions or fines for violation of anti-corruption and anti-bribery laws at KSB.

Methods and assumptions for corporate governance-related KPIs

Cases of corruption or bribery (G1-4)

The Local Compliance Office must notify the Group Compliance Office of reported cases of corruption or bribery, which are then followed up by the Group Compliance Office.

Every six months, the Group Compliance Office obtains information from the Local Compliance Officers on any compliance violations that have occurred.

Notes to the Group Sustainability Statement

Overview of disclosure requirements

ESRS	Disclosure requirement	Description	Page	Material	Disclosed in 2025?
ESRS 2 General disclosures	Disclosure requirement BP-1	General basis for preparation of the Sustainability Statement	83	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement BP-2	Disclosures in relation to specific circumstances	83	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement GOV-1	The role of the administrative, management and supervisory bodies	85	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement GOV-2	Information provided to and sustainability aspects addressed by the company's administrative, management and supervisory bodies	88	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement GOV-3	Integration of sustainability-related performance in incentive schemes	89	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement GOV-4	Statement on due diligence	90	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement GOV-5	Risk management and internal controls over sustainability reporting	91	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement SBM-1	Strategy, business model and value chain	92	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement SBM-2	Interests and views of stakeholders	99	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	103	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities	111	Yes	Yes
ESRS 2 General disclosures	Disclosure requirement IRO-2	Disclosure requirements in the ESRS covered by the company's Sustainability Statement	123	Yes	Yes
ESRS E1 Climate change	E1 – Disclosure requirement related to ESRS 2 GOV-3	Integration of sustainability-related performance in incentive schemes	89	Yes	Yes
ESRS E1 Climate change	Disclosure requirement E1-1	Transition plan for climate change mitigation	127	Yes	Yes
ESRS E1 Climate change	E1 Disclosure requirement related to ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	127	Yes	Yes
ESRS E1 Climate change	E1 Disclosure requirement related to ESRS 2 IRO-1	Description of the processes to identify and assess material climate-related impacts, risks and opportunities	117	Yes	Yes
ESRS E1 Climate change	Disclosure requirement E1-2	Policies related to climate change mitigation and adaptation	128	Yes	Yes
ESRS E1 Climate change	Disclosure requirement E1-3	Actions and resources in relation to climate change policies	129	Yes	Yes
ESRS E1 Climate change	Disclosure requirement E1-4	Targets related to climate change mitigation and adaptation	131	Yes	Yes

Overview of disclosure requirements

ESRS	Disclosure requirement	Description	Page	Material	Disclosed in 2025?
ESRS E1 Climate change	Disclosure requirement E1-5	Energy consumption and mix	136	Yes	Yes
ESRS E1 Climate change	Disclosure requirement E1-6	Gross Scope 1, 2, 3 and Total GHG emissions	137	Yes	Yes
ESRS E1 Climate change	Disclosure requirement E1-7	GHG removals and GHG mitigation projects financed through carbon credits		Yes	Not applicable as not used
ESRS E1 Climate change	Disclosure requirement E1-8	Internal carbon pricing		Yes	Not applicable as not used
ESRS E1 Climate change	Disclosure requirement E1-9	Anticipated financial effects from material physical and transition risks and potential climate-related opportunities	139	Yes	No, to be phased in
ESRS E2 Pollution	E2 – Disclosure requirement related to ESRS 2 IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities in relation to pollution	121	Yes	Yes
ESRS E2 Pollution	Disclosure requirement E2-1	Pollution-related policies	152	Yes	Yes
ESRS E2 Pollution	Disclosure requirement E2-2	Actions and resources related to pollution	152	Yes	Yes
ESRS E2 Pollution	Disclosure requirement E2-3	Targets related to pollution	152	Yes	Yes
ESRS E2 Pollution	Disclosure requirement E2-4	Air, water and soil pollution		No	Not relevant
ESRS E2 Pollution	Disclosure requirement E2-5	Substances of concern and substances of very high concern	152	Yes	Yes
ESRS E2 Pollution	Disclosure requirement E2-6	Anticipated financial effects from pollution-related impacts, risks and opportunities	153	Yes	No, to be phased in
ESRS E3 Water and marine resources	E3 Disclosure requirement related to ESRS 2 IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities in relation to water and marine resources	121	Yes	Yes
ESRS E3 Water and marine resources	Disclosure requirement E3-1	Policies related to water and marine resources	155	Yes	Yes
ESRS E3 Water and marine resources	Disclosure requirement E3-2	Actions and resources related to water and marine resources	155	Yes	Yes
ESRS E3 Water and marine resources	Disclosure requirement E3-3	Targets related to water and marine resources	155	Yes	Yes
ESRS E3 Water and marine resources	Disclosure requirement E3-4	Water consumption		No	Not relevant
ESRS E3 Water and marine resources	Disclosure requirement E3-5	Anticipated financial effects from water and marine resources-related impacts, risks and opportunities	155	Yes	No, to be phased in
ESRS E4 Biodiversity and ecosystems	Disclosure requirement E4-1	Transition plan and consideration of biodiversity and ecosystems in the strategy and business model		No	Not relevant
ESRS E4 Biodiversity and ecosystems	E4 Disclosure requirement related to ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model		No	Not relevant

Overview of disclosure requirements

ESRS	Disclosure requirement	Description	Page	Material	Disclosed in 2025?
ESRS E4 Biodiversity and ecosystems	E4 Disclosure requirement related to ESRS 2 IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities in relation to biodiversity and ecosystems	122	No	Yes
ESRS E4 Biodiversity and ecosystems	Disclosure requirement E4-2	Policies related to biodiversity and ecosystems		No	Not relevant
ESRS E4 Biodiversity and ecosystems	Disclosure requirement E4-3	Actions and resources related to biodiversity and ecosystems		No	Not relevant
ESRS E4 Biodiversity and ecosystems	Disclosure requirement E4-4	Targets related to biodiversity and ecosystems		No	Not relevant
ESRS E4 Biodiversity and ecosystems	Disclosure requirement E4-5	Impact metrics related to biodiversity and ecosystems change		No	Not relevant
ESRS E4 Biodiversity and ecosystems	Disclosure requirement E4-6	Anticipated financial effects from biodiversity and ecosystems-related impacts, risks and opportunities		No	Not relevant
ESRS E5 Resource use and circular economy	E5 Disclosure requirement related to ESRS 2 IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities in relation to resource use and circular economy	122	No	Yes
ESRS E5 Resource use and circular economy	Disclosure requirement E5-1	Policies related to resource use and circular economy		No	Not relevant
ESRS E5 Resource use and circular economy	Disclosure requirement E5-2	Actions and resources related to resource use and circular economy		No	Not relevant
ESRS E5 Resource use and circular economy	Disclosure requirement E5-3	Targets related to resource use and circular economy		No	Not relevant
ESRS E5 Resource use and circular economy	Disclosure requirement E5-4	Resource inflows		No	Not relevant
ESRS E5 Resource use and circular economy	Disclosure requirement E5-5	Resource outflows		No	Not relevant
ESRS E5 Resource use and circular economy	Disclosure requirement E5-6	Anticipated financial effects from resource use and circular economy-related impacts, risks and opportunities		No	Not relevant
ESRS S1 Own workforce	S1 Disclosure requirement related to ESRS 2 SBM-2	Interests and views of stakeholders	102	Yes	Yes
ESRS S1 Own workforce	S1 Disclosure requirement related to ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	158	Yes	Yes
ESRS S1 Own workforce	Disclosure requirement S1-1	Policies related to own workforce	158	Yes	Yes
ESRS S1 Own workforce	Disclosure requirement S1-2	Processes for engaging with own workforce and employee representatives about impacts	163	Yes	Yes
ESRS S1 Own workforce	Disclosure requirement S1-3	Processes to remediate negative impacts and channels for own workforce to raise concerns	164	Yes	Yes
ESRS S1 Own workforce	Disclosure requirement S1-4	Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions	165	Yes	Yes
ESRS S1 Own workforce	Disclosure requirement S1-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	169	Yes	Yes

Overview of disclosure requirements

ESRS	Disclosure requirement	Description	Page	Material	Disclosed in 2025?
ESRS S1 Own workforce	Disclosure requirement S1-6	Characteristics of the company's employees	170	Yes	Yes
ESRS S1 Own workforce	Disclosure requirement S1-7	Characteristics of non-employees of the company	170	Yes	No, to be phased in
ESRS S1 Own workforce	Disclosure requirement S1-8	Collective bargaining coverage and social dialogue		No	Not relevant
ESRS S1 Own workforce	Disclosure requirement S1-9	Diversity indicators	171	Yes	Yes
ESRS S1 Own workforce	Disclosure requirement S1-10	Adequate wages		No	Not relevant
ESRS S1 Own workforce	Disclosure requirement S1-11	Social protection		No	Not relevant
ESRS S1 Own workforce	Disclosure requirement S1-12	Persons with disabilities		No	Not relevant
ESRS S1 Own workforce	Disclosure requirement S1-13	Training and professional development indicators	171	Yes	Yes
ESRS S1 Own workforce	Disclosure requirement S1-14	Health and safety indicators	171	Yes	Yes
ESRS S1 Own workforce	Disclosure requirement S1-15	Work-life balance metrics		No	Not relevant
ESRS S1 Own workforce	Disclosure requirement S1-16	Remuneration indicators (pay gap and total remuneration)	172	Yes	Yes
ESRS S1 Own workforce	Disclosure requirement S1-17	Incidents, complaints and severe human rights impacts	172	Yes	Yes
ESRS S2 Workers in the value chain	S2 Disclosure requirement related to ESRS 2 SBM-2	Interests and views of stakeholders	103	Yes	Yes
ESRS S2 Workers in the value chain	S2 Disclosure requirement related to ESRS 2 SBM-3	Impacts, risks and opportunities and their interaction with strategy and business model	177	Yes	Yes
ESRS S2 Workers in the value chain	Disclosure requirement S2-1	Policies related to value chain workers	177	Yes	Yes
ESRS S2 Workers in the value chain	Disclosure requirement S2-2	Processes for engaging with value chain workers about impacts	179	Yes	Yes
ESRS S2 Workers in the value chain	Disclosure requirement S2-3	Processes to remediate negative impacts and channels for value chain workers to raise concerns	180	Yes	Yes
ESRS S2 Workers in the value chain	Disclosure requirement S2-4	Taking action on material impacts on workers in the value chain, and approaches to managing material risks and pursuing material opportunities related to workers in the value chain, and effectiveness of those actions	181	Yes	Yes
ESRS S2 Workers in the value chain	Disclosure requirement S2-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	183	Yes	Yes
ESRS S3 Affected communities	S3 Disclosure requirement related to ESRS 2 SBM-2	Interests and views of stakeholders		No	Not relevant

Overview of disclosure requirements

ESRS	Disclosure requirement	Description	Page	Material	Disclosed in 2025?
ESRS S3 Affected communities	S3 Disclosure requirement related to ESRS 2 SBM-3	Impacts, risks and opportunities and their interaction with strategy and business model		No	Not relevant
ESRS S3 Affected communities	Disclosure requirement S3-1	Policies related to affected communities		No	Not relevant
ESRS S3 Affected communities	Disclosure requirement S3-2	Processes for engaging with affected communities about impacts		No	Not relevant
ESRS S3 Affected communities	Disclosure requirement S3-3	Processes to remediate negative impacts and channels for affected communities to raise concerns		No	Not relevant
ESRS S3 Affected communities	Disclosure requirement S3-4	Taking action on material impacts on affected communities, and approaches to managing material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions		No	Not relevant
ESRS S3 Affected communities	Disclosure requirement S3-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities		No	Not relevant
ESRS S4 Consumers and end users	S4 Disclosure requirement related to ESRS 2 SBM-2	Interests and views of stakeholders		No	Not relevant
ESRS S4 Consumers and end users	S4 Disclosure requirement related to ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model		No	Not relevant
ESRS S4 Consumers and end users	Disclosure requirement S4-1	Policies related to consumers and end users		No	Not relevant
ESRS S4 Consumers and end users	Disclosure requirement S4-2	Processes for engaging with consumers and end users about impacts		No	Not relevant
ESRS S4 Consumers and end users	Disclosure requirement S4-3	Processes to remediate negative impacts and channels for consumers and end users to raise concerns		No	Not relevant
ESRS S4 Consumers and end users	Disclosure requirement S4-4	Taking action on material impacts on consumers and end users, and approaches to managing material risks and pursuing material opportunities related to consumers and end users, and effectiveness of those actions and approaches		No	Not relevant
ESRS S4 Consumers and end users	Disclosure requirement S4-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities		No	Not relevant
ESRS G1 Business conduct	G1 Disclosure requirement related to ESRS 2 GOV-1	The role of the administrative, management and supervisory bodies	85	Yes	Yes
ESRS G1 Business conduct	G1 Disclosure requirement related to ESRS 2 IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities	123	Yes	Yes
ESRS G1 Business conduct	Disclosure requirement G1-1	Business conduct policies and corporate culture	185	Yes	Yes
ESRS G1 Business conduct	Disclosure requirement G1-2	Management of relationships with suppliers		No	Not relevant
ESRS G1 Business conduct	Disclosure requirement G1-3	Prevention and detection of corruption and bribery	189	Yes	Yes
ESRS G1 Business conduct	Disclosure requirement G1-4	Incidents of corruption or bribery	190	Yes	Yes

Overview of disclosure requirements

ESRS	Disclosure requirement	Description	Page	Material	Disclosed in 2025?
ESRS G1 Business conduct	Disclosure requirement G1-5	Political influence and lobbying activities		No	Not relevant
ESRS G1 Business conduct	Disclosure requirement G1-6	Payment practices		No	Not relevant

List of data points derived from EU legislation (in accordance with Appendix B, ESRS 2)

ESRS topic	Description	ESRS reference	SFDR reference	Pillar 3 reference	Benchmark Regulation reference	EU Climate Law reference	Page No.
ESRS 2 GOV-1	Gender diversity of management and supervisory bodies	Paragraph 21 (d)	Indicator No. 13 in Table 1 of Annex 1		Commission Delegated Regulation (EU) 2020/1816, Annex II		85
ESRS 2 GOV-1	Percentage of members of management bodies who are independent	Paragraph 21 (e)			Commission Delegated Regulation (EU) 2020/1816, Annex II		85
ESRS 2 GOV-4	Statement on due diligence	Paragraph 30	Indicator No. 10 in Table 3 of Annex I				90
ESRS 2 SBM-1	Involvement in activities related to fossil fuel activities	Paragraph 40 (d)(i)	Indicator No. 4 in Table 1 of Annex 1	Article 449a of Regulation (EU) No. 575/2013; Commission Implementing Regulation (EU) 2022/2453, Table 1: Qualitative information on Environmental risk, and Table 2: Qualitative information on Social risk	Commission Delegated Regulation (EU) 2020/1816, Annex II		No activities
ESRS 2 SBM-1	Involvement in activities related to chemical production	Paragraph 40 (d)(ii)	Indicator No. 9 in Table 2 of Annex 1		Commission Delegated Regulation (EU) 2020/1816, Annex II		No activities
ESRS 2 SBM-1	Involvement in activities related to controversial weapons	Paragraph 40 (d)(iii)	Indicator No. 14 in Table 1 of Annex 1		Delegated Regulation (EU) 2020/1818, Article 12 (1) Delegated Regulation (EU) 2020/1816, Annex II		No activities
ESRS 2 SBM-1	Involvement in activities related to cultivation and production of tobacco	Paragraph 40 (d)(iv)			Delegated Regulation (EU) 2020/1818, Article 12 (1) Delegated Regulation (EU) 2020/1816, Annex II		No activities
ESRS E1-1	Transition plan to reach climate neutrality by 2050	Paragraph 14				Regulation (EU) 2021/1119, Article 2 (1)	127
ESRS E1-1	Companies excluded from Paris-aligned benchmarks	Paragraph 16 (g)		Article 449a of Regulation (EU) No. 575/2013; Commission Implementing Regulation (EU) 2022/2453, Template 1: Banking book – Climate change transition risk: Credit quality of exposures by sector, emissions and residual maturity	Delegated Regulation (EU) 2020/1818, Article 12 (1) (d) to (g) and Article 12 (2)		Not relevant as there is no transition plan

List of data points derived from EU legislation (in accordance with Appendix B, ESRS 2)

ESRS topic	Description	ESRS reference	SFDR reference	Pillar 3 reference	Benchmark Regulation reference	EU Climate Law reference	Page No.
ESRS E1-4	GHG emissions reduction targets	Paragraph 34	Indicator No. 4 in Table 2 of Annex 1	Article 449a of Regulation (EU) No. 575/2013; Commission Implementing Regulation (EU) 2022/2453, Template 3: Banking book – Climate change transition risk: Alignment metrics	Delegated Regulation (EU) 2020/1818, Article 6		131
ESRS E1-5	Energy consumption from fossil sources disaggregated by sources (only high climate impact sectors)	Paragraph 38	Indicator No. 5 in Table 1 of Annex 1 and Indicator No. 5 in Table 2 of Annex 1				136
ESRS E1-5	Energy consumption and mix	Paragraph 37	Indicator No. 5 in Table 1 of Annex 1				136
ESRS E1-5	Energy intensity associated with activities in high climate impact sectors	Paragraphs 40 to 43	Indicator No. 6 in Table 1 of Annex 1				136
ESRS E1-6	Gross Scope 1, 2 and 3 and Total GHG emissions	Paragraph 44	Indicators No. 1 and 2 in Table 1 of Annex 1	Article 449a of Regulation (EU) No. 575/2013; Commission Implementing Regulation (EU) 2022/2453, Template 1: Banking book – Climate change transition risk: Credit quality of exposures by sector, emissions and residual maturity	Delegated Regulation (EU) 2020/1818, Article 5 (1), Article 6 and Article 8 (1)		137
ESRS E1-6	Gross GHG emissions intensity	Paragraphs 53 to 55	Indicator No. 3 in Table 1 of Annex 1	Article 449a of Regulation (EU) No. 575/2013; Commission Implementing Regulation (EU) 2022/2453, Template 3: Banking book – Climate change transition risk: Alignment metrics	Delegated Regulation (EU) 2020/1818, Article 8 (1)		137
ESRS E1-7	GHG removals and carbon credits	Paragraph 56				Regulation (EU) 2021/1119, Article 2 (1)	Not material
ESRS E1-9	Exposure of the benchmark portfolio to climate-related physical risks	Paragraph 66			Delegated Regulation (EU) 2020/1818, Annex II Delegated Regulation (EU) 2020/1816, Annex II		N/A (Exemption for first 3 years)
ESRS E1-9	Disaggregation of monetary amounts by acute and chronic physical risk	Paragraph 66 (a)		Article 449a of Regulation (EU) No. 575/2013; Commission Implementing Regulation (EU) 2022/2453, Paragraphs 46 and 47, Template 5: Banking book – Climate change physical risk: Exposures subject to physical risk.			n/a (Exemption for first 3 years)
ESRS E1-9	Location of significant assets at material physical risk	Paragraph 66 (c)		Article 449a of Regulation (EU) No. 575/2013; Commission Implementing Regulation (EU) 2022/2453, Paragraphs 46 and 47, Template 5: Banking book – Climate change physical risk: Exposures subject to physical risk.			n/a (Exemption for first 3 years)

List of data points derived from EU legislation (in accordance with Appendix B, ESRS 2)

ESRS topic	Description	ESRS reference	SFDR reference	Pillar 3 reference	Benchmark Regulation reference	EU Climate Law reference	Page No.
ESRS E1-9	Breakdown of the carrying value of its real estate assets by energy efficiency classes	Paragraph 67 (c)		Article 449a of Regulation (EU) No. 575/2013; Commission Implementing Regulation (EU) 2022/2453, Paragraph 34, Template 2: Banking book – Climate change transition risk: Loans collateralised by immovable property – Energy efficiency of the collateral			n/a (Exemption for first 3 years)
ESRS E1-9	Degree of exposure of the portfolio to climate-related opportunities	Paragraph 69			Commission Delegated Regulation (EU) 2020/1818, Annex II		n/a (Exemption for first 3 years)
ESRS E2-4	Amount of each pollutant listed in Annex II of the E-PRTR Regulation (European Pollutant Release and Transfer Register) emitted to air, water and soil	Paragraph 28	Indicator No. 8 in Table 1 of Annex I; Indicator No. 2 in Table 2 of Annex 1; Indicator No. 1 in Table 2 of Annex 1; Indicator No. 3 in Table 2 of Annex 1				Not material
ESRS E3-1	Water and Marine Resources	Paragraph 9	Indicator No. 7 in Table 2 of Annex 1				155
ESRS E3-1	Dedicated policy	Paragraph 13	Indicator No. 8 in Table 2 of Annex 1				n/a (Exemption for first 3 years)
ESRS E3-1	Sustainable oceans and seas	Paragraph 14	Indicator No. 12 in Table 2 of Annex 1				n/a (Exemption for first 3 years)
ESRS E3-4	Total water recycled and reused	Paragraph 28 (c)	Indicator No. 6.2 in Table 2 of Annex 1				n/a (Exemption for first 3 years)
ESRS E3-4	Total water consumption in m3 per net revenue on own operations	Paragraph 29	Indicator No. 6.1 in Table 2 of Annex 1				n/a (Exemption for first 3 years)
ESRS 2 - SBM3 - E4		Paragraph 16 (a)(i)	Indicator No. 7 in Table 1 of Annex 1				Not material
ESRS 2 - SBM3 - E4		Paragraph 16 (b)	Indicator No. 10 in Table 2 of Annex 1				Not material
ESRS 2 - SBM3 - E4		Paragraph 16 (c)	Indicator No. 14 in Table 2 of Annex 1				Not material
ESRS E4-2	Sustainable land / agriculture practices or policies	Paragraph 24 (b)	Indicator No. 11 in Table 2 of Annex 1				Not material
ESRS E4-2	Sustainable oceans / seas or policies	Paragraph 24 (c)	Indicator No. 12 in Table 2 of Annex 1				Not material
ESRS E4-2	Policies to address deforestation	Paragraph 24 (d)	Indicator No. 15 in Table 2 of Annex 1				Not material
ESRS E5-5	Non-recycled waste	Paragraph 37 (d)	Indicator No. 13 in Table 2 of Annex 1				Not material
ESRS E5-5	Hazardous waste and radioactive waste	Paragraph 39	Indicator No. 9 in Table 1 of Annex 1				Not material

List of data points derived from EU legislation (in accordance with Appendix B, ESRS 2)

ESRS topic	Description	ESRS reference	SFDR reference	Pillar 3 reference	Benchmark Regulation reference	EU Climate Law reference	Page No.
ESRS 2 - SBM3 - S1	Risk of incidents of forced labour	Paragraph 14 (f)	Indicator No. 13 in Table 3 of Annex 1				158
ESRS 2 - SBM3 - S1	Risk of incidents of child labour	Paragraph 14 (g)	Indicator No. 12 in Table 3 of Annex 1				158
ESRS S1-1	Human rights policy commitments	Paragraph 20	Indicator No. 9 in Table 3 of Annex I and Indicator No. 11 in Table 1 of Annex 1				158
ESRS S1-1	Due diligence policies on issues addressed by the fundamental International Labour Organisation Conventions 1 to 8	Paragraph 21			Commission Delegated Regulation (EU) 2020/1816, Annex II		160
ESRS S1-1	Processes and measures for preventing trafficking in human beings	Paragraph 22	Indicator No. 11 in Table 3 of Annex 1				160
ESRS S1-1	Workplace accident prevention policy or management system	Paragraph 23	Indicator No. 1 in Table 3 of Annex 1				162
ESRS S1-3	Handling of complaints	Paragraph 32 (c)	Indicator No. 5 in Table 3 of Annex 1				164
ESRS S1-14	Number of fatalities and number and rate of work-related accidents	Paragraph 88 (b) and (c)	Indicator No. 2 in Table 3 of Annex 1		Commission Delegated Regulation (EU) 2020/1816, Annex II		171
ESRS S1-14	Number of days lost to injuries, accidents, fatalities or illness	Paragraph 88 (e)	Indicator No. 3 in Table 3 of Annex 1				171
ESRS S1-16	Unadjusted gender pay gap	Paragraph 97 (a)	Indicator No. 12 in Table 1 of Annex 1		Commission Delegated Regulation (EU) 2020/1816, Annex II		172
ESRS S1-16	Excessive pay ratio of member of management bodies	Paragraph 97 (b)	Indicator No. 8 in Table 3 of Annex 1				172
ESRS S1-17	Incidents of discrimination	Paragraph 103 (a)	Indicator No. 7 in Table 3 of Annex 1				172
ESRS S1-17	Non-compliance with the UN Guiding Principles on Business and Human Rights and OECD Guidelines	Paragraph 104 (a)	Indicator No. 10 in Table 1 of Annex 1 and Indicator No. 14 in Table 3 of Annex 1		Delegated Regulation (EU) 2020/1816, Annex II Delegated Regulation (EU) 2020/1818 Article 12 (1)		172
ESRS 2 - SBM3 - S2	Significant risk of child labour or forced labour in the value chain	Paragraph 11 (b)	Indicators No. 12 and 13 in Table 3 of Annex 1				177
ESRS S2-1	Human rights policy commitments	Paragraph 17	Indicator No. 9 in Table 3 of Annex 1 and Indicator No. 11 in Table 1 of Annex 1				177
ESRS S2-1	Policies related to value chain workers	Paragraph 18	Indicators No. 11 and 4 in Table 3 of Annex 1				177

List of data points derived from EU legislation (in accordance with Appendix B, ESRS 2)

ESRS topic	Description	ESRS reference	SFDR reference	Pillar 3 reference	Benchmark Regulation reference	EU Climate Law reference	Page No.
ESRS S2-1	Non-compliance with the UN Guiding Principles on Business and Human Rights and OECD Guidelines	Paragraph 19	Indicator No. 10 in Table 1 of Annex 1		Delegated Regulation (EU) 2020/1816, Annex II Delegated Regulation (EU) 2020/1818 Article 12 (1)		177
ESRS S2-1	Due diligence policies on issues addressed by the fundamental International Labour Organisation Conventions 1 to 8	Paragraph 19			Commission Delegated Regulation (EU) 2020/1816, Annex II		178
ESRS S2-4	Human rights issues and incidents connected to the upstream and downstream value chain	Paragraph 36	Indicator No. 14 in Table 3 of Annex 1				181
ESRS S3-1	Human rights policy commitments	Paragraph 16	Indicator No. 9 in Table 3 of Annex 1 and Indicator No. 11 in Table 1 of Annex 1				Not material
ESRS S3-1	Non-compliance with the UN Guiding Principles on Business and Human Rights, the Principles of the ILO or OECD Guidelines	Paragraph 17	Indicator No. 10 in Table 1 of Annex 1		Delegated Regulation (EU) 2020/1816, Annex II Delegated Regulation (EU) 2020/1818 Article 12 (1)		Not material
ESRS S3-4	Human rights issues and incidents	Paragraph 36	Indicator No. 14 in Table 3 of Annex 1				Not material
ESRS S4-1	Policies related to consumers and end users	Paragraph 16	Indicator No. 9 in Table 3 of Annex 1 and Indicator No. 11 in Table 1 of Annex 1				Not material
ESRS S4-1	Non-compliance with the UN Guiding Principles on Business and Human Rights and OECD Guidelines	Paragraph 17	Indicator No. 10 in Table 1 of Annex 1		Delegated Regulation (EU) 2020/1816, Annex II Delegated Regulation (EU) 2020/1818 Article 12 (1)		Not material
ESRS S4-4	Human rights issues and incidents	Paragraph 35	Indicator No. 14 in Table 3 of Annex 1				Not material
ESRS G1-1	United Nations Convention against Corruption	Paragraph 10 (b)	Indicator No. 15 in Table 3 of Annex 1				188
ESRS G1-1	Protection of whistleblowers	Paragraph 10 (d)	Indicator No. 6 in Table 3 of Annex 1				189
ESRS G1-4	Fines for violation of anti-corruption and anti-bribery laws	Paragraph 24 (a)	Indicator No. 17 in Table 3 of Annex 1		Commission Delegated Regulation (EU) 2020/1816, Annex II		190
ESRS G1-4	Standards of anti-corruption and anti-bribery	Paragraph 24 (b)	Indicator No. 16 in Table 3 of Annex 1				Not relevant, as there were no incidents in the reporting year

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Balance Sheet

Assets

€ millions	Notes	31 Dec. 2025	31 Dec. 2024
Non-current assets			
Intangible assets	1	73.3	73.6
Right-of-use assets	2	58.6	57.7
Property, plant and equipment	3	719.6	672.2
Non-current financial assets	4	1.8	1.9
Other non-financial assets	5	11.1	11.0
Investments accounted for using the equity method	6	38.8	31.7
Deferred tax assets	20	66.1	81.8
		969.2	**929.9**
Current assets			
Inventories	7	752.4	764.8
Contract assets	8	65.9	56.9
Trade receivables	8	619.8	605.4
Other financial assets	8	66.8	89.9
Other non-financial assets	8	70.5	51.7
Cash and cash equivalents	9	338.6	369.3
		1,914.1	**1,938.0**
		2,883.3	**2,867.9**

Further information is provided in the Notes to the consolidated financial statements.

Equity and liabilities

€ millions	Notes	31 Dec. 2025	31 Dec. 2024
Equity	**10**		
Subscribed capital		44.8	44.8
Capital reserve		66.7	66.7
Revenue reserves		1,049.4	981.1
Equity attributable to shareholders of KSB SE & Co. KGaA		1,160.8	1,092.5
Non-controlling interests		230.4	242.9
		1,391.2	**1,335.4**
Non-current liabilities			
Provisions for pensions and similar obligations	11	455.2	489.6
Other provisions	12	10.8	12.5
Financial liabilities	13	39.0	37.8
Deferred tax liabilities	20	9.6	9.7
		514.7	**549.5**
Current liabilities			
Other provisions	12	100.9	122.5
Financial liabilities	13	22.3	20.8
Contract liabilities	13	215.7	214.4
Trade payables	13	362.7	356.7
Other financial liabilities	13	33.8	35.1
Other non-financial liabilities	13	207.8	201.4
Income tax liabilities	13	34.2	32.0
		977.4	**983.0**
		2,883.3	**2,867.9**

Further information is provided in the Notes to the consolidated financial statements.

Statement of Comprehensive Income

Income statement

€ millions	Notes	2025	2024
Sales revenue	**14**	**3,034.7**	**2,965.2**
Changes in inventories		16.6	8.6
Work performed and capitalised		4.8	2.2
Total output of operations		**3,056.1**	**2,975.9**
Other income *	15	33.1	26.2
Cost of materials	16	-1,199.6	-1,178.6
Staff costs	17	-1,063.7	-1,014.1
Depreciation and amortisation	1 – 3	-96.4	-97.4
Other expenses *	18	-477.6	-467.8
Earnings before finance income / expense and income tax (EBIT)		**252.1**	**244.2**
Finance income	19	11.6	13.8
Finance expense	19	-27.8	-33.1
Income from / expense to investments accounted for using the equity method	19	5.2	6.3
Finance income / expense		**-11.0**	**-13.0**
Earnings before income tax (EBT)		**241.1**	**231.2**
Taxes on income	20	-74.7	-84.4
Earnings after income tax		**166.4**	**146.8**
Attributable to:			
Non-controlling interests	21	25.5	28.7
Shareholders of KSB SE & Co. KGaA		**140.9**	**118.1**
Diluted and basic earnings per ordinary share (€)	22	80.31	67.29
Diluted and basic earnings per preference share (€)	22	80.57	67.55

* Due to offsetting related to the remeasurement of impairment losses on trade receivables and contract assets, the amount of other income and other expenses reported for the previous year decreased in equal measure by € 8.8 million compared with the figures reported in the Annual Report 2024.

Further information is provided in the Notes to the consolidated financial statements.

Statement of income and expense recognised in equity

€ millions	Notes	2025	2024
Earnings after income tax		**166.4**	**146.8**
Remeasurement of defined benefit plans	11	42.9	14.8
Taxes on income		-18.0	-4.4
Remeasurement of defined benefit plans attributable to investments accounted for using the equity method		-0.1	-0.1
Items not reclassified to profit or loss in subsequent periods		**24.9**	**10.2**
Currency translation differences		-79.6	22.3
Changes in the fair value of financial instruments: Hedging reserve		4.3	-3.5
Taxes on income: Hedging reserve		-1.3	1.0
Changes in the fair value of financial instruments: Hedging cost reserve		-0.4	0.1
Taxes on income: Hedging cost reserve		0.1	0.0
Expense and income recognised directly in equity relating to investments accounted for using the equity method		-2.9	0.7
Items that may be reclassified to the income statement in subsequent periods		**-79.7**	**20.5**
Other comprehensive income		**-54.9**	**30.7**
Comprehensive income		**111.5**	**177.5**
Attributable to:			
Non-controlling interests		-6.0	39.6
Shareholders of KSB SE & Co. KGaA		**117.5**	**137.9**

Further information is provided in the Notes to the consolidated financial statements.

Statement of Changes in Equity

			Revenue reserves								
				Other comprehensive income							
€ millions	Subscribed capital of KSB SE & Co. KGaA	Capital reserve of KSB SE & Co. KGaA	Other revenue reserves	Currency translation differences	Changes in the fair value of financial instruments: Hedging reserve	Changes in the fair value of financial instruments: Hedging cost reserve	Remeasure-ment of defined benefit plans	Equity attributable to shareholders of KSB SE & Co. KGaA	Non-controlling interests	Total Equity
1 Jan. 2024	**44.8**	**66.7**	**1,156.8**	**-137.3**	**0.2**	**-0.1**	**-130.6**	**1,000.4**	**216.5**	**1,216.9**
Other comprehensive income	–	–	–	12.8	-2.5	0.1	9.5	19.8	10.9	30.7
Earnings after income tax	–	–	118.1	–	–	–	–	118.1	28.7	146.8
Comprehensive income	**–**	**–**	**118.1**	**12.8**	**-2.5**	**0.1**	**9.5**	**137.9**	**39.6**	**177.5**
Dividends paid	–	–	-45.8	–	–	–	–	-45.8	-13.9	-59.6
Capital increase / decrease	–	–	–	–	–	–	–	–	1.2	1.2
Step acquisitions	–	–	2.1	-2.1	–	–	0.0	0.0	-0.6	-0.6
Other	–	–	–	–	–	–	–	–	–	–
31 Dec. 2024	**44.8**	**66.7**	**1,231.2**	**-126.6**	**-2.3**	**-0.1**	**-121.2**	**1,092.5**	**242.9**	**1,335.4**

			Revenue reserves								
				Other comprehensive income							
€ millions	Subscribed capital of KSB SE & CO. KGaA	Capital reserve of KSB SE & Co. KGaA	Other revenue reserves	Currency translation differences	Changes in the fair value of financial instruments: Hedging reserve	Changes in the fair value of financial instruments: Hedging cost reserve	Remeasure-ment of defined benefit plans	Equity attributable to shareholders of KSB SE & Co. KGaA	Non-controlling interests	Total Equity
1 Jan. 2025	**44.8**	**66.7**	**1,231.2**	**-126.6**	**-2.3**	**-0.1**	**-121.2**	**1,092.5**	**242.9**	**1,335.4**
Other comprehensive income	–	–	–	-51.1	3.0	-0.2	24.9	-23.4	-31.5	-54.9
Earnings after income tax	–	–	140.9	–	–	–	–	140.9	25.5	166.4
Comprehensive income	**–**	**–**	**140.9**	**-51.1**	**3.0**	**-0.2**	**24.9**	**117.5**	**-6.0**	**111.5**
Dividends paid	–	–	-46.6	–	–	–	–	-46.6	-6.4	-53.1
Capital increase / decrease	–	–	–	–	–	–	–	–	–	–
Step acquisitions	–	–	–	–	–	–	–	–	–	–
Other	–	–	-2.6	–	–	–	–	-2.6	–	-2.6
31 Dec. 2025	**44.8**	**66.7**	**1,322.8**	**-177.6**	**0.8**	**-0.3**	**-96.3**	**1,160.8**	**230.4**	**1,391.2**

Statement of Cash Flows

€ millions	2025	2024
Earnings after income tax	166.4	146.8
Taxes on income	74.7	84.4
Finance income	-11.6	-13.8
Finance expense	27.8	33.1
Depreciation and amortisation	96.4	97.4
Gain / loss on disposal of intangible assets and property, plant and equipment	-1.1	-0.2
Change in inventories	-34.3	-17.0
Change in contract assets	-10.0	2.2
Change in trade receivables	-47.3	-48.3
Change in provisions	-28.4	-9.7
Change in contract liabilities	18.6	10.4
Change in trade liabilities	24.2	25.9
Change in other assets and liabilities	-8.2	6.1
Income tax paid	-81.6	-61.1
Interest received	10.5	12.5
Cash flows from operating activities	**196.0**	**268.6**
Proceeds from disposal of intangible assets and property, plant and equipment	4.0	1.4
Payments to acquire intangible assets and property, plant and equipment	-153.8	-135.0
Acquisition of joint ventures and associates	-3.2	-1.3
Proceeds from deposits with an original maturity of more than 3 months	24.3	36.1
Payments for deposits with an original maturity of more than 3 months	-6.9	-56.1
Proceeds from investments in Group companies that are not fully consolidated	–	1.0
Payments for investments in Group companies that are not fully consolidated	–	-0.3
Proceeds from dividends from Group companies that are not fully consolidated	1.1	1.0

€ millions	2025	2024
Payments for capitalisation measures with Group companies that are not fully consolidated	-0.5	-0.7
Cash flows from investing activities	**-135.0**	**-153.7**
Dividends paid to shareholders of KSB SE & Co. KGaA	-46.6	-45.8
Dividends paid to non-controlling interests	-6.4	-13.9
Proceeds from financial liabilities	4.4	7.3
Payments for financial liabilities (excluding lease liabilities)	-3.5	-14.7
Repayment of lease liabilities	-20.3	-19.2
Interest paid	-2.4	-3.1
Other equity transactions	-2.9	0.6
Cash flows from financing activities	**-77.7**	**-88.8**
Changes in cash and cash equivalents	-16.7	26.1
Effects of exchange rate changes on cash and cash equivalents	-14.3	2.8
Effects of changes in consolidated Group	0.3	–
Cash and cash equivalents at beginning of period	369.3	340.4
Cash and cash equivalents at end of period	**338.6**	**369.3**

Notes

I. General Information and Basic Principles

General information on the Group

KSB SE & Co. KGaA, Frankenthal / Pfalz, Germany, is a capital market-oriented Kommanditgesellschaft auf Aktien [partnership limited by shares] under the law of the Federal Republic of Germany. The company is registered with the *Handelsregister* [German Commercial Register] of the Amtsgericht [Local Court] Ludwigshafen am Rhein, registration No. HRB 65657, and has its registered office at Johann-Klein-Straße 9, 67227 Frankenthal / Pfalz, Germany. KSB SE & Co. KGaA was formed from KSB Aktiengesellschaft by entry in the German Commercial Register on 17 January 2018. The general partner is KSB Management SE, a European pub-lic limited company. The shares in this company are wholly owned by Klein, Schanzlin & Becker GmbH, Frankenthal / Pfalz. Klein, Schanzlin & Becker GmbH is jointly managed by its two shareholders, the non-profit KSB Stiftung [KSB Foundation], Stuttgart, and the non-profit Kühborth-Stiftung GmbH [Kühborth Foundation], Stuttgart. KSB SE & Co. KGaA and thus the KSB Group are managed via KSB Management SE, which has four Managing Directors and a four-member Administrative Board.

The KSB Group (hereinafter also called "KSB" or the "Group") is a global supplier of high-quality pumps, valves and related systems and also provides a wide range of support services to users of these products. The breakdown of the Group's business activities is based on three Segments: Pumps, Valves and KSB SupremeServ.

Basis of preparation of the consolidated financial statements

The accompanying consolidated financial statements of KSB SE & Co. KGaA were prepared in accordance with the International Financial Reporting Standards (IFRSs) as adopted by the European Union (EU) and the additional requirements of German commercial law under Section 315e(1) HGB [*Handelsgesetzbuch* – German Commercial Code]. To do so, the Conceptual Framework and all Standards applicable at the reporting date and adopted by the European Commission for use in the EU that are of relevance to the KSB Group as well as the interpretations of the IFRS Interpretations Committee were applied. For the purposes of this document, the term IFRSs includes applicable International Accounting Standards (IASs). The consolidated financial statements of KSB SE & Co. KGaA therefore meet the requirements of the IFRSs as adopted by the EU. The consolidated financial statements were prepared on a going concern basis in accordance with IAS 1.25. On principle, the historical cost is the measurement basis used for the consolidated financial statements, unless Section III. Accounting Policies provides otherwise.

Amounts in this report are generally presented in millions of euros (€ millions) using standard commercial rounding rules. Due to rounding, there may be minor differences in the totals and percentages presented in this report.

The financial year of the companies consolidated is the calendar year.

The income statement as part of the statement of comprehensive income has been prepared using the nature of expense method.

All material items of the balance sheet and the income statement are presented separately and explained in these Notes.

The main accounting policies used to prepare the consolidated financial statements are presented below. The policies described were applied consistently for the reporting periods presented unless stated otherwise.

The consolidated financial statements and the annual financial statements of KSB SE & Co. KGaA, as well as the combined management report, are submitted to and published in the company register.

These consolidated financial statements are released by the Managing Directors of KSB Management SE on 12 March 2026 for approval at the meeting of the Supervisory Board on 24 March 2026.

New accounting principles

a) Accounting principles applied for the first time in the 2025 financial year

The new or revised accounting Standards and Interpretations listed below which were adopted for the first time in the reporting year had no or no material impact on the Group's net assets, financial position and results of operations.

b) Accounting principles that have been published but that are not yet mandatory

The new or revised Accounting Standards and Interpretations listed below were not yet mandatory and were not applied in the 2025 financial year.

The new or revised Standards or Interpretations shown in the table have not been adopted early.

In connection with IFRS 18 Presentation and Disclosure in Financial Statements, which is to be adopted from 1 January 2027, changes are expected, particularly with regard to the structure of the Group's income statement. In particular, this will affect the classification of income and expenses in the categories of operating profit or loss, investing profit or loss, and financing profit or loss, as well as the reporting of defined subtotals in the income statement.

No or no material effects on the company's net assets, financial position or results of operations are expected to arise from the other announced amendments.

Accounting principles applied for the first time in the 2025 financial year

	First-time adoption in the EU
Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates	1 Jan. 2025

Accounting principles that have been published but that are not yet mandatory

	First-time adoption in the EU
Annual Improvements to IFRS Accounting Standards – Volume 11	1 Jan. 2026
Contracts related to nature-dependent electricity (changes to IFRS 9 and IFRS 7)	1 Jan. 2026
Changes to the classification and measurement of financial instruments (changes to IFRS 9 and IFRS 7)	1 Jan. 2026
IFRS 18 Presentation and Disclosure in Financial Statements	1 Jan. 2027
Changes to IAS 21 (The Effects of Changes in Foreign Exchange Rates) regarding the conversion of financial information in hyperinflationary economies and their currency	1 Jan. 2027
IFRS 19 Subsidiaries without Public Accountability: Disclosures	1 Jan. 2027
Changes to IFRS 19 Subsidiaries without Public Accountability: Disclosures	1 Jan. 2027

II. Consolidation Principles

Consolidated Group

As at 31 December 2025, in addition to KSB SE & Co. KGaA, 10 German and 79 foreign companies (previous year: 10 German and 77 foreign companies) were fully consolidated in the consolidated financial statements. A majority interest is held, either directly or indirectly, in the voting power of these subsidiaries which the KSB Group has the option to control under IFRS 10.

Subsidiaries are companies controlled by the Group. The Group controls a company if it is exposed, or has rights, to variable returns from its involvement with the company and has the ability to affect those returns through its power of disposition over the company.

The financial statements of subsidiaries are included in the Group's financial statements from the date on which control begins until the date on which control ends.

Changes in the investment ratio that do not result in a loss of control are treated as a transaction between shareholders and recognised directly in equity. Such transactions do not result in the recognition of goodwill or the realisation of disposal profits.

The consolidation principles apply accordingly to the seven (previous year: six) joint ventures and associated companies accounted for using the equity method as at the reporting date. Upon the loss of joint control or significant influence any retained interest in the investee is remeasured at fair value through profit or loss.

Associates are companies in which the Group has significant influence but does not have control or joint control over financial and business policy. A joint venture is an agreement through which the Group exercises joint control, in that it has rights to the net assets of the agreement rather than rights to its assets and obligations for its liabilities.

The shares in companies included at-equity are measured at cost of acquisition plus or minus cumulative changes in net assets, with recognised goodwill reported in the carrying amount of the investment.

The Thai company KSB Pumps Co. Ltd., Bangkok, and the Indian company KSB Limited, Pimpri (Pune), are included in the group of fully consolidated affiliates despite the fact that KSB holds a group share of capital of less than 50 %. KSB does, however, have the power to determine their business and financial policies and thus the level of variable returns.

KSB gained control over KSB Limited, Pimpri (Pune), in which KSB owns 40.54 % of the shares, through contractual agreements with other shareholders. These agreements ensure that KSB has the majority of voting rights in management committees and also exercises control over the budget.

Likewise, KSB exercises control over KSB Pumps Co. Ltd., Bangkok, in which it owns 49.00 % of the shares, through additional agreements which give KSB the majority of voting rights in management committees and control over the budget.

Companies that were not consolidated due to there being no material impact are reported as other investments under non-current other financial assets.

Changes in the consolidated Group

In the 2025 financial year, there were the following changes in the consolidated Group, none of which had a material impact on the Group's assets, financial position and results of operations. Against this background, no further information is provided in this context.

In the reporting year, KSB acquired 18.43 % of shares in ECOP Technologies GmbH, Wiener Neudorf (Austria), which specialises in the development of large heat pumps for use in industrial applications. Through this strategic investment, KSB is securing technical synergies and access to the growing market for these products. The company is included in the consolidated financial statements as an associate and accounted for using the equity method. As of 31 December 2025, € 3.0 million of the total acquisition costs of € 6.0 million had not been paid. These payments are tied to future results that are expected to occur within 12 months of the reporting date. The conditional purchase price obligations are reported under the "Miscellaneous other financial liabilities".

The interest held by the Group in the South African company KSB Pumps and Valves (Pty) Ltd., Germiston (Johannesburg), increased from 70.00 % to 100.00 %.

KSB PUMPS AND VALVES (NAMIBIA) (PROPRIETARY) LIMITED, Klein Windhoek, Namibia, and KSB Ecuador S.A., Samborondón, Ecuador, which were previously not consolidated due to immateriality, are now been included in the Group financial statements as fully consolidated companies.

In addition, the names of individual companies have changed: the former Dalian KSB AMRI Valves Co., Ltd., Dalian, China, now trades as KSB Valves (Dalian) Co., Ltd., and the former KAGEMA Industrieausrüstungen GmbH, Pattensen, Germany, as KSB KAGEMA GmbH.

A full list of the shareholdings held by the KSB Group is provided at the end of these Notes to the consolidated financial statements.

Consolidation methods

For the purposes of consolidation, the effects of any intercompany transactions are eliminated in full. Any receivables and liabilities between the consolidated companies are offset against each other, and any unrealised gains and losses recognised in fixed assets and inventories are eliminated. Any revenues from intercompany sales are offset against the corresponding expenses.

Capital consolidation is based on the purchase method of accounting pursuant to IFRS 3. This means that the amortised cost of the parent's shares in the subsidiary is eliminated against the remeasured equity attributable to the parent at the date of acquisition.

Any goodwill created from the application of the purchase method denominated in a currency other than the functional currency of the KSB Group is measured at the relevant current closing rate at the reporting date. Goodwill is reported under intangible assets and tested for impairment at least once a year. If an impairment is identified, an impairment loss is recognised. Any excess of the interest in the fair values of net assets acquired over cost is recognised in profit or loss in the year it occurred.

Those shares of subsidiaries' equity not attributable to KSB SE & Co. KGaA are reported as non-controlling interests. Further explanations on non-controlling interests are included under Notes No. 10 "Equity".

Currency translation

The consolidated financial statements have been prepared in euro (€). Unless otherwise stated, amounts in this report are presented in millions of euros (€ millions) using standard commercial rounding rules.

Currency translation is effected on the basis of the functional currency of the consolidated companies. As in the previous year, the functional currency is exclusively the local currency of the company consolidated, as it operates as a financially, economically and organisationally independent entity.

Transactions denominated in foreign currencies are translated at the individual companies at the rate prevailing when the transaction is initially recognised.

Monetary assets and liabilities are subsequently measured at the closing rate at the reporting date. Measurement effects are recognised in profit or loss.

When translating financial statements of consolidated companies that are not prepared in euro, assets and liabilities are translated at the closing rate at the reporting date (modified closing rate method); the income statement and cash flow statement items are translated at annual average exchange rates. An exception to this, with a translation of the income statement items at the closing rate at the reporting date, results from the application of IAS 29 Financial Reporting in Hyperinflationary Economies, as explained in greater detail below. Gains and losses from the translation of items of assets and liabilities compared with their translation in the previous year are taken directly to equity in other comprehensive income and reported under currency translation differences.

Exchange rates of the most important currencies

	Closing rate		Average rate	
1 euro equals	**31 Dec. 2025**	**31 Dec. 2024**	**2025**	**2024**
US dollar	1.1750	1.0389	1.1301	1.0824
Brazilian real	6.4364	6.4253	6.2809	5.8283
Indian rupee	105.5965	88.9335	97.3963	89.8543
Chinese yuan	8.2262	7.5833	8.0867	7.7875

Hyperinflation

Argentina and Turkey have been classified as hyperinflationary economies for accounting purposes since 2018 and 2022 respectively. Accordingly, IAS 29 Financial Reporting in Hyperinflationary Economies has since been applied to the translation of the financial statements of KSB Argentina S.A., Buenos Aires, Argentina, and KSB-Pompa, Armatür Sanayi ve Ticaret A.S., Ankara, Turkey.

As a result, the activities of the two said subsidiaries are not accounted for on the basis of historical acquisition and production costs, but are adjusted for the effects of inflation by using country-specific price indices.

The inflation adjustment to the financial statements of the Argentine subsidiary is based on the consumer price index IPC (Índice de precios al consumidor), which was on 31 December 2025 2025 at 10,121.37 (31 December 2024: 7,694.01; 1 January 2024: 3,520.10).

The consumer price index TÜFE (Tüketici fiyat endeksi) is used to adjust for inflation in the financial statements of the Turkish subsidiary; the value applied at the reporting date was 3,513.87 (31 December 2024: 2,684.55; 1 January 2024: 1,859.38).

The net loss from monetary depreciation to be taken into account under IAS 29 on the affected monetary assets and liabilities, amounting to € 6.7 million (previous year: € 12.6 million), is included in the income statement under other finance expense within finance income / expense.

After applying the inflation adjustment, the balance sheet and income statement items are translated into the reporting currency (euro) at the closing rate at the reporting date for inclusion in the consolidated financial statements.

III. Accounting Policies

1. General accounting policies

Acquisition and production costs

In addition to the purchase price, acquisition cost includes attributable incidental costs (except for costs associated with the acquisition of a company) and subsequent expenditure. Purchase price reductions are deducted.

As well as directly allocated costs, production costs also include reasonable proportions of material and production overheads based on standard capacity utilisation of the relevant production facilities, if and to the extent these were incurred as part of the production process. This also includes production-related admin-

istrative expenses. General administrative expenses, research costs and selling expenses are not capitalised.

Fair value
Fair value is the price that independent market participants would, under standard market conditions, receive when selling an asset or pay when transferring a liability at the measurement date. This applies irrespectively of whether the price is directly observable or has been estimated using a measurement method.

The KSB Group defined a monitoring framework concept for determining fair value. This includes the monitoring of all material measurements at fair value and the direct communication of material facts to Management and, if necessary, to the audit committee. For the purposes of calculating fair value, KSB makes use wherever possible of estimates from market participants or estimates derived from these. As an initial step, regular checks are made to ascertain if there are current prices on active markets for an identical transaction. If no quoted market prices are available, the preference is to use the market-based approach (deriving the fair value from the market or transaction prices of comparable assets, for example multipliers) or the income-based approach (calculation of fair value as a future value by discounting future cash surpluses).

Based upon the input factors used in the measurement methods, fair values are assigned to different levels of the fair value hierarchy.

- Level 1: Quoted prices (unadjusted) on active markets for identical assets and liabilities
- Level 2: Measurement parameters that are not the quoted prices taken into account for Level 1, but that are observable for the asset or the liability either directly as a price or indirectly derived from prices
- Level 3: Measurement parameters for assets or liabilities that are not based on observable market data

If input factors categorised into different levels are included in the fair value measurement, the measurement must be categorised in its entirety in the level of the lowest level input factor that is material for the entire measurement.

Reclassifications between different levels in the fair value hierarchy are recognised at the end of the reporting period during which the change has occurred.

Maturities
Maturities of up to one year are classified as current. Assets that can only be realised after more than twelve months, as well as liabilities that only become due after more than twelve months, are also classified as current if they are attributable to the operating cycle defined in IAS 1. An operating cycle of more than 12 months typically applies to made-to-order production (construction contracts). Assets and liabilities not classified as current are non-current.

Financial assets and financial liabilities
A financial instrument is any contract that gives rise to both a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities are recognised in the consolidated balance sheet at the time when KSB becomes a contractual party. When the contractual right to payments from financial assets expires, these are derecognised. Financial liabilities are derecognised at the time when the contractual obligations are settled or cancelled or have expired. The acquisition and sale of financial instruments on an arm's length basis are recognised at the value at the date of settlement. This applies to primary financial instruments, such as trade receivables and financial receivables. Only derivative financial instruments are recognised at the value at the trade date.

a) Primary financial instruments
In the KSB Group, primary financial instruments are allocated to the following measurement categories as financial assets and financial liabilities based on the requirements of IFRS 9:

- Financial liabilities at amortised cost – Non-current financial assets, trade receivables, cash and cash equivalents and current other financial assets
- Financial liabilities at amortised cost – Loans, trade payables and other financial liabilities

Financial assets and liabilities are reported at fair value on initial recognition. Financial assets and liabilities that are not measured at fair value are recognised after adjustment for transaction costs. Subsequent measurement is in line with the measurement category allocated to the financial asset or financial liability.

The fair value option is not being used at the moment.

b) Derivative financial instruments
Derivative financial instruments (derivatives) are exclusively used for hedging purposes. Future cash flows and existing recognised underlyings are hedged against foreign currency risks. The hedging instruments used are exclusively currency forwards entered into with prime-rated banks. Group guidelines govern the use of

these instruments. These transactions are also subject to continuous risk monitoring.

Derivative financial instruments are categorised at fair value through profit or loss unless they are part of hedge accounting. In the case of designated cash flow hedges, changes in the fair value of the effective portions of the currency derivatives are recognised under other comprehensive income and reported under "Changes in the fair value of financial instruments" in equity for as long as the underlying transaction is not recognised in the income statement. Only the spot element of the derivative hedging instrument is designated, while the forward element and currency basis spreads are excluded from the hedge and reported separately in the hedging cost reserve in other comprehensive income. Any ineffectiveness and changes in the market value of currency forwards not designated as hedges are recognised in profit or loss.

The carrying amounts equal fair value and are determined on the basis of input factors observable either directly (as a price) or indirectly (derived from prices). Information considered for measurement regarding exchange rates, interest rates and counterparty credit ratings at the reporting date is obtained solely from recognised external sources. The fair value may be positive or negative.

Currency forwards are reported under other financial assets and under other financial liabilities.

c) Impairment of financial assets

The Group in principle recognises impairment losses for expected credit losses (ECL) for:

- Financial liabilities at amortised cost – Long-term financial assets, trade receivables, cash and cash equivalents and other short-term financial assets
- Contract assets

Impairment losses on trade receivables and contract assets are valued at the amount of the expected credit loss over the corresponding time period, while expected 12-month credit loss is taken into account for other financial assets.

To estimate general default risks and measure corresponding expected credit losses, trade receivables are summarised on the basis of common credit risk features (risk classes) and the number of days overdue. The expected default rates stem from the historical payment profiles of sales revenues over the last three financial years before the reporting date. The historical and forward-looking information forms the basis for the expected probability of failure, adjusted for future-oriented macroeconomic factors.

At every reporting date, the Group estimates whether financial assets at amortised cost are impaired with regard to creditworthiness. A financial asset is impaired in terms of its creditworthiness if one or more events occur that could have a negative impact on the asset's expected future cash flows.

The following observable data are indicators that a financial asset is impaired with regard to creditworthiness and exposed to an increased risk of default:

- Significant financial difficulties of the debtor
- Breach of contract (e.g. default or a significantly overdue amount)
- Likelihood of the debtor is insolvent or subject to other restructuring measures

Part of the credit risk exposure of trade receivables is hedged.

Impairment losses on financial assets measured at amortised cost are subtracted from the gross carrying amount of the respective assets.

If the reasons for an impairment loss charged in a previous period no longer apply, the impairment loss is reversed (write-up).

The gross carrying amount of a financial asset is written down when the Group, at its own reasonable discretion, assumes that the asset will not be satisfied in full or in part. The Group then conducts an individual assessment of the time and amount of the write-down based on whether its current expectation regarding the collection of the asset in question is reasonable. The Group does not expect to recover a significant portion of the written-down amount.

2. Specific accounting policies

Intangible assets

Intangible assets are measured at (acquisition or production) cost and reduced by straight-line amortisation. Depreciation / amortisation is reported under "Depreciation / amortisation" in the income statement. The underlying useful life of intangible assets – excluding goodwill (indefinite useful life) – is between 2 and 15 years. If an intangible asset's recoverable amount is lower than its carrying amount, an impairment loss is recognised. Goodwill, other intangible assets with indefinite useful lives and intangible assets under development at the reporting date are tested for impairment at least once a year. In addition, all types of intangible assets are subject to impairment testing if there are indications as defined in IAS 36 of a possible impairment. If the reasons for an impairment loss in a previous period no longer apply, it is reversed up to a maximum of amortised cost (write-up), with the exception of goodwill.

Goodwill is scheduled to be tested for impairment once a year. The test relates to cash-generating units (CGUs). Cash-generating units are generally derived from the share of business activities for the Group's individual products and services for each legal entity. This particularly includes differentiating between new business with Pumps, new business with Valves, and KSB SupremeServ. A legal entity comprises several cash-generating units if the main business activities are spread over several products and services.

The goodwill is reduced by the difference in value or down to zero at maximum if the recoverable amount is lower than the carrying amount of the CGU. If the difference exceeds the carrying amount of goodwill, further impairment testing is required at the level of intangible assets, right-of-use assets and property, plant and equipment. Reversal of an impairment loss from an earlier period is not possible for goodwill.

The discounted cash flow method is used to determine the value in use when calculating the recoverable amount.. The future earnings (EBIT in accordance with IFRS) applied are taken from a multi-year financial plan (five years) based on the 30 September reporting date, taking into account the medium-term strategy approved by Management for the respective cash-generating unit. This planning is carried out based on certain assumptions which are drawn from both forecasts from external sources, e.g. current German Mechanical Engineering Industry Association (VDMA) publications, and own experience-based knowledge of markets and competitors. The earnings of the last plan year are consistently extrapolated as a constant, if that level is considered to be achievable in the long term. Growth rates are derived taking account of the estimates with regard to economic circumstances. The Group regularly tests goodwill for impairment in the fourth quarter of every year based on the figures as per 30 September of the year in question. In addition, a review of impairment is carried out when events or circumstances ("trigger events") as at the reporting date suggest that the value could be impaired.

In order to assess the risk of impairment of material goodwill, the Group also performs sensitivity analyses as part of its impairment testing. To this end, changes deemed possible in material assumptions underlying the calculation of the value in use are taken into account.

When companies are acquired, purchase price allocations are made and the fair value of the assets and liabilities acquired is determined. In addition to the assets and liabilities already recognised by the selling party, account is also taken of marketing-related aspects (primarily brands or trademarks and competitive restrictions), customer-related aspects (primarily customer lists, customer relations and orders on hand), contract-related aspects (mainly particularly advantageous service, work, purchasing and employment contracts) as well as technology-related aspects (primarily patents, know-how and databases). The residual value method, the excess earnings method and cost-oriented procedures are primarily applied to determine values.

Development costs are capitalised as internally generated intangible assets at cost where the criteria described in IAS 38 are met and reduced by straight-line amortisation as from the time the asset becomes operational. Research costs are expensed as incurred. Where research and development costs cannot be reliably distinguished within a project, no costs are capitalised.

Leases

According to IFRS 16, a contract is, or contains, a lease if it conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

For leases where KSB is the lessee, lease liabilities and right-of-use assets (rights to use leased assets) must be recognised on the balance sheet. Leases of low value assets and short-term leases with a term of up to 12 months are exempt from this provision as KSB has elected to make use of the practical expedient of accounting for lease payments as an expense. In this context, leased assets with a fair value of up to € 5,000 are defined as low-value assets.

Lease liabilities and right-of-use assets are generally recognised at the time at which the leased asset is made available to KSB by the lessor for use. The carrying amount of the two items is essentially based on the

present value of the future minimum lease payments. It is discounted using the incremental borrowing rate of KSB if no interest rate implicitly underlying the lease is available. Extension and termination options are included in the term and the carrying amounts of a lease if it is deemed reasonably certain that they will be exercised by KSB. Only lease components and in particular no separate service components are taken into account in the measurement of lease payments. The right-of-use assets are depreciated over the economic useful life of the leased asset or over the term of the lease, whichever is shorter. Lease liabilities are subsequently measured at amortised cost using the effective interest rate method in the form of a redemption and interest portion. Changes in lease payments are taken into account through remeasurements of lease liabilities. The interest expense for the lease liability and depreciation / amortisation expense for the right-of-use asset are recognised separately.

Property, plant and equipment
In accordance with IAS 16, property, plant and equipment is measured at cost and reduced by straight-line depreciation over its useful life. Impairment losses are recognised in accordance with IAS 36. If the reasons for an impairment loss recognised in a previous period no longer apply, the impairment loss is reversed (write-up) up to a maximum of amortised cost.

Government grants relating to property, plant and equipment are transferred to an adjustment item on the liabilities side. This item is reversed pro rata over the useful life of the subsidised assets and recognised as other income.

Maintenance expenses are recognised as an expense in the period in which they are incurred, unless they lead to the expansion or material improvement of the asset concerned.

As in the previous year, the following useful lives are applied:

Useful life of property, plant and equipment

Buildings	10 to 50 years
Plant and machinery	5 to 25 years
Other equipment, operating and office equipment	3 to 25 years

Advance payments made on property, plant and equipment are also reported under property, plant and equipment given their relevance to the matter.

Non-current other non-financial assets
Investments in non-consolidated subsidiaries are measured at amortised cost.

Defined benefit assets are recognised at the amount by which the fair value of the plan assets exceeds the related defined benefit obligation, less the effects of the asset ceiling in accordance with IAS 19.

Investments accounted for using the equity method
Investments accounted for using the equity method are companies in which the parties exercise joint control (joint venture) or have the power to exercise significant influence over the companies' operating and financial policies (associate); this is usually the case where an entity holds between 20 % and 50 % of the voting power. These assets are recognised at cost at the time of acquisition. If the costs of acquisition exceed the share of the net assets, adjustments are made on the basis of the fair value (pro rata hidden reserves and liabilities). The remaining amount is recognised as goodwill. It forms part of the carrying amount of the joint venture or associate and is not amortised. For subsequent measurement, the carrying amounts are increased / reduced annually by the pro-rata earnings, distributed dividends or other changes in equity of the joint venture or the associate. If local accounting principles differ from the Group's standard accounting policies, adjustments are made accordingly. The share of earnings is reported in the income statement in a separate line (earnings from investments accounted for using the equity method), and changes such as currency translation effects are taken directly to Group equity. If the losses attributable to the KSB Group correspond to the carrying amount of the company or exceed this, they are not recognised unless KSB has entered into obligations or has made payments for the company. Intercompany gains and losses from transactions between Group companies and investments accounted for using the equity method are offset against the carrying amount in profit or loss. At each reporting date, a review is carried out to determine whether there are any objective indications of impairment, and the amount of such impairment is calculated if required. If the carrying amount exceeds the recoverable amount of an investment, it is written down to the recoverable amount. Any impairments or reversals of impairments are reported in the income statement under finance income / expense.

Inventories
Pursuant to IAS 2, inventories are recognised at the lower of cost and net realisable value as at the reporting date. Cost is measured using the weighted average method. KSB takes account of the inventory risks resulting from slow-moving goods or impaired marketability through write-downs to the net realisable value. This also applies if the selling price is lower than production cost plus costs still to be incurred. If the

reasons for an impairment loss charged in a previous period no longer apply, the impairment loss is reversed (write-up).

Advance payments made on inventories are also presented under inventories because of the correlation and expected realisation of these advances (through conversion into inventories) within the normal business cycle.

Contract assets and contract liabilities
A contract asset shows KSB's claim to consideration in exchange for goods or services transferred to customers, with the right to payment being not only conditional on the passage of time but also on the satisfaction of an overall contractual performance obligation by KSB. By contrast, receivables reflect KSB's unqualified claim to consideration. A contract liability also represents KSB's obligation to transfer goods or services to a customer. However, in these cases KSB has already received consideration from a customer that exceeds the amount of the goods or services provided.

Other non-financial assets
The prepayments made that are presented in this item relate to accrued expenditure prior to the reporting date that will only be classified as an expense after the reporting date.

Taxes on income
Current taxes on income are recognised in income tax liabilities to the extent that they have not yet been paid. If the amount already paid exceeds the amount owed, an income tax receivable is recognised and reported under other non-financial assets.

Deferred taxes are accounted for in accordance with IAS 12 using the balance sheet liability method on the basis of the enacted or substantively enacted local tax rates. This means that deferred tax assets and liabilities generally arise when the tax base of assets and liabilities differs from their carrying amount in the IFRS financial statements, and this leads to future tax expense or income. KSB recognises deferred tax assets from tax loss carryforwards in those cases where it is more likely than not that there will be sufficient taxable profit available in the near future against which these tax loss carryforwards can be utilised. Deferred taxes are also recognised for consolidation adjustments. Deferred taxes are not discounted. Deferred tax assets and liabilities are always offset where they relate to the same tax authority. Changes to deferred taxes in the consolidated balance sheet generally result in deferred tax expense or income. Deferred taxes from issues reported under other comprehensive income are also included in other comprehensive income. Deferred taxes from issues that are recognised directly in equity are also directly reflected in equity.

Provisions

a) Provisions for pensions and similar obligations
Provisions for pensions and similar obligations under IAS 19 are calculated on the basis of actuarial reports. They are based on defined benefit pension plans. They are measured using the projected unit credit method.

Actuarial gains and losses are taken directly to other comprehensive income and reported in equity under "Remeasurement of defined benefit plans". The actuarial demographic assumptions and the setting of the discount rate (based on senior, fixed-income corporate bonds) and other measurement parameters (for example income and pension trends) are based on best estimates.

Net interest is calculated by multiplying the discount rate with the net liability (pension obligation minus plan assets) or the net asset value that results if the plan assets exceed the pension obligation.

The defined benefit costs include the service cost, which is included in staff costs under pension costs, and the net interest income or expense on the net liability or net asset value, which is recognised in finance income / expense under interest and similar expenses or under interest and similar income.

Defined benefit assets are reported under non-current other non-financial assets.

No provisions are recognised for defined contribution pension plans. In these cases, the premium payments are recognised directly in staff costs in the income statement. Other than an obligation to pay premiums, KSB has no further obligations and no actuarial risk.

b) Other provisions
Provisions are recognised if an event that occurred by the reporting date of the respective financial year results in a present legal or constructive external obligation that the company has no realistic alternative to settling, where settlement of this obligation is expected to result in an outflow of resources embodying economic benefits, and the amount of the obligation can be estimated reliably. The amount of the provision corresponds to the best estimate of the settlement amount of the current obligation on the reporting date. Any more or less secure recourse or reimbursement claims are recognised as separate assets.

Obligations in the form of expected losses from onerous contracts are recognised if the unavoidable costs to KSB of fulfilling a contract exceed the expected economic

benefits. In the case of customer contracts that are expected to be loss-making, first an impairment of contract-related inventories is recognised before additional provisions are recognised. In contrast, contract assets are reported gross on the one hand and provisions for expected losses from onerous customer contracts are recognised on the other hand.

Provisions for restructurings are recognised only if the criteria set out in IAS 37 are met.

Non-current provisions are discounted if the effects are material.

Contingent liabilities

Contingent liabilities, which are not recognised, are potential obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of uncertain future events. Contingent liabilities may also be present obligations that arise from past events where it is possible but not probable that there will be an outflow of resources embodying economic benefits.

Contingent liabilities correspond to the extent of liability at the reporting date.

Sales revenue

KSB generates sales revenue from the sale of goods and goods purchased and held for resale from the production, sale and trade of machinery, systems and other industrial products, particularly pumps and valves, corresponding spare parts and related support services.

The breadth of orders with pumps ranges from the supply of an individual pump to customised pump sets, including drive and control systems. These goods and services are sold to engineering contractors, OEMs and end users or, in some cases, distributed via dealers.

The Group's valves business covers butterfly valves, globe valves, gate valves, control valves, diaphragm valves and ball valves. It also covers associated actuators and control systems.

The Group's spare parts businesses for pumps and valves are combined with its services in the KSB SupremeServ Segment. KSB's support services particularly include the installation, commissioning, start-up, inspection, servicing, maintenance and repair of pumps, related systems and valves, as well as modular service concepts and system analyses for complete plants.

Sales revenue is recognised in the amount of the consideration expected by KSB based on the transfer of goods or provision of services to the customer. Depending on the type of performance and contractual structure, sales revenue is recognised either over time or at a point in time in line with satisfaction of the performance obligation by KSB.

Some customer contracts contain several service components, such as the manufacture of a pump or valve and further integration services in the form of installation and commissioning and/or start-up. Here, situations regularly involve a uniform performance obligation so that the transaction price in question is not split.

If a performance obligation meets the criteria for recognising sales revenue over time under IFRS 15 and the progress towards completion and expected consideration can be reliably estimated, the sales revenue is generally recognised based on progress towards complete satisfaction of the performance obligation. KSB specifically recognises sales revenue over time for contracts covering the production of customised pumps, valves and spare parts, as well as contracts for the provision of services. KSB applies the input-oriented method to determine progress that is measured by the factors used. The percentage of completion of contracts is determined on the basis of the proportion that contract costs incurred for work performed up to the reporting date bear to the estimated total contract costs at the reporting date and thus follows the cost-to-cost method. The sales revenues from orders generally correspond to the contractually arranged compensation. In individual cases, estimates regarding decreases in sales revenue attributable to penalties may be necessary. The uncertainty of such estimates is not viewed as a significant risk of a material adjustment of the carrying amounts contained in these financial statements at a later point in time. Estimates on costs and contract progress are corrected if circumstances change. Any resultant increases or reductions in the estimated proceeds or costs are reflected in the profit and loss account for the period in which the circumstances giving rise to the correction occurred. If the earnings from a service or production order with sales revenue recognition over time cannot be reliably estimated, revenue will only be recognised in the amount of the contract costs incurred that are likely to be covered and the contract costs recognised as an expense for the period in which they are incurred.

Sales revenue is recognised at a point in time for performance obligations that do not meet the criteria for recognising sales revenue over time under IFRS 15. This usually applies to new products and spare parts without significant customer-specific requirements in the Pumps and Valves Segments. The point in time at which KSB satisfies the performance obligations from contracts with customers subject to sales revenue recognition at a

point in time is generally based on the agreed delivery terms and conditions (INCOTERMS). For certain deliveries and services, a declaration of acceptance by the customer is required for the recognition of sales revenue. In individual cases involving customer contracts based on sales revenue recognition at a point in time, sales revenue may be reduced.

KSB agrees payment terms and conditions for customer contracts that allow for payment in a reasonable period after the invoice has been issued. Extended payment terms are not usually granted to customers. There are usually no long-term financing components.

For regular fixed-price contracts, the customer pays a fixed amount using a payment plan. Depending on the ratio of the customer payments received to the claim to consideration acquired by KSB based on the transfer of goods and services to the customer, there is an advance or subsequent type of payment on the reporting date for the respective customer contract. Contract assets are reported reduced by advances received, if the amount of the goods and services provided by KSB exceed the payment amount. Payments received from the customer that exceed the amount of the goods and services provided by KSB for the respective customer contract result in the reporting of a contract liability.

Other income statement items

Impairment losses and reversals on intangible assets, right-of-use assets and property, plant and equipment are reported under depreciation and amortisation in the income statement.

Operating expenses are recognised when they are incurred or when the services are utilised.

Interest income and expense are recognised in the period in which they occur. Dividend income from investments is collected when the legal entitlement to payment is created.

Income tax is calculated in accordance with the statutory tax rules in the countries in which the Group operates. Deferred taxes are accounted for on the basis of the enacted or substantively enacted income tax rates.

3. Significant discretionary decisions and estimates

Preparation of the consolidated financial statements requires discretionary decisions and estimates regarding the future. These decisions and estimates affect the amounts and recognising of the assets, liabilities, income and expenses. The actual results may deviate from the respective estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis and adjusted to the current circumstances as updated information becomes available. Should this result in material adjustments in the reporting year compared with previous periods, these adjustments are explained separately.

The Group conducts its business activities in a macroeconomic and geopolitical environment that remains complex and uncertain. Estimates and assumptions related to how this environment will evolve and how this will impact the Group's net assets, financial position and results of operations are therefore necessary. Overall, the future global economic growth in important markets is subject to significant uncertainty. The continuation of global political conflicts may have future repercussions for the Group.

In connection with the ESG sustainability issues – Environmental (E), Social (S) and Corporate Governance (G) – estimates are also required in the preparation of the consolidated financial statements with regard to the impact on the financial statements. ESG-related aspects did not have a material impact on KSB's net assets, financial position and results of operations in the reporting year. For further information in this context, please refer to the Group's opportunities and risks report as part of the combined management report.

Material discretionary decisions

Reference in these Notes to the consolidated financial statements	Material discretionary decision
II. Consolidation principles / consolidated Group	Control of KSB Limited, Pimpri (Pune), despite minority shareholding through contractual agreements with other partners

Material estimation uncertainties

Reference in these Notes to the consolidated financial statements	Material estimation uncertainty
III. Accounting policies / 2. Specific accounting policies / sales revenue IV. Balance Sheet Disclosures / 8. Contract assets, trade receivables and other financial and non-financial assets	Carrying amount of contract assets and contract liabilities: Assessment of the expected costs for customer contracts in process as at the reporting date, where sales revenue is recognised over time using this budgeted figure
IV. Balance Sheet Disclosures / 7. Inventories	Determination of the net realisable value of inventories and any impairments or reversals of impairment on these items
IV. Balance Sheet Disclosures / 8. Contract assets, trade receivables and other financial and non-financial assets	Assessment of impairment losses on trade receivables and contract assets due to expected credit losses
IV. Balance Sheet Disclosures / 11. Provisions for pensions and similar obligations	Definition of the discount rate for the measurement of defined benefit obligations
IV. Balance Sheet Disclosures / 12. Other provisions	Estimate in relation to the probability and extent of an outflow in the recognition and measurement of provisions for warranties and penalties

Significant discretionary decisions and estimates for specific individual items are described in the corresponding sections of the Notes to the consolidated financial statements. The interpretations that follow have had the most material impact on the amounts reported in the consolidated financial statements. Possible changes in these estimates may result in material adjustments to the carrying amounts of the assets and liabilities affected in subsequent periods.

IV. Balance Sheet Disclosures

1. Intangible assets

Statement of changes in intangible assets

€ millions	Concessions, industrial property and similar rights and assets, as well as licences in such rights and assets		Goodwill		Internally generated intangible assets		Advance payments		Intangible assets Total	
Historical cost	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Balance at 1 January	**91.6**	**84.4**	**31.3**	**33.5**	**48.5**	**46.4**	**1.1**	**3.2**	**172.5**	**167.5**
Currency translation adjustments	-2.1	0.3	-0.2	0.4	0.0	–	-0.1	0.0	-2.3	0.7
Other	0.1	–	–	–	–	–	–	–	0.1	–
Additions	1.8	4.5	–	–	5.7	2.1	1.4	0.8	9.0	7.4
Disposals	-0.3	-0.4	-0.6	-2.5	–	–	0.0	-0.1	-0.8	-3.0
Reclassifications	1.0	2.8	–	–	–	–	-1.0	-2.8	–	–
Balance at 31 December	**92.2**	**91.6**	**30.6**	**31.3**	**54.2**	**48.5**	**1.4**	**1.1**	**178.4**	**172.5**

Accumulated depreciation and amortisation	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Balance at 1 January	**79.2**	**75.1**	**3.1**	**3.0**	**16.6**	**13.6**	**–**	**–**	**98.9**	**91.8**
Currency translation adjustments	-1.5	0.1	-0.1	0.1	–	–	–	–	-1.6	0.2
Other	0.0	–	–	–	–	–	–	–	0.0	–
Depreciation / amortisation	4.5	4.4	–	–	3.5	2.9	–	–	8.0	7.3
Impairment losses	–	–	0.6	2.5	–	–	–	–	0.6	2.5
Reversals of impairment losses	–	–	–	–	–	–	–	–	–	–
Disposals	-0.3	-0.4	-0.6	-2.5	–	–	–	–	-0.8	-2.9
Reclassifications	–	–	–	–	–	–	–	–	–	–
Balance at 31 December	**82.0**	**79.2**	**3.0**	**3.1**	**20.1**	**16.6**	**–**	**–**	**105.1**	**98.9**
Carrying amount at 31 December	**10.2**	**12.4**	**27.6**	**28.2**	**34.1**	**31.9**	**1.4**	**1.1**	**73.3**	**73.6**

Impairment testing under IAS 36

The date defined by KSB for the mandatory annual impairment testing of goodwill is 30 September of each year. The impairment testing methodology is explained in more detail in Section III, Accounting Policies in the "Intangible assets" sub-section.

Basic assumptions and parameters

The carrying amounts of the cash-generating units in connection with the impairment testing of goodwill do not contain any items relating to income tax or financing activities.

To determine the discount factor, the weighted average cost of capital (WACC) method is applied in conjunction with the capital asset pricing model (CAPM), taking into account a peer group. Under this method, first the cost of equity is determined using CAPM and the borrowing costs are defined, and then the individual capital components are weighted in accordance with the capital structure taking account of the peer group. The peer group information includes aspects like beta factors, capital structure data and borrowing costs. The peer group includes companies that are similar to the Group in terms of industry, size and activity. To account for changes in market parameters, the composition of the peer group is reviewed at regular intervals and adjusted if necessary (e.g. due to changes in the business model of either the cash-generating unit or the comparable company being looked at).

The interest rate for risk-free 30-year Bunds was used as a base rate. This rate was 3.3 % in the reporting year (previous year: 2.5 %). The market risk premium was set at 6.0 % (previous year: 6.7 %), with a beta factor of 1.13 (previous year: 1.19). In addition, country-specific tax rates and country risk premiums are taken into account individually for each cash-generating unit (CGU).

The growth rate for the cash-generating units in the reporting year was generally set at 1.5 % (previous year: 1.5 %). The regular review of the peer group did not generate any new findings in relation to the business models of comparative companies. The peer group for examining the weighted capital cost factor therefore remained the same as in the previous year.

Disclosures on material goodwill items

The only goodwill considered material from the Group's perspective, both in the reporting year and in the previous year, was attributable to cash-generating units in the Netherlands totalling € 18.3 million.

→ **Basic parameters for the impairment testing of goodwill considered material**

Basic parameters for the impairment testing of goodwill considered material

Name of CGU	Carrying amount of goodwill (€ millions)	Percentage of total carrying amount of goodwill	Method	Planning time horizon	Discount rate	Growth rate
30 September 2025						
KSB SupremeServ of KSB Industries B.V. (Netherlands) *	10.2	37 %	Value in use	5 years	12.9 % before tax / 9.9 % after tax	1,5 %
New business with pumps, Standard Markets of KSB Industries B.V. (Netherlands) *	8.1	30 %	Value in use	5 years	12.9 % before tax / 9.9 % after tax	1,5 %
30 September 2024						
KSB SupremeServ of KSB Industries B.V. (Netherlands) *	10.2	36 %	Value in use	5 years	13.2 % before tax / 10.3 % after tax	1,5 %
New business with pumps, Standard Markets of KSB Industries B.V. (Netherlands) *	8.1	29 %	Value in use	5 years	13.1 % before tax / 10.3 % after tax	1,5 %

* The cash-generating units considered here include KSB SupremeServ and the new business with pumps of KSB Industries B.V., KSB Manufacturing B.V. and Duijvelaar Pompen B.V. for the Standard Markets. They include the Water, Building Services, Petrochemicals / Chemicals and General Industry Markets.

In addition, the carrying amount of the other goodwill of € 9.3 million is spread over a large number of the Group's cash-generating units. There are no other significant carrying amounts of individual goodwill in relation to the total carrying amount of the Group's goodwill.

The Group's material assumptions impacting cash flows from the multi-year financial plan on which impairment testing as at 30 September 2025 is based relate to the performance of sales revenue and earnings before finance income / expense and taxes (EBIT). Continuous growth was assumed for both of the key indicators over the five-year detailed planning period. The assessments take into account the company's own experience-based knowledge of competitors and markets as well as published economic data collected externally.

Impairment of goodwill in the 2025 financial year

Name of CGU	Segment	Discount rate (before taxes)	Discount rate (after taxes)	Recoverable amount € millions	Impairment loss € millions
KSB SupremeServ der KSB GIW, Inc. (USA) *	KSB SupremeServ	13.1 %	10.5 %	132.4	**0.6**
Total					**0.6**

* The corresponding goodwill was fully written down in the reporting year.

Impairment loss on goodwill

The goodwill impairments recognised in the reporting year are shown in the above table. Goodwill impairment testing in the previous year resulted in an impairment requirement of € 2.5 million. The impairment losses are recognised in the income statement under depreciation and amortisation.

2. Right-of-use assets

€ millions	31 Dec. 2025	31 Dec. 2024
Right-of-use assets	**58.6**	**57.7**
Of which land and buildings	37.4	39.5
Of which technical equipment and machinery	1.4	0.6
Of which other equipment, operating and office equipment	19.7	17.6

Additions to right-of-use assets in the reporting year amounted to € 25.0 million (previous year: € 30.5 million).

Depreciation on right-of-use assets in the reporting year was as follows:

€ millions	2025	2024
Depreciation on right-of-use assets	**21.2**	**19.9**
Of which land and buildings	12.0	11.7
Of which technical equipment and machinery	0.5	0.4
Of which other equipment, operating and office equipment	8.8	7.7

3. Property, plant and equipment

Statement of changes in property, plant and equipment

€ millions	Land and buildings		Plant and machinery		Other equipment, operating and office equipment		Advance payments and assets under construction*		Property, plant and equipment	
Historical cost	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Balance at 1 January	**573.9**	**531.0**	**744.0**	**695.0**	**296.4**	**271.6**	**62.1**	**45.8**	**1,676.4**	**1,543.5**
Currency translation adjustments	-20.9	5.0	-31.0	13.5	-12.0	3.8	-3.8	0.7	-67.7	22.9
Other	0.9	–	-0.1	–	0.7	–	0.0	–	1.5	–
Additions	15.0	25.7	31.5	28.3	28.3	27.6	72.8	50.9	147.6	132.4
Disposals	-3.6	-1.8	-10.5	-9.5	-13.0	-11.0	-0.2	-0.1	-27.2	-22.4
Reclassifications	15.5	14.1	17.4	16.7	5.2	4.3	-38.1	-35.2	–	–
Balance at 31 December	**580.9**	**573.9**	**751.3**	**744.0**	**305.6**	**296.4**	**92.8**	**62.1**	**1,730.6**	**1,676.4**

Accumulated depreciation and amortisation	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Balance at 1 January	**257.3**	**242.4**	**539.9**	**507.0**	**207.1**	**191.9**	**–**	**–**	**1,004.2**	**941.3**
Currency translation adjustments	-7.6	2.6	-21.5	10.7	-7.6	3.1	–	–	-36.7	16.5
Other	0.9	–	0.3	–	0.2	–	–	–	1.4	–
Depreciation / amortisation	15.7	14.6	30.1	30.0	23.2	22.1	–	–	68.9	66.6
Impairment losses	–	0.2	–	1.7	–	–	–	–	–	1.9
Reversals of impairment losses	-0.9	-0.8	-1.5	–	–	–	–	–	-2.5	-0.8
Disposals	-2.1	-1.8	-10.1	-9.3	-12.2	-10.2	–	–	-24.4	-21.3
Reclassifications	–	0.0	–	-0.1	–	0.1	–	–	–	–
Balance at 31 December	**263.3**	**257.3**	**537.0**	**539.9**	**210.7**	**207.1**	**–**	**–**	**1,011.0**	**1,004.2**
Carrying amount at 31 December	**317.6**	**316.7**	**214.3**	**204.1**	**94.9**	**89.3**	**92.8**	**62.1**	**719.6**	**672.2**

* The carrying amount of advance payments on property, plant and equipment as at the reporting date is € 24.5 million (previous year: € 16.2 million).

4. Financial assets

The non-current financial assets in the amount of € 1.8 million (previous year: € 1.9 million) were attributable to equity investments of € 0.8 million (previous year: € 1.0 million).

5. Other non-financial assets

€ millions	31 Dec. 2025	31 Dec. 2024
Other investments	3.6	4.1
Defined benefit assets	7.5	7.0
	11.1	**11.0**

Other investments are investments in affiliates that were not consolidated due to there being no material impact.

6. Investments accounted for using the equity method

The following table lists the KSB Group's material joint ventures. "Seat" refers to the country in which the main activity is performed. All joint ventures and associates are accounted for using the equity method and can also be found in the list of shareholdings in these Notes to the Consolidated Financial Statements. The share of capital corresponds to the share of voting rights.

→ **Material joint ventures**

Neither of the two material joint ventures is listed on a stock market, which is why there is no active market.

Summarised financial information on these material joint ventures of the KSB Group and a combined summary for all the individually immaterial joint ventures and associated companies are provided in the following tables:

→ **Summarised balance sheet**

→ **Summarised statement of comprehensive income**

→ **Reconciliation to carrying amount of Group share in joint ventures**

→ **Summarised information on joint ventures and associates that are immaterial individually**

As in the previous year, there are no pro rata losses that have not been recognised from the consolidation at equity.

Material joint ventures

Name and seat	Capital share	Nature of the entity's relationship
KSB Pumps Arabia Ltd., Saudi Arabia	50.00%	KSB Pumps Arabia Ltd. in Riyadh, Saudi Arabia, offers a wide range of services and activities for the energy market as well as in water, waste water and building services applications. The portfolio includes business development and marketing, supply chain management, production of pressure booster systems and pump sets, sale of pumps, valves and systems and technical service activities. KSB Pumps Arabia Ltd. is important for the growth of the Group in the Saudi Arabian market.
Shanghai Electric-KSB Nuclear Pumps and Valves Co., Ltd., China	45.00%	Shanghai Electric-KSB Nuclear Pumps and Valves Co., Ltd. in Shanghai, China, produces suitable auxiliary pumps for the secondary coolant circuits and modern reactor coolant pumps for the primary cooling circuits of nuclear power stations. Shanghai Electric-KSB Nuclear Pumps and Valves Co., Ltd. is a strategic partnership on the part of the Group, through which KSB is participating in the expansion of energy capacity in China and other Asian markets.

Summarised balance sheet

	KSB Pumps Arabia Ltd.		Shanghai Electric-KSB Nuclear Pumps and Valves Co., Ltd.	
€ millions	**31 Dec. 2025**	**31 Dec. 2024**	**31 Dec. 2025**	**31 Dec. 2024**
Non-current assets	10.7	11.4	76.5	77.1
Current assets	56.5	50.6	223.4	247.7
Of which cash and cash equivalents	4.3	4.3	47.2	60.1
Non-current liabilities	-11.1	-8.4	0.0	0.0
Of which non-current financial liabilities (excluding trade payables and provisions)	-9.1	-6.5	–	–
Current liabilities	-35.8	-35.9	-250.9	-276.8
Of which current financial liabilities (excluding trade payables and provisions)	-3.2	-8.4	-2.9	-12.8
Net assets	**20.3**	**17.7**	**48.9**	**48.0**

Summarised statement of comprehensive income

	KSB Pumps Arabia Ltd.		Shanghai Electric-KSB Nuclear Pumps and Valves Co., Ltd.	
€ millions	**2025**	**2024**	**2025**	**2024**
Sales revenue	58.6	48.1	77.9	85.0
Depreciation / amortisation	1.0	0.9	3.9	4.0
Interest income	–	–	0.2	0.3
Interest expense	-0.8	-1.0	-0.1	-0.4
Earnings from continuing operations	5.6	3.8	4.3	3.2
Taxes on income	-0.6	-0.4	0.4	-0.1
Earnings after taxes from continuing operations	**5.0**	**3.3**	**4.8**	**3.1**
Earnings after taxes from discontinued operations	–	–	–	–
Other comprehensive income	-2.4	0.8	-3.8	1.6
Comprehensive income	**2.5**	**4.1**	**0.9**	**4.7**
Dividends received from joint ventures	**–**	**–**	**–**	**–**

Reconciliation to carrying amount of Group share in joint ventures

	KSB Pumps Arabia Ltd.		Shanghai Electric-KSB Nuclear Pumps and Valves Co., Ltd.	
€ millions	**2025**	**2024**	**2025**	**2024**
Net carrying amount at 1 January	17.7	13.6	48.0	43.2
Earnings after income tax	5.0	3.3	4.8	3.1
Distribution of dividends	–	–	–	–
Other comprehensive income	-2.4	0.8	-3.8	1.6
Net carrying amount at 31 December	**20.3**	**17.7**	**48.9**	**48.0**
Investment in joint venture (50 % / 45 %)	10.1	8.9	22.0	21.6
Elimination of intercompany profit and loss / standardisation of accounting policies	-1.0	-1.3	-5.6	-6.4
Carrying amount at 31 December	**9.1**	**7.6**	**16.4**	**15.2**

Summarised information on joint ventures and associates that are immaterial individually

	2025			2024		
€ millions	**Joint ventures**	**Associates**	**Total**	**Joint ventures**	**Associates**	**Total**
Total carrying amounts of Group shares as at 1 January	**6.7**	**2.2**	**8.9**	**4.4**	**1.8**	**6.2**
Addition through acquisition	–	6.1	6.1	–	–	–
Group share of earnings from continuing operations	0.8	-0.8	0.0	2.0	1.4	3.4
Group share of other comprehensive income	-0.7	–	-0.7	0.3	–	0.3
Group share of comprehensive income	0.1	-0.8	-0.7	2.4	1.4	3.7
Elimination of intercompany profit and loss	0.0	–	0.0	0.0	–	0.0
Dividend distributed to the Group	-0.3	-0.8	-1.1	-0.1	-0.9	-1.0
Total carrying amounts of Group shares as at 31 December	**6.6**	**6.7**	**13.3**	**6.7**	**2.2**	**8.9**

7. Inventories

€ millions	31 Dec. 2025	31 Dec. 2024
Raw materials, consumables and supplies	244.6	271.4
Work in progress	284.5	258.9
Finished goods and goods purchased and held for resale	197.3	210.4
Advance payments	25.9	24.2
	752.4	**764.8**

When determining the net realisable values of inventories unrelated to a specific customer contract, particular consideration is given to the period in which the existing inventory is expected to be consumed. In cases involving contract-related inventories, mainly ongoing estimates on the expected costs of completion, selling costs and the corresponding profitability of customer contracts are factored into the considerations.

The impairment losses on inventories recognised as an expense in the reporting period amount to € 12.7 million (previous year: € 21.5 million). Reversals of impairments on inventories in the amount of € 3.3 million (previous year: € 3.5 million) resulted from increased net realisable values compared with the previous year. Impairment losses and reversals of impairment losses on inventories are recognised in the income statement under cost of materials and changes in inventories. Inventories amounting to € 1,182.9 million (previous year: € 1,170.0 million) were recognised as an expense in the reporting period.

Of the inventories as at the reporting date, work in progress and finished goods amounting to a total of € 84.3 million (previous year: € 89.8 million) have a maturity of more than one year.

8. Contract assets, trade receivables and other financial and non-financial assets

€ millions	31 Dec. 2025	31 Dec. 2024
Contract assets	**65.9**	**56.9**
Trade receivables	**619.8**	**605.4**
Trade receivables from third parties	572.3	559.5
Trade receivables from related parties	47.6	45.9
Other financial assets	**66.8**	**89.9**
Receivables from loans to related parties	3.4	3.4
Currency forwards	2.7	2.5
Other receivables and other current assets	60.7	84.0
Other non-financial assets	**70.5**	**51.7**
Income tax receivables	16.0	10.7
Receivables from other taxes	34.3	24.3
Deferred income	20.2	16.6

Contract assets at the end of the reporting year totalled € 65.9 million (previous year: € 56.9 million). This increase is due to the fact that KSB's contracts progressed more strongly than the related advance payments received as at the reporting date. Of the contract assets as at the reporting date, € 12.4 million (previous year: € 11.8 million) relate to project orders with customers whose completion is not expected until more than one year after the reporting date.

The carrying amount of the contract assets as at the reporting date reflects estimates regarding expected costs, and thus estimates regarding contract progress, of customer orders in progress. This applies in a similar fashion to liabilities from current contracts involving sales revenue that is recognised over time using the cost-to-cost method. New findings and estimates regarding the planned costs relating to customer orders may result in the carrying amounts of contract assets and contractual liabilities to increase or decrease materially in subsequent periods.

Impairment losses of € 34.8 million (previous year: € 35.8 million) were recognised on trade receivables and contract assets as at the reporting date.

Development of impairment losses on trade receivables and contract assets

€ millions	2025	2024
Opening balance at 1 January	**-35.8**	**-35.4**
Amounts written down	1.6	2.1
Remeasurement of impairment losses	-3.1	-2.6
Currency translation / Other	2.5	0.1
Closing balance at 31 December	**-34.8**	**-35.8**

Default risks regarding trade receivables and contract assets by maturity

	Net carrying amount (€ millions)	Impairments (€ millions)	Expected loss ratio
31 Dec. 2025			
Not overdue	565.1	-5.5	1.0 %
1–30 days overdue	59.5	-1.3	2.2 %
31–90 days overdue	34.1	-1.8	5.2 %
More than 90 days overdue	61.8	-26.2	42.3 %
	720.6	**-34.8**	**4.8 %**
31 Dec. 2024			
Not overdue	547.4	-7.3	1.3 %
1–30 days overdue	52.5	-1.3	2.5 %
31–90 days overdue	37.4	-2.1	5.5 %
More than 90 days overdue	60.8	-25.1	41.3 %
	698.1	**-35.8**	**5.1 %**

Deriving the impairment losses also requires estimates of the extent to which the solvency of contractual partners has been impacted by the various geopolitical conflicts. Overall, these interpretations by KSB are subject to uncertainty, meaning that new information relative to the original estimates made could have a material effect on the amount of the impairment losses in subsequent periods.

Of all the impairment losses, € 0.2 million (previous year: € 0.2 million) are attributable to trade receivables from related parties. They relate entirely to receivables from other equity investments. As in the previous year, no impairment losses were recognised for receivables from loans to related parties as at the reporting date. For further information on relationships with related parties, please refer to the relevant details in Section IX. Other Disclosures.

Other receivables and other current assets include hedges of credit balances prescribed by law for partial retirement arrangements and long-term working time accounts of the German Group companies in the amount of € 12.4 million (previous year: € 13.0 million).

€ 46.5 million (previous year: € 41.4 million) of total receivables and other assets are due after more than one year.

9. Cash and cash equivalents

Cash and cash equivalents are term deposits with short maturities and call deposits, and also current account balances. Cash equivalents include short-term deposits with an original maturity of less than three months.

As in the previous year, the cash and cash equivalents reported as at the reporting date are not subject to any significant restrictions on disposal by KSB.

10. Equity

There was no change in the share capital of KSB SE & Co. KGaA as against the previous year. In accordance with the Articles of Association, it totals € 44,771,963.82 and, as in the previous year, is composed of 886,615 ordinary shares and 864,712 preference shares. Each no-par-value share represents an equal notional amount of the share capital. The preference shares carry separate cumulative preferred dividend rights in the amount of € 1.03 per preference share and progressive additional dividend rights. All shares are no-par-value bearer shares. The individual shares have no par value.

The capital reserve results from the appropriation of premiums from capital increases in previous years.

Development of currency translation differences in equity

€ millions	Currency translation differences in equity attributable to shareholders of KSB SE & Co. KGaA	Currency translation differences in non-controlling interests	Total amount of currency translation differences in equity
1 Jan. 2024	-137.3	-29.6	-166.9
Change in 2024	10.7	12.2	23.0
31 Dec. 2024	**-126.6**	**-17.4**	**-143.9**
1 Jan. 2025	-126.6	-17.4	-143.9
Change in 2025	-51.1	-31.4	-82.5
31 Dec. 2025	**-177.6**	**-48.8**	**-226.5**

In addition to revenue reserves from previous years, the revenue reserves include currency translation adjustments, consolidation effects, remeasurements of defined benefit plans under IAS 19 and changes in the fair value of derivatives taken directly to equity. These issues resulted in deferred tax assets in the amount of € 35.4 million (previous year: € 54.3 million) and deferred tax liabilities in the amount of € 0.9 million (previous year: € 0.6 million).

The development of the currency translation differences recognised in equity is shown in the corresponding table.

A total of € 46.6 million (dividend of € 26.50 per ordinary share and € 26.76per preference share) was paid from equity by resolution of the Annual General Meeting of the Group's parent company KSB SE & Co. KGaA, Frankenthal, on 8 May 2025.

The proposal on the appropriation of the net retained earnings of KSB SE & Co. KGaA for the reporting year calculated in accordance with HGB [*Handelsgesetzbuch* – German Commercial Code] is shown at the end of these Notes.

The development of the equity items, including the non-controlling interests explained in more detail below, is shown in the statement of changes in equity.

Non-controlling interests

The table below shows the subsidiaries with material non-controlling interests from the Group's perspective. "Seat" refers to the country in which the main activity is performed.

Non-controlling interest relates primarily to PAB Pumpen- und Armaturen-Beteiligungsges. mbH, Frankenthal / Pfalz, and the interests it holds, as well as to companies in India and China. KSB SE & Co. KGaA, Frankenthal / Pfalz, holds a 51 % interest in PAB Pumpen- und Armaturen-Beteiligungsges. mbH, while Johannes und Jacob Klein GmbH, Frankenthal / Pfalz, holds a 49 % interest.

Information on the subgroup that comprised the subsidiaries of the KSB Group listed in the relevant table as at 31 December 2025 is summarised under the name "PAB".

The summarised financial information regarding the KSB Group's subsidiaries with material non-controlling interests and the PAB subgroup considered here is provided below. Except for the details on the PAB subgroup, this information corresponds to the amounts shown in the subsidiaries' financial statements prepared in accordance with IFRS prior to intercompany eliminations.

The required intercompany eliminations were taken into consideration for the PAB subgroup.

→ **Summarised balance sheet**

→ **Summarised statement of comprehensive income**

→ **Summarised statement of cash flows**

Subsidiaries with material non-controlling interests

Name and seat	Non-controlling interest in capital	Earnings after income tax attributable to non-controlling interests		Accumulated non-controlling interests in equity	
€ millions	2025 / 2024	2025	2024	31 Dec. 2025	31 Dec. 2024
PAB, Germany / USA (subgroup)	49.00 %	6.0	7.5	104.7	111.2
KSB Limited, India	59.46 %	15.1	16.2	92.9	98.3
KSB Shanghai Pump Co., Ltd., China	20.00 %	2.1	2.2	9.8	9.4
Subsidiaries with individually immaterial non-controlling interests		2.3	2.9	23.1	23.9
Total amount of non-controlling interests		**25.5**	**28.7**	**230.4**	**242.9**

Composition of the PAB subgroup as at 31 December 2025

Cons. No.	Name and seat	Country	Capital share in %	Held by No.
1	PAB Pumpen- und Armaturen-Beteiligungsges. mbH, Frankenthal	Germany	51.00	–
2	KSB America Corporation, Richmond / Virginia	USA	100.00	1
3	KSB GIW, Inc., Grovetown / Georgia	USA	100.00	2
4	KSB Dubric, Inc., Comstock Park / Michigan	USA	100.00	2
5	KSB, Inc., Richmond / Virginia	USA	100.00	2
6	KSB, Inc. – Western Division, Bakersfield / California	USA	100.00	2
7	Standard Alloys Incorporated, Port Arthur / Texas	USA	100.00	2

Summarised balance sheet

	PAB		KSB Limited		KSB Shanghai Pump Co., Ltd.	
€ millions	**31 Dec. 2025**	**31 Dec. 2024**	**31 Dec. 2025**	**31 Dec. 2024**	**31 Dec. 2025**	**31 Dec. 2024**
Non-current assets	122.6	119.5	62.6	65.5	37.4	38.5
Current assets	175.2	185.5	201.1	196.3	176.2	169.3
Non-current liabilities	-15.5	-17.2	-6.5	-2.9	-1.3	-1.0
Current liabilities	-62.5	-56.5	-99.3	-92.7	-162.3	-158.5
Net assets	**219.8**	**231.2**	**157.9**	**166.1**	**50.0**	**48.3**

Summarised statement of comprehensive income

	PAB		KSB Limited		KSB Shanghai Pump Co., Ltd.	
€ millions	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Sales revenue	295.9	298.1	275.7	280.9	210.7	210.1
Earnings after income tax	14.3	13.9	27.1	27.5	10.3	10.9
Other comprehensive income	-25.7	15.1	-28.2	4.6	-3.9	1.6
Comprehensive income	-11.4	29.0	-1.1	32.0	6.4	12.6
Other comprehensive income attributable to non-controlling interests	-12.6	7.4	-16.8	2.7	-0.8	0.3
Comprehensive income attributable to non-controlling interests	-5.6	14.2	-0.6	19.0	1.3	2.5
Dividends paid to non-controlling interests	–	-7.4	-4.3	-4.0	-0.9	-1.7

Summarised statement of cash flows

	PAB		KSB Limited		KSB Shanghai Pump Co., Ltd.	
€ millions	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Cash flows from operating activities	33.5	29.4	12.3	23.4	16.5	12.9
Cash flows from investing activities	-24.8	-24.5	2.8	-18.9	-8.9	-9.0
Cash flows from financing activities	-2.2	-17.3	-7.4	-7.1	-5.3	-12.9
Changes in cash and cash equivalents	**6.5**	**-12.4**	**7.7**	**-2.6**	**2.3**	**-9.0**
Cash and cash equivalents at beginning of period	20.4	30.0	10.9	13.1	39.4	47.6
Effects of exchange rate changes	-2.6	2.8	-2.6	0.4	1.4	0.8
Cash and cash equivalents at end of period	**24.3**	**20.4**	**15.9**	**10.9**	**43.1**	**39.4**

11. Provisions for pensions and similar obligations

The pension obligations in the KSB Group include defined contribution and defined benefit plans and contain both obligations from current pensions and future pension benefit entitlements.

Defined contribution pension plans

The expenses for statutory defined contribution pension plans in the reporting year amounted to € 68.0 million (previous year: € 66.3 million). Of this figure, € 31.4 million (previous year: € 31.7 million) resulted from contributions into the statutory pension insurance scheme in Germany. For voluntary defined contribution pension plans, expenses of € 8.0 million (previous year: € 7.8 million) were recognised.

Description of the defined benefit pension plans

The obligations for defined benefit pension plans for employees of the Group are mainly due to pension obligations in Germany, as well as in India, France and the United States.

Around 85 % of the defined benefit plans are attributable to the German Group companies. These relate to direct commitments by the companies to their employees. The commitments are based on salary and length of service. Contributions from employees themselves are also considered. This pension provision can be broken down into purely company-financed basic provision and the top-up provision from the employer. The latter is based on the amount of own contributions and the generated return on sales before taxes on income. Both components take account of the general pension contribution (the amount of which partially depends on company performance), personal income (the relationship between pensionable income and maximum income threshold) and the annuity conversion factor (based on age). For the material pension plans of the German companies, every employee is entitled to apply at any time during the ongoing employment contract for payment in annual instalments, as a one-time payment or as a pension for life.

The obligations for defined benefit plans in India include bonuses and superannuation. Employees who have continuously worked for their company for at least five years are entitled to a bonus. This one-off payment, which is based on the respective employee's salary and length of service at the company, falls due upon retirement, death or termination of employment. Benefits in the form of superannuation are provided to employees who meet certain requirements for entitlement. The amount to which employees are entitled and which fall due upon the employee's retirement or the termination of employment is calculated based on the employee category and the number of years of service. As an alternative to the one-off payment, employees can opt for proportional annuity payments under the superannuation arrangement.

Pension schemes in France are governed by the provisions of the respective collective agreements. The obligations are basically covered by assets that have been paid in to an external fund. Upon retirement, the employees concerned receive a one-off payment from the fund.

The defined benefit pension plans in the United States are closed to new entrants. The pension benefit amount is derived from the average salary and years of service before closure of the plan. The retirement age is 65 years; from this point a monthly payment is made to the beneficiaries. The pension benefits are financed by external funds.

In addition, employees in other countries are entitled to a limited extent to retirement and partly to medical care benefits, depending mainly on their length of service and salary.

These defined benefit plans harbour actuarial risks, such as the longevity risk and interest rate risk. The payments associated with the pension obligations are mostly serviced through liquidity. Plan assets are also partially available for financing these obligations. Most of the plan assets are managed by insurers who set their own appropriate investment policies.

The actuarial valuations of the present value of the defined benefit obligation (and the related current service cost and the past service cost) are measured and calculated annually on the basis of actuarial reports using the projected unit credit method (IAS 19). Plan assets are measured at fair value.

Explanation of the effects of the defined benefit pension plans on the balance sheet and income statement

The regional allocation of the total defined benefit pension plans from the Group's perspective, as well as the change in the present value of the defined benefit obligation, the fair value of plan assets and the net liability from defined benefit obligations, as consolidated for the Group, is presented in the following tables.

→ **Regional allocation of the defined benefit pension plans**

→ **Changes in the present value of defined benefit obligations**

→ **Changes in the fair value of plan assets**

→ **Changes in the net defined benefit liability / asset**

Regional allocation of the defined benefit pension plans

€ millions	Defined benefit obligations (DBOs)	Fair value of plan assets	Effect of the asset ceiling	Net liability / asset	Defined benefit obligations (DBOs)	Fair value of plan assets	Effect of the asset ceiling	Net liability / asset
	31 Dec. 2025				31 Dec. 2024			
Germany	429.6	–	–	429.6	468.4	–	–	468.4
India	17.1	-9.8	–	7.3	14.2	-11.4	–	2.8
France	9.6	-1.2	–	8.4	10.0	-1.8	–	8.2
USA	8.8	-15.3	–	-6.5	10.6	-16.7	–	-6.0
Other countries	41.1	-36.0	3.8	8.9	41.6	-36.2	3.9	9.3
	506.2	**-62.3**	**3.8**	**447.7**	**544.8**	**-66.1**	**3.9**	**482.6**

Current and past service costs are recognised in staff costs under pension costs.

The interest rate effect from accounting for the defined benefit pension plans, in the form of interest expenses from the DBO and interest income from the plan assets, is recognised in the income statement as a net amount under the interest and similar expenses item and thus in the finance income / expense.

The remeasurement of defined benefit obligations and plan assets as well as the change in the asset ceiling are included in other comprehensive income and thus directly in the Group's equity.

Overall, because of the asset ceiling stipulated in IAS 19, a surplus of plan assets over the present value of the related defined benefit obligations in the amount of € 3.8 million (previous year: € 3.9 million) is not recognised as an asset as at the reporting date.

KSB does not derive any future economic benefit from this surplus in the form of reduced contributions or a refund.

Explanation of the plan assets

The structure of plan assets within the Group is generally designed to correspond to the cash flows expected from defined benefit obligations and the risks associated with them. As a result, plan assets are spread across various asset classes.

→ **Composition of plan assets**

In principle, the pension funds are endowed with the amount needed to meet the respective statutory minimum requirements.

The actual income from plan assets amounted to € 3.3 million (previous year: € 5.7 million).

In the following year, employer contributions to plan assets are expected to amount to € 9.0 million.

Changes in the present value of defined benefit obligations

€ millions	2025	2024
Opening balance of the defined benefit obligation (DBO) – 1 Jan.	**544.8**	**549.8**
Current service cost	12.5	12.2
Interest cost	18.5	17.9
Employee contributions	0.4	0.3
Remeasurements		
– / + Gain / loss from changes in demographic assumptions	-0.3	0.1
– / + Gain / loss from changes in financial assumptions	-40.8	-13.1
– / + Experience-based gain / loss	-1.2	0.9
Benefit payments	-26.2	-24.6
Past service cost (incl. effects of settlements and curtailments)	3.6	-0.3
Currency translation differences	-5.1	1.4
Changes in consolidated Group / Other	–	–
Closing balance of the defined benefit obligation (DBO) – 31 Dec.	**506.2**	**544.8**

Changes in the fair value of plan assets

€ millions	2025	2024
Opening balance of the plan assets measured at fair value – 1 Jan.	**66.1**	**61.3**
Interest income	2.8	2.9
Remeasurements		
+ / – Gain / loss from plan assets excluding amounts already recognised in interest income	0.5	2.8
Contributions by the employer	1.5	1.7
Contributions by the beneficiary employees	0.4	0.3
Currency translation differences	-4.5	2.0
Paid benefits	-4.3	-4.7
Changes in consolidated Group / Other	-0.2	-0.2
Closing balance of the plan assets measured at fair value – 31 Dec.	**62.3**	**66.1**

Changes in the net defined benefit liability / asset

€ millions	2025	2024
Opening balance of the net defined benefit liability / asset – 1 Jan.	**482.6**	**492.1**
Current service cost	12.5	12.2
Net interest expense	16.0	15.2
Employee contributions	–	–
Contributions by the employer	-1.5	-1.7
Remeasurements		
– / + Gain / loss from plan assets excluding amounts already recognised in interest income	-0.5	-2.8
– / + Gain / loss from changes in demographic assumptions	-0.3	0.1
– / + Gain / loss from the change in financial assumptions	-40.8	-13.1
– / + Experience-based gain / loss	-1.2	0.9
Change in the asset ceiling	-0.2	0.1
Benefit payments	-22.0	-19.8
Past service cost (incl. effects of settlements and curtailments)	3.6	-0.3
Currency translation differences	-0.8	-0.4
Changes in consolidated Group / Other	0.2	0.2
Closing balance of the net defined benefit liability / asset – 31 Dec.	**447.7**	**482.6**
Of which defined benefit assets	7.5	7.0
Of which provisions for pensions and similar obligations	455.2	489.6

Composition of plan assets

€ millions	Quoted market price in an active market 31 Dec. 2025	No quoted market price in an active market 31 Dec. 2025	Total 31 Dec. 2025	Quoted market price in an active market 31 Dec. 2024	No quoted market price in an active market 31 Dec. 2024	Total 31 Dec. 2024
Equity instruments (shares)	21.0	–	21.0	21.0	–	21.0
Debt instruments (loans)	19.8	–	19.8	21.1	–	21.1
Of which government bonds	13.9	–	13.9	14.3	–	14.3
Of which corporate bonds	5.9	–	5.9	6.8	–	6.8
Money market investments	–	0.3	0.3	0.7	0.2	0.9
Real estate	0.4	–	0.4	0.4	0.1	0.5
Insurance contracts	5.5	9.8	15.4	5.1	11.4	16.6
Bank credit balances	3.3	0.4	3.7	3.3	0.3	3.7
Other investments	1.9	–	1.9	2.4	–	2.4
	51.8	**10.5**	**62.3**	**54.1**	**12.0**	**66.1**

Actuarial assumptions, sensitivities and other disclosures on defined benefit pension plans

As in the previous year, measurement of the German pension plans is based on a mean fluctuation rate of 2.0 %. The biometric assumptions continue to be based on the 2018G mortality tables published by Prof. Dr. Klaus Heubeck. The retirement age used for the calculations is based on the *Rentenversicherungs-Altersgrenzenanpassungsgesetz* 2007 [RVAGAnpG – German Act Adapting the Standard Retirement Age for the Statutory Pension Insurance System]. Other measurement parameters (e.g. cost trends in the medical care area) are not material.

The discount rate and future mortality were identified as key actuarial assumptions.

Discount rate

%	31 Dec. 2025	31 Dec. 2024
Germany	4.2	3.4
India	6.6	7.0
France	4.0	3.4
USA	5.0	5.0

As in the previous year the basis for the calculation of the sensitivities is the same method which was used for the calculation of the provisions for pensions and similar obligations. Were the discount factor to increase by 100 basis points, the DBO would fall by € 49.5 million (previous year: € 58.5 million). A 100 basis point reduction in the discount factor would increase the DBO by € 61.5 million (previous year: € 72.9 million). It should be noted that a change in the discount factor due to particular financial effects (such as compound interest) does not affect the development of the DBO on a straight-line basis. Were life expectancy to increase by 1 year, the DBO would increase by € 14.9 million (previous year: € 17.2 million). Additionally, the individual actuarial assumptions are mutually dependent, but these interdependencies are not taken into account in the sensitivity analysis.

On 31 December 2025 the weighted average term of the DBO was 12 years (previous year: 13 years).

KSB's expected benefit payments from defined benefit pension plans over the next five years are shown in the table below.

Expected pension benefit payments

€ millions at 31 Dec. 2025	2026	2027	2028	2029	2030
Expected payments	30.3	30.2	29.3	31.0	35.4

€ millions at 31 Dec. 2024	2025	2026	2027	2028	2029
Expected payments	28.6	29.5	28.9	30.9	31.3

12. Other provisions

The provisions for warranty obligations and contractual penalties cover the statutory and contractual obligations to customers. They amount to € 65.3 million (previous year: € 81.8 million) in the reporting year. In particular, the recognition and measurement of provisions is based on estimates drawing on historical data regarding similar products and services. In addition, estimates are necessary regarding KSB's potential involvement in major projects with customers. Alongside KSB's empirical data, this involves specific individual interpretation with a view towards the product KSB is contractually obligated to provide and corresponding arrangements made with the customer. Should estimates need to be revised in subsequent periods due to new information in individual cases, this can have material impact on additions and reversals, and thus on the amount of provisions for warranties and penalties.

Provisions for employee benefits relate primarily to anniversary and partial retirement obligations.

The provisions for onerous contracts amounting to € 5.6 million (previous year: € 6.3 million) result in particular from project orders with customers.

Miscellaneous other provisions include provisions for litigation risks in the amount of € 10.8 million (previous year: € 10.8 million).

€ 35.5 million (previous year: € 42.8 million) of the other provisions are expected to become cash-effective after more than one year.

Composition of other provisions

	31 Dec. 2025			31 Dec. 2024		
€ millions	**Total**	**Non-current**	**Current**	**Total**	**Non-current**	**Current**
Warranty obligations and contractual penalties	**65.3**	–	65.3	**81.8**	–	81.8
Employee benefits	**17.9**	9.2	8.8	**20.0**	10.5	9.5
Onerous contracts	**5.6**	–	5.6	**6.3**	–	6.3
Miscellaneous other provisions	**22.8**	1.6	21.2	**26.9**	1.9	25.0
	111.7	**10.8**	**100.9**	**135.0**	**12.5**	**122.5**

Development of other provisions

€ millions	**1 Jan. 2025**	**CTA* / Other**	**Utilisation**	**Reversal**	**Additions**	**31 Dec. 2025**
Warranty obligations and contractual penalties	81.8	-1.5	-18.1	-18.9	22.0	**65.3**
Employee benefits	20.0	-0.1	-6.7	-0.2	4.9	**17.9**
Onerous contracts	6.3	-0.1	-2.0	-0.1	1.6	**5.6**
Miscellaneous other provisions	26.9	-0.9	-5.1	-5.5	7.4	**22.8**
	135.0	**-2.5**	**-31.9**	**-24.7**	**35.8**	**111.7**

13. Liabilities

Non-current liabilities

€ millions	31 Dec. 2025	31 Dec. 2024
Financial liabilities	**39.0**	**37.8**
Bank loans and overdrafts	0.1	0.1
Finance lease liabilities	38.7	37.4
Other	0.3	0.3

Current liabilities

€ millions	31 Dec. 2025	31 Dec. 2024
Financial liabilities	**22.3**	**20.8**
Bank loans and overdrafts	3.6	3.0
Finance lease liabilities	18.6	17.8
Other	0.0	0.0
Contract liabilities	**215.7**	**214.4**
Trade payables	**362.7**	**356.7**
Trade payables to third parties	347.7	339.8
Trade payables to related parties	15.0	16.9
Other financial liabilities	**33.8**	**35.1**
Currency forwards	2.3	6.2
Miscellaneous other financial liabilities	31.5	28.9
Other non-financial liabilities	**207.8**	**201.4**
Social security and liabilities to employees	169.4	165.5
Tax liabilities (excluding income tax)	33.6	31.4
Investment grants and subsidies	4.9	4.5
Income tax liabilities	**34.2**	**32.0**

The maturity analysis of lease obligations at the reporting date is as follows:

Maturity analysis of liabilities from lease obligations

€ millions	31 Dec. 2025	31 Dec. 2024
Due within 1 year	18.6	17.8
Due between 1 and 5 years	33.6	32.6
Due after more than 5 years	5.1	4.8
	57.3	**55.2**

The amount of contract liabilities at the end of the reporting year is € 215.7 million and thus remains at the prior-year level of € 214.4 million. In the reporting year, KSB recognised sales revenue of € 155.8 million (previous year: € 156.7 million; figure from previous year adjusted in accordance with IAS 8.42), which was included in the balance of contract liabilities at the beginning of the reporting year.

Overall, assets of the Group amounting to € 14.8 million (previous year: € 24.1 million) are used to secure liabilities and are subject to corresponding restrictions on disposal by KSB or pledges. As in the previous year, the assets used as security for liabilities were fully attributable to other receivables and other current assets. This includes, in particular, hedges of credit balances for partial retirement arrangements and long-term working time accounts of the German Group companies, as well as cash deposits for bank guarantees associated with customer contracts.

V. Income Statement Disclosures

14. Sales revenue

The tables on the right show the breakdown of the Group's sales revenue by product category, timing of revenue recognition and Segment. Detailed information on KSB's Segments is provided in Section VIII. Segment Reporting of the Notes to the consolidated financial statements.

The Group's orders on hand, in the form of the total transaction price of performance obligations unsatisfied or partially unsatisfied as at the reporting date, are as follows:

Performance obligations unsatisfied or partially unsatisfied as at the reporting date (orders on hand)

€ millions	31 Dec. 2025	31 Dec. 2024
Total transaction price of performance obligations unsatisfied or partially unsatisfied as at the reporting date (orders on hand)	**1,730.3**	**1,650.1**
Of which expected sales revenue within the next 12 months	1,405.2	1,306.9
Of which expected sales revenue after more than 12 months but under 24 months	162.3	154.4
Of which expected sales revenue after more than 24 months	162.8	188.7

Breakdown of sales revenue for the 2025 financial year

€ millions	Pumps Segment	Valves Segment	KSB SupremeServ Segment	Total
Sales revenue	**1,617.9**	**403.9**	**1,012.9**	**3,034.7**
Of which sales revenue from the sale of goods	1,617.9	403.9	691.7	2,713.5
Of which sales revenue from the provision of services	–	–	321.2	321.2
Of which goods and services transferred at a point in time	1,423.5	381.1	602.1	2,406.6
Of which goods and services transferred over time	194.4	22.8	410.8	628.1

Breakdown of sales revenue for the 2024 financial year

€ millions	Pumps Segment	Valves Segment	KSB SupremeServ Segment	Total
Sales revenue	**1,550.5**	**398.8**	**1,015.8**	**2,965.2**
Of which sales revenue from the sale of goods	1,550.5	398.8	706.0	2,655.4
Of which sales revenue from the provision of services	–	–	309.8	309.8
Of which goods and services transferred at a point in time	1,344.4	376.2	605.8	2,326.4
Of which goods and services transferred over time	206.1	22.6	410.0	638.8

15. Other income

€ millions	2025	2024*
Government grants	12.1	7.6
Insurance compensation	6.5	0.4
Gains on disposal of intangible assets and property, plant and equipment	2.0	1.2
Currency translation gains	0.1	4.3
Miscellaneous other income	12.4	12.6
	33.1	**26.2**

* The amount of other income disclosed for the previous year is € 8.8 million less than the amount presented in the 2024 Annual Report. Income from the reversal of impairment losses, which was previously reported separately under other income, is now presented under other expenses in the item "Remeasurement of impairment losses on trade receivables and contract assets".

In connection with the cyber attack on KSB in 2022, the Group reported income from insurance compensation in the amount of € 4.4 million in the 2025 financial year.

Other income relates to a large number of individual items and includes, among other things, remuneration for various other services provided by the Group outside its primary business activities.

16. Cost of materials

The cost of materials amounted to € 1,199.6 million (previous year: € 1,178.6 million) in the reporting year. This item includes expenses for raw materials, consuma-bles and supplies and for goods and services purchased.

17. Staff costs

€ millions	2025	2024
Wages and salaries	856.7	824.2
Social security contributions and employee assistance costs	182.8	170.3
Pension costs	24.1	19.7
	1,063.7	**1,014.1**

The average number of employees in the Group during the year and as at the reporting date is shown in the table below.

The increase in staff costs compared with the previous year reflects in particular the higher number of employees as well as general wage and salary increases.

Employees

	Average for the year		At reporting date	
	2025	2024	31 Dec. 2025	31 Dec. 2024
Wage earners	6,673	6,631	6,615	6,616
Salaried employees	10,043	9,625	10,223	9,791
	16,716	**16,256**	**16,838**	**16,407**

18. Other expenses

€ millions	2025	2024
Administrative expenses *	193.3	171.4
Repairs, maintenance, third-party services *	101.2	97.4
Marketing and selling costs *	93.4	101.1
Other staff costs *	49.8	47.5
Rents and leases	14.2	12.0
Other taxes	14.0	14.8
Remeasurement of impairment losses on trade receivables and contract assets **	3.1	2.6
Currency translation losses	2.5	0.2
Losses from disposal of intangible assets and property, plant and equipment	0.8	1.0
Miscellaneous other expenses **	5.3	19.8
	477.6	**467.8**

* In order to differentiate among the individual items under other expenses more precisely according to their descriptions, the allocation of certain types of expenses has changed with respect to how they were presented in the 2024 Annual Report. For the 2024 financial year, € 13.7 million in costs for external personnel is therefore no longer reported under repairs, maintenance and third-party services, but under other staff costs. In addition, the item in question has decreased by a further € 75.5 million in expenses for IT services, which are now considered administrative expenses. Meanwhile, marketing costs in the amount of € 21.0 million are no longer presented as administrative expenses for the previous year, but under marketing and selling costs.

** In the 2024 Annual Report, income in the amount of € 8.8 million from the reversal of impairment losses on trade receivables and contract assets was disclosed under other income, and the effects of a write-down of the aforementioned balance sheet item in the amount of € 0.2 million was included as miscellaneous expenses under other expenses. The new item for the remeasurement of impairment losses on trade receivables and contract assets now combines these changes along with the earnings effects of additions to impairment losses. For the previous year, this results in a reduction of € 8.8 million in both the disclosed other income and other expenses compared with the figures presented in the 2024 Annual Report.

The increase in administrative expenses was due in particular to the external costs for the migration of the SAP R/3 system to SAP S/4HANA, which amounted to € 26.6 million (previous year: € 15.4 million).

The expenses for rents and leases consist of expenses for leases with low-value underlying assets of € 3.6 million (previous year: € 3.2 million), expenses for short-term leases in the amount of € 7.8 million (previous year: € 6.3 million), expenses from variable lease payments of € 2.0 million (previous year: € 1.8 million) and expenses for rents and other leases in the amount of € 0.7 million (previous year: € 0.7 million).

Other expenses primarily reflect the development of provisions for warranty obligations and for onerous contracts.

19. Finance income / expense

Interest and similar expenses include the net interest expense for pension provisions amounting to € 16.0 million (previous year: € 15.2 million). In addition, the item also includes interest expense from the subsequent measurement of lease liabilities in the amount of € 2.3 million (previous year: € 1.9 million).

The item for other finance expense particularly includes, in the amount of € 6.7 million (previous year: € 12.6 million), the effects from the application of IAS 29 Financial Reporting in Hyperinflationary Economies described in Section II. Consolidation Principles under Hyperinflation.

→ **Finance income / expense**

Finance income / expense

€ millions	2025	2024
Finance income	**11.6**	**13.8**
Interest and similar income	11.5	13.7
Other finance income	0.1	0.1
Finance expense	**-27.8**	**-33.1**
Interest and similar expenses	-21.1	-20.5
Other finance expense	-6.7	-12.6
Income from / expense to investments accounted for using the equity method	**5.2**	**6.3**
Finance income / expense	**-11.0**	**-13.0**

20. Taxes on income

This item shows the actual and deferred taxes on income of the companies included in the consolidated financial statements. When determining actual taxes in Germany, the applicable tax rate of 30.4 % in the 2025 financial year (previous year: 30.4 %) results from the current German corporation tax, the solidarity surcharge and trade tax rates. This tax rate forms the base for deriving the effective tax rate for the Group. For the subsidiaries abroad, the respective tax rates of the countries in which they are based apply. On 19 July 2025, an incremental reduction in the corporation tax rate from 15 % to 10 % starting in 2028 came into effect in Germany. The deferred taxes of the Germany-based companies will be reported under consideration of this change in tax rate by factoring in the corporation tax rate that is expected to apply at the respective point in time.

Income tax in the consolidated income statement

This reduction in tax rate has resulted in a one-time deferred tax income in the amount of € 3.3 million for the 2025 financial year. Changes in foreign tax rates did not have any material impact on the total tax expense, as was the case in the previous year.

Taxes on income

€ millions	2025	2024
Actual taxes	**79.7**	**77.6**
Current year	80.0	76.6
Company income tax	79.6	75.8
Global minimum tax	0.4	0.8
Adjustments for previous years	-0.3	1.0
Deferred taxes	**-5.0**	**6.8**
Temporary differences	-7.7	-6.2
Loss carryforwards and tax credits	2.7	13.0
	74.7	**84.4**

The reconciliation for the derivation of the taxes on income reported in the income statement, based on the earnings before income tax (EBT), is shown in the table below.

→ **Reconciliation for income tax**

Income tax in the balance sheet

The change in deferred tax assets and deferred tax liabilities in relation to the items in the Group's balance sheet is shown in the table below.

→ **Change in deferred taxes**

Reconciliation of income tax

€ millions	2025	2024
Earnings before income tax (EBT)	241.1	231.2
Taxes based on company's domestic tax rate	73.3	70.3
Differences in tax rates	-14.1	-10.7
Tax losses from the current year that are not recognised	0.4	0.8
Impairment loss / reversal of impairment on deferred taxes on tax loss carryforwards	-1.8	-0.7
Impairment loss on goodwill	0.1	–
Impairment loss / reversal of impairment on deferred taxes for temporary differences	0.3	0.4
Tax-exempt income	-5.2	-2.7
Non-deductible expenses	13.4	14.2
Prior-period taxes (actual and deferred)	3.5	9.1
Non-deductible foreign income tax	5.9	5.6
Investments accounted for using the equity method	-1.6	-1.9
Other	0.5	0.0
Disclosed income tax	**74.7**	**84.4**
Effective tax rate	31.0 %	36.5 %

Change in deferred taxes 2025

€ millions	Balance at 1 January Net	Recognised as profit or loss	Recognised as other comprehen-sive income	Acquired through business combination	Other matters	Balance at 31 December Net	Deferred tax assets	Deferred tax liabilities
Non-current assets	**-39.8**	**-2.5**	**-0.2**	**–**	**1.9**	**-40.6**	**4.5**	**-45.1**
Intangible assets	-1.3	-0.7	–	–	-0.1	-2.1	1.1	-3.3
Right-of-use assets	-12.0	-0.3	–	–	0.3	-12.0	0.0	-12.0
Property, plant and equipment	-25.5	-0.9	–	–	1.6	-24.8	3.2	-27.9
Financial and non-financial assets	-1.1	-0.5	-0.2	–	0.1	-1.7	0.1	-1.9
Current assets	**26.8**	**8.7**	**-0.2**	**–**	**-1.8**	**33.5**	**43.4**	**-9.9**
Inventories	22.7	0.0	–	–	-1.0	21.8	22.6	-0.9
Receivables and other current assets	4.1	8.7	-0.2	–	-0.8	11.7	20.8	-9.1
Non-current liabilities	**58.2**	**0.8**	**-17.7**	**–**	**-0.5**	**40.8**	**40.9**	**-0.1**
Provisions for pensions and similar obligations	49.3	0.1	-17.7	–	-0.2	31.5	31.5	–
Other provisions	0.7	0.2	–	–	0.0	1.0	1.0	-0.1
Other liabilities	8.2	0.5	–	–	-0.2	8.4	8.5	0.0
Current liabilities	**23.4**	**0.7**	**-1.0**	**–**	**-1.2**	**21.9**	**31.9**	**-10.0**
Other provisions	12.9	-3.3	–	–	-0.1	9.4	9.4	–
Other liabilities	10.5	4.0	-1.0	–	-1.0	12.5	22.5	-10.0
Tax loss carryforwards	**3.5**	**-2.7**	**–**	**–**	**0.0**	**0.8**	**0.8**	**–**
Deferred taxes before offsetting	**72.1**	**5.0**	**-19.2**	**–**	**-1.5**	**56.5**	**121.5**	**-65.1**
Offsetting							-55.4	55.4
Net deferred taxes	**72.1**	**5.0**	**-19.2**	**–**	**-1.5**	**56.5**	**66.1**	**-9.7**

Change in deferred taxes 2024

	Balance at 1 January					Balance at 31 December		
€ millions	**Net**	**Recognised as profit or loss**	**Recognised as other result**	**Acquired through company merger**	**Other matters**	**Net**	**Deferred tax assets**	**Deferred tax liabilities**
Non-current assets	**-36.9**	**-1.7**	**-0.5**	**–**	**-0.7**	**-39.8**	**6.5**	**-46.3**
Intangible assets	-1.5	0.2	–	–	0.0	-1.3	1.2	-2.5
Right-of-use assets	-9.5	-2.4	–	–	0.0	-12.0	–	-12.0
Property, plant and equipment	-24.7	-0.2	–	–	-0.6	-25.5	5.2	-30.7
Financial and non-financial assets	-1.2	0.7	-0.5	–	-0.1	-1.1	0.1	-1.2
Current assets	**20.6**	**5.8**	**0.2**	**–**	**0.2**	**26.8**	**34.7**	**-7.9**
Inventories	19.8	2.8	–	–	0.1	22.7	23.0	-0.3
Receivables and other current assets	0.8	3.0	0.2	–	0.1	4.1	11.7	-7.6
Non-current liabilities	**61.7**	**0.4**	**-3.9**	**–**	**0.1**	**58.2**	**58.2**	**–**
Provisions for pensions and similar obligations	54.6	-1.4	-3.9	–	0.0	49.3	49.3	–
Other provisions	0.9	-0.3	–	–	0.0	0.7	0.7	–
Other liabilities	6.1	2.0	–	–	0.0	8.2	8.2	–
Current liabilities	**22.0**	**1.7**	**0.8**	**–**	**-1.2**	**23.4**	**37.0**	**-13.7**
Other provisions	18.1	-4.3	–	–	-0.9	12.9	13.1	-0.3
Other liabilities	3.9	6.1	0.8	–	-0.3	10.5	23.9	-13.4
Tax loss carryforwards	**16.7**	**-13.0**	**–**	**–**	**-0.2**	**3.5**	**3.5**	**–**
Deferred taxes before offsetting	**84.2**	**-6.8**	**-3.4**	**–**	**-1.8**	**72.1**	**140.0**	**-67.9**
Offsetting							-58.2	58.2
Net deferred taxes	**84.2**	**-6.8**	**-3.4**	**–**	**-1.8**	**72.1**	**81.8**	**-9.7**

As at the reporting date, deferred tax assets (after offsetting) of € 1.5 million (previous year: € 7.8 million) were recognised in the balance sheet, which arose from companies posting a loss in the reporting year or in the previous year. The assumption is that in the years ahead, there will be taxable income and/or taxable temporary differences in an amount that will make it possible to recognise deferred tax assets.

As shown in the reconciliation to the comprehensive earnings in the Group's statement of comprehensive income, taxes on income are reflected in the Group's equity as follows:

Income tax included under equity

€ millions	2025	2024
Remeasurement of defined benefit plans*	42.8	14.7
Taxes on income	-18.0	-4.4
Currency translation differences*	-82.5	23.0
Taxes on income	–	–
Changes in the fair value of financial instruments	4.0	-3.4
Taxes on income	-1.2	1.0
Other comprehensive income	**-54.9**	**30.7**

* These items include the changes taken directly to equity relating to investments accounted for using the equity method. Further details are provided in the statement of comprehensive income.

Further disclosures and explanations regarding income tax

Contingent liabilities from income tax issues amount to € 1.9 million (previous year: € 0.8 million). There are currently no indications that the utilisation of these obligations is likely.

No deferred tax liabilities were recognised for the temporary taxable differences of € 5.9 million (previous year: € 7.0 million) in relation to subsidiaries and joint ventures, as the Group determines the dividend policies of its subsidiaries and can veto dividends that are to be paid out by its joint ventures. In other words, the Group can control the reversal of temporary differences. It can be assumed that there will be no reversals in the foreseeable future.

No deferred tax assets were recognised for corporate tax loss carryforwards amounting to € 11.9 million (previous year: € 17.5 million) and for trade tax loss carryforwards amounting to € 7.6 million (previous year: € 2.2 million), due to the recognition criteria of IAS 12. The loss carryforwards are largely available for an indefinite period. The income resulting from the use of loss carryforwards for which no deferred tax assets had been recognised so far was € 0.9 million (previous year: € 0.4 million).

Deductible temporary differences for which no deferred tax assets had to be recognised amounted to € 6.9 million (previous year: € 5.9 million).

Global minimum tax

The Group falls within the scope of the OECD Pillar Two model rules. The Pillar Two legislation has been applicable in Germany since 1 January 2024.

In the reporting year, KSB recognised an actual tax expense of € 0.4 million (previous year: € 0.8 million) for the top-up tax in connection with the global minimum tax. This minimum tax essentially refers to the Group's business operations in China.

The Group makes use of the exemption from recognising deferred taxes in connection with Pillar Two income taxes, which was the subject of the amendments to IAS 12 published in May 2023.

21. Earnings after income tax – Non-controlling interests

The net profit attributable to non-controlling interests amounts to € 30.2 million (previous year: € 32.0 million) and the net loss attributable to non-controlling interests amounts to € 4.7 million (previous year: € 3.3 million). Further details on the non-controlling interests are provided under Notes No. 10 “Equity”.

22. Earnings per share

Earnings per share are calculated using the weighted average number of shares as the denominator.

Earnings per share

		2025	2024
Earnings after income tax – Attributable to KSB SE & Co. KGaA shareholders	€ millions	140.9	118.1
Additional dividend attributable to preference shareholders (€ 0.26 per preference share) (previous year: € 0.26 per preference share)	€ millions	-0.2	-0.2
	€ millions	**140.7**	**117.9**
Number of ordinary shares		886,615	886,615
Number of preference shares		864,712	864,712
Total number of shares		**1,751,327**	**1,751,327**
Earnings after income tax owed to common shareholders	€ millions	71.2	59.7
Earnings after income tax owed to preferred shareholders	€ millions	69.7	58.4
Diluted and basic earnings per ordinary share	**€**	**80.31**	**67.29**
Diluted and basic earnings per preference share	**€**	**80.57**	**67.55**

VI. Further Information on Financial Instruments

1. Financial instruments – Carrying amounts, fair values and other disclosures by measurement category

Financial instruments by measurement category – 31 Dec. 2025

Balance sheet item / Class € millions	Measurement category*	Carrying amount	Fair value	Fair value Level 1**	Fair value Level 2***	Fair value Level 3****
Assets						
Non-current assets						
Loans and other assets	AC	1.8	1.8	–	1.8	–
Current assets						
Trade receivables from third parties	AC	572.3	572.3	–	–	–
Trade receivables from related parties	AC	47.6	47.6	–	–	–
Receivables from loans to related parties	AC	3.4	3.4	–	–	–
Currency forwards designated as hedges	n/a	1.9	1.9	–	1.9	–
Currency forwards not designated as hedges	FVPL	0.8	0.8	–	0.8	–
Other receivables and other current assets	AC	60.7	60.7	–	–	–
Cash and cash equivalents	AC	338.6	338.6	–	–	–
Equity and Liabilities						
Non-current liabilities						
Financial liabilities excluding lease obligations	AC	0.3	0.3	–	0.3	–
Lease obligations	n/a	38.7	–	–	–	–
Current liabilities						
Financial liabilities excluding lease obligations	AC	3.7	3.7	–	–	–
Lease obligations	n/a	18.6	–	–	–	–
Trade payables	AC	362.7	362.7	–	–	–
Currency forwards designated as hedges	n/a	1.4	1.4	–	1.4	–
Currency forwards not designated as hedges	FVPL	0.9	0.9	–	0.9	–
Miscellaneous other financial liabilities	AC	31.5	31.5	–	–	–

Measurement categories aggregated under IFRS 9

€ millions	Measure-ment category	31 Dec..2025
Assets	AC	1,024.4
Equity and Liabilities	AC	398.2
Assets	FVPL	0.8
Equity and Liabilities	FVPL	0.9

* AC = Amortised cost, FVPL = Fair value through profit or loss

** Level 1: Fair value is determined on the basis of quoted prices (unadjusted) on active markets for identical assets and liabilities.

*** Level 2: The fair value is determined on the basis of measurement parameters that are not the quoted prices taken into account for Level 1, but are observable for the asset or the liability either directly as a price or indirectly derived from prices.

**** Level 3: The fair value is determined on the basis of measurement parameters for assets or liabilities that are not based on observable market data.

Financial instruments by measurement category – 31 Dec. 2024

Balance sheet item / Class € millions	Measurement category*	Carrying amount	Fair value	Fair value Level 1**	Fair value Level 2***	Fair value Level 3****
Assets						
Non-current assets						
Loans and other assets	AC	1.9	1.9	–	1.9	–
Current assets						
Trade receivables from third parties	AC	559.5	559.5	–	–	–
Trade receivables from related parties	AC	45.9	45.9	–	–	–
Receivables from loans to related parties	AC	3.4	3.4	–	–	–
Currency forwards designated as hedges	n.a.	2.0	2.0	–	2.0	–
Currency forwards not designated as hedges	FVPL	0.5	0.5	–	0.5	–
Other receivables and other current assets	AC	84.0	84.0	–	–	–
Cash and cash equivalents	AC	369.3	369.3	–	–	–
Equity and Liabilities						
Non-current liabilities						
Financial liabilities excluding lease obligations	AC	0.4	0.4	–	0.4	–
Lease obligations	n.a.	37.4	–	–	–	–
Current liabilities						
Financial liabilities excluding lease obligations	AC	3.0	3.0	–	–	–
Lease obligations	n.a.	17.8	–	–	–	–
Trade payables	AC	356.7	356.7	–	–	–
Currency forwards designated as hedges	n.a.	5.1	5.1	–	5.1	–
Currency forwards not designated as hedges	FVPL	1.1	1.1	–	1.1	–
Miscellaneous other financial liabilities	AC	28.9	28.9	–	–	–

Measurement categories aggregated under IFRS 9

€ millions	Measure-ment category	31 Dec. 2024
Assets	AC	1,064.0
Equity and Liabilities	AC	389.1
Assets	FVPL	0.5
Equity and Liabilities	FVPL	1.1

* AC = Amortised cost, FVPL = Fair value through profit or loss

** Level 1: Fair value is determined on the basis of quoted prices (unadjusted) on active markets for identical assets and liabilities.

*** Level 2: The fair value is determined on the basis of measurement parameters that are not the quoted prices taken into account for Level 1, but are observable for the asset or the liability either directly as a price or indirectly derived from prices.

**** Level 3: The fair value is determined on the basis of measurement parameters for assets or liabilities that are not based on observable market data.

For the financial assets measured at amortised cost, it is assumed that the fair values correspond to the carrying amounts, given the predominantly short maturities of these financial instruments. This is also the case for all financial liabilities measured at amortised cost, with the exception of non-current financial liabilities.

Fair values within Level 2 are determined using a discounted cash flow method. This relates to loans, non-current financial liabilities and currency forwards. KSB applies an appropriate yield curve for discounting. Future cash flows from currency forwards are calculated on the basis of forward exchange rates (observable rates on the reporting date) and the contracted forward exchange rates.

The net gains and losses from financial instruments are presented in the following table:

Net results

€ millions	2025	2024
Amortised cost (assets)	5.9	11.9
Amortised cost (equity and liabilities)	-3.0	-2.6
FVPL (assets and equity and liabilities)	0.5	-1.1
	3.5	**8.2**

In particular, the net result of assets valued at amortised cost, which amounts to € 5.9 million (previous year: € 11.9 million), contains interest income in the amount of € 11.5 million (previous year: € 13.7 million) and expenses stemming from the remeasurement of impairment losses on trade receivables, which amounted to € 3.7 million (previous year: € 3.1 million).

The net result of equity and liabilities at amortised cost, which amounts to € -3.0 million (previous year: € -2.6 million) is especially influenced by interest expenses in the amount of € 2.3 million (previous year: € 2.7 million).

In addition, the net result of assets, equity and liabilities at amortised cost factors in income and expenses from currency conversion in connection with assets and liabilities. Income and expenses from disposals are also incorporated into the net result.

Interest income and interest expenses stemming from financial instruments can be found under finance income / expense in the income statement. The effects of impairment losses on trade receivables are included under other expenses.

2. Financial risks

KSB is exposed to certain financial risks as a consequence of its business activities. These risks can be classified into three areas:

First, KSB is exposed to credit risk. Credit risk is defined as the potential default or delays in the receipt of contractually agreed payments. KSB is also exposed to liquidity risk which is the risk that an entity will be unable to meet its financial obligations, or will be unable to meet them in full. In addition, KSB is exposed to market price risk. The risk of exchange rate or interest rate changes may adversely affect the economic position of the Group. Risks from fluctuations in the prices of financial instruments are not material for KSB.

KSB limits all these risks through an appropriate risk management system, defining how these risks are addressed through guidelines and work instructions. Furthermore, KSB continuously monitors the current risk characteristics and regularly provides the information obtained to the Managing Directors and the Supervisory Board in the form of standardised reports and individual analyses.

The three risk areas are described in detail in the following. Additional information is also provided in the group management report, in particular in the Economic Review, Report on Expected Developments, Opportunities and Risks Report sections.

Credit risk

The primary credit risk is that there is a delay in settling a receivable, or that it is not settled either in full or in part. KSB minimises this risk using a variety of measures. As a matter of principle, KSB runs credit checks on potential and existing counterparties. KSB only enters into business relationships if the results of these checks are positive. Additionally, European companies in particular take out trade credit insurance policies with deductibles. In exceptional cases KSB accepts other securities (collateral) such as guarantees. The insurance policies primarily cover the risk of loss of receivables. Moreover, cover is also taken out against political and commercial risks in the case of specific customers in selected countries. As part of receivables management, KSB continuously monitors outstanding items, performs maturity analyses and establishes contact with customers at an early stage if delays in payment occur. In the case of major projects, the terms and conditions provide for prepayments, guarantees and – for export transactions – letters of credit. These also mitigate risk. KSB recognises impairment losses for the residual risk remaining in trade receivables. Indications of this are significant financial difficulties of the debtor, such as insolvency or bankruptcy. Receivables are derecognised when it is reasonably certain that payment cannot be expected.

The maximum credit default risk, excluding collateral received, corresponds to the carrying amount of the financial assets.

There is no concentration of risk because the diversity of KSB's business means that it supplies a considerable number of customers in different sectors.

Liquidity risk

Liquidity management ensures that the liquidity risk is minimised in the Group and that solvency is ensured at all times. There are no concentrations of risk because KSB works with a number of credit institutions, on which strict creditworthiness requirements are imposed.

KSB generates its financial resources primarily from its operating business. These are used to finance investments in non-current assets. The Group also uses them to cover working capital requirements. KSB monitors changes in inventories, contract assets, trade receivables, trade payables and contract liabilities regularly using a standardised Group reporting system.

The reporting system additionally ensures, with the help of monthly rolling cash flow planning, that the Group's central financial management is continuously informed about liquidity surpluses and requirements. This enables KSB to optimally meet the needs of the Group as a whole and of the individual companies. In order to be able to provide the necessary collateral in the project business, KSB makes corresponding guarantee volumes available.

In addition, it is always ensured that free credit facilities are sufficient; KSB identifies the need for these on the basis of regular liquidity planning. This way, it can respond at any time to fluctuating liquidity requirements. The available cash loans and credit lines total € 1,025.8 million (previous year: € 1,065.2 million). The utilisation of cash loans and credit lines by the Group was as follows at the end of the reporting year:

€ millions / Type of line	Maximum amount of line	Utilisation as at 31 Dec. 2025
Loans	450.7	3.7
Sureties	575.2	225.5

The credit and guarantee lines include amounts from a syndicated loan agreement originally signed in December 2018 and extended on 19 November 2024 as part of an amendment and restatement agreement. The associated credit line of € 300.0 million can be used at any time and increased by KSB by a further € 250.0 million through the exercise of an option to increase the credit line. The guarantee line from the syndicated loan agreement comes to € 250.0 million. In the reporting year, KSB utilised the renewal option to extend the term of agreement by one year to 19 November 2030. KSB has the option to extend the agreement again by one further year. In the reporting year, an ESG-linked component was incorporated within the syndicated loan agreement.

The following tables show the contractually agreed non-discounted future cash flows of the financial liabilities (primary financial instruments) and derivative financial instruments. Interest payments on fixed-rate liabilities are determined on the basis of the fixed rate.

Floating-rate interest payments are based on the last floating interest rates fixed before 31 December. Projections for future new liabilities are not included in the presentation. Based on the current state of knowledge, it is neither expected that the cash flows will take place significantly earlier, nor that the amounts will differ significantly.

Cash flows of financial liabilities 2025

€ millions	Total	Up to 1 year	1 – 5 years	> 5 years
Financial liabilities	64.5	23.4	35.1	5.9
Of which from lease obligations	61.0	20.2	35.1	5.8
Trade payables	362.7	355.1	7.5	–
Miscellaneous other financial liabilities	31.5	31.3	0.2	–
Derivative financial instruments (net)	2.3	2.1	0.2	–
	460.9	**412.0**	**43.0**	**5.9**

Cash flows of financial liabilities 2024

€ millions	Total	Up to 1 year	1 – 5 years	> 5 years
Financial liabilities	62.6	22.1	35.2	5.3
Of which from lease obligations	59.1	18.9	35.0	5.2
Trade payables	356.7	356.7	–	–
Miscellaneous other financial liabilities	28.9	28.8	0.2	–
Derivative financial instruments (net)	6.2	5.7	0.5	–
	454.4	**413.3**	**35.9**	**5.3**

Market price risk

Global business activities expose KSB primarily to currency and interest rate risk. Any changes in market prices can affect fair values and future cash flows. Sensitivity analyses are used to determine the hypothetical impact of such market price fluctuations on earnings and equity. In doing so, KSB assumes that the portfolio at the reporting date is representative of the full year.

Currency risk

Currency risk mainly affects cash flows from operating activities. It arises when Group companies settle transactions in currencies that are not their functional currency. The main currencies in the KSB Group are the US dollar (USD), the Chinese yuan (CNY), the Indian rupee (INR) and the Brazilian real (BRL).

KSB minimises currency risk by using currency forwards. Further information on this subject is provided by Section III, Accounting Policies under "Financial assets and liabilities – b) Derivative financial instruments" and in the following sub-section 3. Hedge accounting

For the sensitivity analysis shown below, KSB simulates the effects for the main currencies used in the Group based on the notional volume of existing foreign currency derivatives and foreign currency receivables and liabilities at the reporting date. For the analysis, a 10 % increase (decrease) in the value of the euro versus the other currencies is assumed.

Currency volumes *

€ millions	CNY 31 Dec. 2025	CNY 31 Dec. 2024	USD 31 Dec. 2025	USD 31 Dec. 2024	INR 31 Dec. 2025	INR 31 Dec. 2024	BRL 31 Dec. 2025	BRL 31 Dec. 2024
Trade receivables	66.1	68.6	62.3	57.3	73.8	66.7	27.1	18.3
Trade payables	77.3	72.5	27.0	24.8	44.3	44.6	20.5	20.0
Balance	**-11.3**	**-3.9**	**35.3**	**32.5**	**29.6**	**22.1**	**6.7**	**-1.7**

* The previous year's figures were adjusted in accordance with IAS 8.42.

Currency sensitivity as at 31 December 2025

	Effect on consolidated earnings for		Effect on other comprehensive income for	
€ millions	Increase in the value of the euro by + 10 %	Decrease in the value of the euro by – 10 %	Increase in the value of the euro by + 10 %	Decrease in the value of the euro by – 10 %
CNY	1.2	-1.2	0.6	-0.6
USD	0.4	-0.4	5.1	-5.1
INR	-3.0	3.0	–	–
BRL	-0.7	0.7	–	–

Currency sensitivity as at 31 December 2024

	Effect on consolidated earnings for		Effect on other comprehensive income for	
€ millions	Increase in the value of the euro	Decrease in the value of the euro	Increase in the value of the euro by + 10 %	Decrease in the value of the euro by – 10 %
CNY	0.8	-0.8	0.6	-0.6
USD	-0.2	0.2	4.7	-4.7
INR	-2.2	2.2	–	–
BRL	0.2	-0.2	–	–

* The previous year's figures were adjusted in accordance with IAS 8.42.

Interest rate risks

KSB regularly monitors the interest rate risks associated with its financing activities. As part of the sensitivity analysis below, KSB simulates a 100 basis point increase (decrease) in market interest rates and analyses the impact on the floating rate financial instruments.

Interest rate sensitivity

	31 Dec. 2025	
€ millions	**+100 basis points**	**– 100 basis points**
Consolidated earnings	3.7	-3.7

	31 Dec. 2024	
	+100 basis points	**– 100 basis points**
Consolidated earnings	4.3	-4.3

3. Hedge accounting

KSB uses micro hedges (hedging individual transactions) and portfolio hedges (hedging an overall risk portfolio) to hedge currency risk from transactions already recognised in the balance sheet as well as transactions.that are expected in the future with a high degree of probability. The hedging instruments used share the essential terms and conditions with the underlying transactions, i.e. with regard to amount, term and quality. The maturities of the currency derivatives used are, as in the previous year, mostly between one and two years. Internal guidelines govern the use of financial instruments. Such transactions are also subject to ongoing risk control measures.

The effectiveness of hedges is determined at the beginning of the hedge and through regular prospective assessment. The aim is to ensure that there is a financial relationship between the hedge underlying and hedging instrument. The hedging instruments used are exclusively currency forwards entered into with prime-rated banks. To hedge forward exchange transactions, the Group takes out hedges where the contractual modalities of the hedging instrument essentially match those of the hedged underlying. The hedge ratio for hedges is 1:1, i.e. the volume of hedge transactions matches the designated underlyings.

In order to measure the effectiveness or ineffectiveness of hedges, KSB compares the fair value of the underlying and the hedge transactions. Changes in the fair value of the derivatives are almost completely offset by changes in the fair value of the cash flows from the underlyings (dollar offset method). The changes in the fair value of the underlyings and hedges in the financial year therefore match the unrealised profits and losses recorded under equity. As a rule, KSB does not hedge currency risks from the translation of foreign operations into the Group currency (€). Ineffectiveness can arise from hedging currency risk if the material measurement parameters of the underlying and hedge no longer match. There was no material ineffectiveness in the KSB Group in respect of currency hedges in the 2025 and 2024 financial years.

At the reporting date, the notional volume of the currency forwards designated as hedges was € 244.2 million (previous year: € 255.5 million). In addition to the US dollar, the hedged currency risk relates to a number of other currencies to a lesser extent. The weighted average EUR / USD exchange rate for hedging instruments denominated in US dollars was 1.18 (previous year: 1.10) as at the reporting date. The contractual maturities of payments for these currency forwards are as follows:

Notional volumes in 2025

€ millions	**Total**	**Up to 1 year**	**1 – 5 years**	**> 5 years**
Currency forwards designated as hedges	**244.2**	225.7	18.5	–

Notional volumes in 2024

€ millions	**Total**	**Up to 1 year**	**1 – 5 years**	**> 5 years**
Currency forwards designated as hedges	**255.5**	242.2	13.3	–

The "Changes in the fair value of derivatives" table shows the change in the hedging reserve and in the cost of the hedging reserve for currency hedges before tax.

Changes in the fair value of derivatives in 2025

	OCI	
€ millions	**Cash flow hedges – Hedging reserve**	**Cash flow hedges – Hedging cost reserve**
Currency risk		
Opening balance at 1 January	-3.2	-0.1
Effective portion of changes in fair value	2.8	0.0
Realisation of underlying recognised in income	1.5	-0.4
Closing balance at 31 December	**1.1**	**-0.5**

Changes in the fair value of derivatives in 2024

	OCI	
€ millions	**Cash flow hedges – Hedging reserve**	**Cash flow hedges – Hedging cost reserve**
Currency risk		
Opening balance at 1 January	0.3	-0.2
Effective portion of changes in fair value	-8.5	0.2
Realisation of underlying recognised in income	4.9	-0.1
Closing balance at 31 December	**-3.2**	**-0.1**

VII. Statement of Cash Flows

The cash flow statement shows how the Group's cash and cash equivalents reported in the balance sheet changed during the reporting year as a result of cash inflows and cash outflows. In accordance with the requirements of IAS 7, a distinction is made between cash flows from operating activities and from investing and financing activities. The exact composition of these individual components can be seen in the individual items listed in the cash flow statement.

Non-cash effects from currency translation and from changes in the consolidated Group are eliminated in the respective items. Consequently, the cash flows from changes in balance sheet items shown in the cash flow statement cannot be reconciled with the corresponding movements in the Group's balance sheet.

Cash flows reported by Group companies in foreign currencies are translated into euros at average exchange rates for the year, while cash and cash equivalents are translated at the closing rate at the reporting date.

The effect of exchange rate changes on cash and cash equivalents, as well as the effect of changes in the consolidated Group, are shown in a separate item in the statement of cash flows.

The cash flow from investing activities includes the cash effects from additions and disposals of intangible assets and property, plant and equipment. The total additions and disposals in the reporting year are provided in the explanatory notes to the balance sheet items in these Notes to the Consolidated Financial Statements.

The changes in financial liabilities over the year, including the cash-effective portion of these changes, which is included in the cash flows from financing activities, are presented in the tables below.

Changes in financial liabilities in 2025

			Non-cash changes		
€ millions	**1 Jan. 2025**	**Cash-effective in cash flows from financing activities**	**Additions / Disposals / Acquisitions / Other**	**Exchange-rate-related changes**	**31 Dec. 2025**
Non-current financial liabilities (excluding lease liabilities)	0.4	0.1	-0.2	0.0	0.3
Current financial liabilities (excluding lease liabilities)	3.0	0.8	0.1	-0.2	3.7
Lease liabilities	55.2	-22.6	26.8	-2.0	57.3
Total financial liabilities	**58.6**	**-21.7**	**26.7**	**-2.2**	**61.4**

Changes in financial liabilities in 2024

			Non-cash changes		
€ millions	**1 Jan. 2024**	**Cash-effective in cash flows from financing activities**	**Additions / Disposals / Acquisitions / Other**	**Exchange-rate-related changes**	**31 Dec. 2024**
Non-current financial liabilities (excluding lease liabilities)	0.8	-0.3	0.0	0.0	0.4
Current financial liabilities (excluding lease liabilities)	10.2	-8.4	1.1	0.1	3.0
Lease liabilities	44.0	-21.1	32.0	0.3	55.2
Total financial liabilities	**55.0**	**-29.8**	**33.1**	**0.4**	**58.6**

VIII. Segment Reporting

Disclosures on Segments

	Pumps Segment		Valves Segment		KSB SupremeServ Segment		Total	
€ millions	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**	**2025**	**2024**
Key indicator								
Order intake	1,759.6	1,658.6	413.0	407.4	1,030.5	1,048.1	**3,203.1**	**3,114.0**
Sales revenue	1,617.9	1,550.5	403.9	398.8	1,012.9	1,015.8	**3,034.7**	**2,965.2**
EBIT	71.3	40.5	-3.6	-0.8	184.5	204.5	**252.1**	**244.2**
Expense items								
Depreciation and amortisation expense	47.5	44.7	10.6	14.0	38.3	38.7	**96.4**	**97.4**
Of which depreciation / amortisation	47.5	44.9	12.8	12.3	37.9	36.5	98.2	93.7
Of which impairment losses	–	0.2	–	1.7	0.6	2.5	0.6	4.4
Of which reversals of impairment	–	-0.5	-2.2	–	-0.2	-0.3	-2.4	-0.8
External costs for the migration to SAP S/4HANA *	14.5	8.4	3.4	2.0	8.7	5.0	**26.6**	**15.4**

* The external costs for the migration of the SAP R/3 system to the SAP S/4HANA are included in other expenses under administrative expenses.

KSB takes management decisions primarily on the basis of the key performance indicators – order intake, external sales revenue and earnings before financial income / expense and taxes (EBIT) – determined for the Pumps, Valves and KSB SupremeServ reporting segments (hereinafter also referred to as "Segments"). Reporting the relevant assets and liabilities, the number of employees and the inter-segment sales revenue of the Segments is not part of the internal reporting.

Based on comprehensive consideration, the reporting segments were aligned with the Group's products and services.

The Pumps Segment comprises new business with single-stage and multistage pumps, submersible pumps and the associated control and drive systems. These products are used in the Energy, Mining, Water, Building Services, Petrochemicals / Chemicals, and General Industry Markets.

The Valves Segment combines the Group's business activities with regard to new business in butterfly valves, globe valves, gate valves, control valves, diaphragm valves and ball valves. as well as associated actuators and control systems. The basic applications for these products are identical to those for pumps.

The KSB SupremeServ Segment on the one hand comprises the spare parts business for pumps and valves. On the other hand, KSB's service activities are allocated to this Segment. These include the installation, commissioning, start-up, inspection, servicing, maintenance and repair of pumps, related systems and valves, as well as modular service concepts and system analyses for complete plants.

The amounts disclosed for the individual segments have been established in compliance with the accounting policies of the present consolidated financial statements.

The order intake by segment presents order intake generated with third parties.

The sales revenue by segment presents sales revenue generated with third parties.

The earnings before finance income / expense and income tax (EBIT) also include the non-controlling interests of other shareholders.

There were no relationships with individual customers that accounted for a material proportion of Group sales revenue.

The Group's sales revenue and non-current assets are geographically distributed as shown here:

Disclosures by geographic region *

€ millions		
Sales revenue	**2025**	**2024**
Germany	634.8	608.6
China	247.6	239.5
France	215.6	214.1
USA	247.5	249.0
India	275.3	285.4
Other countries	1,413.9	1,368.6
	3,034.7	**2,965.2**

Non-current assets **	**31.12.2025**	**31.12.2024**
Germany	341.3	308.5
Other countries	548.9	526.7
	890.2	**835.2**

* The geographic disclosures in this table are based on where each Group company is headquartered.

** The non-current assets presented include intangible assets, right-of-use assets, property, plant and equipment and investments accounted for using the equity method.

IX. Other Disclosures

Capital disclosures

Sufficient financial independence is a key requirement for safeguarding the Group's continued existence in the long term. Obtaining the necessary funds for ongoing business operations is also extremely important for KSB. In this context, the Group regularly monitors its net financial position. One objective is to avoid net debt.

As at the reporting date, the Group's net financial position is as follows:

Net financial position

€ millions	31 Dec. 2025	31 Dec. 2024
Non-current cash assets *	1.0	0.9
Current cash assets **	37.1	59.4
Cash and cash equivalents	338.6	369.3
Non-current financial liabilities	-39.0	-37.8
Current financial liabilities	-22.3	-20.8
	315.4	**371.0**

* Non-current cash assets are included in non-current financial assets.

** Current cash assets are included in other current financial assets.

The decline in net financial position is due in particular to a low cash flow from operating activities and to increased payments for investments in intangible assets and property, plant and equipment.

Contingent liabilities

As at the reporting date, the Group's contingent liabilities are as follows:

Contingent liabilities

€ millions	31 Dec. 2025	31 Dec. 2024
From legal disputes	10.2	2.0
From guarantees	–	2.1
From warranties	–	1.8
From other tax matters	13.0	14.1
From other contingent liabilities	2.7	1.2
	25.9	**21.3**

Aggregate purchase obligation

As at the reporting date, the Group's purchase commitments for intangible assets and property, plant and equipment is as follows:

Aggregate purchase obligation

€ millions	31 Dec. 2025	31 Dec. 2024
For intangible assets	0.4	0.8
For property, plant and equipment	43.6	47.1
	44.0	**47.9**

Most of the corresponding payments are due in 2026.

Leases

Lease agreements in which KSB is the lessee mainly relate to real estate and motor vehicles. The terms of leases and additional cancellation and renewal options for one or both contracting parties are agreed individually and at different conditions.

The total cash outflow from leases, in the form of the repayment of lease liabilities, payments for leases relating to low-value assets and for short-term leases as well as variable lease payments, totalled € 33.8 million in the reporting year (previous year: € 30.5 million).

KSB acts as a lessor to a small extent, including in the context of real estate leasing. These activities have no material impact on the consolidated financial statements, so no further disclosures are made in this context.

Research and development costs

Of the € 72.6 million in research and development costs in the reporting year (previous year: € 69.0 million), € 68.0 million (previous year: € 69.0 million) was recognised as an expense in the income statement, and € 4.6 million was added to a capitalisation under intangible assets.

Related party disclosures

Related parties are legal entities or natural persons that have influence over the KSB Group or are subject to control, joint control or significant influence by the KSB Group.

In order to determine the entirety of related parties of the Group, the organisational and shareholding structure of KSB SE & Co. KGaA must be taken into account. Johannes und Jacob Klein GmbH, Frankenthal / Pfalz, holds an unchanged voting interest of 83.94 % in KSB SE & Co. KGaA. The voting rights in this company are held, again unchanged, by KSB Stiftung, Stuttgart, with 74.93 %, and by Kühborth-Stiftung GmbH, Stuttgart, with 25.07 %. In addition, KSB Stiftung of Stuttgart, Germany, holds 0.54 % of the voting rights in KSB SE & Co. KGaA.

Transactions with related parties are performed at arm's length and are described in more detail below.

Related parties (entities)
In view of the above explanations, related parties of the KSB Group are, on the one hand, KSB Stiftung, Stuttgart, and Kühborth Stiftung GmbH, Stuttgart, each with their direct and indirect interests and joint ventures. This includes Klein, Schanzlin & Becker GmbH, Frankenthal / Pfalz, which in turn holds 100 % of the voting rights in KSB Management SE, Frankenthal / Pfalz. KSB Management SE, as general partner, is also a related party. Similarly, Johannes und Jacob Klein GmbH, Frankenthal / Pfalz, and its direct and indirect interests and joint ventures are to be classified as related parties of the Group. This includes in particular Palatina Versicherungsservice GmbH, Frankenthal / Pfalz, and the companies of Abacus alpha GmbH, Frankenthal / Pfalz.

In addition, related parties include entities controlled or jointly controlled by the Managing Directors of KSB Management SE.

The group of related parties (entities) also includes the companies fully consolidated in the consolidated financial statements, the joint ventures and associates of the Group as well as the companies not consolidated due to immateriality. Balances and transactions between fully consolidated companies of the KSB Group have been eliminated for the purposes of these consolidated financial statements and are therefore not explained in detail below.

As part of normal business activities, KSB maintains business relationships with related parties in the following areas:

- Buying / selling assets
- Sourcing / providing services
- Usage / transferring usage of assets
- Granting of loans

The following table shows the services provided and used in relation to the purchase and sale of assets and services, as well as the associated pending receivables and liabilities owed from and to related parties.

→ **Services, receivables and liabilities in dealings with related parties**

Pending balances at the year end are unsecured, do not accrue interest and are settled by means of payments.

As the legal representative, KSB Management SE provides management services for KSB. The management fee as well as the reimbursement of costs related to business management is charged on to KSB SE & Co. KGaA. In addition, KSB Management SE as the general partner assumes liability for KSB and receives annual remuneration for this amounting to 4 % of its share capital. The liabilities to KSB Management SE are due in the short term.

In the reporting year, a dividend amounting to € 127 thousand (previous year: € 124 thousand) was paid out to KSB Stiftung.

Relations covering the supply of products and services in relation with Johannes und Jacob Klein GmbH were of minor scope in the reporting year as in the previous year. In addition, Johannes und Jacob Klein GmbH received a dividend payment in the amount of € 23,537 thousand (previous year: € 23,094 thousand).

Transactions with subsidiaries of Johannes und Jacob Klein GmbH comprise transactions with Palatina Versicherungsservice GmbH, Abacus alpha GmbH, Abacus Resale GmbH, Abacus Experten GmbH and airinotec GmbH.

A services agreement for insurances is in place between Palatina Versicherungsservice GmbH and KSB SE & Co. KGaA.

Abacus Experten GmbH concluded a number of service agreements with KSB SE & Co. KGaA.

Agreements for the sale of goods that KSB no longer sells directly to end customers, as well as for the handling of warranty claims are in place between Abacus Resale GmbH and KSB. The scope of these agreements also includes related services, such as the provision of storage space.

In addition, products were delivered to Abacus Resale GmbH and to airinotec GmbH as part of the normal business activities.

In addition, the Group issued bonds to banks in favour of several of its joint ventures to secure their loan liabilities. As in the previous year, the chance of a claim resulting from one of these bonds is viewed as highly unlikely. Based on its estimation of the current circumstances, the Group therefore does not see itself as having any substantial commitments in this regard.

Further information on joint ventures, associates and companies not consolidated due to immateriality is provided in Section IV. Balance Sheet Disclosures – Notes

No. 4 “Other financial assets”, Notes No. 6 “Investments accounted for using the equity method”, Notes No. 8 under “Contract assets, trade receivables and other financial and non-financial assets” and Notes No. 13, “Liabilities”. In addition, the cash flows from the granting of loans and from capital measures with the aforementioned companies are shown in the statement of cash flows under cash flows from investing activities.

Related parties (persons)

The members of the Supervisory Board, the Managing Directors of KSB Management SE and the members of the Administrative Board of KSB Management SE, as well as their close family members, are deemed to be related parties of the KSB Group. Further information is provided below, in these consolidated financial statements, before the comments concerning the proposal on the appropriation of the net retained earnings of KSB SE & Co. KGaA.

Services, receivables and liabilities in dealings with related parties

	Sale of assets and services		Purchases of assets and services		Trade receivables		Trade payables	
€ thousands	**2025**	**2024**	**2025**	**2024**	**31 Dec. 2025**	**31 Dec. 2024**	**31 Dec. 2025**	**31 Dec. 2024**
KSB Management SE*	5	5	6,075	7,684	6	6	13,954	15,124
Klein, Schanzlin & Becker GmbH	–	–	–	–	–	–	–	–
KSB Stiftung and Kühborth-Stiftung GmbH	1	1	–	–	–	–	–	–
Johannes und Jacob Klein GmbH	–	–	9	7	–	–	–	–
Subsidiaries of Johannes und Jacob Klein GmbH	559	824	4,355	4,013	48	119	10	325
Joint ventures of Johannes und Jacob Klein GmbH	–	–	–	–	–	–	–	–
Joint ventures	54,759	51,241	1,354	1,977	38,970	38,476	334	559
Associates	7	8	7,239	5,589	548	926	3	343
Companies not consolidated due to immateriality	13,514	10,593	217	485	7,997	6,376	663	616
	68,844	**62,673**	**19,249**	**19,756**	**47,570**	**45,903**	**14,964**	**16,967**

* Trade payables to KSB Management SE in the reporting year and the previous year include outstanding balances from post-employment benefits to be paid to the Managing Directors.

The remuneration paid to key management personnel of KSB SE & Co. KGaA, i.e. the Managing Directors and the members of the Administrative Board of KSB Management SE, is listed in the following table. The amounts are paid by KSB under an expense reimbursement agreement.

Management remuneration

€ thousands	**2025**	**2024**
Short-term benefits *	3,927	4,146
Post-employment benefits	1,099	1,778
Other long-term benefits *	1,006	1,505
Total	**6,032**	**7,430**

* Other long-term benefits include the amounts that form part of the long-term variable remuneration from the perspective of the Managing Directors.

The total remuneration paid to the Managing Directors and the members of the Administrative Board of KSB Management SE, was € 5,059 thousand (previous year: € 4,842 thousand) pursuant to Section 314(1) No. 6a HGB.

The remuneration system for the Managing Directors of KSB Management SE consists of components that are not performance-related, in the form of fixed sum plus benefits and pension commitments, as well as short-term and long-term variable remuneration components. In this context, 60 % of the regular annual salary, i.e. the sum of fixed and variable remuneration, is accounted for by the fixed component. The variable remuneration accounts for 40 % of the regular annual salary, with about two thirds of this being allocated to the long-term variable remuneration. The majority of the variable remuneration is thus linked to the long-term performance of the company.

The short-term variable remuneration with an assessment period of one year is designed as a target bonus model and is awarded annually. The target amount, i.e. the amount paid out if 100 % of the target is achieved, corresponds to 15 % of the respective regular annual salary. The Administrative Board of KSB Management SE has set the performance targets of EBIT margin, sales revenue and the overall assessment of the personal performance of the Managing Directors in equal parts as the basis for assessment.

The long-term variable remuneration is structured as an annually granted plan with a three-year, forward-looking assessment period. The target amount corresponds to 25 % of the respective regular annual salary. The Administrative Board has defined the performance target as the equally weighted average of the earnings per share (EPS) over three years with a weighting of 80 % and the achievement of the Environmental, Social and Governance (ESG) sustainability goals with a weighting of 20 %. By considering earnings per share, a focus is placed on the long-term successful performance of the company as well as linking the interests of the Managing Directors with the interests of the shareholders. The final payment of the long-term variable remuneration is made after the end of the assessment period.

As at the reporting date, the Group recognised provisions for pension obligations to current Managing Directors of KSB Management SE amounting to € 623 thousand (previous year: € 645 thousand), and to former members of the Board of Management of KSB AG (excluding the Managing Directors of KSB Management SE) and their surviving dependants amounting to € 28,884 thousand (previous year: € 29,965 thousand). The total remuneration of the latter persons amounted to € 2,648 thousand in the past financial year (previous year: € 2,648 thousand).

The members of the Supervisory Board receive a fixed remuneration, attendance fees and reimbursement of expenses. In addition, they receive remuneration for activities that require them to devote special time to the tasks of the Supervisory Board that go beyond preparing and holding meetings of the Supervisory Board and its committees. The short-term benefits paid to members of the Supervisory Board amount to € 986 thousand for the 2025 financial year (previous year: € 996 thousand). At the end of the financial year, a liability of € 533 thousand (previous year: € 554 thousand) was recognised towards the members of the Supervisory Board.

In addition, assets and services amounting to € 21 thousand (previous year: € 20 thousand) were sold to other related parties (corporate bodies) in the reporting year.

In the 2024 financial year, the company also concluded a settlement agreement with key management personnel of the company, its general partner and the general partner's parent company on the termination of a rental and lease agreement and on the handling of and purchase of various objects in connection with the termination of the rental and lease agreement. Under this agreement, the Group made a one-off payment of € 107 thousand in the previous year.

Auditors

KPMG AG Wirtschaftsprüfungsgesellschaft, based in Berlin with an office in Stuttgart, were appointed as auditors and group auditors for the 2025 financial year at the Annual General Meeting of KSB SE & Co. KGaA on 8 May 2025.

The following table shows the total fees for all services that KSB utilised in the reporting year from the global KPMG network, to which the group auditors belong. It also shows the specific share of the total amount attributable to the Group auditors based in Germany.

Total fees for KPMG / group auditors in 2025

€ millions	Global KPMG network	Attributable to: KPMG AG Wirtschaftsprüfungsgesellschaft
Audit fees	2.6	0.9
Tax advisory services	0.3	–
Other certification services	0.2	0.2
Other services	0.9	0.9
	4.0	**2.0**

The audit fees include costs for the audit of the consolidated financial statements and of the statutory annual financial statements of KSB SE & Co. KGaA and the subsidiaries included in the consolidated financial statements. The fees for other certification services include attestation services that are not part of the audit of the consolidated financial statements. The fees for other services result in particular from consulting services on the topic of cyber security.

Use of exemption option

The following companies have made partial use of the exemption provision pursuant to Section 264(3) HGB [German Commercial Code]:

- Dynamik-Pumpen GmbH, Stuhr
- KSB FINANZ GmbH, Frankenthal
- KSB KAGEMA GmbH, Pattensen
- KSB Service GmbH, Frankenthal
- KSB Service GmbH, Schwedt
- PMS-BERCHEM GmbH, Neuss
- Pumpen-Service Bentz GmbH, Reinbek

- Uder Elektromechanik GmbH, Friedrichsthal

Events after the Reporting Period

Gaining control of KSB Pumps Arabia Ltd., Riyadh, Saudi Arabia

Since January 2026, the KSB Group has control of KSB Pumps Arabia Ltd., Riyadh, Saudi Arabia, with the interest held being unchanged at 50.00 %. This is based on additional contractual agreements with the co-owner that ensure that KSB since then has been exercising control over the company which give KSB the majority of voting rights in the management committees and also control over the budget.

KSB Pumps Arabia Ltd. will therefore be included in the Group's consolidated financial statements as a fully consolidated company from the 2026 financial year. From the Group's perspective, the company is considered a joint venture up until and including 31 December 2025, and the investment is accounted for using the equity method. Further explanations on the company is presented in Section IV, Balance Sheet Disclosures, sub-section 6, "Investments accounted for using the equity method".

The fair value of the Group's interests at the time it gained control of the company was € 25.7 million. This results in a remeasurement profit in the amount of € 16.6 million, which will be accounted for as other income in the 2026 financial year.

The table below presents the assets and liabilities that were identified as at 1 January 2026 based on a preliminary purchase price allocation and are reported in the consolidated financial statements. The final carrying amounts of individual items from the table, as well as the corresponding disclosures in the passages that follow, may deviate from the final evaluation.

Summary of assets and liabilities to be included in the consolidated financial statements, excluding goodwill (preliminary measurement)

€ millions	1 January 2026
Non-current assets	16.9
Of which intangible assets	1.5
Of which property, plant and equipment	15.3
Current assets	56.7
Of which inventories	19.6
Of which trade receivables	32.3
Of which cash and cash equivalents	4.3
Total assets	**73.6**
Non-current liabilities	11.1
Of which provisions for pensions and similar obligations	2.0
Of which financial liabilities	9.1
Current liabilities	35.8
Of which other provisions	2.9
Of which financial liabilities	3.2
Of which contractual liabilities	10.1
Of which trade payables	18.3
Total liabilities	**46.9**
Net assets	**26.7**

In addition, the Group's goodwill amounts to € 13.7 million. This is related to the Group's expected income potential based on its stronger access to the Saudi Arabian market.

The fair value of trade receivables (€ 32.3 million) results from the gross amount of this item (€ 36.6 million) less impairment losses in the amount of € 4.3 million, which account for sums that are expected to be uncollectible.

The valuation of the non-controlling interests as at 1 January 2026 (€ 13.3 million) is based on the calculated share of the net assets following remeasurement of the relevant assets and liabilities.

Acts of war in the Middle East

The acts of war that started in the Middle East – in particular in Iran – at the end of February 2026 could lead to material adverse effects on the Group's net assets, financial position and results of operations if the acts of war continue. Potential effects cannot be foreseen at the time of preparing these consolidated financial statements and are therefore not quantifiable.

German Corporate Governance Code

The Managing Directors and the Supervisory Board of KSB SE & Co. KGaA issued the current Statement of Compliance with the recommendations of the Government Commission on the German Corporate Governance Code in accordance with Section 161 AktG [*Aktiengesetz* – German Public Companies Act] on 10 December 2025. The Statement is accessible to the public at KSB's web site: ksb.com/en-global > Investor Relations > Corporate Governance > Corporate Governance Statement / Statement of Compliance with the German Corporate Governance Code.

List of Shareholdings of the KSB Group under Section 313(2) HGB

Subsidiaries

Cons. No.	Name and seat	Country	Activity[1)]	Group share of capital in %	Held by No.
1	Canadian Kay Pump Limited, Mississauga / Ontario	Canada	H	100.00	
2	KSB Limited, Pimpri (Pune)	India	P	40.54	1
3	KSB MIL Controls Limited, Annamanada	India	P	49.00	2
				51.00	
4	Pofran Sales & Agency Limited, Pimpri (Pune)	India	S	100.00	2
5	Dynamik-Pumpen GmbH, Stuhr	Germany	SVC	100.00	
6	Hydroskepi GmbH, Amaroussion (Athens)	Greece	H	100.00	
7	KSB Armaturen Verwaltungs- und Beteiligungs-GmbH, Frankenthal	Germany	H	100.00	
8	OOO "KSB", Moscow	Russia	SVC	100.00	7
9	IOOO "KSB BEL", Minsk	Belarus	S	99.72	8
				0.28	7
10	TOO "KSB Kazakhstan", Almaty	Kazakhstan	S	100.00	8
11	TOV "KSB Ukraine", Kyiv	Ukraine	S	100.00	8
12	TOB "KSB Ukraine" LLC, Kyiv	Ukraine	S	100.00	7
13	KSB Belgium S.A., Bierges-lez-Wavre	Belgium	S	100.00	
14	KSB Service Belgium S.A./N.V., Bierges-lez-Wavre	Belgium	SVC	100.00	13
15	KSB, Bombas e Válvulas, SA, Albarraque	Portugal	S	92.00	
				1.00	40
				1.00	62
				1.00	21
16	KSB Čerpadlá a Armatúry, s.r.o., Bratislava	Slovakia	S	100.00	
17	KSB Chile S.A., Santiago	Chile	P	100.00	
18	KSB Colombia S.A.S., Funza (Cundinamarca)	Colombia	S	100.00	
19	KSB DAG GmbH, Wiener Neudorf	Austria	P	100.00	
20	KSB de Mexico, S.A. de C.V., Querétaro	Mexico	P	100.00	
21	KSB FINANZ GmbH, Frankenthal	Germany	H	100.00	

[1)] P = Production / assembly, S = Sales, SVC = Service, H = Holding, T = Technical service provider

Cons. No.	Name and seat	Country	Activity[1]	Group share of capital in %	Held by No.
22	KSB Algérie Eurl, Bordj el Kifane (Alger)	Algeria	S	100.00	21
23	KSB Argentina S.A., Carapachay (Buenos Aires)	Argentina	P	95.00	21
				5.00	
24	KSB Australia Pty Ltd, Bundamba QLD	Australia	P	100.00	21
25	KSB New Zealand Limited, Albany / Auckland	New Zealand	S	100.00	24
26	KSB BRASIL LTDA., Várzea Paulista	Brazil	P	100.00	21
27	KSB Ecuador S.A., Samborondón	Ecuador	S	100.00	26
28	KSB Middle East FZE, Dubai	U.A.E.	S	100.00	21
29	KSB Pumps (S.A.) (Pty) Ltd., Germiston (Johannesburg)	South Africa	H	100.00	21
30	KSB PUMPS AND VALVES LIMITED, Nairobi	Kenya	S	100.00	29
31	KSB PUMPS AND VALVES (NAMIBIA) (PROPRIETARY) LIMITED, Klein Windhoek	Namibia	S	100.00	29
32	KSB Pumps and Valves (Pty) Ltd., Germiston (Johannesburg)	South Africa	P	100.00	29
33	KSB Shanghai Pump Co., Ltd., Shanghai	China	P	80.00	21
34	KSB Valves (Dalian) Co., Ltd., Dalian	China	P	100.00	21
35	KSB Finland Oy, Kerava	Finland	S	100.00	
36	KSB Hungary Kft., Budapest	Hungary	S	100.00	
37	KSB Industries B.V., Alphen aan den Rijn	Netherlands	H	100.00	
38	Duijvelaar Pompen B.V., Alphen aan den Rijn	Netherlands	SVC	100.00	37
39	KSB Manufacturing B.V., Alphen aan den Rijn	Netherlands	P	100.00	37
40	KSB Nederland B.V., Zwanenburg	Netherlands	S	100.00	37
41	KSB Italia S.p.A., Milan	Italy	P	100.00	
42	KSB ITUR Spain S.A., Zarautz	Spain	P	100.00	
43	KSB KAGEMA GmbH, Pattensen	Germany	P	100.00	
44	KSB Korea Ltd., Seoul	South Korea	P	100.00	
45	KSB Limited, Hong Kong	China	S	100.00	
46	KSB Pump & Valve Technology Service (Tianjin) Co., Ltd, Tianjin	China	P	100.00	45
47	KSB Limited, Loughborough	United Kingdom	S	100.00	
48	KSB Ltd., Tokyo	Japan	S	100.00	
49	KSB Norge AS, Drøbak	Norway	P	100.00	
50	KSB Österreich Gesellschaft mbH, Vienna	Austria	S	100.00	
51	KSB Perú S.A., Lurin	Peru	S	100.00	
52	KSB Polska Sp. z o.o., Ozarow Mazowiecki	Poland	S	100.00	
53	KSB-Pompa, Armatür Sanayi ve Ticaret A.S., Ankara	Turkey	P	100.00	
54	KSB Pumps and valves L.t.d., Domžale	Slovenia	S	100.00	
55	KSB Pumps Co. Ltd., Bangkok	Thailand	P	49.00	

[1] P = Production / assembly, S = Sales, SVC = Service, H = Holding, T = Technical service provider

Cons. No.	Name and seat	Country	Activity[1]	Group share of capital in %	Held by No.
56	KSB Pumps Company Limited, Lahore	Pakistan	P	72.54	
57	KSB Pumps Inc., Mississauga / Ontario	Canada	S	100.00	
58	KSB-Pumpy+Armatury s.r.o., koncern, Prague	Czech Republic	S	100.00	
59	KSB REEL S.r.l., Ponte di Nanto	Italy	P	100.00	
60	KSB S.A.S., Gennevilliers (Paris)	France	P	100.00	
61	KSB POMPES ET ROBINETTERIES S.à.r.l. d'Associé unique, Casablanca	Morocco	S	100.00	60
62	KSB (Schweiz) AG, Oftringen	Switzerland	S	100.00	
63	KSB Seil Co., Ltd., Busan	South Korea	P	100.00	
64	KSB Service GmbH, Frankenthal	Germany	SVC	100.00	
65	KSB Service GmbH, Schwedt	Germany	SVC	100.00	
66	KSB Singapore (Asia Pacific) Pte Ltd, Singapore	Singapore	P	100.00	
67	KSB Malaysia Pumps & Valves Sdn. Bhd., Shah Alam	Malaysia	P	100.00	66
68	KSB PHILIPPINES, INC., Makati City	Philippines	S	100.00	66
69	KSB Vietnam Co., Ltd, Long Thanh	Vietnam	S	100.00	66
70	KSB Sverige Aktiebolag, Gothenburg	Sweden	S	100.00	
71	KSB Sverige Fastighets AB, Gothenburg	Sweden	S	100.00	70
72	PUMPHUSET Sverige AB, Sollentuna	Sweden	SVC	100.00	70
73	KSB Taiwan Co., Ltd., New Taipei City	Taiwan	S	100.00	
74	KSB Tech Pvt. Ltd., Pimpri (Pune)	India	T	100.00	
75	KSB Valves (Changzhou) Co., Ltd., Jiangsu	China	P	100.00	
76	KSB Valves Spain S.A., Burgos	Spain	P	100.00	
77	PAB Pumpen- und Armaturen-Beteiligungsges. mbH, Frankenthal	Germany	H	51.00	
78	KSB America Corporation, Richmond / Virginia	USA	H	100.00	77
79	KSB Dubric, Inc., Comstock Park / Michigan	USA	SVC	100.00	78
80	KSB GIW, Inc., Grovetown / Georgia	USA	P	100.00	78
81	KSB, Inc., Richmond / Virginia	USA	P	100.00	78
82	KSB, Inc. – Western Division, Bakersfield / California	USA	SVC	100.00	78
83	Standard Alloys Incorporated, Port Arthur / Texas	USA	SVC	100.00	78
84	PMS-BERCHEM GmbH, Neuss	Germany	SVC	100.00	
85	PT. KSB Indonesia, Cibitung	Indonesia	P	94.06	
				5.94	21
86	PT. KSB Sales Indonesia, Cibitung	Indonesia	S	99.00	85
				1.00	
87	Pumpen-Service Bentz GmbH, Reinbek	Germany	SVC	100.00	
88	SISTO Armaturen S.A., Echternach	Luxembourg	P	52.85	
89	Uder Elektromechanik GmbH, Friedrichsthal	Germany	SVC	100.00	

[1] P = Production / assembly, S = Sales, SVC = Service, H = Holding, T = Technical service provider

Joint ventures

Cons. No.	Name and seat	Country	Activity[1]	Group share of capital in %	Held by No.	Equity[2] € millions	Net profit / loss[2] € millions
90	KSB MOTOR TEKNOLOJİLERİ SANAYİ VE TİCARET ANONİM ŞİRKETİ, Ankara	Turkey	P	55.00	53	0.2	0.1
91	KSB Pumps Arabia Ltd., Riyadh	Saudi Arabia	P	50.00	21	20.3	5.0
92	KSB Service LLC, Abu Dhabi	U.A.E.	SVC	49.00		10.3	1.3
93	Shanghai Electric-KSB Nuclear Pumps and Valves Co., Ltd., Shanghai	China	P	45.00		48.9	4.8
94	1637534 Alberta Ltd., Edmonton*	Canada	P	41.14	80	1.0	0.0
95	PIP360 Inc., Edmonton*	Canada	SVC	100.00	94	-0.1	0.3

* The companies are included together in the consolidated financial statements as a joint venture accounted for using the equity method.

Associates

Cons. No.	Name and seat	Country	Activity[1]	Group share of capital in %	Held by No.	Equity[2] € millions	Net profit / deficit[2] € millions
96	ECOP Technologies GmbH, Wiener Neudorf	Austria	T	18.43		-2.7	-6.1
97	Motori Sommersi Riavvolgibili S.r.l., Cedegolo	Italy		25.00		6.9	1.3

[1] P = Production / assembly, S = Sales, SVC = Service, H = Holding, T = Technical service provider

[2] Data according to latest annual financial statements under IFRS

Subsidiaries not consolidated due to immateriality

Cons. No.	Name and seat	Country	Activity[1]	Group share of capital in %	Held by No.	Equity [2] € millions	Net profit / loss [2] € millions
98	Geheimrat Dr. Jacob Klein-Unterstützungseinrichtung e.V.	Germany		100.00		0.1	0.0
99	KSB Bolivia S.R.L., La Paz	Bolivia	SVC	99.00	26	0.5	0.1
				1.00			
100	KSB BOMBAS E VÁLVULAS (Angola), LDA, Belas	Angola	S	65.00		0.3	0.2
101	KSB (CAMBODIA) PUMPS & VALVES CO., LTD., Phnom Penh	Cambodia	S	100.00	66	-0.1	-0.1
102	KSB Egypt SOC, Cairo	Egypt	H	100.00		0.2	-0.3
103	KSB Panama S.A., Panamá	Panama	S	100.00	26	0.9	0.2
104	KSB Pumpe i Armature d.o.o. Belgrade	Serbia	S	100.00	54	0.6	0.1
105	KSB pumpe i armature d.o.o., Rakov Potok	Croatia	S	100.00	54	0.2	0.0
106	KSB Pumps and Valves Nigeria Ltd, Lagos	Nigeria	S	60.00		1.0	0.9
107	KSB Service Egypt LLC, Cairo	Egypt	SVC	48.00		1.3	0.3
				11.00	102		
				1.00	21		
108	KSB ZAMBIA LIMITED, Kitwe	Zambia	S	100.00	29	0.5	0.2
109	Vari.Co. GmbH, Karlsruhe	Germany	T	51.00		0.6	0.1

[1] P = Production / assembly, S = Sales, SVC = Service, H = Holding, T = Technical service provider

[2] Data according to latest annual financial statements under IFRS

Supervisory Board

Dr. Bernd Flohr, Dipl.-Kaufmann, Dipl.-Soziologe, Geislingen
(Chair)
Former Executive Board Member of WMF AG

Claudia Augustin, Office Management Assistant, Pegnitz
(Deputy Chair)
Chair of the Pegnitz Works Council of KSB SE & Co. KGaA

Matthias Bikowski, Dipl.-Kaufmann, Losheim am See
(Member since 8 May 2025)
Managing Director of Neue Pressegesellschaft mbH & Co. KG

Klaus Burchards, Dipl.-Kaufmann, Stuttgart
(Member since 8 May 2025)
Independent Auditor

Arturo Esquinca, Dipl.-Chemieingenieur, MBA, Forch, Switzerland
Head of Business Development, Glas Trösch Holding AG

René Klotz, NC Programmer, Heßheim
Chair of the Frankenthal Works Council of KSB SE & Co. KGaA and KSB Service GmbH /
Chair of the General Works Council of KSB SE & Co. KGaA and KSB Service GmbH

Klaus Kühborth, Dipl.-Wirtschaftsingenieur, Frankenthal
Managing Director of Johannes und Jacob Klein GmbH

Birgit Mohme, Industrial Business Management Assistant, Frankenthal
1. Delegate and Managing Director of IG Metall Ludwigshafen-Frankenthal

Thomas Pabst, Dipl.-Ingenieur, Freinsheim [1)]
Head of the Energy Market Area of KSB SE & Co. KGaA

Prof. Dr.-Ing. Corinna Salander, Dipl.-Physikerin, Berlin
Vice President, Locomotives CNE at Alstom Transportation Germany GmbH

Harald Schöberl, Industrial Business Management Assistant, Plech
Full-time Member of the Pegnitz Works Council /
Chair of the Group Works Council of KSB SE & Co. KGaA

Gabriele Sommer, Dipl.-Geologin, Berlin [2)]
Head of Business Development, Management Systems & Certification, TÜV SÜD AG

Stefan Winnerlein, Industriemechaniker, Nuremberg [3)]
1. Delegate and Managing Director of IG Metall Ostoberfranken

Mandates of KSB Supervisory Board Members on the Supervisory Board / Board of Directors of Other Companies

1) Shanghai Electric-KSB Nuclear Pumps and Valves Co., Ltd., Shanghai, China
ECOP Technologies GmbH, Wiener Neudorf, Austria
2) TÜV SÜD Industrie Service GmbH, Munich
3) Kennametal Deutschland GmbH, Fürth

Legal Representatives

Managing Directors of KSB Management SE

Dr. Stephan Jörg Timmermann,
CEO, Augsburg [1)]
Strategy, Human Resources, Communications, Internal Audits, Legal & Compliance, KSB SupremeServ Segment and the Mining Market Area, as well as the Regions Europe West and Americas North

Dr. Stephan Bross, Weinheim [2)]
Global Operations, Research & Development / Technology / Processes, Digital Transformation, Shared Services, Committees and Associations, as well as the Energy and Petrochemicals / Chemicals Market Areas, and the Regions Europe Central and Asia West

Ralf Kannefass, Regensburg [3)]
Sales and Marketing, as well as the Valves Segment and the Water, General Industry and Building Services Market Areas, and the Regions Europe North / East / South, Asia North, Middle East / Africa and Americas South

Dr. Matthias Schmitz, Frankenthal [4)]
Taxes, Insurance, Controlling KSB Group, Finance / Accounting / Treasury, Information Technology, and Purchasing, as well as the Region Asia South / Pacific.

Mandates of the Managing Directors on the Board of Directors of KSB Companies

1) KSB America Corporation, Richmond / Virginia, USA
KSB GIW, Inc., Grovetown / Georgia, USA

2) KSB Limited, Pimpri (Pune), India
KSB MOTOR TEKNOLOJİLERİ SANAYİ VE TİCARET ANONİM ŞİKETİ, Ankara, Turkey
KSB MIL Controls Limited, Annamanada, India

3) KSB Shanghai Pump Co., Ltd., Shanghai, China
Shanghai Electric-KSB Nuclear Pumps and Valves Co., Ltd., Shanghai, China
KSB Pumps (S.A.) (Pty) Ltd., Germiston (Johannesburg), South Africa
KSB Pumps and Valves (Pty) Ltd., Germiston (Johannesburg), South Africa

4) Canadian Kay Pump Limited, Mississauga / Ontario, Canada
KSB Limited, Pimpri (Pune), India
KSB Shanghai Pump Co., Ltd., Shanghai, China
KSB Pumps Arabia Ltd., Riyadh, Saudi Arabia

Members of the Administrative Board of KSB Management SE

Oswald Bubel, Chair, Saarbrücken
(until 16 June 2025)

Dr. Harald Schwager, Chair (since 16 June 2025), Speyer [1)]

Monika Kühborth, Deputy Chair, Homburg
Managing Director of Klein, Schanzlin & Becker GmbH

Michael Eckert, Hamburg

Andrea Teutenberg, Kaarst [2)]

Mandates on Statutory Supervisory Boards

1) K+S Aktiengesellschaft, Kassel
(Chair of the Supervisory Board)
Currenta GmbH & Co. OHG, Leverkusen

Mandates in Comparable Supervisory Bodies

1) Member of the Presidential Board of DEKRA e.V., Stuttgart
K+S Minerals and Agriculture GmbH, Kassel
2) Member of the Advisory Board, EJOT Holding GmbH & Co. KG, Bad Berleburg
Member of the Advisory Board, Talbot Holding GmbH, Aachen

Proposal on the Appropriation of the Net Retained Earnings of KSB SE & Co. KGaA

The following proposal on the appropriation of the net retained earnings of € 197,131,373.08 of KSB SE & Co. KGaA will be submitted to the Annual General Meeting on 7 May 2026:

Proposal for the appropriation of net retained earnings

€	
Dividend of € 26.50 per ordinary no-par-value share	23,495,297.50
Dividend of € 26.76 per preference no-par-value share	23,139,693.12
Total dividends	**46,634,990.62**
Carried forward to new account	**150,496,382.46**
	197,131,373.08

Frankenthal, 12 March 2026

KSB Management SE

The Managing Directors

The annual financial statements of KSB SE & Co. KGaA were prepared in accordance with German accounting principles. They are published in the company register. These annual financial statements are also available online: ksb.com/financialstatements

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Responsibility Statement

To the best of our knowledge, and in accordance with the applicable reporting principles, the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and profit or loss of the Group, and the combined management report for the Group and KSB SE & Co. KGaA includes a fair review of the development and performance of the business and the position of the Group, together with a description of the principal opportunities and risks associated with the expected development of the Group.

Frankenthal, 12 March 2026

KSB Management SE

The Managing Directors

Independent Auditor's Report

To KSB SE & Co. KGaA, Frankenthal

Report on the Audit of the Consolidated Financial Statements and of the Group Management Report

Opinions

We have audited the consolidated financial statements of KSB SE & Co. KGaA, and its subsidiaries (the Group), which comprise the consolidated statement of financial position as at 31 December 2025, and the consolidated statement of comprehensive income[1], consolidated statement of changes in equity and consolidated statement of cash flows for the financial year from 1 January 2025 to 31 December 2025, and notes to the consolidated financial statements, including significant information on the accounting policies. In addition, we have audited the combined management report of KSB SE & Co. KGaA, for the financial year from 1 January 2025 to 31 December 2025. In accordance with German legal requirements we have not audited the content of those components of the combined management report specified in the "Other Information" section of our auditor's report.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) (hereinafter referred to as "IFRS Accounting Standards") as adopted by the EU, and the additional requirements of German commercial law pursuant to Section 315e (1) HGB [Handelsgesetzbuch: German Commercial Code] and, in compliance with these requirements, give a true and fair view of the assets, liabilities, and financial position of the Group as at 31 December 2025, and of its financial performance for the financial year from 1 January 2025 to 31 December 2025, and
- the accompanying combined management report as a whole provides an appropriate view of the Group's position. In all material respects, this combined management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development. Our opinion on the combined management report does not cover the content of those components of the combined management report specified in the "Other Information" section of the auditor´s report.

Pursuant to Section 322 (3) sentence 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the combined management report.

Basis for the Opinions

We conducted our audit of the consolidated financial statements and of the combined management report in accordance with Section 317 HGB and the EU Audit Regulation No. 537/2014 (referred to subsequently as "EU Audit Regulation") and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). [Where compliance with ISAs is also relevant add: We performed the audit of the consolidated financial statements in supplementary compliance with the International Standards on Auditing (ISAs)]. Our responsibilities under those requirements and principles [in case of supplementary compliance with the ISAs, replace this with: requirements, principles and standards] are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. In addition, in accordance with Article 10 (2) point (f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Article 5 (1) of the EU Audit Regulation. We believe that the evidence we have

[1] As appropriate, this is to be aligned, ref. IAS 1.10 b) in connection with 1.81A.

obtained is sufficient and appropriate to provide a basis for our opinions on the consolidated financial statements and on the combined management report.

Key Audit Matters in the Audit of the Consolidated Financial Statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the financial year from 1 January 2025 to 31 December 2025. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, we do not provide a separate opinion on these matters.

Realisation of sales revenue recognized over time from contracts for the manufacture of customer-specific pumps and valves

For information on the accounting principles applied, please refer to section III. Accounting and Valuation Principles, note 2. Specific Accounting and Valuation Methods – Sales Revenue in the notes to the consolidated financial statements. Information on the amount of sales revenue can be found in note (14) of the explanations to the consolidated income statement in the notes to the consolidated financial statements.

The Financial Statement Risk

The Group's sales revenue for the 2025 financial year amounts to EUR 3,034.7 million, of which EUR 217.2 million is attributable to period-related sales revenue from the Pumps and Valves segments.

KSB SE & Co. KGaA (hereinafter "KSB") has determined, based on the following criteria, that the performance obligation will be fulfilled over a period of time and that revenue will therefore be recognised over time:

The Group's performance creates an asset that has no alternative use for the Group, and the Group has a legal claim to payment for the services already rendered, including an appropriate margin.

KSB's legal representatives have set out the criteria for revenue recognition in a Group-wide accounting policy and implemented processes to ensure correct recording and accrual. KSB uses the input-based method to measure the progress of orders. The degree of completion is determined by the ratio of the contract costs incurred up to the reporting date to the estimated total contract costs on the reporting date, thus following the cost-to-cost method. The Group companies operating worldwide enter into different agreements with customers, some of which contain complex contractual provisions.

Due to the use of different contractual agreements in different markets and the estimates made, particularly when determining the progress of services, there is a risk for the consolidated financial statements that sales revenues are incorrectly accrued as of the reporting date and thus recognised too early.

Our Audit Approach

Based on our understanding of the processes, we assessed the design and implementation of identified internal controls, particularly with regard to the correct determination of the performance progress of orders and the estimated total order costs. In addition, we reviewed the presentation of revenue recognition in the Group-wide accounting policy for compliance with IFRS 15.

We reviewed the contract analysis performed by the legal representatives on the basis of risk-oriented selected contracts, supplemented by a mathematical-statistical selection of contracts based on revenue realised in the financial year, and in particular assessed whether the requirements for period-based revenue recognition were met. In addition, we assessed whether there were any changes in the financial year with regard to the contractual terms of agreements concluded in previous years that could influence the assessment of period-based revenue recognition, provided that the contractual processing of these agreements continued in the financial year and was not completed as at the balance sheet date.

For this sample, we reviewed the methodology used to determine the progress of performance. The significant judgements, such as the existence of an alternative use of the asset for the Group, the existence of a legally enforceable payment claim including an appropriate margin for services already rendered, as well as the selection of the measure of progress and the estimation of the degree of performance achieved, on the basis of risk-oriented selected contracts. We performed analytical audit procedures to identify any anomalies in margin development over the course of the year and in comparison with the previous year.

Our Observations

KSB's approach to recognising revenue from contracts for the manufacture of customer-specific pumps and valves on an accrual basis is appropriate. The assumptions underlying the accounting treatment are reasonable.

Other Information

Management and/or the Supervisory Board are/is responsible for the other information. The other information comprises the following components of the combined management report, whose content was not audited:

- the sustainability report, including the summary non-financial statement of the company and the Group, which is contained in the section "Group Sustainability Statement" of the summary combined management report.,
- the combined corporate governance statement of the company and the group, to which reference is made in the combined management report, and
- the information contained in the combined management report that is not related to the combined management report and is marked as unaudited.

Other information also includes:

- the parts of the annual report obtained prior to the date of this audit opinion, and
- the remaining parts of the annual report that are expected to be made available to us after this date.

The other Information includes also the remaining parts of the annual report. The other Information does not include the consolidated financial statements, the combined management report information audited for content and our auditor's report thereon.

Our opinions on the consolidated financial statements and on the combined management report do not cover the other information, and consequently we do not express an opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the above-mentioned other information and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the combined management report information audited for content or our knowledge obtained in the audit, or
- otherwise appears to be materially

Responsibilities of Management and the Supervisory Board for the Consolidated Financial Statements and the Group Management Report

Management is responsible for the preparation of the consolidated financial statements that comply, in all material respects, with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to Section 315e (1) HGB and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position, and financial performance of the Group. In addition, Managing Directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud (i.e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the consolidated financial statements, Managing Directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, Managing Directors are responsible for the preparation of the combined management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, Managing Directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a combined management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the combined management report.

The supervisory board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the combined management report.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the combined management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our opinions on the consolidated financial statements and on the combined management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Section 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a

material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this combined management report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the combined management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinions. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures relevant to the audit of the combined management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control or of these arrangements and measures.
- Evaluate the appropriateness of accounting policies used by management and the reasonableness of estimates made by Managing Directors and related disclosures.
- Conclude on the appropriateness of Managing Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the combined management report or, if such disclosures are inadequate, to modify our respective opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to Section 315e (1) HGB.
- Plan and perform the audit of the consolidated financial statements to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business segments within the Group to provide a basis for our opinions on the consolidated financial statements and on the combined management report. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our opinions.
- Evaluate the consistency of the combined management report with the consolidated financial statements, its conformity with [German] law, and the view of the Group's position it provides.
- Perform audit procedures on the prospective information presented by management in the combined management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by management as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, the actions taken or safeguards applied to eliminate independence threats.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these

matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

Other Legal and Regulatory Requirements

Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with Section 317 (3a) HGB

Assurance Opinion

We have performed assurance work in accordance with Section 317 (3a) HGB to obtain reasonable assurance about whether the rendering of the consolidated financial statements and the combined management report (hereinafter the "ESEF documents") contained in the electronic file "ksbsecokgaa-2025-12-31-de.xbri" (SHA256-Hashwert: 4eb229c2251872a08a6446de875ca3cd1cdc7aa64862dad968709a2819df6a58) made available and prepared for publication purposes complies in all material respects with the requirements of Section 328 (1) HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance work extends only to the conversion of the information contained in the consolidated financial statements and the combined management report into the ESEF format and therefore relates neither to the information contained in these renderings nor to any other information contained in the file identified above.

In our opinion, the rendering of the consolidated financial statements and the combined management report contained in the electronic file made available, identified above and prepared for publication purposes complies in all material respects with the requirements of Section 328 (1) HGB for the electronic reporting format. Beyond this assurance opinion and our audit opinion on the accompanying consolidated financial statements and the accompanying combined management report for the financial year from 1 January 2025 to 31 December 2025 contained in the "Report on the Audit of the Consolidated Financial Statements and the Group Management Report" above, we do not express any assurance opinion on the information contained within these renderings or on the other information contained in the file identified above.

Basis for the Assurance Opinion

We conducted our assurance work on the rendering of the consolidated financial statements and the combined management report contained in the file made available and identified above in accordance with Section 317 (3a) HGB and the IDW Assurance Standard: Assurance Work on the Electronic Rendering of Financial Statements and Management Reports Prepared for Publication Purposes in Accordance with Section 317 (3a) HGB (IDW AsS 410 (06.2022)). Our responsibility in accordance therewith is further described in the "Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents" section. Our audit firm applies the IDW Standard on Quality Management 1: Requirements for Quality Management in Audit Firms (IDW QMS 1 (09.2022)).

Responsibilities of Management and the Supervisory Board for the ESEF Documents

The Company's Managing Directors are responsible for the preparation of the ESEF documents including the electronic rendering of the consolidated financial statements and the combined management report in accordance with Section 328 (1) sentence 4 item 1 HGB and for the tagging of the consolidated financial statements in accordance with Section 328 (1) sentence 4 item 2 HGB.

In addition, the company's Managing Directors are responsible for such internal control that they have considered necessary to enable the preparation of ESEF documents that are free from material intentional or unintentional non-compliance with the requirements of Section 328 (1) HGB for the electronic reporting format.

The supervisory board is responsible for overseeing the process of preparing the ESEF documents as part of the financial reporting process.

Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents

Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material intentional or unintentional non-compliance with the requirements of Section 328 (1) HGB. We exercise professional judgement and maintain professional scepticism throughout the assurance work. We also:

- Identify and assess the risks of material intentional or unintentional non-compliance with the requirements of Section 328 (1) HGB, design and perform assurance procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.
- Obtain an understanding of internal control relevant to the assurance on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.
- Evaluate the technical validity of the ESEF documents, i.e. whether the file made available

containing the ESEF documents meets the requirements of the Delegated Regulation (EU) 2019/815, as amended as at the reporting date, on the technical specification for this electronic file.
- Evaluate whether the ESEF documents provide an XHTML rendering with content equivalent to the audited consolidated financial statements and the audited combined management report.
- Evaluate whether the tagging of the ESEF documents with Inline XBRL technology (iXBRL) in accordance with the requirements of Articles 4 and 6 of the Delegated Regulation (EU) 2019/815, as amended as at the reporting date, enables an appropriate and complete machine-readable XBRL copy of the XHTML rendering.

Further Information pursuant to Article 10 of the EU Audit Regulation

We were elected as auditor by the annual general meeting on 8 May 2025. We were engaged by the supervisory board on 19 June 2025. We have been the auditor of the KSB SE & Co. KGaA without interruption since the financial year 2025.

We declare that the opinions expressed in this auditor's report are consistent with the additional report to the audit committee pursuant to Article 11 of the EU Audit Regulation (long-form audit report).

Other Matter – Use of the Auditor's Report

Our auditor's report must always be read together with the audited consolidated financial statements and the audited combined management report as well as the examined ESEF documents. The consolidated financial statements and combined management report converted to the ESEF format – including the versions to be entered in the company register – are merely electronic renderings of the audited consolidated financial statements and the audited combined management report and do not take their place. In particular, the ESEF report and our assurance opinion contained therein are to be used solely together with the examined ESEF documents made available in electronic form.

German Public Auditor Responsible for the Engagement

The German Public Auditor responsible for the engagement is Matthias Koeplin.

Stuttgart, 12 March 2026

KPMG AG
Wirtschaftsprüfungsgesellschaft

Signed Koeplin	Signed Eifert
Wirtschaftsprüfer	Wirtschaftsprüfer
[German Public Auditor]	[German Public Auditor]

Limited Assurance Report

To the KSB SE & Co. KGaA, Frankenthal

Assurance report of the independent German Public Auditor on a limited assurance engagement in relation to the Group Sustainability Statement

Assurance Conclusion

We have conducted a limited assurance engagement on the Group Sustainability Statement, included in section Group Sustainability Statement of the combined management report, of KSB SE & Co. KGaA for the financial year from January 1, 2025 to December 31, 2025. The Group Sustainability Statement was prepared to fulfil the requirements of Directive (EU) 2022/2464 of the European Parliament and of the Council of 14 December 2022 (Corporate Sustainability Reporting Directive, CSRD) and Article 8 of Regulation (EU) 2020/852 as well as Sections 315b and 315c of the HGB [Handelsgesetzbuch: German Commercial Code] for a consolidated non-financial statement and Sections 289b to 289e of the HGB for a non-financial statement of the company.

Based on the procedures performed and the evidence obtained, nothing has come to our attention that causes us to believe that the accompanying Group Sustainability Statement is not prepared, in all material respects, in accordance with the requirements of the CSRD and Article 8 of Regulation (EU) 2020/852, Sections 315b and 315c HGB for a consolidated non-financial statement, Sections 289b to 289e of the HGB for a non-financial statement of the company and the supplementary criteria presented by the executive directors of the Company. This assurance conclusion includes that nothing has come to our attention that causes us to believe that:

- the accompanying Group Sustainability Statement does not comply, in all material respects, with the European Sustainability Reporting Standards (ESRS), including that the process carried out by the entity to identify information to be included in the Group Sustainability Statement (the materiality assessment) is not, in all material respects, in accordance with the description set out in section Group Sustainability Statement of the Group Sustainability Statement, or
- the disclosures in section EU- Taxonomy Regulation of the Group Sustainability Statement do not comply, in all material respects, with Article 8 of Regulation (EU) 2020/852.

Basis for the Assurance Conclusion

We conducted our assurance engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised): Assurance Engagements Other Than Audits or Reviews of Historical Financial Information issued by the International Auditing and Assurance Standards Board (IAASB).

The procedures in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Our responsibilities under ISAE 3000 (Revised) are further described in the section "German Public Auditor's Responsibilities for the Assurance Engagement on the Group Sustainability Statement".

We are independent of the entity in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. Our audit firm has applied the requirements for a system of quality control as set forth in the IDW Quality Management Standard issued by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW): Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)). We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our assurance conclusion.

Responsibilities of the Executive Directors and the Supervisory Board for the Group Sustainability Statement

The executive directors are responsible for the preparation of the Group Sustainability Statement in accordance with the requirements of the CSRD and the applicable German legal and other European requirements as well as with the supplementary criteria presented by the executive directors of the Company and for designing, implementing and maintaining such internal control that they have considered necessary to enable the preparation of a Group Sustainability

Statement in accordance with these requirements that is free from material misstatement, whether due to fraud (i.e., fraudulent sustainability reporting in the Group Sustainability Statement) or error.

This responsibility of the executive directors includes establishing and maintaining the materiality assessment process, selecting and applying appropriate reporting policies for preparing the Group Sustainability Statement, as well as making assumptions and estimates and ascertaining forward-looking information for individual sustainability-related disclosures.

The Supervisory Board is responsible for overseeing the process for the preparation of the Group Sustainability Statement.

Inherent Limitations in Preparing the Group Sustainability Statement

The CSRD and the applicable German legal and other European requirements contain wording and terms that are subject to considerable interpretation uncertainties and for which no authoritative, comprehensive interpretations have yet been published. The executive directors are responsible for the reasonableness of these interpretations. As such wording and terms may be interpreted differently by regulators or courts, the legality of measurements or evaluations of sustainability matters based on these interpretations is uncertain. As further set forth in section Disclosures in relation to specific circumstances (BP-2) of the Group Sustainability Statement, the quantification of the non-financial performance indicators, in particular KPI related to Gross greenhouse gas emissions (ESRS E1-6), are also subject to inherent uncertainties due to estimation requirements

These inherent limitations also affect the assurance engagement on the Group Sustainability Statement.

German Public Auditor's Responsibilities for the Assurance Engagement on the Group Sustainability Statement

Our objective is to express a limited assurance conclusion, based on the assurance engagement we have conducted, on whether any matters have come to our attention that cause us to believe that the Group Sustainability Statement has not been prepared, in all material respects, in accordance with the CSRD, the applicable German legal and other European requirements and the supplementary criteria presented by the company's executive directors, and to issue an assurance report that includes our assurance conclusion on the Group Sustainability Statement.

As part of a limited assurance engagement in accordance with ISAE 3000 (Revised), we exercise professional judgment and maintain professional skepticism. We also:

- obtain an understanding of the process used to prepare the Group Sustainability Statement, including the materiality assessment process carried out by the entity to identify the disclosures to be reported in the Group Sustainability Statement.
- identify disclosures where a material misstatement due to fraud or error is likely to arise, design and perform procedures to address these disclosures and obtain limited assurance to support the assurance conclusion. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control. In addition, the risk of not detecting a material misstatement in information obtained from sources not within the entity's control (value chain information) is ordinarily higher than the risk of not detecting a material misstatement in information obtained from sources within the entity's control, as both the entity's executive directors t and we as practitioners are ordinarily subject to restrictions on direct access to the sources of the value chain information.
- consider the forward-looking information, including the appropriateness of the underlying assumptions. There is a substantial unavoidable risk that future events will differ materially from the forward-looking information.

Summary of the Procedures Performed by the German Public Auditor

A limited assurance engagement involves the performance of procedures to obtain evidence about the sustainability information. The nature, timing and extent of the selected procedures are subject to our professional judgment.

In performing our limited assurance engagement, we:

- evaluated the suitability of the criteria as a whole presented by the executive directors in the Group Sustainability Statement
- inquired of the executive directors and relevant employees involved in the preparation of the Group Sustainability Statement about the preparation process, including the materiality assessment process carried out by the entity to identify the disclosures to be reported in the Group

Sustainability Statement, and about the internal controls relating to this process

- evaluated the reporting policies used by the executive directors to prepare the Group Sustainability Statement
- evaluated the reasonableness of the estimates and related information provided by the executive directors. If, in accordance with the ESRS, the executive directors estimate the value chain information to be reported for a case in which the executive directors are unable to obtain the information from the value chain despite making reasonable efforts, our assurance engagement is limited to evaluating whether the executive directors have undertaken these estimates in accordance with the ESRS and assessing the reasonableness of these estimates, but does not include identifying information in the value chain that the executive directors were unable to obtain
- performed analytical procedures and made inquiries in relation to selected information in the Group Sustainability Statement
- conducted site visits
- considered the presentation of the information in the Group Sustainability Statement
- considered the process for identifying taxonomy-eligible and taxonomy-aligned economic activities and the corresponding disclosures in the Group Sustainability Statement].

Restriction of Use / Clause on General Engagement Terms

This assurance report is solely addressed to KSB SE & Co. KGaA.

The engagement, in the performance of which we have provided the services described above on behalf of KSB SE & Co. KGaA, was carried out on the basis of the General Engagement Terms for Wirtschaftsprüferinnen, Wirtschaftsprüfer und Wirtschaftsprüfungsgesellschaften (Allgemeine Auftragsbedingungen für Wirtschaftsprüferinnen, Wirtschaftsprüfer und Wirtschaftsprüfungsgesellschaften) dated as of January 1, 2024 (www. kpmg.de/AAB_2024). By taking note of and using the information as contained in our report each recipient confirms to have taken note of the terms and conditions stipulated in the aforementioned General Engagement Terms (including the liability limitations to EUR 4 million specified in item No. 9 included therein) and acknowledges their validity in relation to us.

Mannheim, 12 March 2026

KPMG AG
Wirtschaftsprüfungsgesellschaft

Signed Koeplin
Wirtschaftsprüfer
[German Public Auditor]

Signed Wiegand
Wirtschaftsprüfer
[German Public Auditor]

Glossary

Abbreviations

CO_2eq
Carbon dioxide equivalent is the standard measurement for comparing and taking into account the impact of GHG emissions based on their global warming potential.

DEFRA
DEFRA stands for the Department for Environment, Food and Rural Affairs. It is a ministerial department of the UK government that is responsible for environmental protection, food production and standards, agriculture, fisheries and rural communities in the UK.

DIIR
Deutsches Institut für Interne Revision e.V.
[German Institute of Internal Auditors]

EFRAG
European Financial Reporting Advisory Group: EFRAG was established by the European Union (EU) and the private sector to provide technical advice to the European Commission on corporate reporting issues. Within the framework of the CSRD, EFRAG monitors the European Sustainability Reporting Standards (ESRS), which define the CSRD disclosure requirements and associated guidelines.

ESRS
The European Sustainability Reporting Standards (ESRS) are a set of reporting standards drafted by EFRAG to implement the requirements of the Corporate Sustainability Reporting Directive (CSRD). These standards cover a wide range of environmental, social and governance topics, including climate change, biodiversity and human rights.The ESRS are designed to define a uniform scope of reporting (and to some extent also the structure of presentation) to help stakeholders understand the sustainability impact of companies and compare it with others.

IPCC
Intergovernmental Panel on Climate Change: The IPCC is the United Nations body for assessing the science related to climate change, mitigation options and adaptation steps to address the impacts of climate change. It publishes regular reports, including a summary for policymakers.

IROs
Impacts, Risks and Opportunities: CSRD reporting focuses on driving disclosures that show how companies deal with IROs in relation to their business activities and the value chain in the short, medium and long term.

OECD
Organisation for Economic Co-operation and Development

PFAS
PFAS stands for per- and polyfluoroalkyl substances. These chemical compounds consist of a large group of synthetic chemicals that have fluorine atoms attached to alkyl chains. PFAS are known for their resistance to degradation processes, which makes them highly persistent in the environment.

SASB
The Sustainability Accounting Standards Board (SASB) is a non-profit organisation that creates and maintains industry-specific standards that guide companies in disclosing financially material sustainability information to investors and other financial stakeholders.

SBTi
The Science Based Targets initiative defines the criteria for and reviews short-term and long-term greenhouse gas (GHG) emissions reduction targets for companies. It has developed guidelines and industry-specific standards to support this objective.

SFDR
The Sustainable Finance Disclosure Regulations (SFDR) are a disclosure framework for asset managers and other financial market participants. The aim is to ensure transparency about the degree of sustainability of financial products for end investors in the EU.

WWF BRF
The WWF Biodiversity Risk Filter processes relevant and available biodiversity data and links it to a company's own business locations and its supply chain. It currently covers potential biodiversity-related physical and reputational risks.

WWF WRF
The WWF Water Risk Filter (WRF) is an online tool provided by the World Wide Fund for Nature that helps companies and investors to explore, assess and respond to water risks. It provides a comprehensive risk assessment that takes into account physical, regulatory and reputational risks. The WRF provides support with prioritising actions in order to increase resilience to water risks and contribute to a sustainable future.

Technical Terms

Double Materiality Assessment (DMA)
The Double Materiality Assessment (DMA) forms the basis and defines the scope of sustainability reporting. The DMA required by the CSRD assesses the impact of a company's activities on the environment and people, and how environmental and social aspects influence the company's financial performance.

Ecoinvent
Ecoinvent is a comprehensive database used for Life Cycle Assessments (LCA). It contains over 20,000 data records that model human activities and processes. This database enables users to understand and assess the environmental impact of their products and services.

EEA countries
As an economic area, the countries of the European Economic Area form a deep free trade area between the European Union and three countries of the European Free Trade Association (EFTA).

EEIO factors
EEIO factors stands for Environmentally Extended Input-Output factors. These factors are used in environmental input-output analysis to assess the environmental impact of economic activities.

GHG emissions
Greenhouse gas emissions (GHG emissions) include carbon dioxide, methane and nitrous oxide. The GHG Protocol categorises them as Scope 1 – Direct and controlled by the company, Scope 2 – Indirect, resulting from purchased electricity, steam, heating and cooling consumed by the reporting company, and Scope 3 – All other indirect emissions, e.g. in the value chain.

International Labour Organisation (ILO)
Specialised United Nations agency responsible for drafting and overseeing international labour standards and social standards.

Scope 1 – 3
(Categories of greenhouse gas emissions)
In the context of greenhouse gas emissions, the term "scope" refers to the different categories of emissions caused by a company. These categories are classified into three areas in accordance with the Greenhouse Gas (GHG) Protocol:

Scope 1: Direct emissions from company-owned or controlled sources, such as emissions from its own boilers or vehicle fleet

Scope 2: Indirect emissions from the consumption of purchased energy, such as electricity, heat or cooling

Scope 3: All other indirect emissions that occur in the company's value chain, such as business travel, waste management, purchased goods and services or the product use phase.

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THE GLOBAL COMPACT
WE SUPPORT

As a signatory to the United Nations Global Compact, KSB is committed to endorsing the ten principles of the inter-national community in the areas of human rights, labour standards, environmental protection and anti-corruption.

The KSB Group's Annual Report is also available in German.

Digital Annual Report
Online Annual Report with additional functions:
ksb.com/online-report
PDF version for download:
ksb.com/annualreport

Financial Calendar

5 May 2026
Quarterly financial report
January – March 2026

7 May 2026
Annual General Meeting

6 August 2026
Half-year financial report
January – June 2026

10 November 2026
Quarterly financial report
January – September 2026

2 February 2027
Preliminary report on the 2026 financial year

25 March 2027
Report on the 2026 financial year
Financial press conference

You will find the latest information on the 2026 Annual General Meeting at: ksb.com/agm

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